

Petronet LNG Ltd. (PETRONET)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

Petronet LNG Limited

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PAN: AAACP8148D GST: 07AAACP8148D1ZI

Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252

Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2022 Date : 12.08.2022

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd. Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 05.08.2022

Dear Sirs/Madam,

This is with reference to our intimation dated 1

st August 2022 and 6th August 2022 intimating holding

Conference Call of the Company scheduled on Friday , 5th August 2022 at 6:15 P M (IST) for unaudited

Financial Results of the Company for the quarter ended 30th June 2022 and uploading audio recording

post Conference Call respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

This is for your kind information and record please.

Yours faithfully,

Sd/-

Rajan Kapur

CGM & Vice President -

Company Secretary

Encl: as above

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"Petronet LNG Limited

Q1 FY2023 Results Conference Call "

August 05, 2022

ANALYST : MR. SABRI HAZARIKA - EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

I

MANAGEMENT : MR. VINOD KUMAR MISHRA - DIRECTOR (FINANCE) -

PETRONET LNG LIMITED
 MR. RAKESH CHAWLA - GROUP GENERAL MANAGER &
 PRESIDENT (FINANCE) - PETRONET LNG LIMITED
 MR. GYANENDRA SHARMA - CHIEF GENERAL
 MANAGER & VICE PRESIDENT (MARKETING) -
 PETRONET LNG LIMITED
 MR. DEBABRATA SATPATHY - GENERAL MANAGER
 (FINANCE & ACCOUNTS) - PETRONET LNG LIMITED
 MR. VIVEK MITTAL - GENERAL MANAGER
 (MARKETING) - PETRONET LNG LIMITED
 MR. ASHWANI AGARWAL - MANAGER (FINANCE) -
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 Petronet LNG Limited
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Page 2 of 17 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2023 Results Conference Call of Petronet LNG Limited hosted by Emkay Global Financial Services Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Sabri Hazarika from Emkay Global Financial Services. Thank you and over to you.

Sabri Hazarika: Good evening everyone. On behalf of Emkay Global, I am pleased to welcome you all to the Q1 FY2023 post results conference call of Petronet LNG Limited. We have with us the senior management of Petronet LNG led by Mr. Vinod Mishra, Director (Finance), Mr. Rakesh Chawla, Group General Manager and President (Finance), Mr. Gyanendra Sharma, Chief General Manager and Vice President (Marketing), Mr. Debabrata Satpathy, General Manager (Finance and Accounts), Mr. Vivek Mittal, General Manager (Marketing) and Mr. Ashwani Agarwal, Manager (Finance). So today's session would be a brief on the results by the management followed by the question and answer round. So without any further delay now I would

request Mr. Mishra to come up with the opening remarks. Over to you Sir!

Vinod K Mishra: Thank you Sabri. Very good afternoon to all of you. I will start with the major highlights. Our turnover has increased to Rs 14264 Crores in this quarter as compared to Rs.11160 Crores in the previous quarter and Rs.8598 Crores in the corresponding quarter, so there is a growth of around 66% in the turnover as compared to corresponding quarter and almost 28% as compared to the previous quarter and apart from that I will just give the highlight, how has been the performance of Dahej and Kochi terminal.

During the current quarter we have been able to achieve 196 TBTU in Dahej terminal as compared to 194 TBTU in the corresponding quarter of the previous year and 178 TBTU in the previous quarter. So if you look at there has been a better performance as compared to previous quarter and also as compared to corresponding quarter and total throughput in both the terminals taken together has been 208 TBTU as against 209 TBTU in the corresponding quarter and 190 TBTU in the previous quarter and if you look at the profitability, PBT has been Rs. 937 Crores in the current quarter as against compared to Rs. 851 Crores in the corresponding quarter and Rs. 984 Crores in the previous quarter and PAT has been reported at Rs. 701 Crores in this quarter as compared to Rs. 636 Crores in the corresponding quarter and Rs. 750 Crores in the previous quarter. IICTFIONtET ---<.o LI•ITID
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Page 3 of 17 So if you compare with the corresponding quarter, there has been growth of 10% in both PBT and PAT and further if you look at the performance, operational performance has been excellent as compared to previous quarter, but due to foreign exchange variation loss of Rs.124 Crores, it has been little bit less than previous quarter, but as compared to corresponding quarter, it is far, far better. So basically, that exchange rate was around Rs 75.81 per USD on March 31, 2022 as compared to Rs 78.91 per USD on June 30, 2022, so there is a gap of Rs. 3.1 per USD, because of that there is a foreign exchange fluctuation loss of Rs. 124 Crores which is a notional loss, so basically this is the reason, it is little bit down, but otherwise performance has been excellent. This excellent performance has been possible because despite high LNG prices, we did optimization in our operations. Thank you very much. Now, house is open for the question.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have first

question is from the line of Probal Sen from ICICI Securities . Please go ahead.

Probal Sen : Thank you for the opportunity, Sir. Two questions; one was that GAIL in their concall mentioned that Gazprom is unable to actually deliver on their commitment of volumes of LNG . Now some portion of that obviously flowing through our terminals, so what mitigation options we have if GAIL is unable to bring those volumes . Contractually how are we placed with respect to this, if these volume does not come through or GAIL is unable to source it from the alternative sources?

Vinod K Mishra : You are right. There has been some trouble in Gazprom contract of GAIL, but as far as we are concerned, there is a contract with Use or Pay clause . They have booked the capacity to the extent of 2.5 MMTPA on Use or pay basis . Whatever volumes are there after agreeing in ADP, they will have to bring to that extent, otherwise we will apply use a pay clause . So we are secure to that extent, but overall if you see it is not a very good scenario that somebody's defaulting, it is impacting the ultimate consumers, because leave apart our terminal, the customer is suffering, because long term gas which is priced at \$14/\$15 and if we go to the spot market, it is \$44, so it is a big difference, so definitely it is not good for

the country. But as far as we are concerned, there is a commitment of use or pay charges .So far GAIL has been bringing cargo and in fact there is no actual default. I think they have enough resources available apart from Gazprom may be from the US portfolio they may bring in cargos, but we are secured because of our provision as per contract of use or pay charges . So that is why we are secured.

Probal Sen : Second question Sir, after two quarters of softening we have seen third party gas volumes have picked up back to sort of near normalized levels of 94, 95 TBTUs? IICITIONET ---<.o LIITID

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Page 4 of 17 Vinod K Mishra : What you are asking?

Probal Sen : Regasification services or third party gas volumes are 94 TBTUs for this quarter?

Vinod K Mishra : Yes.

Probal Sen : Previous two quarters, they were at levels of 76, 78 or so, any color you would like to throw and what has driven this improvement?

Vinod K Mishra : Last quarter, it was little bit less, but now it has come up, so if you compare with the corresponding quarter, it was 99, still not to that level . If you look at the terminal of GAIL, Dabhol terminal was in operation in the fourth quarter, but right now it is not working, so till October, it will be our terminal which will be busy, so maybe that is the reason. Every year fourth quarter versus first quarter , there is always a difference.

Probal Sen : So Q1 and Q2 would be better for us?

Vinod K Mishra : Basically, you know, Q1 will be better, because Dabhol is closed for this period.

Probal Sen : Got it. One last question Sir. Last couple of quarters we have not traded much in terms of the LNG retail opportunity which you sort of were developing, any further developments if you had in terms of the pilots you are running with IOCL, anything you can share with us?

Vinod K Mishra : Retail, you are talking about LNG stations?

Probal Sen : Yes.

Vinod K Mishra : We are going on as per the schedule and perhaps we have already contracted with IOCL for four LNG dispensing stations and we are going ahead and this is very likely to start shortly and may be in next six months you will see that it will be there and one more station . We have in fact placed the order for station . It is likely to be commissioned by somebody else or may be by (on our own, but four stations are definitely coming up in this year . May be in next six months you will see, these in operation .

Probal Sen : Perfect Sir. If I have any more questions, I will come back. Thank you so much for your time. IICITIONET ---<.o LIITID

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Page 5 of 17 Moderator : Thank you. We have the next question from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel : Thanks for the opportunity. Couple of questions. One is that RasGas volume which we are sourcing is 8.5 million tons, if you look at last three years on a calendar year basis , this is consistently below that number . Last year we were sourcing 8.5 million ton of volume and probably supplying less?

Vinod K Mishra : No, it is not 8.5 million, it is 7.5 million, one million ton has been assigned to offtakers . Of course that was part of the deal ,when we renegotiated the price with Ras Gas in 2015. In that deal it was agreed that we will take additional volume of one MMTPA and that is what to be assigned to offtakers subsequently. Accordingly as per the deal, we have assigned that 1 MMTPA to offtakers, so we have in our portfolio 7.5 MMTPA now, so that is the reason.

Maulik Patel : Another question is on that you talked about the petchem project and the biogas , can you

throw some light and what stage we are right now for these two projects?

Vinod K Mishra : First is petchem project, we are in fact and intending to have a plant which is called PDH - PP plant, to be put up at Dahej, for that we are

still doing some feasibility because we have

already done PFR and now we are in the process of getting DFR, so all these things will be analyzed and if there is a return of at least 16%, 17% IRR then only we will be going for this kind of project, because there has been huge crack in this particular product in the company. I think unless and until we are sure that we will be having some good IRR, we will not undertake it. But DFR is still under process and perhaps we have to go in for some licensing process also while making DFR, so all those things are continuing, but right now it is with the consultant for DFR preparation. Second one is CBG and CBG of course, there has been a challenge, CBG, we thought to undertake in a big way, but right now there has been certain handicaps which are preventing us from putting up those plants, because when we tried to initiate the process to put up some three, four CBG plants in Haryana, we found that it is not possible for government to allocate the land to us as per their policy, so they told us that they cannot give any land to us, so they have gone to assembly again to pass the bill to amend the policy. Then only they can allot us some lands for CBG. In fact that is a big problem that we are facing, so we could not proceed much. Unless and until we have land, we cannot put up any CBG plant. So it is not progressing well unless until the Haryana government take some decision on policy matter.

Maulik Patel : I had one last small question if you allow me to, Sir, how do you assess the situation of LNG demand in the country with respect to the upcoming Reliance Energy auction which IICFIONtET ---<.o LI•ITID
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Page 6 of 17 will be approximately 3 million to 4 million ton of LNG demand that can be replaced? Your comments Sir.

Vinod K Mishra : If you look at the demand in the country, one thing is very clear that is demand is price sensitive. It is not possible to consume gas at \$40, \$50. So this is true that if some gas is coming domestically, this is good, but even beyond that there is a huge appetite for consumption, but the price is a major problem. Once it is down, there is enough scope for gas consumption. High LNG price is causing a major problem for us, but otherwise as of now it is not going to impact, because long term volumes are already there. It will continue like that and in fact we are also envisaging, we have to do long term contract in future if we get at a good price, but at the same time, we are focusing on extending this already RasGas contract expiring in 2028. So the Reliance gas which we are talking about as of now will not have any impact on us. Right now you see there is a dearth of gas in the country, People who could get the cheaper gas are lucky enough, because nobody can afford to buy LNG at the current spot prices.

Maulik Patel : Thank you.

Moderator : Thank you. We have the next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : Good evening and thank you very much. Can you share the Regasification margin you have earned in this quarter?

Vinod K Mishra : Regas revenue this quarter has been Rs.537 Crores as compared to Rs.463 Crores in the previous quarter and as compared to Rs.552 Crores in the corresponding quarter.

S Ramesh : Is there any inventory gain or trading gain in this quarter?

Vinod K Mishra : Yes, there has been inventory gain of Rs.35 Crores and trading gain of Rs.104 Crores.

S Ramesh : Can you explain why the other expenditure has gone up so much, other than the FX loss which I presume are going to other components in the P&L?

Vinod K Mishra : This inventory gain if you look at as I told you as compared to corresponding quarter have been higher by Rs.35 Crores, but otherwise if you look at standalone this quarter it is Rs.110 Crores. IICFIONtET ---&I;

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Page 7 of 17 S Ramesh : Rs.110 Crores it is

Vinod K Mishra : As compared to Rs. 75 Crores in the corresponding quarter of previous year. I just told you Rs.35 Crores, it is higher as compared to corresponding quarter by Rs.35 Crores, it is Rs.110 Crores.

S Ramesh : Can you explain why the other expenditure has gone up other than the impact of the FX loss?

Vinod K Mishra : This is Rs.124 Crores as I told you that foreign exchange loss is there and Ind-AS if you look at it has been in total (including foreign exchange loss) Rs.147 Crores in this quarter.

S Ramesh : Okay, if you look at fundamental question about gas supply and what GAIL has mentioned in terms of reducing supplies to their contracted customers to the take or pay , so when you say you are having use or pay obligation, can't there be a situation where the offtakers ask you to restrict your volumes to the frame of use or pay and would not it imply some risk of reduction in volume even in the current year / next year ?

Vinod K Mishra : Do not compare with take or pay what they have, we have a use or pay contract for tolling contract . Their commitment is towards their customers, Our commitment is to our offtakers to the extent they have booked the capacity and it is very well conceptualized in the contract itself that if there is a shortfall in the committed quantity then they will pay use or pay charges so we have to see both the contracts in isolation, we cannot correlate these two things.

S Ramesh : Okay, understood. In terms of the utilization of Kochi and the link pipelines to Mangalore and Kochi Bangalore pipeline, when do you see the link pipeline infrastructure getting completed and what is the timeline for increasing the capacity utilization of Kochi?

Vinod K Mishra : This is true that Bangalore line has to be in place in future , but again there has been an issue around 250 kilometer from Coimbatore to Bangalore , which is remaining, so there has been in fact problems with the farmers in the state but now we have come to stage where government has come to agreement with the farmers that whatever line is to be laid, it will be laid along the highway, so it is not passing through farmers 's land. So perhaps that will resolve the issue . But as far as the timeline is concerned, it may take at least one year . So GAIL is already in the process and they are trying to complete it and today our board meeting was held , and even CMD of GAIL has assured that they are doing it and they are hopeful that they will complete in time. IICTFIONtET ---<.o LI•ITID

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Page 8 of 17 S Ramesh : Okay, thank you very much and wish you all the best. I will join the queue.

Moderator : Thank you. We have the next question from the line of Vivekanand Subbaraman from Ambit Capital . Please go ahead.

V Subbaraman : Thank you very much for the opportunity. My first question is on the LNG trading subsidiary that you have setup so can you help us understand the plan that you have here and any update that you can provide on the gas sourcing that you are planning given that you may have to sign a new contract before the RasGas contract expires that is one. Secondly, you were conducting prefeasibility studies on the FSRU terminal in Gopalpur . Can you give us an update on that and also help us understand how much capex you are budgeting for the current and next year? Thank you.

Vinod K Mishra : First question is regarding the RasGas contract which is expiring in 2028 . So the thing is that already the task force has been formed , and this task force is assigned with the work of extending the contract beyond 2028 and the task force is led by none other than MD and CEO of Petronet LNG Limited and consists of director level personnel from IOCL, GAIL, BPCL . In fact this high level task force is already

in talk with the RasGas management as

we have to conclude this by December 2023 . So we have time till December 2023 to conclude all the negotiation for extension of the contract with RasGas . Secondly, we are also envisaging to have contract for at least one million ton on our own for various requirement including small scale LNG and other customers , so we are thinking of having either with RasGas additional one MMTPA or 0.75 MMTPA volume or with some other supplier apart from this 7.5 MMTPA contract of RasGas, so that is we are thinking of and our first priority is to extend Ras Gas contract beyond 2028 so that is already in process and second thing we have talked about is Gopalpur . Of course we are looking at FSRU terminal in Gopalpur and we in fact have started negotiation with Gopalpur port trust . It is almost concluded and in fact we have got some assurance from Government of Odisha for the terminal because Gopalpur trust has lease for that port till 2036 . Beyond that also our terminal will continue, as we have got some assurance letter from Government of Odisha that our terminal will continue even if the Gopalpur port trust extends / not extend the lease for Gopalpur port. So that kind of things are happening and we in fact have negotiated many of the parts of contractual issues with Gopalpur port trust and in fact we are now looking forward to have some kind of definitive agreement, so that we can move ahead in this direction. Overall, capex which is likely to happen in this will be around Rs.1500 Crores to Rs.2000 Crores , may be Rs.1700 Crores, I think, so that is the capex . But opex will be very high because again we have to arrange ship for this FSRU purpose, so that is IICTFIONtET ---<.o LI•ITID

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Page 9 of 17 again a challenge we have to see where from we can have that so that we can have some facility for regasification on that , so this is all what is going on, but we are very serious

about this project and perhaps in next few months you will see some progress . We are already undertaking the project activities and that project is going on. After heading into some definitive agreement, we will see k approval of the board for the cape x/ for commissioning of this FSRU terminal.

V Subbar aman : Okay, just couple of follow ups. You did not touch upon the Singapore subsidiary for LNG trading there and lastly on the capex side, the two tanks that you are constructing in Dahej and third jetty apart from that is there any other project that you are working on for FY2023 and 2024?

Vinod K Mishra : Singapore entity first I would like to brief, that entity as you know has already been formed on March 7, 2022 and we are now in process of looking f or an opportunity, but right now the LNG price s are too high . Trading through that arm is a challenge . We had the objective of having some spot trading of cargo s through that entity , but right now demand is less . So we hope that as soon as these spot prices stabilizes and are affordable , then perhaps we can think of trading through that arm , but right now we cannot think of any opportunity and not even any opportunities coming up to us through that entity . And for capex you just have asked for ,first is our tank that is already in pro gress and we have capex of Rs.1250 Crores and next is jetty also for which we are going as per board approval. Board s adminis trative approval is there, we have to now go for awarding of the work and we have to process this PMC selection and other thing s for that purpose . That thing is already going on. And third one is in fact expansion of Dahej reg asification terminal from 17.5 to 22.5 MMTPA , that is also in process and the capex will be around Rs.570 Crores in total, so these are the projects which are being undertaken at Dahej apart from this that can in futur e come up after DFR and oth

er things have been finalized, so this is what we have our plan for Dahej and Gopalpur I have already discussed so broadly these are our capex plan.

V Subbaraman : Thank you.

Moderator : Thank you. We have the next question f rom the line of Mayank Maheshwari from Morgan Stanley . Please go ahead.

Mayank Maheshwari : Thank you for doing the call . Just one question I had was on this LNG sourcing on a long term, you talked about RasGas and high-level committee that has been informe d. Can you just talk a bit a bout what you are seeing apart from Qatar in terms of gas sourcing because a lot of your Asian peers and China, Thailand etc, have already signed long -term contracts IICTfIONtET ---<.o LI•ITID Petronet LNG Limited
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Page 10 of 17 with Chen iere etc, so what has been India strategy arou nd if you can just give us some color on that?

Vinod K Mishra : This time particula rly is not good for new long term sourcing also because right now price s are so high in the spot market. If we go for any long-term contract, it comes with very high slope , so we are waiting for some time because if price come s down then we can think of having a good long term contract . Right now everybody will ask the slope , which is very high, seeing that LNG spot prices are going at \$43 , \$44, so at this price if you go to the market even for the long term contract, you find slopes as very high . So we are looking forward to some opportunit ies but of course high prices are preventing us from talking too much to the dealer s because it is in huge demand, European countries are short of LNG now. They are ready to buy at any price . So we are hoping that once Ukraine, Russia war is over and market stabilizes and it becomes reasonable price in the range of \$15, \$18 then we can think of in fact going for this . Right now, we ar e focusing on RasGas, so this is how we are proceeding, but if you ask me whether we are looking forward it is not prudent to go at this level at a very high slope because in future, prices will definitely come down. At this point of time , if you go f or a long term contract, you will in fact enter into contract which is very high price and in future it will be difficult to in fact sell that LNG, so we are waiting for right environment when the prices of LNG, spot LNG come down and perhaps that will be the right atmosphere and we are hopeful that next year it will be there and hopefully we will then negotiate a good contract.

Mayank Maheshwari : Got it Sir, are you still thinking about linking to oil, not linking to Henry Hub or wh ich y ou have recently seen us contracts with fixed tolling fee and all those things that is not something that you are kin d of thinking about right now as well?

Vinod K Mishra : Everything is open, we are not saying that we are against any gas linke d index so whatever could be the results, as part of negotiation we may fix some 50% on gas linked index and/or 50% on crude base index , so like that it might be a hybrid of that kind of ind exes, but of course anything we cannot say right now , nothing is there on table, so we have to see how it shapes up in the future . Right now it is difficult to comment that it could be added because if you look crude link ed contract , Indian consumers are habitual to this crude link ed contract , even if GAIL is buying in henry hub , nobody is interested in henry hub , so that is all again a question mark, we are habitual to having this crude linked ind exes rather than

gas based and of course in future, customer s may agree to henry hub also. But we are open to it, it is not a big question, but right kind of pricing is a big issue, so that we have to look at. IICtflONtET ---<.o LI•ITID
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Page 11 of 17 Mayank Maheshwari : Very clear Sir. Thank you.
Moderator : Thank you. We have the next question from the line of Kisha

n Mundhra from Antique

Research . Please go ahead. We will move onto the next question from Mr. Nitin Tiwari from YES Securities . Please go ahead.

Nitin Tiwari : Good evening, Sir. Thanks for the opportunity and thanks for having this call. My first question is actually a book keeping , so how much of the Gorgon volume may be going to Dahej in this quarter?

Vinod K Mishra : 5.2 TBTUs.

Nitin Tiwari : The next question is related to this only, so we had guided sometime back that utilization at Kochi terminal will start picking up, but it s utilization remains at 15% to 20 %. So until when we continue to get t he Gorgon volume at Dahe j, so if you can help us understand that why is the situation at Kochi is remaining stagnant and what is the road forward for Kochi and also like if I can confirm the Kochi regas tariff that we are charging at this moment?

Vinod K Mishra : First question is why utilization level has not increased, so this is very right question you have asked. I will explain it. So if you look at last year when Kochi, Mangalore pipeline was commissioned, we were hopeful that utilization level will be at least 30%, 35% and in fact we have reached up to the level of 28%, 29% at one point of time, but after that this LNG price surge has created havoc and we are not able to sell LNG, because spot market has gone so high that consumers like MR PL, MCFL , OMPL , they are not able to afford this price. Major reason is price that we are not able to utilize our terminal. When the prices will go down definitely all these consumers including MRPL, OMPL and MCFL, they will consume more gas, but at this price, they have switched to some alternate fuel, they are not interested in using gas , so this is the major reason why utilization level is low, but once prices will come down and affordable then certainly these consumers will start taking gas and then it (terminal utilization) will increase, so this is first part and then next part is Kochi -Bangalore connectivity, so this section from Coimbatore to Mangalore, which is still to be commissioned is around 250 Kms pipelines, so once that is commissioned then it will be connected to national gas grid and then perhaps consumption will pick up because then we can swap the volume from Kochi terminal to anywhere in India. Unless and until this is connected to national gas grid , it is not possible to swap the volumes.

Nitin Tiwari : Understood Sir and for the Kochi tariff that we are charging is still on ? IICtflONtET ---<.o LI•ITID
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Page 12 of 17 Vinod K Mishra : This is Rs.81.03, this is tariff per M MBTU .

Nitin Tiwari : Understood and lastly if I may question one more, we discussed LNG prices in the call today, so will it be fair to assume that if the current LNG price environment continues and high price element continues in third quarter this year, so wish to ask whether we will see lower utilisation level than we had in March this year , in the next coming in fourth quarter of FY2023 , so any thoughts on that Sir?

Vinod K Mishra : It is not like that The utilization level of Dahej, at 87% is still running and if spot LNG price is very high, still we are able to utilize 87% of capacity, which is not less and it is such a difficult and turbulent market, so if you compare with Q1 of the corresponding quarter, it is 1% higher , i.e. 86% versus 87%, but fourth quarter has been a little bit low in the current quarter, but of course we are hopeful that this level of utilization will continue throughout the year even today it is 87% .

Nitin Tiwari : Why I mentioned that is because in the March quarter, we saw like LNG price is touching with the highs and that impacted utilization plus that is the time when Dabhol terminal is actually also operational, so if you could all the factors together in the high energy spot LNG prices which reduce

the demand and when gas is coming in Dabhol being operational, so if all these things come together, is there a possibility of lowering prices that is what I wanted to understand, so how do you see it?

Vinod K Mishra : It is not like this, because if you look at in the last quarter also may be that it was utilized only to the extent of 79%, but still we have this use or pay clause. We have, in fact, invoiced them with use or pay charges whosoever was not able to meet the commitment, so it is not that our bottom-line is affected, but utilization was less no doubt, but that of course we hope will not be there this year, because whatever consumption is there, it is committed

by all the offtakers in the beginning in the form of AD P so that they have to meet otherwise, there is use or pay charges kind of thing, but we are hopeful that this level of utilization of 87% will continue towards the year.

Nitin Tiwari : Thanks for taking my question. That is all from my end.

Moderator : Thank you. We have the next question from the line of Hemal and Individual Investor.

Please go ahead. IICTFIONTET ---<.o LI•ITID

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Page 13 of 17 Hemal : Thank you for the opportunity. I just had one basic question. When you take it gross margin for this quarter versus last quarter, I am sure there are multiple things, margins have declined right, what would be the reason for that?

Vinod K Mishra : Last year gross margin you are asking, can you repeat your question please?

Hemal : Yes Sir, if you compare quarter -on-quarter or even last year quarter to this year, year -on-year gross margins have come down may be two, quarter -on-quarter I was seeing 250 -bps odd and from last year also it is down, so I just wanted to know what is the reason for that?

Vinod K Mishra : Trading margin was high in the last quarter, so that was the major reason, but of course this quarter, there is not that much of trading margin .

Hemal : Going forward for the rest of the year given the conditions that we are in the gas prices if you consider the market conditions are the same, do we consider the same gross margin rate for next quarter going forward?

Vinod K Mishra: I think this will continue and we will not be lagging . If you look at the overall performance, we are able to give a good result. Last year also, there were less cargos coming in, but still we were able to maintain the profitability and even grew at least 10%-15%, this year also that plan will continue, because when we see that there is a condition which is not conducive to our business then certainly we make more efforts to work something else to optimize to have more LNG through optimization and sell it in the market and earn the trading margin . We have done last year, we have done trading of almost Rs.1700 Crores last year and we had trading margin of almost Rs.858 Crores, so those optimizations come in time, but of course we have to see opportunity come to us and then we do accordingly, but of course we will not be lagging behind earning the margins in the next quarters and may be throughout the year.

Hemal : Okay, thank you that is the only question.

Vinod K Mishra : Company is performing very well in spite of the turbulent times .

Hemal : Okay, thank you.

Moderator : Thank you. We have the next question from the line of Ankur Agrawal from Phillip Capital .

Please go ahead. IICTFIONTET ---<.o LI•ITID

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Page 14 of 17 Ankur Agrawal : Thank you for the opportunity. Just two questions from my side. One being a follow -up from previous participant's question, you mentioned that the Kochi terminal utilization levels are low because of high gas prices particularly spot gas prices, but when the cargo volumes would be coming under the long term contract, they would probably be still available at a reasonable price , if you could provide

some clarity on that?

Vinod K Mishra : Gorgon contract is already committed to the offtakers . It can be in fact taken by offtakers either at Dahej or at Kochi . We are not having too much of customers in Kochi, two offtakers are bringing their volume to Dahej also, I think in future when there will be right atmosphere prices at the reasonable and affordable then this entire Kochi volume, this Gorgon volume will go to Kochi only, but right now because of pipeline connectivity to Bangalore and other things, it is not possible to shift that volume there, but one thing is very clear that customer in that region do not have that long term contract, so that is a big difficulty so they are dependent on spot volumes only, so this long term volumes cannot be given to customers who do not have and who have not tied us with the offtakers that is why I am saying that whatever customers are available in that region, they will start taking gas when the prices will be reasonable and affordable, so we are hopeful that it will come down , because this prices cannot continue at that level all the time. They have to come down. It is only the time that may be not this year, next year definitely they will come down. It cannot remain at this level, because if you look at the trading at this level not much of trading is happening because of panic in Europe, it is causing such price hikes, but we are hopeful that this will normalize then next year hopefully prices will be down and then Kochi terminal will be utilized because then customers may start taking gas.

Ankur Agrawal : Thank you. Just one another question was that you mentioned right now slopes being negotiated are on the higher side, if you could provide some color, if you have some insight into what kind of slopes are we talking about through these negotiations that probably some

Asian buyers have tied into contract, so any color on that what we are looking at in terms of slopes linked to brent contracts?

Vinod K Mishra : These things are not to be discussed, but only thing it has been very high as compared to our existing slope, so once any contract which is having a slope of more than 18% of crude that is not affordable that is what I can say. You can say that if you compare crude and gas, it should not be more than 18% of the crude price. If it is higher than that there is no logic of taking gas. That is what I want to explain that not more than 18% we can equate gas through oil at 18% slope maximum, so that is also on the higher side, but beyond that it is unaffordable. IICTFIONtET ---<.o LI•ITID

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Page 15 of 17 Ankur Agrawal : Make sense Sir, just one last bookkeeping question, you mentioned that there was forex loss of Rs.124 Crores during the quarter, which was booked in other expenses, so excluding that sequentially there is a drop in the other expenses, is there any particular reason for that other expenses were lower if I were to exclude this forex loss?

Vinod K Mishra : Debabrata will explain to your question.

Debabrata Satpathy : If you see the last quarter and the corresponding quarter, in the corresponding quarter also there was a loss of Rs.35 Crores in the other expenses and in the last quarter, it is around Rs.60 Crores so if you take out these from the other expenses, I think it should be more or less in line.

Ankur Agrawal : Thank you Sir. That is it from my side.

Moderator : Thank you. We have the last question from the line of Samaiah V from Spark Capital .

Please go ahead.

Samaiah V : Thanks for the opportunity, Sir. You did mention about the project that you envisage for the next few years, what would be the annual capex run rate may be this year and next year if you could explain on that?

Vinod K Mishra : Capex this year and next year?

Samaiah V : Yes.

Vinod K Mishra : If you look at the projects we are undertaking, these

oil tanks works is also already going on

and this is likely to be completed by 2024 beginning almost , so may be next two years we have to spend the Rs.1250 Crores, so Rs.600 Crores each year roughly.

Samaiah V : At a company level for the other projects also taking the jetty expansion or the Dahej expansion so in total at a company level what would be the annual capex?

Vinod K Mishra : Capex, if you look at , Rs.1200 Crores capex we have planned this year as per budget , so this year Rs.1200 Crores and it may be same next year, next year may be more because jetty will come in next year a long with tank and Dahej expansion which is costing around Rs. 570 Crores that should come up (by 2024 at maximum), so if you look at spread over two, three years, these are the expenditures and apart from it, if petrochemical comes , then it will IICTFIONtET ---<.o LI•ITID

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Page 16 of 17 increase the capex, but we cannot envisage right now how much it will be year-on-year basis.

Samaiah V : Got it Sir. What is the expected timeline for the project in terms of completion and what would be the capacity and also one with respect to FSRU generally you do a feasibility study in terms of demand and what is the kind of back-to-back contracts or minimum offtake that you are looking for before you start on?

Vinod K Mishra : The FSRU terminal we are talking about being of 3 to 4 MMTPA and in fact capex have already discussed Rs.1500 to Rs.1700 Crores, but only thing you are saying that back to back contract , so of course we will try to have some at least whatever 30%, 40% for back to back, but we cannot say that it should be 100% tied up, it is not possible nowadays and we will take that if at all 30%, 40% is secured that is good enough and we will go ahead with this proposition because demand in any case it will be very high, if price is good, demand is likely to remain high. For our own projects of Small-Scale LNG (SSLNG) we can have some kind of this consumption and apart from that once entire pipeline at Dahej - Jagdishpur -Haldia -Dhamra -Bokaro pipeline is commissioned then we will have more opportunity for our terminal, and we are hopeful that this will be good opportunity . Initially 30%, 40% is also huge , that is good enough.

Samaiah V : Understood Sir. One last question if I may, the current tariff at Dahej and this 5% annual escalation clause that we have, so have this been implemented every year so far and in terms of continuing implementing this do we see at some point in time . The price is at a certain level from a competition intensity standpoint, we may have to think about this 5% escalation clause?

Vinod K Mishra : Escalation is whereas per contract 5%, we are already doing it, right now it is 57.05, so I

think this is as per the contract and uniformly it will continue to be sure, I do not think there is any challenge coming from anybody and this is a tariff which is being charged at all the terminals which are there. In fact, Dahej has been a benchmark, so I do not see any challenge as such of the 5% hike every year. That is all I think anything specific you are asking I do not know, but this will continue to be sure.

Samaiah V : Got it Sir. Thank you.

Moderator : Thank you. I now hand over the call to the management team for closing comments. Over to you Sir. IICTfIONtET ---<.o LI•ITID

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Page 17 of 17 Vinod K Mishra : Thank you very much all of you and in fact I would like to thank all of you for reposing faith in us and in fact our management will continue to strive to increase the bottom line from quarter -on-quarter, year -on-year basis and will do all efforts that company grows like anything and in fact we have seen last year also that we have shown this commitment to work higher profits and it has been difficult time, no doubt for

the entire LNG industry, but

we are able to maintain our profitability in all the situations so far we have faced and this quarter also we have performed very well actually when you compare it with last quarter also it is better, but only thing you see that Ind -AS forex loss of Rs. 124 Crores has caused some additional loss as compared to previous quarter, but if you add that which is the notional kind of loss, we will find that it (profit) is in the range of Rs.825 Crores, Rs.800 Crores almost, if you look at Rs .124 Crores of forex loss, so truly speaking we are doing the best to maintain and increase the profitability and increase the faith of the investors and we are very confident that all of you will repose faith in company and we are 100% sure that kind of business model we are having, there should not be any concern for any investors because we are protected in such a way that it is very difficult in fact to go in loss, because we are not taking too much of risk, so again I will thank all of you for being here. We hope we will continue to grow like this in future as well. Thank you very much.

Moderator : Thank you. On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines. IICTfIONtET ---<.o LI•ITID

Call: Nov 2022

Petronet LNG Limited

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PAN: AAACP8148D GST: 07AAACP8148D1ZI

Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252

Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2022 Date : 16.11.2022

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd. Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 10.11.2022

Dear Sirs/Madam,

This is with reference to our intimation dated 7

th November 2022 and 11th November 2022 intimating

holding Conference Call of the Company scheduled on Thursday, 10th November 2022 at 12:30 PM

(IST) for unaudited Financial Results of the Company for the quarter and half -year ended 30th

September 2022 and uploading audio recording post Conference Call respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

This is for your kind information and record please.

Yours faithfully,

Sd/-

Rajan Kapur

CGM & Vice President -

Company Secretary

Encl: as above

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"Petronet LNG Limited Q2 FY-23 Post Result s
Conference Call"

November 10, 2022

M
 ANAGEMENT : M R. VINOD MISHRA – DIRECTOR FINANCE .
 MR. RAKESH CHAWLA – GROUP GENERAL MANAGER
 AND PRESIDENT (FINANCE AND ACCOUNTS).
 MR. GYANENDRA KUMAR SHARMA – CHIEF GENERAL
 MANAGER AND VICE PRESIDENT (MARKETING).
 MR. VIVEK MITTAL – CHIEF GENERAL MANAGER
 AND VICE PRESIDENT (MARKETING).
 MR. DEBABRATA SATPATHY – GENERAL MANAGER
 (FINANCE AND ACCOUNTS).
 MR. ASHWANI AGARWAL – MANAGER (FINANCE AND
 ACCOUNTS).
 MODERATOR : M R. HEMANG KHANNA – NOMURA .
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 Petronet LNG Limited
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Moderator: Ladies and gentlemen, good day and welcome to Petronet LNG Limited Q2 FY23 Earnings Call.

As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Hemang Khanna from Nomura. Thank you and over to you.

Hemang Khanna: Thank you Yashashree. Good afternoon and thank you everyone for taking the time to attend the Post Results Conference Call of Petronet LNG. We are privileged to have with us the senior management of Petronet LNG today led by Mr. Vinod Mishra – Director (Finance), Mr. Rakesh Chawla – Group General Manager and President (Finance and Accounts), Mr. Gyanendra Kumar Sharma – Chief General Manager and Vice President (Marketing), Mr. Vivek Mittal – Chief General Manager and Vice President (Marketing), Mr. Debabrata Satpathy – General Manager (Finance and Accounts), and Mr. Ashwani Agarwal – Manager (Finance and Accounts).

We now hand over the floor to the management to make their opening remarks, post which we will open the floor for questions. Thank you and over to you sir.

Vinod K Mishra: Thank you very much. Very good morning to all of you and first I will just read out the highlights and then we

can take the questions. So, there has been highest ever turnover in this Q2 as compared to previous year turnover of same period or in the previous quarter. And the growth has been as compared to Q2 of the previous year, it has grown by 48% and as compared to previous quarter it has grown by 12%. And PAT and PBT has also increased in the current quarter as compared to the previous quarter by 6%. So, now, just I cover the highlights, for this quarter, During the quarter ended 30th September, Dahej terminal process total 182 TBTU as against 196 TBTU in the previous quarter and 225 TBTU in the corresponding quarter. And Kochi has in fact has processed 10 TBTU in the current quarter as compared to 12 TBTU in the previous quarter and 15 TBTU in the corresponding quarter. So, total throughput in both the terminals has been 192 TBTU in this quarter as against 208 TBTU in the previous quarter and 240 TBTU in the corresponding quarter. PBT has been Rs 994 crore in the current quarter as against Rs 937 crore in the previous quarter and Rs 1105 crore in the corresponding quarter. And PAT has been Rs 744 crore in the current quarter as against the Rs. 701 crore in the previous quarter and Rs 823 crore in the corresponding quarter. Company has registered highest ever turnover of Rs 15,986 crore as against Rs 14,264 crore in the previous quarter and Rs 10,813 crore in the corresponding quarter. The company reported highest ever turnover of Rs. 30,250 crore in the first half of this financial year as against Rs 19,411 crore in the corresponding first half of 2021-22 registering a growth of 56%. Due to foreign exchange volatility, lease liability has an accounting impact of foreign exchange loss PETRONET _ ... <;. LIMIT£0
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amounting to Rs. 98 crore as per the provision of relevant Indian accounting standards IndAS. Considering the performance, the Board of Director of company has approved a special interim dividend of Rs.7 per share. The company was able to achieve robust financial performance

despite high energy prices due to optimization in the operations. Now, floor is open for question.

Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Can you just quantify your trading or inventory gain in this quarter?

Management: Well, trading gain in this quarter has been Rs 273 crore and inventory valuation impact has been Rs 118 crore.

Maulik Patel: So, this is compared to close to around 139 crore in the previous quarter of Q1 FY 23?

Management: In previous quarter Rs 103 crore was trading margin and Rs 110 crore inventory valuation so, total Rs 213 crore was there.

Maulik Patel: Okay, got it. The second question is that, there is a significant jump in our inventory as compared to March. Does this indicate that there's a lot of volumes lying in on your store and off takers are not taking that?

Management: It's not that they are not taking it, they are taking it. But sometimes it happens that they are not able to update and some shutdowns are taking place in some of the industries. So, all these things in fact sometimes slow down the send out and that's the reason sometimes it becomes like that.

Maulik Patel: Okay. Sir, last question GAIL has mentioned in the con call that next year monsoon onwards the Dabhol terminal will be fully available. So, in your assessment, what could be the potential loss to Petronet because GAILs had brought some volume or some cargoes during the monsoon to Dahej and possibly at Kochi also. And what in your assessment could be the loss to the volume?

Management: It's not the loss to the volume. We can see the capacity of Dahej terminal is already booked to the extent of almost 16 MMTPA. In all of that

include gas volumes of 7.5 MMTPA and Exxon

Mobil volume of 1.425 MMTPA and then capacity booked by various off takers to the extent of almost 9 MMTPA. So, that is the assurance that we are having utilization to the maximum

possible limit that means out of total capacity of 17.5 MMTPA, 16.5 MMTPA is booked. So, it doesn't matter whether, Dabhol terminal will be in operation for the entire year. Of course, it may affect to some extent, but as far as we are concerned, we are not that much affected because of the capacity booking Dahej terminal to the extent of almost 16.5 MMTPA. So, others may PETRONET _ _ _ _ _ < ; .

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get affected because we have long term contract, which are tied up with Dahej. So, it's not a challenge.

Maulik Patel: Okay. Sir if you allow me the last question, sir any update on the potential investment we're planning in biogas and Petchem side?

Management: Biogas is of course still we are exploring because certain issues have come up regarding allotment of land in the state of Haryana. Till, those things are not sorted out so we are not able to take up the projects in Haryana, initially four, five projects we were envisaging to take up. But now, unless this land issue is resolved, we will not be able to go ahead. So, we are taking up with Haryana government and probably they are also co-operating. They are saying there are certain issues and because there has to be a provision for allotment of land, and they are resolving it. We are in talk with them. Petchem as you have asked, So, we are in fact going for this PDH-PP plant and we are in the process of license selection. After completion of that process, we will come to know about the exact CAPEX which will be incurred and then we will be taking a approval of the board.

Maulik Patel: Okay. So, probably by the end of this financial year, do you expect to get an approval from the board?

Management: Maybe it may cross this year, maybe March 23 can be said as a right timeline.

Moderator: Thank you. We have our next question from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead.

V. Sivasankaran: Yes, the lease related charges and impact on EBITDA?

Management: You are asking about lease impact, IndAS impact?

V. Sivasankaran: Yes, that's right.

Management: So, forex loss to the extent of Rs 98 crore in this quarter and it was Rs 124 crore in the previous quarter.

V. Sivasankaran: And with this rupee depreciation how do you expect this to change?

Management: Actually, if you see there has been upward rise of this dollar against rupee. It was somewhere around Rs 79, 80 in the last quarter and it has gone to Rs 82 in current quarter. So, it has impacted definitely. That's why there is a loss to the extent of almost Rs 100 crores.

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V. Sivasankaran: Is this 100 or something which we have to assume going forward, would it depreciate further ?

Management: Dollar rate you're asking 82 , 83 yes.

V. Sivasankaran: Yes.

Management: We cannot predict all these currency markets and stuff.

V. Sivasankaran: No, you can predict this numbers . I am just saying if I assume Rs.82 as a number would this 100 crore become 105 , 110 or we stay at closer to 100?

Management: See, I can give you a ballpark number if there is an increase of Rs.1 in US dollar then it means roughly 40 crore of loss.

V. Sivasankaran: Great. Last question on your East Coast terminal.

Management: It's a great news, this is the right time you asked this question . Yesterday we had a board meeting, and our board has approved the investment proposal for Gopalpur FSRU terminal. So, Total CAPEX will be 2300 crores and we are going ahead with this Gopalpur East Coast terminal . So, now all the term sheets will be si

gned with Gopalpur Port Limited and then we will

work out all the packages for project . Basically three packages will be there in the project which will be , considered , that is, jetty package will be there, then pipeline will be there because Gopalpur port is roughly 36 kilometers away from the trunk lines of GAIL which is Jagdishpur - Haldia -Dhamra-Bokaro pipeline it is 36 kilometers from that pipeline which is basically a srikakulam angul pipeline . So, it can be connected to that trunk line. Then topside facilities for LNG jetty will be there . Likewise we are proceeding with this project. So, this is good news that the board has approved and now we are going ahead with Gopalpur LNG terminal .

V. Sivasankaran: Great sir, but I just wanted to check the Rs 2300 odd crore that includes everything ?

Management: Everything, it is inclusive of all taxes and duties also.

V. Sivasankaran: And the capacity would be how much sir?

Management: 4 MMTPA capacity.

Moderator: Thank you. We have our next question from the line of Somaiya V from Spark Capital. Please go ahead .

Somaiya V: My first question is on the utilization. Last quarter our overall utilization in Dahej was around 82%. Obviously one impact could have been the highest LNG prices , any other color that you'd PETRONET . _ <;.

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like to add ? Any impact on the long -term contracts, anything from the Gazprom supply issue that impacted, and do you see, things getting better during the rest of the year? or take or pay could probably compensate for this ? that's first part and second part is, if you could share what is the current level of utilization at Dahej that would be helpful .

Management: Okay. So, first is the utilization level, This time utilization of Dahej has been 80% in the second quarter, and a little bit lower than 87% in the previous quarter and 99% in the corresponding quarter. So, utilization is low and reason is very obvious that price of spot LNG is very high. So, spot cargoes which used to come earlier are not coming . That is the basic reason of course the long term LNG is coming. It's still good as compared to other terminals where not much gas is coming. But for the rest of the year there's a good news that prices of spot LNG have come down . Now, it is in the range of \$24 around . So, we are hoping that in the fourth quarter at least it will be way below \$20 so may be \$15 to \$20 price. So, that will be affordable and perhaps some more LNG will be coming to India and then utilization will further increase. But right now, of course it's difficult situation because not much spot LNG is coming to India. But of course, we are trying hard to mitigate that particular loss, which we are incurring by not having more spot LNG by way of optimizing our LNG consumption. And in fact we have been able to reduce our LNG consumption in our Kochi plant also where we are able to optimize it through grid power and we are not using LNG for operation of GTG. So, that way we have saved a lot of LNG and power saving is to the extent of almost Rs 15 crore per month. So, that way we are optimizing , we are saving LNG. Similarly in case of vessel also we are using more FO and saving LNG to be used as fuel for the vessels. So, that is also saving a lot of LNG and whatever LNG we are saving, optimizing, that we are using for trading and that's the reason you can see that we have trading gain of Rs 273 crores as compared to Rs 103 crore in the previous quarter. So, we are trying to compensate whatever loss we are having in low -capacity utilization , through trading of LNG and to great extent we have achieved. Had there not been foreign exchange loss of Rs 98 crores IndAS loss we , would have crossed the corresponding quarter PAT, it was 823 crore in the corresponding quarter and Rs 100 crore if it is not been the

re in this time IndAS loss,

then we would have got almost Rs 844 crore profit. So, still we are able to maintain it's a notional

loss, but we have to show in the financials, so we have shown it but otherwise physically if you see we have done extraordinary effort in not reducing our performance as compared to the corresponding quarter. We are still better than the previous quarter. But we could have been even better had there not been this foreign exchange loss, which is a notional loss and we have to book it.

Somaiya V: Understood sir. Just one follow up on that, any impact of the Gazprom supply is not being there to us ?

Management: Due to Gazprom supply GAIL is too much affected, but we are also affected to the extent that some of the cargoes of Gazprom were come into Dahej. So, those cargoes we are not able to get . PETRONET _ «;.
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So, there has been some default by GAIL also because they could not bring the Gazprom cargoes, which were scheduled for our Dahej terminal. So, there has been an impact, but we are trying to compensate through trading and through other things. So, it has impacted but GAIL is more impacted by Gazprom shortfall .

Somaiya V: For us, would this be under a take or pay clause?

Management: Yes, it is there. What's happening is that we have a calendar year for use or pay obligation. So, in third quarter of this year, we will book use or pay and whatever capacity is not utilized ,by then we will charge from the off takers. And as far as GAIL is concerned you very well know that whatever they have defaulted, Gazprom has defaulted. There is no mitigation in the contract. Hardly, there 's a liquidated damage t o the extent of 20% of the price of gas. So, that is hardly anything as compared to the spot energy prices of the market. So, that's why GAIL is impacted, but they are still in talks with Gazprom , if something could be done .

Somaiya V: Helpful sir. J ust one last question from my side , update on CAPEX for this year and next year what you're looking at and also if you could give some color on the progress on all the projects be it Dahej expansion, the FSRU timeline and PDH-PP, also if you look at CAPEX for the next couple of years , thank you.

Management: CAPEX if you look at , as I told earlier also and I am again telling you that we have already constructing two tanks with a CAPEX of Rs1246 crore at the hedge. So, it is in progress . Almost, you can say that 38%, 39% of the progress is there. And second project which we are undertaking is third j etty at Dahej which will be having a CAPEX of Rs 1700 crores and then Dahej expansion brownfield expansion we are doing, 5 MMTPA from 17.5 MMTPA to 22.5 MMTPA . So, that brownfield expansion is in fact, will be costing around Rs 570 crore only. Whereas, if you go for a greenfield project LNG terminal , it will cost around Rs 5500 crores, but it 's low hanging fruit s o we are doing financial with just CAPEX of Rs 570 crores of 5 MMTPA capacity. So, this will all be complete by the end of 2024 or beginning of 2025. So, this is how we are proceeding in Dahej terminal and then the cap ex you are asking for this year, it will be around

Rs 1250 crores and, so far we can say that it will be almost more than double maybe Rs 3000 crore we may reach next year. So, CAPEX will increase because we have so, many upcoming projects like I have told you that Gopalpur terminal is coming up, so as and when the co ntract is awarded for the packages of Gopalpur LNG terminal , CAPEX will start next year. So, those things will come now. And apart from that whatever PDH-PP plant we are going to have at Dahej. That we will see next year whatever because approval is yet to be obtained from board , it may take next year March or April maybe be there for approval of this project. But otherwise, CAPEX as I 've told you this year Rs 1250

crore, next year maybe more than that or maybe Rs

2500 to Rs 3000 crores will be there. This is our expectation and let us see how much happens in the next year. PETRONET _ «;.

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Moderator: Thank you. We have our next question from the line of Sabri Hazarika from Emkay Global Financial Services. Please go ahead.

Sabri Hazarika: So, I have three questions. T he first one is on this East Coast terminal . Have you booked any capacity or do you have any visibility of capacity booking for this ?

Management: For capacity booking already we are talking to so many people including off takers a nd we will be able to do at least 30% , 40% What's happening that there is a mechanism of gas swapping.I n fact GAIL has already laid pipelines in this Haldia -Dhamra-Bokaro pipeline. So, through this pipeline, we can optimize the utilization of terminals. And perhaps if somebody say GAIL or ICL has a customer for Odisha region, and they can take gas from our Gopalpur terminal through swapping the gas then we can directly bill to that customer from Dahej or Dabhol to Orissa on

CST sale basis. And by taking volume from our terminal and in exchange they will provide that volume in Dahej or Dabhol to us. This is a mechanism provided by CST Act. So, for gas industry only there is no requirement of physical movement of goods from one state to another, if it is connected with a common carrier pipeline and some volume is introduced in the pipeline, then any customer can take that volume from any state if it is put in one state and taking in another

state it will be deemed as if it has traveled. It's an open access. So, we hope that even if GAIL or IOCL or BPCL have any customer in that region, they can take gas from Gopalpur and they will save in terms of transmission cost from Dahej or Dabhol to Eastern region which is costing almost \$3 per MMBTU. So, we can optimize on that cost and we can also share some margin with them and they will also have their gas at a very cheap price landed at Odisha or Eastern

region. So, this is how we are trying to optimize it and perhaps on East Coast, we are also trying to book some capacity and also we are trying to have SS LNG project to be launched over there because we are seeing that there are a lot many mining industry which are located in Odisha region. So, there are a lot of dumpers, steppers and very heavy machinery is used with diesel.

So, we can in fact use LNG as fuel for those particular dumpers and cranes and dippers. So, that is an area where small scale LNG will be launched. And apart from that, there are many city gas distribution entities are coming up along this pipeline Jagdishpur - Haldia - Bokaro-Dhamra pipeline, they will also need gas which will be provided through the nearest terminal which will be Gopalpur. And they can use that gas. If they want they can swap with the domestic gas at GAIL, if it is a city gas distribution company, they can take gas from there instead of bringing it from West Coast of India. So, That way, utilization will be optimized and we are hopeful that capacity booking is not an issue it will be dealt properly.

Sabri Hazarika: Second question is on your this spot LNG, it's quite commendable that you are able to extract this much quantity. So, what exactly is the guidance if I assume that Dahej operates at say 85% kind of capacity utilization so is it fair to assume that 2 to 2.5 TBTU of spot LNG would be able to like save and sell it on the spot market? PETRONET _ _ <;.

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Management: Spot market you are talking is spot LNG itself is so costly who will buy.

Sabri Hazarika: I'm talking about the technical feasibility of like the saving that you have done by using grid power and like saving upon the internal consumption and then selling it in the spot market.

ket. So,

is there a ballpark rate, it's a big delta right now for the company. So, I was just wondering.

Management: We are selling this gas at spot prices, or we are selling on the gas exchange. Gas exchange is there so we are selling at whatever prevailing prices.

Sabri Hazarika: Yes, because this has increased from one TBTU to two TBTU from Q1 to Q2. So, I was just wondering is there a ballpark rate, can we assume like?

Management: Yes, Debabrata will reply to your query.

Debabrata Satpathy: Sabri, this is Debabrata. So, let us look at it from the financial numbers, The volumes have gone down from 87% to 80%. And at the same time there is a commensurate increase in the trading margin. So, if we look at financial numbers, then as explained to the market, as long as the spot prices are high which is the main reason of volume going down, whatever efficiency we do, that efficiency will fetch some trading margin. And once the spot prices come down to a closer to a level of the long term prices, then definitely the volume throughput will increase and we would not need the trading gains. So, the message here is that, this is not a one off thing as it has been proved time and again since last six to eight quarters that if one doesn't happen, the other will happen because of the sheer volume, scale, and the positioning of the company and the commercial tie ups. So, we need to understand it financially. As far as you are asking about the technical details that we do not disclose, how much technically it will happen and the spot prices are also fluctuating and depending on the spot prices, we also do more or less trading. I hope that will answer your question.

Sabri Hazarika: Right, got it. And sir third is basically the bookkeeping question, how much was the Regas service income and Gorgon volumes in Dahej and IndAS impact on interest depreciation and expenditure, these are the last.

Management: Gorgon volumes in Dahej was 13.9 TBTU. It is YTD and you have the last quarter's numbers.

The Regas income is Rs 438 crores. And as far as the Ind AS figures Rs 133 crore at gross margin level positive and then Rs 8 crores at other expenses level positive. Rs 98 crores FOREX loss at other expenses level negative. Rs 84 crores of depreciation and Rs 79 crores of finance charges.

Moderator: Thank you. We have our next question from the line of Puneet from HSBC. Please go ahead. PETRONET _ _ <;.

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Puneet: My first question is on the FSRU terminal, would you start the construction before tying up with the off takers or after tying up with the off taker and similarly on the other side, from the sources of gas ?

Management: Construction will take off because it cannot wait. But in the meantime before it is completed, we will work out all these issues and we will book some capacity at least. And at least we will mitigate those risks that is sure. And perhaps there are lot many customers coming up over there, the gas demand is in fact is there and perhaps we will be able to tie up before the completion of the terminal. So , it's not always possible to have 100% booking like we had in Dahej terminal , but at least to some extent 30 % to 40% we 'll try to tie up so that there is assurance that capacity to that extent will be utilized. So, your question as you said before tying up that means we will have to wait long. So, still whatever things we have to do it will take some time six months to one year and may be more than that also. So, we have to do that effort in between and tie up so that simultaneously both the things can be done , and by the time it is completed capacity will be in place, capacity will be booked to some extent and then we can further explore other areas where we can sell the gas to utilize the terminal.

Puneet: So, you're looking to tie up 1.6 metric ton

e?

Management: Almost you can say yes.

Puneet: And that too on long term basis right, any potential leads that you can share that you are discussing with?

Management: We will not like to share unless something happens we cannot share those things. As and when something happens you will come to know .

Puneet: Okay. And when do you actually start placing orders for this ?

Management: Orders maybe placed in the next three to five months We have to sign term sheet first with Gopalpur Port Limited and then a lot of things like site development and other infrastructure things are to be completed and simultaneously we will also try to float the tender for various packages which I 've just mentioned, including jetty, pipeline , topside facilities, all those things.

So, that part we will do later but at least four months , you can say four to six months it may take .

Puneet: Okay. And is environment clearance done, or is that yet to be done?

Management: It is to be done . The board has approved it so now we are going for environment clearance first. And all the clearances required from the Odisha government that we will see if required.

Puneet: But I would presume draft feasibility report is now complete? PETRONET . _ <.

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Management: That is over, that has been completed by Engineers India Limited and the financial appraisal has been done by SBI Cap s. And it is now found that it is a project which we can undertake , it is having good IRR and it's a good project. Once the gas reaches in Eastern region , more and more avenues will come for supply. Like I 've said that city gas distribution companies are coming.

So, small consumers will come to those CGD entities. So, that way it will further pick up .

Puneet: Okay, understood that's very helpful. Secondly, on the take or pay contract any acknowledgement from your customers that they will pay and what 's happening in the current quarter have they paid for this quarter or will you book the shortage only in the December quarter ?

Management: No, shortage will be booked in December , that is the last quarter of the calendar year. It will be third quarter that will book use of a charge. So, far whatever default has been committed we have not booked any revenue till Q2. And perhaps they have not paid last year, user pay that is true. But we are following up with all the customer to pay and let 's see what happens next quarter.

Moderator: Thank you. We have our next question from the line of Rakesh from HDFC Mutual Fund. Please go ahead.

Rakesh: I have three questions. One is short term and slightly toward long term, Short term if I look at your Dahej volumes , for the first nine months of the calendar year you probably could have done about 10.5 or 10. 7 million tonne of LNG assuming fourth quarter is also ballpark in the similar range, probably you will end up about 14 maybe 15 million tonne . So, does it mean about a million tonne so maybe 1.5 million tonnes of take or pay revenues in the coming quarter would that be the ballpark right match ?

Management: Right now I'm not confirming anything, but whatever default is there in long term tolling volumes. That will be of course, accounted for in third quarter. The default is there to some extent so it's not that it is not there. But everything will be known in the third quarter and capacity utilization, I have told you it is around 80% only. So, that way, you can just assume that whatever shortfall is there that will be booked as a user pay charges.

Rakesh: Got it. And sir two more questions on the East coast terminal. Would we be competing with the Dhamra terminal which probably would be in the vicinity maybe about 300, 400 kilometers far away from each other but does that mean that we'll be competing for the same market or will the markets for both the terminals be different and an extension of that if you can help us understand what is the demand potential on that part of the country from LNG demand perspective? PETRONET _ _ _ _ _ «;.

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Management: Dhamra capacity is already booked and perhaps many industries have already tied up with Dhamra terminal. So now additional volume will be coming from our Gopalpur terminal. So, this is how we are banking on and as far as the industry is concerned, nearby industry if you look at in Odisha region, major anchor customers are there which include Nalco, Utkal and Vedanta three projects have come up. So, they are the anchor customers who could be potential customer for our terminal. And apart from that, I have told you that swapping of the gas and other such mechanism will be adopted and SSL NG will also be there. So, that way we will be able to utilize almost 50%, 60% in next year after commissioning three, four years from now. So, that will be good enough to at least support and we see that there is a potential increase in consumption of gas in years to come, it's only for the time being that the consumption is low because of high LNG prices, but as and when the prices will be normal the consumption will increase and we hope that by 2025-26, it will be much, much higher. Therefore, demand will be there in that region. And Vizag is also there, which is one of the potential demand region.

Rakesh: Right. And one last question between FSRU and land base terminal, if you can help us understand your choice and also, what my understanding is that currently Germany is also bidding out for lot of FSRUs to move away from the pipeline gas which they have, that means they need to put in more LNG terminals. So, do we see a possibility where availability of FSRU itself might be a challenge in the coming years or that's not an issue at all?

Management: You are right, it's not easy to get it, But of course we will try to do that and if we are able to find a good scenario, then we will hire it, But we have a provision in this project that later on we will convert this terminal to land based terminal. Initially we are going for FSRU terminal. So, that way we have planned and perhaps maybe after five years we may venture to set up this land based terminal, so whatever facilities we have created like we will be able to construct jetty for this project, all these infrastructure will be useful and this terminal also. So, it's a common thing and with not much CAPEX will be required to set up land base terminal in future based on the demand perspective in that region. But right now we are going for FSRU and we will see how much market is there and what is the price available and if at all we get a good price whatever, 70,000, 80,000 per day, kind of FSRU if we get dollar per day, then we will hire it, if it is very costly, then perhaps it will not suit to our economics in future. And we'll see what happens, but as of now market is not good to assess whether this will continue like this, in future prices will be lower and perhaps we will be able to hire FSRU.

Rakesh: Understood sir. And from a timeline perspective, is it fair to say assuming you take probably about a year to get all the approvals, or environmental approvals and local levels, et cetera. And then you probably will need another three, four years to get all the timelines a little shorter if you can help us understand.

Management: Three years' time will be there for the construction of terminal. PETRONET _ _ _ _ _ «;.

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Moderator: Thank you. We have our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So, on the FSRU project, if you can help us understand what is the kind of volume required to generate the IRR expectation and what is the

tariff assumption there?

Management: So you are asking very internal thing but of course, I'm telling you that we are having handsome IRR and this IRR is good enough as per our project appraisal and investment policy. We are having adequate IRR coming in this project and capacity utilization we are taking almost 50%, 60% and that way we are working it out and maybe after five years it will be almost 70%, 80%. So, this is how we are proceeding and we hope that it will be utilized to the maximum percentage but at least it will go to 80%.

S Ramesh: Okay. And on the capital costs for the FSRU when you talk about FSRU rentals of \$70,000, \$80,000. So, how is that cost built into this capital cost, is it going to be capitalized on the lease,

how will it work?

Management: No, it's not capitalized it will be OPEX. Capex utilization doesn't include this FSRU hiring charges, which will be paid every year.

S Ramesh: Fair enough. And on the volume growth prospects for FY 24, 25, your brownfield expansion will be done by say end of FY 24 or beginning of FY25. So, apart from the improvement from the current base which is low, is there any other additional growth you expect in FY 24, 25 as in the gas prices are reasonable as per the current trend.

Management: You're talking about the Dahej terminal?

S Ramesh: Yes, Dahej and Kochi combined, in terms of the volume growth for your company over FY 24, and 25?

Management: Yes, volume growth will be there because we are expanding the capacity that's why I'm telling you that, even with the estimated growth it should be right now consumption level is around 163 MMSCMD and we hope that it will increase to almost 200 mmcmd around next three to four years, because by that time all CGD LTTs will come up and they will also be helping in growth of consumption of gas in the interior locations of the country. So, that will be a great thing because, still some of the projects are not completed in CGD, they are under construction. And then, when CGD will pick up, it will be one of the highest consumer of gas in future. Right now it is second highest consuming almost 21% of the gas of the total kitty and after fertilizer. So, I hope that after coming up of these city gas distribution project gas consumption is bound to grow. PETRONET _ <;.

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S Ramesh: So, just to understand the timeline for the Dahej brownfield expansion, when do you think the first two and a half and the next two and a half billion tonnes will be?

Management: It will be by end of CY 24 or maximum and second phase it is in two phases. So, one is the end of CY 24, two and a half month and balance is in the March 25, April almost.

S Ramesh: Okay, fair enough. And finally, when you're looking at your Dahej operation there are two terminals, Mundra and Chhara and then Swan LNG terminal. So either one LNG terminal likely to see completion this year and how do you see the Chhara terminal coming up because there is a certain amount of competitive intensity, much as you are competitive so how do you see these are the new terminal Swan LNG and chartered terminals taking shape in the next couple of years?

Management: We have already booked capacity to the extent of almost 16.5 MMTA. So, there is no challenge to us as such, because if you look at all those things, it is not there with any other terminal. Long term capacity booking is not there with other terminals and long term volume tied up back-to-back is not there. So, there is no competition as such with those terminals. But of course as and when those centers will come, they will also compete for the additional volume of spot LNG for which we will be competitive and we are much, much ahead of anyone in terms of the things that we have already recovered our CAPEX and there is nothing to lose on that front and that

way we can be competitive and additional volume of course competition will be there and. Another thing is that, it is not that terminal is coming then it will be utilized, it will be seen whether that terminal is well connected with the pipeline network or not. Dahej is the most well connected pipeline with the pipelines of the country. And as far as I know that at least four pipelines are connected to Dahej terminal. So, it's a most feasible location for taking the gas and other terminal you are talking about Chhara and other terminal they are not so well connected and it also makes a difference in long term. So, let us hope that we will compete with them for the additional spot volume only, Long term volume we have the security. So, that way, we are well protected against any future terminals which are coming up.

Moderator: Thank you. We have our next question from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead.

V. Sivasankaran: Sir, in this case of Gazprom volumes is there scope for GAIL to pull up a force majeure kind of clause, does something like that exist in our contracts which can provide a escape route?

Management: This is for the GSP they've entered with the customer. You are talking about contract with Gazprom itself. PETRONET _ <;.

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V. Sivasankaran: No. I'm talking about the contract with the off taker. So, if GAIL to pull up saying that this is a force majeure kind of a situation and hence compulsory take or pay may not apply on this volume, is there scope for them to do that?

Management: Yes, it is, I've not seen the contract, but it is there, they can invoke the force majeure clause. Because there is a disruption in the supply facility, then force majeure is involved. And the Ukraine Russia war is one of the events which can be seen as a disruption in the supply chain.

V. Sivasankaran: Fair enough sir. And everything else actually happening on this LNG outlet which you had originally entered into arrangement with the IOC and a couple of other players. So, is that something that you're still progressing or is it on hold at this point in time given the economics?

Management: It is taking place, but as you know that we have already tied up with one of the OMC and we are going for setting up four LNG station in southern region. We have already bought the LNG dispensing equipment and we'll be setting up maybe in next five, six months you will see that they are installed, but it's not in a big way is going on, it will take some time.

V. Sivasankaran: We understand that.

Management: Yes, but otherwise other OMCs are also coming like IOCL, BPC L and HPCL. They're also bringing their own LNG station. So, our effort is not only to have some of dispensing station we should own but we want that anybody can set up the LNG station. If oil marketing companies are doing this good also, because our objective is to supply LNG it from our terminals, so that our utilization level increases. So, whosoever have the LNG station, if they take LNG from our Kochi terminal or from our Dahej terminal that will also fetch some of the revenue to us. So, we are doing it because we want to connect with the customer but may not be that we will go in a big way right now. It will be in a phased manner and we'll see whether this viability is there or not, we'll see after putting upto 10 to 20 stations, what is the visibility in that particular area. If it is good then we will expand further. So, it will take time and simultaneously other companies and OMCs will also open. Ultimately, this will be cannibalizing their diesel or their fuel. So, they would like to set up on their own. So, we are not saying that we only have to set up this. They are doing it which means that they will do it and still we will be benefited out of it. But we will do to the

extent possible.

Moderator: Thank you. We have our next question from the line of Manikantha Garre from Franklin Templeton India. Please go ahead.

Manikantha Garre: So, wanted to check now that you have taken the decision to go ahead with the Gopalpur FSRU and you're doing other investments at Dahej and Kochi, or your on international scouting that you are doing earlier is off the radar now. PETRONET _ _ <.

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Management: There is no opportunity as such now, as and when something comes up then we will discuss it and see the merit of the case. But right now nothing is going on, as far as the International acquisition or kind of investment is concerned that is not there right now.

Manikantha Garre: Understood. No, I'm also asking in the context that Europe is looking to add a lot of LNG import capacity. So, if you are finding any opportunities there, and if it is something that you'll be thinking about in the future?

Management: Europe is doing only for their own consumption for FSRU type of setup they are seeking. In fact, their objectives is different. We are not going for any kind of investment in Europe. It could be somewhere where originally LNG supplies are located. But as in when it comes we will see the merit of the case and then go ahead, otherwise won't.

Manikantha Garre: Understood, but as of now you are saying that there is nothing on the radar?

Management: Nothing on the radar right now.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day due to time constraints.

I now hand over the call to Mr. Hemang Khanna for closing comments. Over to you.

Hemang Khanna: We would like to thank the management of Petronet LNG for taking time to answer all of the questions that were posed today. Thank you so much sir, and thank you all to the participants, which you a very Happy New Year ahead.

Management: Thank you very much, thanks to all of you.

Management: Thank you.

Moderator: Thank you. On behalf of Petronet LNG and Nomura, that concludes this conference. Thank you for joining us and you may now disconnect your lines. PETRONET _ _ <.

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Call: Jan 2023

Petronet LNG Limited

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Kochi LNG Terminal:

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P.O. 682508, Kochi

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CS/PLL/LISTING/ Reg-30/2023 Date : 27.01.2023

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd. Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 20.01.2023

Dear Sirs/Madam,

This is with reference to our intimation dated 16

th January 2023 and 21st January 2023 intimating

holding Conference Call of the Company scheduled on Friday, 20th January 2023 at 6:30 P M (IST) for unaudited Financial Results of the Company for the quarter and nine- month ended 31st December 2023 and uploading audio recording post Conference Call respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

This is for your kind information and record please.

Yours faithfully,

Rajan Kapur

Company Secretary

Encl: as above

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"Petronet LNG Limited

Q3 FY 2023 Earnings Conference Call"

January 20, 2023

MANAGEMENT : M R. VINOD KUMAR MISHRA – DIRECTOR , FINANCE –

PETRONET LNG LIMITED

MR. RAKESH CHAWLA – GGM AND PRESIDENT , F&A

– PETRONET LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – CGM AND VICE

PRESIDENT , MARKETING – PETRONET LNG LIMITED

MR. VIVEK MITTAL – CGM AND VICE PRESIDENT ,

MARKETING – PETRONET LNG LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,

F&A – PETRONET LNG LIMITED

MR. ASHWANI AGARWAL – MANAGER , F&A –

PETRONET LNG LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Petronet LNG Limited hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you, and over to you, sir.

Probal Sen : Thank you so much. Good evening, everyone. Thank you for making the time to attend this post Q3 results conference call of Petronet LNG Limited. We have the top management of Petronet LNG with us, including Mr. Vinod Kumar Mishra, Director Finance; Mr. Rakesh Chawla, GGM and President, F&A; Mr. G.K. Sharma, CGM and VP, Marketing; Mr. Vivek Mittal, CGM and VP, Marketing; Mr. Debabrata Satpathy, General Manager, F&A; and Mr. Ashwani Agarwal, Manager, F&A. I will now hand over to the management to give a briefing on the results. And after that, we'll have a Q&A on the same. Sir, over to you.

Vinod Mishra : Thank you. Thank you, Probal. A very good evening to all of you. And I'll start with the highlights of our results. So first is that highest ever turnover PBT and PAT of INR 46,025 crores, INR 3,517 crores and INR 2,626 crores, respectively, in the current nine months

this, as compared to the corresponding nine months of the previous year. And the highest ever PBT and PAT of INR 1,586 crores and INR 1,181 crores, respectively, in the current Q3 for financial year 2022, '23. And the growth in PBT and PAT has been to the extent of 60% and 59% as compared to the profit -- PBT and PAT of the previous quarter.

So this is the highlight. Now I'll begin with the throughput in our plants. So basically, Dahej has processed in this quarter, 154 TBTU as against 182 TBTU in the previous quarter and 196 TBTU in the corresponding quarters. As far as Kochi is concerned, it has processed 13 TBTU in the current quarter, 10 TBTU in the previous quarter and 12 TBTU in the corresponding quarter. So this is the throughput in the plant. And if you look at the nine-month period, during which how much TBTU has been processed.

So during these current nine months, Dahej terminal has processed 532 TBTU as against 615 TBTU in the corresponding nine months of the previous year. And the overall throughput of both the terminals for the current nine months has been 567 TBTU as against 657 TBTU in the corresponding period of the previous year.

And if you look at the profitability, I've just mentioned, the PBT has been INR 1,586 crores as against PBT of INR 994 crores in the previous quarter and INR 1,533 crores during the corresponding quarter. And PAT has been INR 1,118 crores in the current quarter as against INR 744 crore in the previous quarter and INR 1,144 crores in the corresponding quarter. PETRONET LNG LIMITED
 Petronet LNG Limited
 January 20, 2023

So this is the PBT and PAT result. Apart from that, as I mentioned, the company has reported highest ever turnover of INR 46,025 crores in the current nine months as against INR 32,008 crores in the corresponding period of the previous year. So, there is a growth of around 44%. But this is largely due to the price which has been higher in this period as compared to the corresponding period.

And if you look at PAT and PBT of this particular period of nine months, PBT has been INR 3,517 crores, as against PBT of INR 3,489 crores in the corresponding period of the previous year. PAT has been INR 2,626 crores, as against a PAT of INR 2,602 crores in the corresponding period of the previous year. So if you look at -- this is the result and if you see, there has been impact of Ind AS to the extent of INR 60 crores in Q3'22-23 due to foreign exchange volatility. And as per the provision of Ind AS, we have recognized that -- because you know that exchange rate of dollar versus rupee has gone upside. And therefore, there is a loss to us also because we're reporting in dollar terms. So we have to convert and we have recognized loss of INR 60 crores in this quarter.

So this is all, and perhaps these robust results have been due to optimization in our operations and hope we will continue to do it even in this period, which has been very difficult for us, but somehow we were able to manage it. And still, we have reported higher ever PAT and PBT in the current quarter. If you look at the total throughput, long-term contract and for short-term

,service, you'll find that in Q3, long-term contracts, which we have processed in Dahej is 104 TBTU and Kochi has been 13 TBTU, total 117. Short term, we have processed 3 TBTU in Dahej and then service part, we have processed 47 TBTU in Dahej. So total makes it to 167 TBTU in this quarter as compared to 192 TBTU the previous quarter and 208 TBTU in the corresponding quarter. So these are the results. Now you may ask the questions.

Moderator: The first question is from the line of Puneet from HSBC.

Puneet: My first question is with respect to the income that you've recorded this year for use and pay charges of almost INR 849 crores. And there was a similar number, INR 415 crores or rather half of it last year. What is the progress in the

terms of negotiation? Have they recognized or have they even acknowledged these outstanding deals so far or not?

Vinod Mishra: It has been our claim as per the contracts. And continuously, we are following up with the customers that they should pay it because this is payable as per the contracts. But as you know that so far, we have not received it, this is true. But still, we are focusing on getting the payments as early as possible. But if you look at the kind of situation which is prevailing, what's happening that volume itself is not coming too much to India. And that's why there's an issue and we have to book use or pay charge of INR 849 crores this year also. PETRONET _ ... < ; ; ;

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So situation is difficult, but still we are making all efforts to recover this and perhaps we are still negotiating. We're continuously talking to them and whenever there is a progress, we will certainly report to you that how much we have recovered. Follow-up is continuous, and it has been, in fact, followed at a very senior level and let us hope that positive results should come out.

Puneet: And is it fair to assume that there is no issue with respect to the other long-term volumes? That's so straightforward and you're getting paid for that?

Vinod Mishra: Long-term volume, is coming as usual. There is no issue as far as all the long-term contracts are concerned, Rasgas contract or the ExxonMobil are there. They are all coming, and they are being paid in time, there is no issue. The problem is the service volume, which basically is the capacity booked where they had to bring some cargoes and get them regasified at our terminals. So that part has not been supplied. That is the only part which is lacking.

Puneet: Okay. So in that context, can you give me the amount of receivables outstanding as of Q3 and net cash?

Vinod Mishra: You are asking how much is outstanding?

Puneet: Yes, total receivables end of Q3 and net cash end of Q3.

Vinod Mishra: Total receivable as on 31st December, Rs 3,513 Cr but this includes everything.

Puneet: It includes the 1,200 something number as well?

Vinod Mishra: Yes, yes, it includes Rs 1,200 Cr and apart from other long-term contracts, this is also there.

Puneet: And net cash?

Vinod Mishra: INR 6,900 crores is the cash available as of now.

Puneet: And if you can share the numbers for service income as well for the current quarter?

Vinod Mishra: Service volume?

Puneet: No, volume you shared, you also report the income from services. What is recorded?

Vinod Mishra: INR 1,112 crores as against INR 438 crores in the previous quarter and INR 755 crores in the corresponding quarter.

Puneet: And last one is an update on your capex plan. How is that going and where have you spent so far? PETRONET _ ... < ; ; ;

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Vinod Mishra: Capex plan, as I've mentioned, our two tanks are under construction. Approximately 50% progress is there out of total tank cost of INR 1,246 crores. And we are going for Jetty also. So that will be a capex of INR 1,700 crores. And we have already got the approval of both and we are now going for tendering process for awarding that job.

And apart from that, we still have one terminal on the East Coast, Gopalpur terminal. So that part also is progressing. And in fact, it has been approved by the Board also. So now we are looking forward to having other agreements, implementation of agreements and other agreements with the Gopalpur Port Trust and perhaps if that is done; thereafter, we will go ahead with tendering process for that. So, all feasibility, environment clearance, all those things are

required. That process is going up. So that is also a capex of around INR 2,300 crores. And apart from that, as you know that we already have a plan to have one PDH -

PP plant in

Dahej. So that part is still going on, and that is a capex, huge capex, intensive capex item and involves around INR 13,000 crores -INR 14,000 crores investment . But that is an initial stage, because we are now looking forward to go for licensing selection process. And after selection of licensor, we will go ahead with this approval from the Board for the plant. So , that is how we are progressing.

And other capex plan, if you look at LNG stations which are there, but, as we have mentioned, four stations will be commissioned very soon . Currently they are under construction and more will come. But again, issue is the high price of LNG . So that is causing a worry, but now there is a silver lining that we are getting some price reduced. And in the current last two days, I've seen the price has been ranging between \$16 to \$20 .

So if that remains the price throughout the year, then we can think of some momentum and augmentation in the process of installation of LNG stations and conversion of trucks to LNG fuel trucks . So all those things are there.

Other things I have already mentioned, CBG part is also there, but that is, again, an issue because state government has to allot land to us, then we can think of it. But that is not working well right now because we are not getting the land. Once we get the land, then we can think of those plants also.

Moderator: The next question is from the line of Nitin Tiwari from Yes Securities.

Nitin Tiwari: The first question is about the bookkeeping one. How much of the Gorgon volume was at Dahej in this quarter?

Vinod Mishra: 5.44 TBTU at Dahej and 13 TBTU at Kochi PETRONET . _ ... <;;

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Nitin Tiwari: The second question is regarding the regas service volume that we have in this quarter. So they are fairly low although like, there was a moderation in LNG prices which was seen progressively over the third quarter. So why this sudden drop? Is there any significant contractor who has backed out and related to that the use or pay that we have booked as of this quarter, does that also include non- usage of the regas service facility in this quarter and because the volumes are pretty low so, if you can just help me understand that?

Management : The regas service income is for the entire contract year, which is the calendar year. So it is for the entire 12 months and secondly, these situations keep on happening . There was not much softening in the prices. Anything above \$ 20 is not sustainable in Indian markets. So that's the reason the volumes were on the lower side . Just now as DF sir mentioned that the prices are now at the sub -20 level, so we expect some peak in the volumes.

Nitin Tiwari: The prices were above \$ 20 for most of the year , but we saw a sharp drop in the third quarter and actually the prices started cooling off. So I'm just trying to like ask if volume will increase?

Management : The volumes have reduced as Vivek has just told you. Also because domestic gas was available on IGX , so some of the customers have bought the volumes from there also. So the high pressure, high temperature gas is available in the market. Those volumes are being lifted by the customer. So the number of cargoes have not come, as far as our spot cargoes are concerned. So that is the basic reason, two, three reasons we can say that the volumes have been low. But the reason is obvious , prices are still high although. But we hope that now prices will come down because we see that there is less demand in the market, at least in the European market. And because of that, the prices are lower. And we hope that this continues in the fourth quarter, then more volumes will come. Because I'm sure that if prices remain at this level, \$16 to \$20, then certainly spot cargoes will come to India in this quarter. So we are hoping and in fact much hopes o

n this

particular theory that prices are down so people will buy and more cargoes will come and we'll get the volume for regasification.

Nitin Tiwari: Lastly sir, just if I missed the trading gain and inventory gain if you have already shared then please?

Vinod Mishra : Trading gain, if you look at this quarter, has been only INR 25 crores. So trading gain has not been much in this quarter. But earlier, it has been substantial. But right now it is not there.

Trading margin I am just telling you, in fact INR 25 crores. Inventory valuation is INR 95 crores.

So this is how we have performed.

Nitin Tiwari: I did not get the last part. You said INR 35 crores is?

Vinod Mishra: INR 25 crores is the trading margin. And there is an inventory valuation also which is INR 95 crores. Again, inventory valuation. You can add both of these and you can find the figure. PETRONET . _ ... <;;

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Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: So I have 2 questions. One is basically the India AS bookkeeping question from Debabrata

Vinod Mishra: Yes, Debabrata is here

Sabri Hazarika: So I have two questions. One is basically the India AS bookkeeping question from Debabrata. So what was the run rate for the quarter in terms of cost of goods sold, other expense, depreciation, interest and other income?

Debabrata Satpathy: Yes, Sabri. INR 161 crores at the gross margin level positive. Then INR 60 crores forex loss.

Sabri Hazarika: Forex loss of INR 60 crores, okay...

Debabrata Satpathy: And INR 8 crores at the expenses level positive. And the depreciation is INR 84 crores and interest is INR 79 crores.

Sabri Hazarika : So INR 54 crores negative is the amount.

Debabrata Satpathy: Yes, INR 54 crores negative.

Sabri Hazarika : So just a follow-up on this. So are we entering a level where I think this whole lease accounting is reversing now or...

Debabrata Satpathy: As we had explained to you, the lease accounting will start reversing from FY 25.

Sabri Hazarika : From FY 25. Sorry.

Debabrata Satpathy: For FY 24, it will come to a level of breakeven.

Sabri Hazarika : And 5.44 was the Gorgon volumes, right, in Dahej?

Debabrata Satpathy: That's right.

Sabri Hazarika: And second question is on the current scenario, I don't know whether you'll be able to share it or not. So, what is the current utilization level right now? So, we have seen the prices come down, but...

Debabrata Satpathy: Yes, utilization level is 81% as of now. It has increased as compared to this current quarter we have just mentioned, 68%. So now level has picked up. As you rightly said, I have said that prices are down and even long-term prices are also very less nowadays. It is between \$11-\$12 and even the spot prices have come down. Two days back it was \$16 something. So, I think if prices are at this range, volume will definitely come up. The utilization level is 81% as of now. PETRONET LIMITED

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Moderator : Thank you. The next question is from the line of Pinakin Parekh from JPMorgan.

Pinakin Parekh: Sir, my first question is you mentioned that utilization levels have gone up. So is it fair to say at this point of time, fourth quarter we can see volumes between 190 TBTU to 200 TBTU?

Management: Actually, this prediction cannot be given because as of now, it is looking good. But let some more time pass. It is only the beginning of the fourth quarter. So it is too early to predict any volume right now, but you can see that 81% is how much – I don't think it will not be fair to give the prediction right now.

Pinakin Parekh: My second question is given that the INR 800 crores -plus of revenue booked for this take or pay in this quarter, so if we take that out, then the profitability picture

looks different. Sir, is there,

now I understand that you mentioned that the company is in talks with the counter parties, but is there a time limit beyond which if it's not realized then the company Petronet would have to write-off this amount? What is the legal time limit where you can continue to show it as dues receivable?

Management: See, it's not a legal question of legal time limit, it's auditor's view. But in fact, we are confident that we will be able to sort it out. And we will try to do it in the next quarter itself, if possible, at least for the last year, INR 450 crores, which is outstanding. This year only (FY 2023) we have just raised the bill, and even date of payment is not due. So, it is still not due. We have raised the bill only for INR 849 crores. This has been shown as revenue, but there is enough time to see how they react.

But last year we are following up for INR 450 crores and we will definitely try to recover entire amount and then of course there should not be any issue of provision. And this time we have not made a provision but we are going to aggressively follow it up in the fourth quarter.

Moderator : The next question is from the line of Mayank from Morgan Stanley.

Mayank: Sir, two questions from my side. First was in terms of the receivables, is there something that you will consider if you can't recover the entire amount by March in terms of the dividend? How will it impact your dividend payout? And the second question was related to long-term LNG

sourcing. We have seen some peers in China and Thailand starting to kind of look at long-term gas supplies beyond 2026. What is the thinking process at your end? Sir, I'll repeat the questions. The first one was, sir, related to the dividends. This was regarding the receivables, the entire amount, you are not able to recover, especially for fiscal '23. How are you thinking about that impacting your dividend payout?

Vinod Mishra: There is no link here. Two things are entirely different. Because for making payment of dividend, you need cash, and cash surplus we have. So it will not impact the dividend, just be assured. PETRONET . _ ... <;;
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This is something else because we are fighting for it and we will try to get it also. But at the same time, there is no cash shortage. So I don't think there is any impact on the dividend part. Management: Mayank, just to add to your answer, basically after the last year, I mean FY '22, we had booked some use or pay. But after that also, two dividends have been paid. And this year, whatever has been booked, the due date has not yet also come. We have just recently done the billing also, couple of days back as per the contract. So as DF sir has told that there is no link between these two.

Mayank Maheshwari: Very clear, Thanks for that. The second question was more related to a long-term view. Now we have seen your peers starting to tie up long-term supplies beyond 2026, especially in countries outside India. So what has been your view or you still think it's too early to kind of go into the market?

Vinod Mishra: No, no, it's not. We are already in the market. And in fact, we are already negotiating for our RasGas contract. That negotiation is already going on for renewal. And apart from that, we are also looking for some additional volumes to be taken. So that part is going on. And perhaps we have to finalize by this year only for the renewal of the contract and additional volume if at all. We are looking forward to that. So there is no reason why we shouldn't, but at the same time, we would not like to enter into the contract where we are, in fact supposed to make payment, which is a little bit higher slope of the Brent or a higher priced gas.

So we are trying to get a reasonably priced gas. So that's why there might be some delay because the market is very

hard. And in such a hard market, if you go, certainly, prices will be higher.

It's not fair to go for higher prices because this will pinch in the long term. So it's better to delay for some time till the time the prices are reasonable. And now we see that prices are coming down. Hopefully, this will remain in this range of \$16 to \$20. So if this remains in that range, then we'll get a better slope in the market, apart from renewal of our RasGas volume. So that is there, but none of the Indian parties have entered any contract profile, but outside parties have done it, maybe China and other countries have done it. But we are trading with extreme care, and we are trying to go for a contract, which is reasonably priced so that in long term, that should not pinch.

Moderator: The next question is from the line of Vikash Jain from CLSA.

Vikash Jain: Just one question on this use or pay income that we have booked. Now when I look at the third-party volumes that have been booked for this calendar year versus last calendar year, roughly, there's about 100 TBTU difference, 90 to 100 or whatever, around that benchmark. But if we were to look at what you had booked in 3Q and 4Q of last year, assuming that all of that was for calendar year 2021. Then from that perspective, should we expect you to book more in the first quarter as clearly, this number is similar to what you had booked during the last year, including the two quarters. So this number should be higher, right? PETRONET . _ ... <;;
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Vinod Mishra: No. Actually, this year, we have booked for the entire year, for calendar year 2022. Last year, what happened that in 2021, we had booked INR 347 crores around of use or pay in the third quarter and INR 83 crores in the fourth quarter. So this was the segregation. So both of them were for the calendar year 2021. So both of these will make it around INR 430 crores of use or pay. So I think this is the right number if you compare from number to number because this year, it has been INR 849 crores. Last year, it has been INR 430 crores.

Vikash Jain: So Mishraji that's what I'm comparing. So I mean from so INR 430 crores versus this year being sorry, 849. Okay. Sorry. Okay, understood.

Moderator: The next question is from the line of Avinash Karumanchi from Equirus.

Maulik Patel: This is Maulik Patel. Sir, a couple of questions. One, have you taken the price hike at Dahej for

this calendar year, 5% per annum?

Vinod Mishra: 5% per annum.

Maulik Patel: Yes, that has been taken, right?

Vinod Mishra : Yes, yes, it is taken as per contract.

Maulik Patel: Okay. So the revised price is about INR 59?

Vinod Mishra: It's around INR 59. Earlier, it was earlier 57 -point something.

Maulik Patel: And sir, regarding the take-or -pay as you have clarified a lot, but what are the options we as the company have? And in case this continues for another year and the price of the global LNG market remain high, there can be another take- or-pay liability. How are we going to address this and what has the Board discussed about this matter? What are the options available to us apart from pursuing the pending dues which you're probably doing ? And are you going to charge interest rate on the pending lease of CY '21? Because it's more than a year and we have not received the amount from the customers.

Maulik Patel: This is Maulik Patel. You were telling me about the tariffs.

Vinod Mishra : We were telling about Dahej regas charges . So it is now INR 59.91.

Maulik Patel : INR 59.91, right? And what will be the charges at the Kochi, sir, it was around 80?

Vinod Mishra : It is around 81.04 is there. And it will be revised for FY 23-24 next time. But it is now INR

81.04. PETRONET _ _ ... <;;;

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Maulik Patel: Sir, my second question

is on is that on the take -or pay, if this amount doesn't get recovered , are you going to charge interest rate on the CY '21? That 's number one, pending amount of around INR 3.2 billion? And secondly, sorry, INR 4.2 billion. And second is that what are the options available with the board to get the required amount. Are there any bank guarantees, which have been with us as a part of the contract or apart from pursuing the negotiation or any legal measures which we can deploy?

Vinod Mishra: So, if you look at the composition, the company's composition, it is that our promoters are our off takers also. But they are not regular defaulters. This is an unprecedented situation, which is causing this kind of problem. But certainly, we still are following up for making the payment because ultimately, this is the contract that they have to pay, if they are not able to use. And perhaps issue is that if you ask for security, we certainly from, as a promoter, we don't have it right now. But there has never been a need also for that.

It has been a contract for the last almost 18, 19 years, and we have not seen any default. It is the first time ever this situation has come that they are not making payments. And perhaps we hope that this will be very shortly settled because we are following up. And we have taken a challenge that in this quarter, we will try to resolve it.

Maulik Patel: Sure, sir. Sir, this INR 1,300 crores of amount, is it pending from your promoters which is like GAIL and IOC and BPCL? Or is this largely from those other customers, which are not your promoters, which is like GSPC and Torrent?

Vinod Mishra: It is all. It is all. Except GAIL, all are there in this 849. So GAIL has not defaulted at all.

Other wise, IOCL, BPCL, GSPC, Torrent etc all are there

Maulik Patel: You mentioned about the capex for the Project is around INR 13,000 crores? That was the indication amount?

Vinod Mishra: INR 13,000 crores.

Maulik Patel: INR 13,000 crores. And that is likely to get approved by this -- the next quarter?

Vinod Mishra: Not next quarter, I cannot comment because still we are in the process of licensor selection.

Maybe within six months, we can say.

Maulik Patel: And what kind of a time duration once you get an approval from the Board because you already have a land , right, in your possession . What kind of a time scale we are looking for to set up this project? PETRONET _ _ ... <;;;

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Vinod Mishra: It's still almost four years, it will take almost, for approval and awarding the job for the project. So it will be in a staggered manner. capex will not be in a day. This is for the span of almost four years .

Moderator: The next question is from the line of Siddharth Chauhan from B&K Securities.

Siddharth Chauhan: My question has been answered.

Moderator: The next question is from the line of S Ramesh from Nirmal Bang Securities.

S. Ramesh: Good evening and thank you very much. So, if we have to understand the use -or-pay provision of INR 848 crores, that is entirely for April '22, March '23. So out of that, how much should we assume for the third quarter if we have to adjust those numbers?

Vinod Mishra: Actually, this use -or-pay charges is valid once in a year. We don't account for it in every quarter because we give an opportunity to all the off takers and all the customers that they should utilize within this calendar year. So it's basically calendar. As you said from 1st January 2022 to 31st December 2022. So if they are able to use their quantities booked in this period, then we don't levy anything. But after this date passes, means after 31st December, we levy the use-or-pay charges.

S. Ramesh: So in terms of the coming financial year, at what capacity utilization should we expect the company to be looking for?

Vinod Mishra: We are very bullish about

it, and we are expecting more than 80% and we are going on at 81% .

So now volume is coming. So we are hopeful that at least it will be in the range of 80% to 90%.

S. Ramesh: So the question I'm trying to drop in with is, in future if the capacity utilization decline, how do we account for this in terms of making the estimates because if you go by 60%, 70%, the earnings come lower than what you report. So at what level capacity utilization should we expect the use-or-pay charges to be booked on a calendar year basis?

Vinod Mishra: See, we don't expect any use -or-pay charges. In fact, we don't want it should happen at all. They should come and book their capacity and use the capacity. And this is the intent of all the customers. They don't want to get this bill unnecessarily again for use -or-pay charges. But this is compulsion because of the high prices of LNG. It has been there.

But now prices are also coming down. If you see it has been in the range of \$20, but yesterday I don't think it was more than \$17, before that it was \$16. So, if the prices are in that range, then perhaps you will find more cargos coming here and customers would use it. But at this level, when it is \$30, \$35, \$40, the consumption is very less, because of the high prices. PETRONET _ ... <;;
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And certainly, we are now very hopeful that if this kind of pricing of \$16 to \$20 persists, we can expect more volumes at least in the third quarter -- fourth quarter and the capacity utilization will be much, much higher.

S. Ramesh: And then what is the status of the two-phase expansion in Dahej. When do you see the complete closure of the projects and volumes contributing to your utilization, say in Dahej once the expansion is over?

Vinod Mishra: You are talking about Dahej expansion of five MMTPA? So we expect that by the end of 2024, we should be able to get at least 2.5 MMTPA and by March '25, we should be able to get at least next 2.5 MMTPA. So by March, you can say March 2025, we should be able to get this capacity. And we are hopeful that, that capacity again will give us flexibility so that we can book more capacity with the customers. And perhaps, we can also think of more volumes coming in for our own purpose also because you see we are, in fact, importing some cargoes on behalf of ONGC also. So, if we get some volume contracts, then we shall have that advantage and we can process it, we can store it in the two tanks that we are constructing.

So there are lot of business opportunities which are there because then we can also have some trading volumes with us in future, if at all, there is an opportunity. So that kind of flexibility will be there. And apart from that, we are also looking forward to having some capacity booking for the expansion we are going for Dahej. We are very optimistic about this.

Moderator: The next question is from the line of Somaiah V from Spark Institutional Equities.

Somaiah V: So, the first question in terms of the take or pay, the revenues that you have booked, what would be the equivalent volumes in both the years for calendar year '21. If you can give a number in TBTU for calendar year, 21 and 22?

Vinod Mishra: You are talking about 21- 22?

Somaiah Valliyappan: For both the years. Sir, calendar year FY 21 and FY 22.

Vinod Mishra: For 20 21 it was 80 TBTU. And for 20 22, it is 155 TBTU.

Somaiah Valliyappan: And second question is with respect to the Petchem project. So what would be the IRR broadly that you'll be looking in for this project? And when do we expect capex to start for this project?

And also, you mentioned that it will happen over a period of time. So any color on that, that will be helpful?

Vinod Mishra: So IRR, as you know that we have a policy here that whatever project we undertake, there is a project approval authority, which ensures that unless we get a

n equity IRR of 15%, we don't go
for the project. So in this case, we are getting a handsome IRR, and we cannot mention right PETRONET . _ ... «;;;
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now. These are premature things. But it is above 16% equity IRR, so that is for sure. And as far as the capex plan is concerned, it will be in a staggered manner in the next four years after approval and awarding of the job.

So hopefully, we can say that INR 13,000 crores will be spent not equally than certainly initially, it may be less INR 2,000 crores and then INR 3,000 crores, INR 4,000 crores like that and INR 5,000 crores. So it will be like that only. For year 23 and 24, it may be less. But in subsequent years, it may be high because we are expecting it by '26 end. So it will be in a staggered manner, INR 2,000 crores to INR 4,000 crores each year.

Somaiah Valliyappan: One last question. Sir, what will be the capex profile for the next -- I mean, for this year, what would be your capex amount? And then what are we looking at next year at a company level? And when is the Gopalpur project expected to be complete?

Vinod Mishra: This actually -- next year, you are talking about FY 23-24 or this year, you are talking FY 22-23. It will be in the range of INR 1,200 crores - INR 1,250 crores approximately.

Somaiah Valliyappan: So you're referring to FY '23?

Vinod Mishra: Next year, it may be even higher than that, maybe we are likely to spend around INR 1,800 crores. But this year, INR 1,200 crores you can say, exactly.

Somaiah Valliyappan: And the last part of the question, I mean, the Gopalpur terminal, when is it expected to complete?

Vinod Mishra: When it will be?

Somaiah Valliyappan: When is it expected to start?

Vinod Mishra: Yes, I just told you that we are still doing some due diligence regarding this agreement signing and all those things are being followed up. And certainly, we will enter the agreement with the Gopalpur Port Trust so that we get the right to build the terminal over there. We have, in fact, contacted the state government authorities and we are seeking environment clearance and some other clearances from the authorities.

And thereafter, we will, in fact, go for the awarding of jobs. So if you look at present, we are planning to have FSRU terminal. So it should not take too much time, approximately 2 years' time for the FSRU terminal after awarding the job. So firstly, we're trying to get the clearances so that the agreement is signed and everything is placed well, before awarding the work to the contractor for construction of the LNG terminal.

So it will be least, 2 years .. The time frame for construction of the FSRU terminal, Gopalpur should not be more than 2 years. But this is after award of the job. PETRONET . _ ... «;;;

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Moderator: The next question is from the line of Puneet from HSBC.

Puneet: My questions have been answered.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Probal Sen for closing comments.

Probal Sen: Would you like to give closing remarks Sir?

Management: No. In fact, I have said everything whatever I had. The only thing is that I want to convey my sincere thanks to all the analysts and investors because they have reposed faith in us. And in fact, we are also trying hard that our profitability should always increase from the last time. So this is why we are able to achieve even higher profit than previous corresponding quarters and previous quarters.

So our effort is always there to increase and augment the profitability as much as we can. And the only concern was the high price of LNG, which I think in due course of time will be addressed, and then we will have that 100% utilization of our terminal as

we used to do earlier. So with this, I would like to close my remarks.

Probal Sen: Thank you so much, Sir. It was a fairly insightful and a fairly detailed Q&A session. I thank all the participants and most importantly, the management. This is a tough macro environment for the gas space. So obviously, it's a challenging environment. And I think the performance has to be appreciated in that context. Thank you so much for your time, everyone. You can log off now.

Vinod Mishra: Thanks to all of you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. PETRONET . _ ... «;;;

LIMITED

Call: May 2023

Petronet LNG Limited

Regd. Office: World Trade Centre, Babar Road, Barakhamba Lane, New Delhi – 110001

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Email: investors@petronetlng.in, Company's website: www.petronetlng.in

PAN: AAACP8148D GST: 07AAACP8148D1ZI

Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252

Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2023 Date : 11.05.2023

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 03.05.2023

Dear Sirs/Madam,

This is with reference to our intimation dated 28

th April 2023 and 4th May 2023 intimating holding

Conference Call of the Company scheduled on Wednesday , 3rd May 2023 at 6:30 PM (IST) for Audited Financial Results of the Company for the quarter and year ended 31st March 2023 and uploading audio recording post Conference Call respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

This is for your kind information and record please.

Yours faithfully,

Rajan Kapur

Company Secretary

Encl: as above

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"Petronet LNG Limited

Q4 FY2023 Results Conference Call "

May 03, 2023

ANALYST : M R. AMIT MURARKA – AXIS CAPITAL LIMITED

MANAGEMENT : MR. VINOD KUMAR MISHRA - DIRECTOR (FINANCE) -
PETRONET LNG LIMITED

MR. RAKESH CHAWLA - GROUP GENERAL MANAGER & PRESIDENT , FINANCE AND ACCOUNTS - PETRONET LNG LIMITED
 MR. GYANENDRA KUMAR SHARMA - CHIEF GENERAL MANAGER & VICE PRESIDENT (MARKETING) - PETRONET LNG LIMITED
 MR. DEBABRATA SATPATHY - GENERAL MANAGER (FINANCE & ACCOUNTS) - PETRONET LNG LIMITED
 MR. VIVEK MITTAL – CHIEF GENERAL MANAGER & VICE PRESIDENT , MARKETING - PETRONET LNG LIMITED
 MR. ASHWANI AGARWAL - MANAGER (FINANCE AND ACCOUNTS) - PETRONET LNG LIMITED • P&T L-c;;
 L I M J T I . D
 • P&T L-c;;
 L I M J T I . D /,AXIS CAPITAL
 Petronet LNG Limited
 May 03, 2023

Page 2 of 18 Moderator: Ladies and gentlemen , good day and welcome to the Petronet LNG Q4 FY2023 Results Call hosted by Axis Capital Limited . As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Amit Murarka from Axis Capital. Thank you and over to you sir.

Amit Murarka : Thank you Robin. Good evening, everyone. Thank you for taking the time out to attend this post result call of Petronet LNG. We have with us the senior management of Petronet LNG starting with Mr. Vinod Kumar Mishra, Director (Finance), Mr. Rakesh Chawla, Group General Manager and P resident (Finance and Accounts), Mr. Gyanendra Sharma, Chief General Manager and Vice President (Marketing), Mr. Vivek Mittal, Chief General Manager (Vice President Marketing) Mr. Debabrata Satpathy, General Manager (Finance and Accounts), and Mr. Ashwani Agarwal, Manager (Finance and Accounts). Without much ado, I will hand over the floor to the management for their opening remarks, post that we will have the Q &A. Over to you Mr. Mishra.
 Vinod K Mishra : Thank you.

Very good evening to all of you and I will start with the performance of the company . If you see the main highlights of the company , it has been Rs 59,899 Crores in financial year 2022 -2023 and there is a surge of around 39% from the previous year as compared to Rs. 43,169 Crore . If you look at the throughput of Dahej terminal, it has been very promising because we have been able to have a throughput of 172 TBTU as against 154 TBTU in the previous quarter and 178 TBTU in the corresponding quarter and total throughput both Dahej and Kochi has been 185 TBTU against 167 TBTU in previous quarter and 190 TBTU in the corresponding quarter . If you look at the yearly basis throughput then you will find that it is not as high as it was last year , of course Dahej has throughput of 704 TBTU as against 793 TBTU in the previous year and Kochi had 48 TBTU throughput as against 54 TBTU in the last year. So, this is how typical performance has been .

If you look at the quarterly result, profit PBT has been Rs.818 Crores as against Rs .1586 Crores in the previous quarter and Rs.984 Crores in the corresponding quarter of the previous . PAT has been Rs .614 Crores as against Rs. 1181 Crores in the previous quarter and Rs.750 Crores in the corresponding quarter of the previous year. On a yearly basis, PBT has been Rs. 4335 Crores as against Rs .4474 Crores in the previous year and PAT has been Rs.3240 Crores as against PAT of Rs.3352 Crores in the previous year. So this is the total P&T L-c;;
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 Petronet LNG Limited
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Page 3 of 18 performance of the company and apart from that there is slight downward trend you see in the profitability and this is mainly because of Ind -AS impact of foreign exchange variation which has been to the extent of Rs.258 Crores and apart from that we have declared dividend of Rs.3 per share, apart from the Rs.7 we have declared as interim dividend after second quarter . So, this is how we have performed and now the house is open for the questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen : Thank you for the opportunity, Sir. Good evening. Two questions; one , what we have seen is despite the spot LNG prices dropping of quite a bit in this quarter , our third party or service revenue volumes are yet to reach anywhere near normal run rates of between 75 to 80 TBTU , so just wanted to get a sense, is it because the contract do not really work in tandem with the price change or will they need to drop even more from here for our volumes to recover back to let us about 75 to 80 TBTUs, that is our first question?

Vinod K Mishra : First question you are asking that there has been downfall in the prices of LNG and still service cargos are not increasing to that extent, but you see that there has been surge to the extent of 61 TBTU s in this quarter as against 47 TBTU in the previous quarter. There has been a rise in the service cargos, that means these service cargos maybe as a spot it may be under a long -term contract of off takes , so we are getting a higher number of cargos now in this fourth quarter and if you look at April data, it is even higher and we are getting good number of cargos now and 21 cargos have come so far in April also out of which 11 are service cargo and 10 are long -term. So, we can say gradually situation is improving . And prices have started declining only after February, so you cannot say entire quarter there was lower prices, it was only after February that prices have come down and it takes time for the customers to adjust to procure the cargo, so it is not that in a day you will find a cargo. Whenever the price is declared it is almost 2 months later. So, we can say that it is gradually improving now and perhaps more cargo

will come in this current year, in this quarter.

Probal Sen : Got it. The second question was more of housekeeping sir. Can you share the Regas revenue for the quarter?

Vinod K Mishra : Regas service revenue for this quarter is Rs. 359 Crores.

Probal Sen : Rs.359 Crores. If I can squeeze it, just one more question. Any update sir on our plans for the petrochemical project, any firm up of final Capex timelines, anything you can share ? PETRONET L-c;;;
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Page 4 of 18 Vinod K Mishra : Petrochemical is going on and at present we can say that DFR has been prepared . We are in the process of licensor selection and once the licensor is selected, thereafter we will have the DFR prepared by the consultant and then we will go to the board for approval of the project and thereafter activity will start. So, we will have to wait for some time as this may take 2-3 months at least for the selection of this licensor and thereafter maybe in next 1 or 2 months DFR will be ready by the consultant, then we will go to the board so 3 -4 months we can say right now .

Probal Sen : Any indicative investment that you need , any changes in terms of the numbers, because I believe shared about Rs.14000 Crores was the indication on that.

Vinod K Mishra : That is the range we are still estimating because we are not still clear how much will be the capex because once the licensor selection is made, then only we can come to know how much is the capex, because it is based on a technology, whatever technology we are selecting, it is having a different kind of requirement for the equipment , for raw material and for other checklist, so those things can be known only after the selection of licensor because whatever technology we are selecting it has different kind of capex, each technology, so that we can say that still we are keeping that capex at Rs.14 000 crores.

Probal Sen : Got it sir. Thank you so much for the detailed answer and come back if I am. All the best.

Vinod K Mishra : Thank you.

Moderator : Thank you. We have the next question from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Thanks for the opportunity. Sir, can you just give us an update on the key projects that you are working on like the Dahej expansion, Gopalpur FSRU and also the capex outlook for the next couple of years.

Vinod K Mishra : Dahej you know that this plan is already going on, tank construction is going on and perhaps if you look at the capex which we are estimating this time, total capex is around Rs.1250 Crores out of which I think Rs. 744 Crores we have already incurred and balance is left so balance should be this year and then slightly it may be next year, so this is total capex of Dahej tank and jetty we are going to construct at Rs 1,650 Crores that is the capex and we have already started process for awarding job for jetty construction and capex is already there, 1650 Crores and then we come to Dahej expansion plan , which we have from 17.5 to 22.5 MMTP A that is also having a cap ex of around Rs.570 Crores so that is the PETRONET L-c;;;
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Page 5 of 18 capex for Dahej and apart from that petrochemical , I have already mentioned that whenever it comes it will be estimated at Rs.14000 Crores that will be there and apart from that, we

are also thinking of one more tank at Kochi so perhaps we will go ahead with that plan in future so if it all comes and approval is given, then we will have capex of Rs.600 Crores. So, this is how, and apart that we have this proposal approved for Gopalpur terminal, so there also we have a capex of Rs. 2300 Crores FSRU terminal we are going to construct, so this is how capex plan is there and I think more will come at all if there is any capex, but right now this is immediate capex plan we have.

Somaiah V : Sir what will

be next couple of years, capex outlook in terms of annual capex?

Vinod K Mishra : Capex outlook as you know that capex is coming up, there is a big-ticket capital commitment could be petrochemical plant, so for that we have thought out some debt equity, ratio of 70:30, so those kind of plan perhaps we will rationalize it and we will have 30% equity, 70% debt. A part from that, for Gopalpur project Rs.2300 Crores that also, that is not a big capex, but we may think of some debt if required, so that way plan is clear that we will optimize the cost through this kind of debt mix for the major projects, but of course for small projects like expansion plans, we are not going to have financing arrangement, for tanks we do not have any financing arrangement, it is a very small capex so we are meeting from our internal resources, so this is how we are going to plan for capex in future.

Somaiah V : Got it sir. Just was looking more from annual capex plan as this year we spent around Rs.1000 Crores, what would be the equal number for a FY2023?

Vinod K Mishra : For next year I can tell you that it will be around 1700 Crores, which is current year which is going April to March 2023 -2024.

Somaiah V : Got it and also any plans on the cash that we have, anything from incremental dividend or is it because of the pet-chem project you probably want to conserve, so on any thoughts around the cash balance?

Vinod K Mishra : See I have just mentioned that dividend part will be taken care of, that is why we are already planning to have some debt equity mix of 70:30 for pet-chem plant. So we will not put burden on the equity itself and you know internal generation is already there to the extent of almost Rs.3300 Crores every year, so that way they should be stress on cash and perhaps dividend part will continue to be paid over there, so that is why we are planning in such a way that dividend payout is not affected and at least we are able to make 100% dividend payout ratio, that should continue this is our plan, that is what we are thinking of. PETRONET L-c;;;

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Page 6 of 18 Somaiah V : Got it sir. One last question from my side. So, this take or pay charges which we accounted in the last quarter so the status on that in terms of receiving what is that amount that has been received so far and what is long-term?

Vinod K Mishra : We have booked take or pay charges for the cargoes which have been defaulted by the off takers but only thing is that we are pursuing for that and perhaps we are hopeful that it should be paid by them, this is as per contract and some of them have recognized that but of course we have to see that how we have to recover it, that process is going on. We are trying to recover it in best possible way and hopefully we should recover those cost and perhaps in next year when the prices are normal for LNG then perhaps there shall not be any default on their part, so we are hopeful that in future it will not be there, but for the past we have to of course recover those charges. For that we are making all out efforts to recover.

Somaiah V : So Rs.850 Crores odd that we had booked, so still it will remain as a receivable, is it right understanding?

Vinod K Mishra : Yes, it is, still as we, you are saying it is receivable. Yes, but we have not got anything so far.

Somaiah V: Thank you.

Moderator : Thank you. The next question is from the line of Siddharth Chauhan from Batlivala & Karani Securities India Pvt. Ltd. Please go ahead.

Siddharth Chauhan: So just 2 questions from me. One on the other expenses side that there seems to be slight increase in this quarter, so is that seasonality or just something else is that?

Vinod K Mishra : Increase in throughput, other expenses, so there is actually provision for Rs.55 Crores for some arbitration award so that is the main reason and that

is why it has increased.

Siddharth Chauhan: Sir sorry your voice was not very clear. So, 55 Crores for what?

Vinod K Mishra : It is for arbitration award.

Siddharth Chauhan: Okay just to clarify so one more tank at Kochi will be a capex of Rs.600 Crores, right?

Vinod K Mishra : Yes. Yes. PETRONET L-c;;;

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Page 7 of 18 Siddharth Chauhan: Last question, which is on the Gopalpur . Sir my understanding is, you had previous guided for 2 years odd of construction time, now what we are seeing right now is there is lot of tightness coming into the oil service chain , yards globally are sort of getting full, shipyard are already full and the one in Southeast Asia which sort of do the kind of FSRU, they might also be getting load from offshore, so I am just wondering if that 2 year timeline is kind of achievable on FSRU?

Vinod K Mishra : Yes. We are still exploring the possibilities how we can secure the FSRU and for that we have appointed the consultant and see how we can do it, but we will first explore it and try to get it and let us see what happens , but we cannot say we will get it or not get it, but we have some alternative plan also for this if we are not able to secure some FSRU , then we will go ahead with the land based terminal .

Vinod K Mishra : Okay. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets . Please go ahead.

Kirtan Mehta : Thank you very much for the opportunity. You mentioned that for FY2022 we are pursuing with the users. In terms of the step wise to get the acknowledgement from here what are the steps that would be needed at your end to sort of convert this into either as receivables or decide whether to pursue with it or not?

Vinod K Mishra : See we are in fact trying to talk to them every time and this has been as per contract. They know it very well. One thing I can say that some of the customers have already deducted TDS, that means they have recognized this liability in their books of account, so that is in fact matter of satisfaction that at least they have come to this level that they have recognized the liability in their books, but I will not disclose any, but some of them have recognized the liability for that.

Kirtan Mehta: Right. In terms of the escalation that we need to do would it be escalation to the Ministry to get this resolved, could it happen before the finalization of the FY2023 annual report ?

Vinod K Mishra : Escalation in terms of recovery you are speaking.

Kirtan Mehta: Yes. PETRONET L-c;;;

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Page 8 of 18 Vinod K Mishra : Escalation is the normal process; it is as per the contract. We are asking them to give it, there is a process given and if nothing is happening then there is arbitration process is already there provided in the contract if it is not mutually agreed upon, so that is the legal process and if you are not able to recover it.

Kirtan Mehta: Just another question was about sort of going back to the higher level of sort of close to 90% utilization . Is this price wise sufficient or will we need prices to sort of become bit more improved from here before we can achieve the 90 % plus utilization.

Vinod K Mishra : See so price have come down almost \$11, \$10 which is going on, so prices of course has come to a reasonable level, but if it goes down it is still better but even at this level you see that in April month itself, we have reached utilization level 97%. So that way we have already crossed in this month actually of course in the last quarter which we see it has been only 77% around, it is on yearly basis , but this is a good sign that at least we are now improving and more cargoes are coming and hopefully May will also be very good, so let us hope for the best at least for this quarter and this

price trend continues for longer time,

then I think more and more spot cargoes will come to India.

Kirtan Mehta: So, when you state that utilization has improved to 97% level, are we also seeing this as far as spot cargoes are here?

Vinod K Mishra : See I can say it is not known as how much but our service cargoes have increased, this much I can say that there is a long -term contract which is being met as per scheduled ADP

which is in our delivery plan and service cargoes which were not coming earlier have

started coming now, so in April it has been good number of cargoes have come and you can say that situation has improved that is why the utilization level has increased to 97% and

one more good thing is that at least for this 6 month period Dabhol will be closed so more cargos from there will come at least for the next 6 months.

Kirtan Mehta: Right sir. If I can squeeze in one more question. In terms of the Kochi plant, we are currently operating at utilization of the 20% level, we are making for additional tank, so what are the viability assumptions that we see to justify the viability of the Kochi plant?

Vinod K Mishra : Kochi tariff you are talking about?

Kirtan Mehta: Kochi, you mentioned that you are considering the option to add a tank at Kochi which could cost at a capex of around Rs.600 Crores. PETRONET L-c;;;

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Page 9 of 18 Vinod K Mishra : Actually, we are making tank over there because this gives us flexibility for trading the LNG cargoes. Right now it is tied up to we are thinking of having it for future and more one good news is that today in the board meeting itself it was declared that gas pipeline from Kochi to Bangalore maybe commissioned by next year November 2024 if that is happening, that kind of commitment is coming from GAIL, so I think the utilization level can go up to 35% to 50% also next year. After commissioning, it is not right now, maybe this financial year it is not possible but next year it is possible because GAIL chairman himself has said that it is likely to be completed by November 2024 and it will be connected with the national gas grid, then it is quite possible to use it more and more, because swapping mechanism is always there and more CGDs will be coming, so they will have fair share of LNG usage because then swapping can be done and gas can be supplied from our terminal to those CGD entities, so that is a kind of plan we are having and perhaps pipeline is a major interest and once this is overcome then perhaps we will be able to have more usage of our Kochi terminal in future.

Kirtan Mehta: Thank you sir. Thanks for your detailed answer.

Moderator : Thank you. We have the next question from the line of Yogesh Patil from Dolat Capital . Please go ahead.

Yogesh Patil : Thank you for taking my question, sir. So, in the last few quarters, we have seen a gain on the sale of spot LNG which boosted profit. What was a mount in this quarter, quarter for FY2023, can you please share it?

Vinod K Mishra : Yes. We will tell you. Trading margin Rs. 73 Crores.

Yogesh Patil: So, second question, considering the fall in spot LNG prices in current scenario and the raising demand of gas, is there any provision in a user pay contract that if the off takers regasify the higher quantity of gas in this calendar year then previous year shortfalls can be off set .

Vinod K Mishra : No there is no provision as such because these capacities have to be utilized within the calendar year itself. If it is not, then the use or pay charges are levied so it is not provided in this contract .

Yogesh Patil: Okay and the last one sir from my side. Sir, please correct me if I am wrong. In 2026, additional 0.6 MMTPA and LNG will be coming to India from ExxonMobil. Is it a part of Gorgon volume existing 1.44 MMTPA or this would be addition to 1.44 MMTPA volume?

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Page 10 of 18 Vinod K Mishra : It is additional contract we have entered at the time of negotiation with ExxonMobil that in fact this is not 0.6, it will increase, 2-3 years is a ramp up period, so it will be coming to the extent of 1.2 MMTPA from 2026 this will be 0.6 and from 2028 onward it will be 1.2

MMTPA in addition to 1.425 . Total it will become around 2.625 after 2028 that means that Kochi terminal itself will utilize by that time at least up to 50% apart from whatever I am saying that after this completion of pipeline, more utilization will be there, more volumes will come there when this contract will be implemented in 2026. So, I think that is there.

Yogesh Patil: What would be the pricing agreement for the additional volume.

Vinod K Mishra : Tariff will continue what is going on right now.

Yogesh Patil: Okay and the pricing part of LNG would be the same.

Vinod K Mishra : Pricing part it will be 13.95%. It will be same, I think.

Yogesh Patil: Okay thanks a lot. It was really helpful .

Vinod K Mishra : Thank you.

Moderator : Thank you. The next question is from the line of Maulik Patel from Equirus . Please go ahead.

Maulik Patel : Thanks for the opportunity. Sir, one question. You mentioned that there has been uptake in the Regas volume, historically in this Q1 -Q2 because of the partial shutdown of Dabhol who generally do around 1.9 to 2 million tons of quarterly Regas volume are you confident that you will achieve that past numbers?

Vinod K Mishra : You are saying that after shutdown of Dabhol, whatever volume was there last year it will continue. The past is the last year level.

Maulik Patel: No, I think year before that.

Company Speaker: So, as we mentioned in the beginning call, the spot prices have come up, so we are expecting utilization level to go up, what it would be actually very difficult to predict given numbers, but we expect definitely better than last year.

Maulik Patel: Got it and the second question is any other development related to this biogas or the LNG stations and anything you are pursuing apart from the petro-chem projects and Gopalpur. PETRONET L-c;;

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Page 11 of 18 Vinod K Mishra : Yes. This compressed biogas is of course we are thinking of, but i n not in a big way . Right now we are proposing to ha ve at l east 4 -5 CBG stations so that have been incorporated in our capex plan, so that is there, 5 CBG station, but as and when it will come we will again inform you and as far as SSLNG is concerned, we have already 4 stations commissioned almost but some approva ls are awaited, so with IOCL we have already installed LNG stations at 4 places and more will come in due course. Because of this instability in the prices, volatility in the prices of LNG, this segment could not get too much of attention wit h the consumer because high price of LNG was not affordable but now since the price has started coming down, we hope that this segment will further now take its ride and it will perhaps go in a good way in the future.

Maulik Patel: Sure, so what is happeni ng on t his Ras Gas renegotiation. We understand I mean if you look at the last couple of months Germany has done 1 contract with the Qatar, China did 2 contracts with Qatar and they took some equity stake in that Northfield East. What we are doing in our country , the PLN G has been an negotiating agency with Qatar or a ny update which we can expect for this negotiation for any incremental volume as part of that contract or in the negotiation.

Vinod K Mishra : No, it is actually I can just only share that we have t o finalize this contract for renewal by the end of this year for extension beyond 2028, this is what we are proceeding with, so we are now concerned with the renewal of the existing contract beyond 2028

. So that is going on as and when something is finalized, we will come back to you and clear it but right now we cannot share it but it is going on, but of course we are in the process because we have to finalize this by December 2023.

Maulik Patel: Great. Thank you, sir .

Moderator : Thank you. The next question i s from the line of Sabri Hazarika from Emkay Global . Pleas e go ahead.

Sabri Hazarika : Good evening. The question is with regard to Ind -AS and Gorgon volume in Dahej ?

D.Satpathy : Ind-As at the gross margin level, Rs.156 Crores positive , then forex gai n Rs.23 Crore s positive, then reversal of expenses .

Sabri Hazarika : Rs.23 Crores positive for forex gain and other expenses Rs.8 Crores positive and then depreciation Rs.82 Crores and the finance cost Rs.71 Crores. P&TRONET L-c;;

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Page 12 of 18 D.Satpathy : Finance cost Rs.71 Cror es.

Sabri Hazarika : So PBT around Rs.34 Crores, right.

D. Satpathy : 33 Crores.

Sabri Hazarika: Trading gain you said was 73 Crores, right.

D. Satpathy : Yes.

Sabri Hazarika: Any inventory gain loss during the quarter?

D. Satpathy : Inventory gain is Rs.22 Crores.

Sabri Hazari ka: Gross margin you said Rs.166 Crores and what was the Gorgon volume in Dahej ?

Vinod K Mishra : Gorgon volume in Dahej 9.7 TBTUs for the quarter.

Sabri Hazarika: Second question is sir around this Dahej utilization you mentioned that April average itself went up to 97% you said.

Vinod K Mishra : Yes.

Sabri Hazarika: Which are those sectors which has driven in terms of consumption is it the power sector predominantly or is it is broad based.

G K Sharma : See. The prices have become comparatively affordable an d with respect to alternate fuel, so it is not only power other industrial consumer sector also has come up those who were using others alternative fuels .

Sabri Hazarika: Okay so across the board, improvement you are seeing? It is not because of the temper ature which has led to basically power sector,

G K Sharma : Not really, that is just part contribution and that too not that significant, I would say it is more of industrial consumers and across the board, refineries as well as p etrochemicals, ceramics, everyone has come up.

Sabri Hazarika: O kay and regarding this new HPHT gas coming, so do you think this can be a threat or you see this getting absorbed with respect to new customers? P&TRONET L-c;;

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Page 13 of 18 G K Sharma : See market is enough and I think it is not a matter of threat, you know the threat is to the alternate fuels not to RLNG.

Vinod K Mishra : One more I will add to what he is saying. If you look at the long-term prices also there \$10, \$11. HPHT already \$12.16, so now it is almost matching, not much difference, so way you can see that it hardly matters as a threat. I do not see it as a threat now.

Sabri Hazarika: Right sir got it and your FY2023 capex of Rs.1000 Crores, was that right?

Vinod K Mishra : FY2023 which has passed okay. Yes, it is around 950 Crores.

Sabri Hazarika: Rs.950 Crores. Okay sir. Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Puneet from HSBC . Please go ahead.

Puneet : Thank you so much. My first question is with respect to the use or pay contract, so is my understanding correct that roughly Rs.850 Crores and the previous year's 415 Crores both are unrecognized?

Vinod K Mishra : See Rs.850 Crores is raised this year , so recent one we are pursuing that. As far as Rs.415 Crores last year is concerned that is also part of it, so we have already rigorously following it up with them and in fact as and when some solution will come out it will be known to all, but it is very clear that we are rigorously following it and it is not that we are going to waive it, so we will have it and we

will try it as they should pay and then we will see how we can go ahead because after all this is payable as per the contract.

Puneet: Absolutely correct. But you have not recognized it at all. It has been 1 year at least on that number, previously year number also. There is no further discussion if I have to put it that way. Yes, so what I was trying to understand is even for the calendar year 2021, Rs.415 Crores there has been no progress with the off takers . Is that understanding broadly, okay?

Vinod K Mishra : No, no. progress is that we are following it up and perhaps some of the customers have started deducting TDS also that means they have started recognizing the liability at their books so that is the major thing if it is happening at all because as per contract this is a liability, in fact this should be a burden on them, why they are not showing it as liability.

Puneet: Right. PETRONET L-c;;;

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Page 14 of 18 Vinod K Mishra : Not that we have waived it. We are not going to waive it like that. It is their liability; they have to pay for it.

Puneet: Secondly on your Gopalpur . You have the board approval yet for Rs.2300 or are you still awaiting for that?

Vinod K Mishra : No no, we have got the approval of board. We are going there now. We are now finalizing the transaction document with Gopalpur Port Limited and after that we will start lining of the contract for construction of the jetty and other facilities for the FSRU terminal.

Puneet: But in case if you do not get FSRU which you said that you are looking for alternate land that could also be in this .

Vinod K Mishra : Because we are also having some issue because as you know very well that many of the FSRUs now working in Europe because of that change last year, lot of LNG coming up there, so we have to see the availability of the FSRU because it will be known only after we do some tendering process and seek the tenders, if something is happening then only we will go ahead. If you find that there is no possibility of FSRU availability, then we will go ahead with the land based terminal.

Puneet: You will have to go back to the board for approval or this approval stand.

Vinod K Mishra : We do not have to go back to the board because we need to have the additional capex approval and apart from that we have already informed board in this regard that we have an option to go to land based terminal after some time, after FSRU assess it. So that option is already informed. The only thing additional capex you will have to work out if it is not FSRU and then we will go back to board for additional part of capex approval.

Puneet : You said that for the Kochi Bangalore pipeline, which is scheduled for November 2024, is there any opportunity to increase offtake from Kochi in the interim?

Vinod K Mishra : If you see even now we are utilizing 20% almost 1 MTPA already being utilized and now we are hoping that MRPL and OMPL will also come back to this RLNG in place of alternate fuel they were using, so that is silver lining we have that at least MR PL one of the big customer and OMPL, they will start using natural gas again and that is 25% to 30% if they start using it.

Puneet: Okay so your 20% goes up to 25% level? PETRONET L-c;;;

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Page 15 of 18 Vinod K Mishra : 25% maybe 30% also, depends upon if price trends continue at this \$11 and \$10, they will

continue, and this will increase only in future.

Puneet: Thank you so much.

Moderator : Thank you. We have the next question is from the line of Hemal an Individual Investor . Please go ahead.

Hemal: Thank you for this opportunity. Sir I just wanted to ask pre -COVID like FY20 19-2020, what was Dahej and Kochi annual production like this year you said 704 and 48 for Kochi and 704 for Dahej what was the FY2020 if you

u have it in case?

Vinod K Mishra : 2021- 2022 I have told you 54 it was there, but 2019-2020 I will have to see it, I have got the data for last year. Just a minute hold on, I will let you know, but you are asking too much of that period, it was COVID period, I think. I think it is almost 41.88 TBTU there 2019 -2020.

We are talking of Kochi terminal.

Hemal: And Dahej?

Vinod K Mishra : Dahej in 2019- 2020.

Hemal: If you have it, if not then.

Vinod K Mishra : I am trying to 885 TBTU .

Hemal: So, sir, do you believe like this year with prices of \$ 11 and \$12, would it be aspirational to go back to those levels, back to 2019- 2020, even at these \$11, \$12 or is that too high of a price?

Vinod K Mishra : See it is only guess work you are asking me to do. We are hoping that it will go to that level at least as I have said that April had shown that there is a good utilization of terminal, so I hope that it will further increase in future. There has been overall less revenue in the last financial year 2022- 2023, so that way you can say this has impacted our utilization, but once it comes to normal then you will find that it will be going up to at least 90% level. I cannot say it will go beyond 100%, but 90% is achievable in this kind of prices. 97, we are running in April .

Hemal: Okay. Thank you, sir . The rest of my questions are all answered. I appreciate your answering the question. PETRONET L-c;;;

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Page 16 of 18 Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities . Please go ahead.

S Ramesh: Good evening and thank you very much. You mentioned that there is a forex loss of Rs.258 Crores, so where is that included in your P&L?

D. Satpathy : That is in the other expenses.

S Ramesh: So, the entire other expenses is forex loss.

D. Satpathy : No, no. Rs.258 Crores is for the year.

S Ramesh: Okay. What is it for the quarter.

D. Satpathy : For the quarter, there is a Rs.23 Crores gain.

S Ramesh: Okay fair enough. So, this is for the year.

D. Satpathy : Yes.

S Ramesh: The second part is now with the lot of new LNG terminals coming up, I think Chhara terminal is coming up while if you take a 4 -5 year, you I guess LNG share can be sustained, so is there any risk to your utilization rate if Chhara terminal is commissioned and couple of other terminals go up.

Vinod K Mishra : No. I do not think so. See we are already having our capacity booked to the extent of almost 15.75 MMTPA at Dahej. This 7.5 M MTPA Qatar gas contract and 8.25 MMTPA is the capacity booked by the offtakers. So, 15.75 at least I have which is almost 85% to 90% of the capacity. So I am not having any threat from anybody because we have long -term contract with our offtakers, our promoters, so that way we are secured, so rest reassured that whatever terminals are coming in fact this is a challenge for them how to run those terminals and we do not have a challenge, only fight could be that additional volumes will come but the kind of connectivity , kind of evacuation we have no other terminals can have, which is simply having a terminal is not enough, pipeline connectivity is a big issue, many terminals are not able to run because of that connectivity. You see many terminals are located at the place where there is no pipeline connectivity or very less connectivity, so that way this terminal is far , far better than any other terminal, so I do not foresee any threat from them, but of course as they are coming and entire consumption is also going to increase in future as you know that whatever this plan of the government of India to PETRONET L-c;;;

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Page 17 of 18 increase the share of natural gas 6% to 15% with upcoming CGD entities having so many

projects coming up in next 4-5 years, where from they will

get the gas. It will be only to

resend everywhere domestic gas availability is not there, so they will swap the gas with the domestic gas and supplies on the energy terminals this will happen with the Southern India does not have so much of domestic gas, so ultimately these terminals will be utilized in the future.

S Ramesh: If you look at Kochi what is the status of the use or pay for Kochi with the current volumes and for the increased capacity utilization. Have you already tied up with use or pay or as the network comes in place you will start arranging for use or pay.

Vinod K Mishra : No, it is not. See capacity booking is only at Dahej terminal first thing. Kochi terminal is only receiving the volume from ExxonMobil and that contract we had entered for 1.425 MMTPA, so it was supposed to be brought to Kochi, but because of connectivity issues and consumption level at Kochi, the cargoes are coming to Dahej, so that way we are utilizing because demand should be there. As of now, there is not so much of demand at Kochi, but there is only contract for 1.425 MMTPA with ExxonMobil, which is again back-to-back contract with offtakers so I was just talking that Kochi terminal has the contract of 1.425 MMTPA with ExxonMobil, but that is not a use or pay contract. It is contract for back-to-back delivery of the RLNG to offtakers and you know that contract has a ratio of 40% BPCL, 30% IOCL, 30% GAIL, so that way it is distributed, so that contract was entered just to utilize Kochi terminal. In addition to that, there is additional gas coming up from 2026 of 0.6 MMTPA for two to three years and then 1.2 MMTPA, so total 2.62 MMTPA contract are in fact should come in Kochi, but because utilization is not that much in Kochi, so some of the cargoes we are bringing to Dahej.

S Ramesh: If I am just squeeze in one more question. So, in FY2023, you have already booked some use or pay claim, is kind of normalization of margin, so if you have to look at profit growth for FY2024 assuming 90% capacity utilization, is it possible to show some growth in the profit after tax for FY2024, on the base you have already reported in FY2023?

Vinod K Mishra : See this is all, this is guess work, but we in fact intend to do so. If you want to show the growth in profit because once the volume comes in the way it is coming in April and May, I think there is no doubt that we should increase the present profitability growth rate and may be that next year we should be better than this year and because I am again saying that if the prices are reasonably okay, say \$8, \$9, \$10, we will be able to utilize our terminal in a best possible way and then profitability will automatically increase. PETRONET L-c;;

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Page 18 of 18 S Ramesh: Thank you very much sir. All the best.

Moderator : Thank you. Ladies and gentlemen that would be the last question for today. I would now like to hand the conference over to Mr. Amit Murarka for closing comments. Over to you Sir.

Amit Murarka : Thanks Robin. Thank you everyone for your time on the call today. I would now hand over the floor back to Mr. Mishra for any closing comments if you have sir.

Vinod K Mishra : Thank you very much for the patience you have shown in listening to my answers and whatever question you have you can ask again if you have not been able to ask here through email, through our team, and perhaps we are in fact so glad that you are posing faith in Petronet LNG but once again I will say that the kind of model which PLL has is the robust model in the market, profitability is assured, contracts are assured, come what may the use or pay charges or take or pay charges, will ensure the profitability is not going down substantially.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may

now disconnect your lines. PETRONET L-c;;

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Call: Aug 2023

Petronet LNG Limited

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Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252

Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2023 Date : 07.08.2023

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 31.07.2023

Dear Sirs/Madam,

This is with reference to our intimation dated 26th July 2023 and 31st July 2023 intimating holding

Conference Call of the Company scheduled on Monday, 31st July 2023 at 6:30 PM (IST) for unaudited Financial Results of the Company for the quarter ended 30th June 2023 and uploading audio recording post Conference Call respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, pl ease find attached the transcript of above conference c all as Annex-1.

This is for your kind information and record please.

Yours faithfully,

(Rajan Kapur)

Company Secretary

Encl: as above

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"Petronet LNG Limited

Q1 FY 202 4 Results Conference Call"

July 31, 2023

MANAGEMENT : M R. VINOD KUMAR MISHRA – DIRECTOR , FINANCE –
PETRONET LNG LIMITED

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER
AND PRESIDENT , FINANCE AND ACCOUNTS –
PETRONET LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – CHIEF GENERAL

MANAGER AND VICE PRESIDENT , MARKETING –
PETRONET LNG LIMITED
MR. VIVEK MITTAL – CHIEF GENERAL MANAGER AND
VICE PRESIDENT , MARKETING – PETRONET LNG
LIMIT ED
MR. DEBABRATA SATPATHY – GENERAL MANAGER ,
FINANCE AND ACCOUNTS – PETRONET LNG LIMITED

MODERATOR : M R. SABRI HAZARIKA – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Results Conference Call of Petronet LNG Limited, hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sabri Hazarika from Emkay Global Financial Services.

Thank you, and over to you, sir.

Sabri Hazarika: Yes. Thank you. Good evening, ladies and gentlemen. On behalf of Emkay Global, I'm pleased to welcome you to the Q1 FY '24 post earnings conference call of Petronet LNG Limited. The company will be represented by the senior management led by Mr. Vinod Kumar Mishra, Director Finance, Mr. Rakesh Chawla, GGM and President, Finance and Accounts, Mr. Gyanendra Kumar Sharma, CGM and VP Marketing, Mr. Vivek Mittal, CGM and VP

Marketing, and Mr. Debabrata Satpathy, General Manager, Finance and Accounts.

So, today's session would be a brief on the results and the performance of the company, followed by the question-and -answer round. So, without any further delay now I request, Mr. Vinod Mishra for the opening remarks. Over to you, sir.

Vinod Mishra: Thank you, Sabri. Thank

you very much. I welcome all of you. A very good evening to all of you. So, if you look at the financial results of Q1 2024 . It's during this quarter ended on the 30, June 2023.

The Dahej Terminal has processed 217 TBTU, as compared to 172 TBTU in the previous quarter and 196 TBTU in the corresponding quarter. There is a growth of around 26% as compared to previous quarter and 11% as compared to corresponding quarter. If you look at the overall utilization of Dahej Terminal, it is at the level of 96%, as compared to 76% in the previous quarter and 87 % in the corresponding quarter.

Overall throughput in both the terminals, Dahej and Kochi is to the extent of 230 TBTU as compared to 185 TBTU in the previous quarter and 208 TBTU in the corresponding quarter. So, this is the total utilization level. And overall utilization has increased by 24% and 11% as compared to previous quarter and corresponding quarter.

And if you go to the financial results, the PBT has been INR 1,062 crores, as compared to INR 818 crores in the previous quarter, and INR 937 crores in the corresponding quarter, with a growth of around 30% and 13%, respectively, as compared to previous quarter and corresponding quarter. And PAT has been to the extent of INR790 crores as compared to INR614 crores in the previous quarter and total INR701 in the corresponding quarter. Here also growth is around 29% and 13% as compared to previous quarter and corresponding quarter. And

if you look at the PAT and PBT, this is the highest ever PAT and PBT in the first quarter of any previous financial year as compared to those quarters. PETRONET ._.;..C;.

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So, this is how the company has fared and now, if you look at the total throughput, we have been able to achieve is due to better capacity utilization and efficiency in operations. Thank you.

Moderator: Thank you very much. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Two questions from my side. One was that GAIL in its own analyst meeting a couple of hours ago mentioned that the Dabhol breakwater facility is making progress. Once it is actually completed in the next financial year, they would look to probably divert about 12 cargos to 14 cargos that they now route to the Dahej Terminal. So which translates to somewhere around 1 million tons or so. Do you realistically see this as a threat to your utilization in FY '25, if GAIL actually manages to follow through on this guidance. That was my first question.

Vinod Mishra: You are referring to this press conference or whatever investor meet you must have had with GAIL. Actually, this I cannot comment if they have something in their mind, and they have stated to you. But the only thing I can say that whatever capacity is booked to the extent 2.5 MMTPA and to the extent of long-term contract, they have with us to the extent of the share of around 4.5 MMTPA out of 7.5 MMTPA of RasGas. So that will continue. So, I think there should not be too much of impact because GAIL is already having more cargos in their hand, they can bring more cargos to India.

So as far as our commitment is concerned, it will remain so and perhaps -- maybe that they are taking right now some cargos to Hazira. So, they may switch over to Dabhol because here, the commitment is firm. We cannot say that they will take cargo from here to Dabhol because they have already committed to the extent of 2.5 MMTPA. So that will continue. So, we don't foresee any threat to us. Maybe whatever cargos, they are taking to Hazira or any other terminal, they may divert them to Dabhol.

Probal Sen: Sir, just to be clear, this 2.5 MMTPA you are mentioning is the long-term cargo that they announced on back-to-back with you, correct?

Vinod Mishra: Yeah.

Probal Sen: And what about the regas contracts, sir, how much do they have

been tied-up in the regas...

Vinod Mishra: No, I'm telling you about this long-term contract is 4.5 MMTPA out of 7.5 MMTPA Ras Gas and 2.5 MMTPA, regas contracts with us. So almost, you can say that 40 cargos, they have to bring to our terminal in a year.

Probal Sen: 40 cargos in total, long-term....

Vinod Mishra: Equivalent to 2.5 MMTPA.

Probal Sen: Understood. Right. Thank you for that. Sir, the second question, if I may, was with respect to the petrochemical expansion that you have. Any further updates you can share in terms of where the project is right now, whether we have moved in terms of any milestones finalizing any license or things like that. Can you share any updates on that project? PETRONET LIMITED

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Vinod Mishra: Right now, it has not gone to the Board for approval. So now the consultant is already preparing DFR and other things. So as and when it will come to the Board, then only will initiate the proceeding. But right now, you are right that we are doing some pre-project activities. So that is there. And as and when this license selection is finalized, we'll put up to the Board along with DFR. So that part is may be completed in the next four months, five months, six months maximum.

Probal Sen: So realistically speaking, sir, we can think about going to the board sometime by the end of this financial year or maybe in the fourth quarter, is that a fair way to look at it?

Vinod Mishra: I cannot predict it. It will be too early to say anything, but maybe in three months also it may happen two months, three months or maybe four months. I'm not sure about it, but it will go definitely because EIL is finalizing the licensor selection and if they give the recommendation, then we will start the process for recommendation to the Board through our PAC Committee. So that is there. But exact timeline, I cannot predict right now, but I've told you the maximum time limit is four months to six months, five months to six months, maximum.

Probal Sen: Understood. Thank you, sir. I'll come back, if I have any questions. Thank you for your time.

Vinod Mishra: Thank you Probal. Thank you.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Thank you for this opportunity. I wanted to understand the progress on the take-or-pay revenue that we charge to the customer. I believe, we were pursuing the FY '22 take-or-pay revenues for this realization. So, is there any progress where the clients have recognized and made any payment or commitments?

Vinod Mishra: See, we are trying our level best. We are still making efforts to realize the payments. And we are following up with them and some of the customers have even directed and provided deducted TDS on that. So, we are hopeful that as per contract, it is stable. So, we are pursuing it. As such, there is no other proposal in hand. So as per contract, we are following it up and rigorously pursuing it, so that we can get the realization of entire use or pay charges.

Kirtan Mehta: Sir, in terms of the revenue, you mentioned that some of the customers have deducted TDS, would you be able to give a proportion on which the TDS has been deducted?

Vinod Mishra: I cannot give the names here right now, but...

Kirtan Mehta: Only the proportion or a percentage of the total that we have charged without revealing the names?

Vinod Mishra: Percentagewise, I cannot discuss. But I'm telling you that this is a good sign that somebody has recognized that there is a liability in their books. So, it's a good thing for us that they are in the process of recognizing the liability and that's why they have deducted the TDS. PETRONET ._.C;. LIMITED

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Kirtan Mehta: Right, sir. The second question, I just wanted to clarify

my understanding of your previous

answer to Probal. So, what we are saying is that GAIL has a 2.5 million tons contract with us which includes both service as well as the long-term value and this translates to around 40 cargos that GAIL is bringing.

Vinod Mishra: No. I am just interrupting you, there are two contracts. One is long-term contract against the Ras Gas volumes, which is to the extent of 60% of 7.5 MMTPA that works out to 4.5 MMTPA. So that is a part in which we sale LNG. We are doing back-to-back to that extent of 4.5 MMTPA, which translates equivalent to almost 72 cargos. So that is apart from this 2.5 MMTPA, which is equivalent to 40 cargos. Total 112 cargos, if you look at from these two contracts. And this does not include this ExxonMobil volume, which is also to the extent of 30% of 1.425 MMTPA. So, I'm just telling you in totality, how much is the commitment of GAIL. So, these are all firm commitments.

Kirtan Mehta: Understood, sir. Thanks for the clarification.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Thanks for the opportunity. Sir a couple of questions. First is that on this project expansion of the capacities, can you just give the updates the status of Jetty, tanks, where are we right now?

And there has been some talks in the market that you are not getting the support from the Government of Gujarat, particularly from the Gujarat Maritime Board in your proposed expansion because you require to get that approval. And Government of Gujarat is not giving because there has been a due from GSPC against this take-or-pay contract. Can you just please give any update on the same?

Vinod Mishra: See, all these things, you are just mentioning, I am not aware of those. But what I can say is that progress is well. As far as our capex is concerned, we are going ahead well. And this tank's construction is almost more than 50% complete, maybe by end of this '24, we shall be completing

for the tank. So, I think that's not an issue, capex wise. And the second part is Dahej expansion part. For that also, we are just going to award the contract so that we can just finalize all the case, and it is going on.

In fact, some work we have already started. And of course, these will be awarded, more packages will be awarded. In fact, our consultants EIL is there, who is an EPCM contractor. So, he's doing all the jobs. So, I think there is no hurdle in that, and it will come in time. That part is also to be completed by March 2025, almost. So, it is all well in time. All these, stories are coming up that this is happening, that is happening. It's all not correct. And in fact, whatever is happening is correct and that we are following-up and maybe some delay might be there on one part or another, but it's not because of any other reason.

Maulik Patel: Sure, sir. Got it. Sir, another thing is that particularly on various capex, which you have lined up for the Dahej, this Dahej expansion, which you mentioned is about the jetty, right? and the regas facilities which you need to set up? PETRONET ._.C;. LIMITED

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Vinod Mishra: Yes. In fact, this is the debottlenecking of Dahej plant to the extent of capacity expansion of 5 MMTPA from 17.5% to 22.5%, is one part. Jetty is another part, which is going on separately.

That capex, also we are doing which is in the tendering process. We have yet to award that contract. So that is going on. So, these are two different contracts, expansion and this Dahej third jetty construction.

Maulik Patel: Sure. Sir, just one more question. On the outlook side, if you look at the domestic gas production has increased in the last couple of months because of the Reliance started producing the gas from the MJ field. And the price of the international spot LNG is also lower side, t

here has been an

incremental demand. Where do you see the demand for the country? And this one GAIL, in today's call was very optimistic

that they may finish the year within a 123 MMSCMD volume

compared to the 115 MMSCMD and 116 MMSCMD they have done it for this quarter. So, what is your outlook on the gas consumption and particularly for your volume?

Vinod Mishra: Gas consumption level, I will request our marketing team to say in it.

Gyanendra Sharma : See, gas consumption level is now slowly increasing in the country. And you would see from our result itself, the spot market has become quite affordable and comparable to the long-term contracts. And that is what India has established I think now. And the trends are expected to be in the similar line, and this year, we expect the volume to grow up. Have I answered your question?

Maulik Patel: Partly, sir. Sir, in case of -- just want to do sir, another way. Let's say, there have been some take-or-pay demands which you've asked from your off-taker side, right, GSPC, Torrent, BPCL and others, if the gas demand -- gas price substantially roll over this year, the spot LNG comes down. Do we have the provision that they buy additional cargos -- bring additional cargos and that can be offset against the previous year's demand?

Vivek Mittal: There is no provision in the contract. So as of now, there is nothing of that sort.

Maulik Patel: Okay. Got it. Thank you.

Vinod Mishra: One more, just I am supplementing what Mr. Sharma has just explained. The volume, if you look at last year, you are seeing 120 MMSCMD; it is not correct. In fact, you see the last year actual net consumption, it's 160 MMSCMD. And this month itself, June end, it was 179 MMSCMD. So, the gas consumption is increasing, not decreasing. April, it has been 167 MMSCMD.

Gyanendra Sharma: That number which is spoken was only for the GAIL, the GAIL transmission volume, which was 116 MMSCMD for this quarter of Q1. And it was 180 MMSCMD for the previous quarter of Q4 FY '23. So, it was only for the GAIL and not overall India consumption.

Maulik Patel: Okay. Fine. Then it's fine.

Moderator: Thank you. The next question is from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead. PETRONET ._.C;.

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Varatharajan S.: Thanks for the opportunity, sir. You're referring to the contract, so if you can complete the loop by giving us what are the other contracts and the remaining tenure of some of the contracts, because the long-term contract we are aware of, but like Torrent and even GSPC for that matter, what is the remaining term of that contract and the quantum, please?

Vinod Mishra: See, are you talking about regasification contracts with the customers?

Varatharajan S.: That's right, yes.

Vinod Mishra: So, if you look at the contracts are up to 2035, '36 rather. So, if you look at the regas contracts we have, it is total 8.25 MMTA. If you look at the division, different companies are there, mainly by GAIL, IOCL, BPCL, GSPC, Torrent; and Adani for one year or two years maximum. But other contracts are up to 2036. So that means it's a long-term contract for regasification and that is going, it will continue. It has been a difficult time. If we see the last year, whatever prices have gone to that extent, exorbitant level. This is because of various unprecedented market situations where Russia, Ukraine war has happened. And then before that, there was some crisis also COVID and other things have affected all these things.

So, I think it will not continue forever. So certainly, the situation has started improving. If you see the LNG prices in the market, they have come down to almost USD10 to USD11. So, this is showing that, prices have softened and perhaps this is the reason that, our throughput has increased in this quarter. You see the growth is around

26% as compared to previous quarter.

So, this is only because more cargoes have come, because prices have declined. And because of that, the cargoes are coming to India. So, this is something, which we hope will continue and maybe prices will further come down. So, more cargoes will come.

V Sivasankaran: Just wanted to check, so specific to Torrent and Adani, we were under the impression, this is more like, relatively short-term contract with remaining terms of around like one year, two years.

So, is that correct? Or these are also long-term contract?

Vinod Mishra: No. I'm telling you; you are partially correct. Adani contract is for maximum one year or two years, you are right. But Torrent is up to 2036 for 1 MMTA. Adani is 0.75 MMTA.

V Sivasankaran: Sure. And my second question was about this East Coast terminal. The FSRU market seems to be extremely tight. So, are you having a rethink on the proposal, or would you like to see go ahead with the FSRU proposal?

V Sivasankaran: Yes East Coast terminal will continue; we are firm on that. And right now, we are proposing only for FSRU's base terminal. So, it will continue, but demand will continue. You see India is a country where demand potential is very high. You cannot say the demand is not there.

V Sivasankaran: Fair enough, sir. Yes, I was just wondering because FSRU market is so tight. Are you really in a position to convert it into land-based terminal?

Vinod Mishra: Right absolutely, we are trying to explore it. If we are able to do it in the form of FSRU based terminal, then it's fine. Otherwise, we'll go for land-based terminal. So, both options are open there. PETRONET . _...c;.

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V Sivasankaran: Would there be a big difference in the capex costs in terms of their estimate?

Vinod Mishra: Capex cost is different, no doubt. It's hardly INR2,300 crores for FSRU and for land based, it is almost INR5,000 crores. So, there's capex difference, but then opex will be more in FSRU. So, in a period of five years, six years, it will be almost same both FSRU as well as land based.

So that's not an issue, but we have to see the feasibility because you are right, if market for FSRU is very tight because of European shifting to LNG, and they have taken many FSRUs. So maybe that we may not get a reasonably priced FSRU. Then we will certainly have a backup plan for a land-based terminal.

V Sivasankaran: Sure, sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Hello. Thank you, and good evening. Your other expenses had almost doubled in the first quarter last year. So, can you explain why that has happened? And second, if you can give us the regas margins and the trading and inventory led adjustments?

D Satpathy : Yes, Mr. Ramesh, the other expenses, this time is in line with the last quarter. What are the numbers you are referring to?

S Ramesh: Well, if you look at first quarter of last year, it is INR253 crores and this year it's INR123 crores. So, there's a sharp difference, down more than INR100 crores?

D Satpathy : Yes, the corresponding quarter, there was a forex loss of INR124 crores. So, if you take that out, then the other expenses are in line. And this quarter, there is a forex gain of about INR4 crores. So that is not coming here.

S Ramesh: Okay. So, this quarter, and what about the regas and inventory and trading-related adjustments?

D Satpathy: See, since we had told you in the past that once the prices stabilize and the throughputs start increasing, the trading will definitely be also stalled at certain level. So, this time around, the trading gains are about INR13 crores, and the inventory gains are about INR15 crores.

S Ramesh: And what about regas margin?

D Satpathy : The regas margins are the same. I mean the

throughput, if you see, it is 230 TBTUs. And the

Dahej Terminal has bounced back again at 96% utilization. So that's what we had told that once the prices stabilize in any case, the throughput will come in. We don't -- we would -- we might not need the trading margins and the inventory valuation gains. That was there during the times of distress, when the throughput was lower, and the price was volatile.

S Ramesh: We Understand. You usually give us a regas gross margin. What is the gross contribution, give us that figure for the regas gross contribution?

D Satpathy : So, the regas contribution this time is INR717 crores. PETRONET . _...c;.

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S Ramesh: INR717 crores?

Vinod Mishra: Yes, this is tolling contribution.

S Ramesh: Okay. So, if you were to look at the full year, like last year, you had some adjustments on the take-or-pay. So, this year, if you look at the next four quarters, the overall gross contribution, are we expecting normalized tariff receipts, and we don't expect any use or pay tariffs are already at normal volumes?

D Satpathy : Yes. As of now, it looks like that.

S Ramesh: Okay. Thank you very much, sir. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Sanat Kumar from Value Research. Please go ahead.

Sanat Kumar: Yes. Thank you for providing this opportunity to ask the questions. I have two small questions. One is related to the fact that what percentage of price -- LNG price increase, basically, it can pass through to the customers. And the second question is related to the regasification tariff. So ballpark figure -- average figure for the regasification tariffs?

Vinod Mishra: See, you are talking about long-term contract, then the prices, whatever we get from suppliers that is the entire cost is passed through, including exchange rate variation, everything.

Sanat Kumar: So, everything is passed through?

Vinod Mishra: There is no risk at all, which we are undertaking. So that one part is there. And your next question is the regasification tariff.

Sanat Kumar: Yes. So, the question is related to the regasification tariff, the regas tariff, that average regas tariff that you charge?

Vinod Mishra: So, as regas tariff is there – whether you wanted to know the rate or entire amount?

Sanat Kumar: Not the amount. USD per MMBTU average regas tariff.

Vinod Mishra: In terms of rupees, so, we are charging INR59.0 and The Kochi is INR85.

Sanat Kumar: So, Kochi is INR85, and the Dahej is...

Vinod Mishra: And Dahej is around INR59.

Sanat Kumar: Rupees per MMBTU?

Vinod Mishra: Rupees.

Sanat Kumar: Okay. And another question, which is related to LNG prices. So, given the additional capacities that are coming up internationally on the production side, the LNG production side, do you see LNG prices by the end of this year, will further go down by 50% or on an average? So, I'm not PETRONET LIMITED

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talking -- looking at an exact number, but just a ballpark figure as to how much do you think they may go down?

Vinod Mishra: We cannot predict the LNG market, it's a very difficult thing. So many people predicted last year also, but all predictions have gone wrong. But as of now, it doesn't look as if prices will increase, but they are likely to remain stable at this USD10 to USD12. So, I cannot predict it will down

50% again. So, this -- I don't have any data, but one thing I can assure you that maybe after '26, '27, when more LNG liquefaction capacities are coming maybe to the extent of 150 MMTPA and even more.

So, there is likelihood that this LNG prices will decline after that. But in this market, when the demand supply dynamics are changing day-to-day, I don't know what will happen. But as of now, in the near term, in two months, three

months, four months looks like, it will be in the range of USD10 to USD12.

Sanat Kumar: Okay. So that's what I'm looking at. So, I'm not looking at a great number obviously, nobody can predict that it will roughly remain stable or may go down by some numbers?

Vinod Mishra: Likely to be stable. Yes.

Sanat Kumar: Thank you so much,

Vinod Mishra: Thank you

Moderator: Thank you. The next question is from the line of Niharika from Aequitas Investment. Please go ahead.

Niharika: Hi. Thank you for the opportunity. Can you just brief me on the Dabhol volumes, which we have booked this quarter's yields?

Vinod Mishra: Dabhol, we don't deal, you ask this question from GAIL, we are in Dahej.

Niharika: No. So, because they stopped it and kind of shut down for the monsoons, right, we get their volumes?

Vinod Mishra: We know, not hing like that. There is the only thing that in this monsoon season, they divert the cargoes from Dabhol to Dahej or any other place. So that is happening, but we don't have any data that how much it was diverted. But definitely, they have done because their terminal is closed for the next six months almost until September month.

Niharika: September yes. And my other question would be Government is very aggressive for this connection of Northeast grid to gas grid. So, do we have any workout data that what kind of potential volume can come from Northeastern part because they are very gung-ho on it and the work is going very fast to connect the whole Northeast?

Vivek Mittal: The Northeastern pipeline connectivity is yet to take place. This is Indradhanush pipeline. But Petronet is not in pipeline business, so for us, it is not possible. Definitely, if the new demand comes in, of course, is good from a terminal operator perspective at Dahej. PETRONET LIMITED

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Niharika: Right. I was asking for like overall demand should go up because of the connectivity?

Vivek Mittal: It should go up. Of course, it will.

Niharika: Okay. We do not have any potential worked out basically to the kind of volumes which might come?

Vinod Mishra: As of now, we don't data on that because these are different type of gas, domestic segment and

LNG. So, all those things are to be seen. And if you see for the domestic segment, you see most of the allocation are from this domestic gas, which is available. So, it's not a right question to a person like us because we are in to LNG regasification terminals.

So not much of gas is used in domestic segment as far as LNG is concerned. Most of the gas is used in domestic in that segment. So Indradhanush gas grid is definitely a different venture. And then we don't have any idea of that.

Niharika: Okay. And your outlook on the Europe scenario, what are the reserves there? And because last year, it created a lot of volatility. So, do you have any idea, if you can share something on it?

Vinod Mishra: Volatility cannot be ruled out at any moment of time, but one thing I can say is that looking at the international situation, even Russia, Ukraine war has become almost an accepted thing across the globe and people have taken it as usual. After discounting that also, prices are stable. And because European countries have enough inventory.

So, they are also not doing any panic buying. And that is solace to us also that they are not doing it because they have a storage of almost 84% of inventory. So that is good enough to cater to the winter season, which will be there in the month of October, December and January, February.

So that way, it looks like that prices are likely to remain stable at USD10 to USD12, which is going right now. So, this is a good thing for us, because we have seen that our terminal has also got further volumes because of this stable prices of USD10 to USD12. So, we hope that it is continuing.

Moderator: Thank you. We have

the next question from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question, sir. I have two questions. If possible, can you provide a volume breakup at the Dahej terminal in terms of a long-term, spot and to lling?

D Satpathy: The volume breakup for at Dahej Terminal long term is 90 TBTU, spot short term is 4 TBTU and to lling is 123 TBTU.

Yogesh Patil: Okay, second question, as you indicated in earlier calls about the timeline of extension of Qatar LNG contract beyond 2028. You indicated you will finalize the decision before the end of 2023. What is the update on that side, sir?

Vinod Mishra: Yes, yes. This is very much on time, and we are already engaged with QatarEnergy for the discussion on this subject. And that before December '23, we should finalize it. PETRONET ._.c;.

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Yogesh Patil: So as you say to extend this contract finalization stage is getting very near, can we expect this soon?

Vinod Mishra: These things cannot be this is very near or how far it is, that is going on. And target is very clear before December 2023, we will finalize and sign this contract.

Yogesh Patil: Okay. Okay. So next one, considering the upcoming huge LNG export capacity additions in the next three years to four years? Are you planning to enter with a separate LNG purchase contract with other global suppliers?

Vinod Mishra: We are definitely exploring all the possibilities. So, we have some volume -- throw some volume from international market. But at the same time, we are cautious because if you see the market, it has been tight and in such tight market, you will not get the right price. So, this is one of the deterrents which is there, and that's why we are very cautious, because nowadays, if you see the contract, we are at a very high flow in the international market.

So, because the availabilities demand supplies back to back and that's why the suppliers are now looking forward to have some higher scope for the LNG pricing. So, that way, we are very cautious. So, we will definitely look for it, but at the right price, so that is always going on and our current concern is only with the extension over RasGas contracts, which we hope will be done by the end of the year.

Yogesh Patil: Okay. And last one from my side, sir. In the next two years to three years, our regas capacity will touch 22.5 MMTPA. Any update on new capacity tie-up with the off takers for the long term?

Vinod Mishra: Expansion, we are looking forward. We are open and we are in talks with the off takers, they should book some more capacity in our terminal because we are putting up this terminal.

Yogesh Patil: So, are you in discussions with any off takers?

Vinod Mishra: We are discussing, but we cannot discuss all those things, which we have not finalized. We are in discussion. And certainly, this is open to others also who want to book the capacity in terminal. Certainly, this will happen, but this is going on and it's a process maybe we will find customers very soon.

Yogesh Patil: Okay. And lastly, sir, if possible, can you share what is the June -- sorry, July '23 utilization rates for Dahej, if possible?

Vinod Mishra: Right now, we cannot discuss all those things. Next quarter, we will discuss July, August, September, all three months. Right now, we cannot discuss. It's all taken together, we take it.

Yogesh Patil: So, is it higher than 96% what it reported in the quarter first FY '24? or is it lower? Can you indicate something?

D Satpathy : Yogesh, actually we will not be able to discuss it . You might take the PPAC data and look at it.

Yogesh Patil: Okay. Thanks a lot, sir. PETRONET . _...;c;.

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Moderator: Thank you. The next question is from the line of Darshan Gandhi, an INDIVID

UAL investor.

Please go ahead.

Darshan Gandhi : Thank you so much for this opportunity. Just wanted to ask the management with respect to the dividend policy because the last two years I have been observing the total dividend outflow was INR11.5 per share. But this year, the cumulative outflow is INR10. So, is there any change in the dividend policy or is the management looking for some other growth opportunities on account of which the dividend is being reduced?

Vinod Mishra: No, this is not the case. 100% to 115% is fine because it's a good dividend if you are giving 100% to the paid-up capital. So, it should not be conceived that this should not be seen as if we are trying to reduce the dividend to the shareholder. There is no change in the policy, which is very much there, and we'll try to continue to pay at least 100% dividend on the paid-up capital in future as well. This is our endeavor, and there is no change in the policy.

Darshan Gandhi: Okay fair enough sir. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Megh Shah from Prospero Tree. Please go ahead.

Megh Shah: Yes, sir. Am I audible?

Moderator: Yes, you are audible. Please go ahead.

Megh Shah: Yes. Can you give us the breakup of the trade receivables, like the pending user pay charges like which party is pending like what amount?

D Satpathy : You are asking about the use or pay charges only, right?

Megh Shah: Yes. Yes, user pay charges.

Vinod Mishra: Yes, for contracted year 2022 GSPC INR285 crores.

Megh Shah: Okay.

D Satpathy : The total of INR843 crores basically the outstanding. Do you need to breakup, right or you need only total figure?

Megh Shah: No, no, for the calendar year '22, each party breakup?

Vinod Mishra: Yes, GSPC INR285 crores, BPCL INR26 crores. Torrent Power Limited INR179 crores. IOCL INR227 crores and ATPL that is Adani Total INR125 crores.

Megh Shah: Okay. So basically, the promoters are supposed to pay to the company itself, right like most of the user pay charges, like IOCL are all promoters as well and they are the clients as well, customers as well. So, why are the promoters not paying to the company itself, like if we see the funds are pending from calendar year '20, '21, '22, so three years, and we are in calendar year PETRONET . _...;c;.

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2023. So, from three years the funds are pending. So, it's very like -- it gives a very negative signal to other customers and to the market generally?

Vinod Mishra: It's not like this. You are wrongly saying that it is pending for the three years. If you look at the use or pay charges for calendar year 2021. It is charged only in the month of January 2022; means for the entire calendar year of first time we charge it in '22. If you see it is on 1.5 years. And if you look at this 2022 calendar year, they have been booked in January 2023. So, like that, it is going on. It's hardly four months, five months, six months delay is there, but we are definitely on discussion with them. And this is going on. It's a process that we will try to recover as early as possible. But only thing that there has been some difficult situations in the past, which nobody can rule out. But still, we are hopeful because as per contract, these are payables, so it should be paid by them. So, it is only 1.5 years since first time we have booked the use or pay charges.

Megh Shah: Okay. Got it. Any expected timeline till when the funds will be received?

Vinod Mishra: See, we expect it as early as possible within this financial year, at least we expect it.

Megh Shah: In this financial year, so what are the chances that they will be received in this financial year itself, if you can give an idea.

Vinod Mishra: Chances, nobody can predict. You see, I cannot predict it when I will get it because it is the discussion, it is a mutual discussion going

on. So, once this settled, it will be known to you, there is no timelines as such to that when it will be received.

Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So, in Kochi, last year, the high gas prices was reducing the uptake from your end customers. Now with the prices coming down, do you see any increase in the consumption in the LNG from the Kochi terminal and what is restricting the increase in the utilization rate because the volume is flat. So, if you can give us some sense in terms of what is the kind of demand you are seeing for gas for Kochi terminal. How do you see it increasing once the Kochi-Bangalore pipeline is ready?

Vinod Mishra: Yes. first question is regarding the utilization of your Kochi terminal, because last year, as you very well know that some customers stopped taking gas because gas was very costly. But now they are return ing to utilization of gas. And perhaps we hope in next 5 to 6 months, they will start taking in full volume. And another part you have asked is regarding connectivity from Kochi to Bangalore. So, that is going on and we have been given assurance by CMD GAIL that it will be completed by November 2024.

So, then there will be more utilization of the terminal because many industrial markets will be there between Kochi, Bangalore, like Coimbatore, Salem they will be having some demand and apart from that more CGD business pipelines are being laid as CGD entities are coming up in that area. So, perhaps that will further enhance the consumption level of Kochi Terminal. So, PETRONET LIMITED

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this is how it is taking shape, and we hope that further softening of prices of natural gas to further promote the usage of our Kochi Terminal.

S Ramesh: Can I squeeze in one more thought. What is the latest thinking on biogas and LNG in heavy truck segment, any progress on that?

Vinod Mishra: So that part, I think we are already constructing 4 LNG dispensing stations, and that are ready.

And I hope that very shortly, they will be starting, but only thing is that because of high LNG prices in the recent past, this progress was a little bit delayed, but now prices are coming down. So, we hope that this segment can further take shape and perhaps more and more people will come, in this segment more conversion will happen, because we have started constructing 4 LNG dispensing stations in Southern India and they are almost completed.

The only thing we need is the approvals and other formalities are to be completed and with one of the OMC's we have installed these 4 locations. So, let us see how people take it, because we have to experiment it first there, and if it is found useful then perhaps it will be replicated at other places also, and we will install more LNG stations. And further oil marketing companies are also doing same thing. They are also installing some stations. So, I think this is how it is going ahead, but, of course, because of LNG prices in the past one year and this segment was not going as fast as it should have gone.

S Ramesh: Okay. Thank you very much.

D Satpathy : Okay, operator can we close the call.

Moderator : Yes, sir we can go ahead. We have one last question in queue. Sir, would you like to take that?

D Satpathy : Yes, yes please continue.

Moderator : The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.

Please go ahead.

Sabri Hazarika : Yes, sir, we're just ending that call only. So, I think thank you so much for this for the call and the insights on the results. And congratulations on a good set of numbers for the quarter. Sir, I just have this bookkeeping question regarding, I think, the IndAS numbers and also the Gorgon volumes in Dahej. So, can you please give me that and then we'll end it?

D Satpathy : Yes. So Sabri,

the Gorgon volumes at Dahej is 4.5 TBTU.

Sabri Hazarika : 4.5, right?

Vinod Mishra: Yes.

Sabri Hazarika : And what would be the IndAS numbers for the quarter in terms of gross profit?

D Satpathy : INR159 crores positive at gross margin level. Then forex gain is INR4 crores.

Sabri Hazarika : Forex gain of INR4 crores okay. PETRONET LIMITED

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D Satpathy : And INR8 crores positive at other expenses level.

Sabri Hazarika : Okay and depreciation interest?

D satpathy : Then depreciation INR83 crores and interest INR71 crores

Sabri Hazarika : Okay, sir. Thank you so much and all the best on behalf of Emkay.

Vinod Mishra: Thank you Sabri, without your question, this conference was not complete. As you have rightly asked the question, now it is complete.

Sabri Hazarika : No, so I think better questions asked before. Thank you so much. So, any closing comments?

Vinod Mishra: Yes, the closing comment is that what we are doing now, we're seeing that we have done well this quarter. And we hope that this second quarter will also be very good because as you know that whatever we are doing, we are doing our best to enhance the utilization level of our terminal, but it is further supported by the declining LNG prices. So, we hope that if these prices will continue, we certainly will again raise the level in second quarter and will show good results in the second quarter also.

So, this is how quarter-on-quarter, we are taking up this business. We don't predict for the entire year. We see first quarter and with the second quarter like that, we are doing all the efforts how to enhance the profitability.

So, your trust and shareholders trust in us, that is very primary, and

we make all efforts to increase the profitability of the company as far as possible. That's all from my side.

Sabri Hazarika : Thank you.

Vinod Mishra: Thank you very much.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference.

Thank you for joining us. You may now disconnect your lines. PETRONET ._.c;.

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Call: Nov 2023

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CS/PLL/LISTING/ Reg-30/2023 Date : 10th November 2023

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of Analyst/ Investor Meet held on 03.11.2023

Dear Sirs/Madam,

This is with reference to our intimation dated 31

st October 2023 and 3rd November 2023 intimating

holding Analyst s/ Investor Meet of the Company scheduled on Friday , 3rd November 2023 at 4:00 PM (IST) and uploading video recording post Analyst s/ Investor Meet respectively.

In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex- 1.

This is for your kind information and record please.

Yours faithfully,

(Rajan Kapur)

Company Secretary

Encl: as above

Transcript of Investor / Analyst Meet

Date: 3rd November 2023

Time: 16:00 Hrs IST – 18.00 Hrs IST

Mode: Virtual (Microsoft Teams)

Moderator : Respected and esteemed investors and analysts, the distinguished MD and CEO, Shri A.K. Singh ji and Director Finance, Shri V.K. Mishra ji, a very good afternoon to all of you. We extend a warm welcome to all , to the Virtual Investors and Analysts Meet. It is an honour to have your esteemed presence today. In attendance, we are privileged to have the key members from our management who are here to engage with you and provide valuable insights.

Shri Akshay Kumar Singh ji, MD and CEO,

Shri Vinod Kumar Mishra, Director Finance,

Shri Rakesh Chawla, Group General Manager and President of Finance,

Shri Debabrata Satpathy , General Manager Finance and

Shri Abhishek Kumar, General Manager, Business Development.

Before proceeding further, the audience is advised to kindly read the disclaimer. I will read the disclaimer for you. 'The meeting is intended to give update about the company and its initiatives and is not intended to share unpublished, price -sensitive information in the meeting. Any information shared in the meeting should not be taken as being a representation about fac ts and projections or

Annex-1

promise of performance, whether financial, operational or otherwise. Nothing shared in the meeting should be considered as an invitation to transact in our securities or an offer of our securities. You may determine that such information may be regarded as forward-looking, but we make no assurance about any projection, extrapolation or interpretation of the same that you may make. The information contained herein should be treated with utmost confidentiality and not used for any other purpose. You are advised to obtain legal advice on the nature and character of the information and on implications of being in possession of the same'.

Once again, we welcome you all. Now I would request our MD & CEO Sir, Shri A. K. Singh ji to kindly present the opening remark.

Over to you, Sir.

Mr. A. K. Singh, MD & CEO: Dear investors and analysts, Good evening.

My greetings to all of you and I welcome all of you on this meet. Let me first apologize for the delay because of some technical glitch in initial start of the meeting. As you are aware that Pe

tronet LNG is

primarily in the business of LNG sourcing and regasification. Petronet LNG has two regasification terminals, one at Dahej and one at Kochi. Dahej terminal, which is at present 17.5 MMTPA capacity, is considered as the world's busiest LNG regasification terminal and presently it is running almost at its full capacity. During the last 17 years, consecutive years PLL has been paying the dividend to all its shareholders. I would like to highlight that both the terminals, that is Dahej and Kochi terminal, have been proud recipient of British Safety Council's five-star rating in occupational health and safety for 2023, becoming the only LNG terminal in India to achieve this feat. Both these terminals achieved this distinction in their maiden attempt in July 2023. This achievement reflects a strong commitment and focus of the company management towards health, safety and well-being of its employees and other stakeholders as well as the overall sustainability of the organization. Keeping in view of expected growth in demand of LNG, PLL is preparing itself to be future-ready. It is undertaking various expansion projects along with charting significant diversification plan to usher into the next level of growth. As a part of that, as you are aware that board of director of Petronet LNG in its meeting as on 30th October 2023 has approved investment in petrochemical project with a cost of Rs. 20,685 crores. The project consists of PDH, that is propane dehydrogenation to produce the propylene of 750 KTPA, the polypropylene of 500 KTPA and ethane and propane storage and handling facilities at Dahej, Gujarat. The approved PDHPP petrochemical project is being developed as an integrated project with existing LNG terminal at Dahej. As you are aware that as a part of expansion plan of our business, Petronet is executing the development of third Jetty at Dahej, which has a unique feature of handling LNG, Propane and Ethane. This project is under execution phase and is expected to be completed by 2025-26. Also, as a part of expansion project, Dahej terminal is being expanded from 17.5 MMTPA capacity to 22.5 MMTPA capacity and it is expected that this expansion will be completed by March 2025. Petronet is also at advanced stage of completion of construction of two LNG tank at Dahej, which is targeted to be completed by May 2024. Also, PLL is executing a FSRU-based 4 MMTPA capacity LNG terminal in the east coast of country at Gopalpur. Apart from these expansion projects already undergoing, these petrochemical projects, which has been integrated with our existing LNG terminal at Dahej, is based upon the feedstock as propane. As we know that for conceiving any mega project, there are certain essential requirements and feed is one of the main requirements that if the feedstock is available at reasonable cost and handling and storage, it gives lot of comfort for execution of the project. This Third Jetty, which will have a propane handling facility and propane being the main feedstock of the PDHPP plant, the control of the feedstock will be exclusive under the PLL and we will have a much ease of operations and optimizations of our operations through the third Jetty. The main product of this petrochemical project is propylene, polypropylene, hydrogen is the by-product and also we envisage that we will be handling ethane and propane or tolling and the services provided to the third party. This project is not only the polypropylene project, it has a major facet of different businesses included in the overall project. The PLL is in possession of 47.7 hectares of land adjoining to our existing energy terminal, which is already developed, graded and boundary wall completed. The first in the country and probably maybe in the world, the cold energy of the LNG is planned to be utilized in the petrochemical complex for improving the overall economics of the complex. The existing

manpower of the Petronet at Dahej, which consists of almost more than 100 chemical engineers, degree holders and even the diploma holders will be gainfully utilized in this petrochemical complex because it is an integrated project. The PLL expertise in upstream sourcing, particularly LNG, will be very much handy for sourcing of upstream propane or even for ethane. The best part of this location of project is that the ecosystem in Gujarat is very, very conducive to execute the project on time. Pre-project activities have been already undertaken and we are very confident that all the statutory permissions will be placed on time and it will not be a hurdle for timely execution of the project. The raw water and the arrangement of effluent treatment and discharge has already been secured. I would like to just share a few highlights of the projects. I am quite conscious about not sharing the UPSI information, but I think these are the general in nature and we have already shared that the total

project cost is of 20,685 crores, which includes all the soft costs like IDC, escalation, contingency, margin money, everything has been appropriately factored into the total overall project cost. The overall project cost is targeted to be completed in four-year time and capital will be phased out during the execution of the entire duration of the project. The project has been conceived based on all the parameters for any projects which is set by our board and it envisages to get better than the company benchmark of 16% of equity IRR. Availability of cash reserve with the company will meet our equity obligation. Our project cost is benchmarked with similar type of project in country and estimates have been worked out very realistically. The project management and monitoring system and mechanism will ensure that there is no time and cost overrun for this project. PLL has considered historical pricings of products and feed while evaluating the projects and to the large extent the price risk including volatility has been taken care while evaluating the project and at the time of approval of the project. As far as the demand of polypropylene is considered, before conceiving the project, a thorough analysis and the study was undertaken to establish that what is the down the line when the project is completed after four years, what are the plants coming in the country, how the requirement of product is growing in the country and what is the demand supply gap. I would like to share with you all concerned about the demand supply gap. We established that by the time our project is completed, we will be able to meet maybe less than 10% of demand supply gap and still there will be a scope for many P P plant to come in the country. There is a sufficient demand and we don't foresee any headwind related with the demand in the country for the polypropylene. As far as the sale of the propylene and hydrogen is concerned, we have already secured the demand and we are confident that there is no risk related with this proposal. So far as the ethane handling is concerned, we have established that in the country there is a huge demand of ethane and there is a limitation of handling and storing. And Dahej terminal being well located, this will be a major game changer in the country where we ensure the sufficient availability of ethane and we don't foresee any risk related to utilizations of ethane facility being developed at Dahej. Coming to the funding and the rating side, PLL enjoys the best domestic and international credit rating. Both ICRA and CRISIL have rated PLL as AAA stable whereas Moody's has rated Baa3 which is equivalent to India's sovereign rating. Looking into balance sheet of company, the project can be easily financed. So, with these initial remarks, I think we expect that there should not be any apprehension in anybody's mind on the project. Techno commercial viability which has been thorough

ly analysed, debated and then this decision has been taken at the highest level of the company by the board. Thank you very much and we are happy to take any questions, any query related to this project or any other business of the company.

Moderator : Thank you so much sir. Before we proceed with the Q&A session, with all your permission, I would like to share few guidelines to make this Q&A session truly fruitful and beneficial for all. Kindly use the raise hand feature or chat function to indicate your interest in asking a question. I will call on participants in the order in which they indicate their desire to speak. I humbly request to kindly provide your introduction before the question. Please limit yourself to one question per turn to ensure that all our esteemed guests receive a chance to participate. Kindly keep your questions concise and to the point. We are now open to questions and we will begin with Mr. Amit Murarka. Sir, kindly unmute your mic and proceed with your question.

Mr. Amit Murarka, Axis Capital: Hi, good afternoon. This is Amit Murarka from Axis Capital. So, just the first question is like, can you just highlight the quantum of synergies that you see between the LNG and the Petchem? I mean in amount terms, rupees, crore terms, if you could just highlight and where do they come from?

Mr. A. K. Singh, MD & CEO: So, as I shared in my initial remark that this project is an integrated project with the LNG terminal. It is not a pure greenfield isolated project. For any project of such size, the feed and the product is a very important part of locating the plant. If you see that propylene and hydrogen, these are almost one third of our products. Consumers are just in the nearby area.

Mr. Amit Murarka, Axis Capital: What is the synergy, Sir, with the LNG? I understand the location part, but like as an LNG company, what is your synergy when you do this project is what I wanted to check. And also, if you would quantify it in rupees, crore terms, let's say 50 crores will come from this area or 100 crores will come from this area and the operating cost savings part, just like that I meant.

Mr. A. K. Singh, MD & CEO: See, synergy is that this is a part of diversification. Definitely it is not a LNG. But since LNG is energy, right? What is the LNG? LNG consists of methane, ethane, propane, right? Propane is one of the constituents of the LNG. Methane is one of the constituents. Right now, we are sourcing the rich LNG where we are extracting ethane and propane from the LNG at nearby ONGC plant and that ethane and propane is being supplied to the petrochemical plant. So, for any petrochemical plant nowadays, hydrocarbon, the feed, whether it is a naphtha base or it is an ethane base or it is a propane base. So, ours is a propane based petrochemical plant. Now propane is already we are handling. It is a co-mingled form. Now it is a separate one. Second part, the huge cold energy of the LNG, that is -160-degree temperature, is being wasted when we heat up and make it gas. And when you conceive a petrochemical complex, you need a refrigeration system where you have to cool down to separate propylene and hydrogen. So, you need a huge energy to refrigerate the outcome of the reactors and that is being substituted by the cold energy of existing LNG plant, which is wasted. So, this is gainfully utilized in the petrochemical complex. If you ask the exact economics and detailing

that I may not be able to, but I can definitely say that two major things of the LNG synergy is the third jetty. Third jetty was conceived for handling the LNG cargo. We are expanding the Dahej terminal from 17.5 to 22.5. So, we need jetty. When the jetty was conceived as a part of the LNG jetty, the propane and ethane handling has been conceived, which is unique. Nowhere in India will find these three things is handled on one jetty. So, this is making the synergy of hand

ling of the feedstock. Also, the cold energy integrations and to the large extent various utilities, which are available at our existing LNG terminal will be properly utilized in this petrochemical complex. So, there is a huge synergy and that is the technical part. I would not like to go into detail on that because it is a long explanation that what is the real advantage of integrations of the existing plant. So, to some extent I have clarified you.
Moderator : The next question is from Prabal Sen ji. Sir, kindly unmute your mic and proceed with your question.

Mr. Prabal Sen: Thank you for the opportunity and thank you for hosting this call. Sir, I had a very basic question and please forgive me if the calculations seem too simplistic. Our understanding is that if I look at 21,000 crores of investment, very simplistically to make a 14% pre-tax ROC, you need to basically make on a 0.75 million ton of sales volume, which is the capacity of the plant. Somewhere around \$650 a ton of EBITDA is what needs to happen. Now I understand that as you mentioned in your opening remarks, this is not just a straight petrochemical plant in the sense that you will have 0.75 million ton of product sale via propylene and polypropylene, plus you will have some hydrogen sales as well as ethane and propane tolling. But just to give a context, the way we have seen even for the largest integrated petrochemical player in the country, EBITDA per ton today is at about \$250 to \$270 a ton. So, just kind of wondering where the optimism is coming from in terms of the fact that we can make the EBITDA. To put it in another way, can we get a sense of this investment broken down into various components? You mentioned of course about margin money and some of the other costs in the result call as well. But some breakup of why it is costing 21,000 crore, just to get a sense of where the EBITDA breakeven is in terms of per ton.

Mr. A. K. Singh, MD & CEO: See, when I say this 20,000 crore is the total project cost, what does it include, I already mentioned to you. When we execute the project in a four-year period, there will be some dollar appreciation, depreciation, escalations. All those factors have been taken into account for CAPEX calculations. It doesn't mean that exactly we are going to incur that expenditure. This is an estimation on assumptions. Now, whatever the best assumptions anybody does in the country, any consultant, they do the estimations based on accuracy level of plus minus 10%. Based on their capability, it could go minus 10% also. That is the reason we say plus minus 10%. We never say always that it will be more than that. All it depends on how you efficiently execute the projects. What are the geo-political situation when you are executing the projects? Many a times that also external factor make impact on your overall assessment. But as on today, the DFR, that is the Detailed Feasibility Report, which has been prepared by our PMC consultant, they did a lot of analysis to arrive at the reasonable CAPEX and OPEX of this project. First and foremost, requirement is that you have to have clarity on the technology which you are going to use. Unless and until you have a technology clarity, you will not be able to do the proper assessment of the projects. So, as a part of the exercise, all this detailing of the technology selections, their costings has been taken into account. And thinking into all the uncertainty factors, when you do the project sensitivity and analysis, you consider many factors which goes against you. But you never consider what are the factors which will be in your favor. You can list out many factors which can improve the financials of the projects. But always when the management take a call and approve a project, they analyze the worst-case scenario. If anything goes against your assumptions, still this project should withstand. And I can say with conviction

that all this due diligence has been carried out. All the sensitivity has been carried out. And against all odds, this project stands, is beneficial. That's why this project has been approved and we are proceeding for execution.

Moderator : We move forward with the next question. I would request S. Ramesh Sir to kindly unmute your mic and proceed with the question.

Mr. S Ramesh: Good evening, gentlemen. Thank you very much for taking time off and thank you for taking us through the project details. So, just a couple of questions. One is, can we get some insight in terms of where you're sourcing the propane and ethane from and what will be the benchmark pricing based on which you will source that? The next thought is, can we have some idea in terms of the fixed operating costs for the propylene-polypropylene unit and the ethane-propane tolling units? And a third question, if I might squeeze in, if you look at China and the rest of the world, there's a certain amount of capacity they have based on propane dehydrogenation to propylene and polypropylene. Although it's something like 10% of the overall capacity. So, in terms of the regional and global demand and supply, at this point in time, there seems to be some challenge on the spreads. So, how do you see the regional and global demand supply for propylene and polypropylene and the relative movement of propane prices compared with propylene prices and polypropylene? Because they have different factors and dynamics in terms of each independent market moving separately. So, if you can take us through your thoughts on this, we will be grateful.

Mr. A. K. Singh, MD & CEO: Yes, good question. First of all, I would like to share on the availability of propane and ethane in international market. When we did the analysis before conceiving the project, that is the first thing you must do the due diligence on where from the propane and ethane will be available, how much quantity is available, what is your requirement. Predominantly, the ethane is being sourced across the world from the US. They have a huge capacity to supply. There is a huge demand supply gap, even if you go up to 2030, the supply is much more than the demand. So, there is no dearth of the availability of the ethane in the US because of the shale revolutions and some local requirement of removing the heavier hydrocarbon from the natural gas to transport through the pipeline. So, it becomes a byproduct for them and they even sell lower price than even the LNG. So, we are getting the ethane and propane in the rich LNG, but you can get even the cheaper than the ethane and propane when it is stripped out, particularly in the US. So, that is the first part that we looked into that what is the availability and what is the price level. I think Mont Belvieu that index is used for the sourcing of the ethane and we are already in the country ethane is being sourced. I think everybody will be aware about the ethane coming to the country. So, we don't see any reason that ethane sourcing is a challenge. Coming to the propane, as we know that our country almost imports 50% of LPG, that may be in the tune of 14 -15 million tons per annum. And what is LPG? 50% propane and 50% butane. You can say the country is already having a well-established import mechanism to handle 7 -8 million tons of propane. And our requirement of propane is around 1 million tons because 750 KTA that is 0.75 MMTPA is the product requirement. But we need more volumes for the feedstock. So, predominantly the propane is being sourced from the Middle East. And they have that Saudi CP indexes is being used by various importers in our country for sourcing the propane. But nevertheless, there are other suppliers also available. It is not that only the Middle East, even the US is also equally competitive if you go for the mid-term or long-term sourcing. So, that propane and ethane availability

and the sourcing is not seen as a challenge. But definitely, the ethane shipping is some challenge that we need to take on time decisions so that by the time the project is completed, the ship is available to bring that. And we have realized that sufficient time is available to arrange for the ship so that when the project is completed, that is not the constraint. Now, I think you wanted to understand the economics of this project. See, it is not simple. Definitely, it is not a PP plant. I wanted to convey that it has many other ingredients mixed up. And at definitely appropriate time, we will share through the proper mechanism. I am slightly concerned about UPSI, somebody should not say. But I have all the details available, which I can very well convince at any forum that the project financials are very, very good. That much I can confirm.

Mr. S Ramesh: I understand that from a project perspective, I understand that. But if you can't share the operating cost, fine. But in terms of demand supply, you must appreciate. We just look at the Indian demand and supply to get attractive. But globally, just about a couple of years ago, China apparently was making negative margins on PD, propylene dehydrogenation projects. So, if you look at the regional demand and supply and the global demand and supply, if you can share how the operating rates will move for propylene and polypropylene, that will give us some sense in terms of the comfort you are drawing. Because at the end of the day, the pricing will be benchmarked to regional and global pricing. Even if the Indian demand supply is tight. So, that is the sense I wanted to get. If you can share that, I would welcome that.

Mr. A. K. Singh, MD & CEO: At present, it is in the public domain. Almost 80 million tons of polypropylene is being consumed across the globe. Now, India is consuming around 6 million tons. This is in the public domain. You can refer it. 6, 6.1, 6.3 something polypropylene. Sorry, not propylene, polypropylene. Now, the demand projection, you will get a lot of analysts report that global growth of PP, polypropylene is projected around 3.5%, 3.6%, 3.8%, something like that. But India, it is projected 10 to 11% CAGR. Why? Because our consumption is almost total plastic. If you take the whole kitty, including the polyethylene, PVC, polypropylene, all combined, we are at one third. India, like we consume one third energy. Petrochemical also we consume one third. And see our economic growth and our population. Definitely, India growth will be much higher than the global growth. All forecasts are in that line. That gives the confidence that India has a great appetite. Or as we say that 3 trillion will become 5 trillion and by 47 it will become 30 trillion. And it is our highest GDP in the world. So, there is no reason we should be pessimistic about the growth of the demand. And all indications are there that petrochemicals demand will be much higher than the global growth. So, still whatever has been conceived, the projects, will not be able to meet the growing demand of the country. There will be some more projects coming. It is not that this is the end of the projects and people are not thinking of that. So, we are convinced that gives us the confidence that demand will not be the challenge. Definitely, execution of project is a challenge. We take the challenge. Definitely.

Mr. S Ramesh: In your considered opinion, you are saying even if there is increase in supply, the growth in demand will take care. And you are confident about maintaining the spreads required to generate the kind of returns you are expecting. Is that a correct interpretation?

Mr. A. K. Singh, MD & CEO: Right, right, right.

Mr. S Ramesh: Thank you very much and wish you all the best. I will come back to the queue.

Mr. A. K. Singh, MD & CEO: Thank you. Thank you.

Moderator: Proceed with the next question from Mau

lik Patel. Sir, kindly unmute your mic and proceed with your question.

Mr. Maulik Patel: Thanks for the opportunity. Sir, apart from this, let us say you start the construction around by the end of this financial year and it will take 4 years. The project will commission sometime in, let us say, 2028. What we historically have observed that such kind of a large project will take another 1 or 2 years for stabilization. Now the challenge comes that even currently the BPCL has a Kochi project, Kochi Pet C hem project. They are struggling to get the utilization of 100% even after 1 year of the commissioning. The concerns come up is that one, is that your stabilization beyond the commissioning phase of 4 years will be there for another 1 or 2 years. And number two, currently you are an annuity driven company where you get a 5% escalation every year in your Dahej and enter the Kochi in future. And also the volumes and the price is largely not there. In future, you will become a part of the global Pet C hem where the volatility will be there in the spread. Plus, you will have a significant debt on the books. The concerns of the investors come from the fact that steady earnings will become highly volatile going forward.

Mr. A. K. Singh, MD & CEO: Thank you for this question. First of all, for any process plant project, when we do the DFR, we have to assume the capacity utilization in different year. This is based upon the previous experience of similar type of project that has been taken into account. So, let me clarify that it is not that day one we are telling the 100% capacity utilization is happening. So, we have taken into account while analyzing the financials of this project for the revenue generation. Second thing that regarding the pricing, crack, volatility, stable business, I would like to share that, this is a, PP is a commodity. So, for any commodity business, there is a cyclic nature of the pricing. Never ever the fixed pricing mechanism exists. But when you analyze and conceive a project, you go on the historical data, not on the future. Future is not, best of the analysts cannot project what will be the price of the crude next year. It is very difficult. So, whatever has happened during last 3 years, 5 years, 7 years, 10 years, you look back and analyze. And then you take a call. So, like any project which is conceived in the country, we have gone through the same processes of conceiving the project based upon the historical data of all aspects of the projects, not one. And that gave the confidence that this is a good project. And we can say with full confidence that once this project is completed, which will take at least 4-year times, which we have conceived from day 1. From today you can say or 3 days back you can say the 4-year time cycle has started. So, the timeline is that by October 27, the project is targeted to be commissioned. It is not that mechanical completion, it is commissioning. And we are quite confident that we will be able to achieve this time cycle. There are various reasons to believe that. Unlike the other projects, you mentioned that the Kochi project. I know, I am aware about the many projects. Why does the project get delayed? What is the reason? There must be some reason of delay in the project. And those things need to be arrested on time. The decision has to be taken on time. And a lot of positive things in this project is there. That's why everybody is confident that this project will not have any delay.

Mr. Maulik Patel: Sir, just last question. Will you set up an SPV for this project or it will be part of a Petronet standalone company only?

Mr. A. K. Singh, MD & CEO: As of now, it is a Petronet. Nothing other than Petronet has been conceived.

Mr. Maulik Patel: Have you thought about partnering with any of the PSUs other for this project?

Mr. A. K. Singh, MD & CEO: Right now, no.

Moderator: Thank you

so much, Sir. We proceed with the next question from Sabri Hazarika ji. Sir, please unmute your mic and proceed with your question.

Mr. Sabri Hazarika: Yeah, thank you. Am I audible?

Moderator: Yes, Sir. You are audible.

Mr. Sabri Hazarika: Yeah, so, Sir, just a few questions with respect to Unit economics. Firstly, how much propane would be required to run this plant? I think 750 is the product capacity, but how much propane import will happen for this?

Mr. A. K. Singh, MD & CEO: I think around 15% more. I am not very specific on that. Then what is the final product? In PDH technology, it is also in the public domain, the conversion of propylene is very high. In no other technology, almost 85% of propane is converted to propylene. And 15% is different, off-gases, hydrogens, other things are there. But all are valuable and all are effectively utilized in the plant. So, 85% conversion of propane into propylene is one of the unique things of this technology, which is called on-purpose technology. If somebody wants propylene, they consider this is the best technology. If you go to any other naphtha cracking, you will get very small percentage of propylene. If you go FCC process in the refinery, you get very less quantity of propylene. If you want more quantity of propylene, I think PDH is the only option to give the high conversion.

Mr. Sabri Hazarika: The second question is, you are not giving any indication of the operating fixed cost and also the EBITDA per metric ton, right? Are you giving any guidance for that? Or even the EBITDA margin for that matters on a percentage basis?

Mr. A. K. Singh, MD & CEO: We have all the details available, but I would not be able to share here. Only thing I can give you confidence that all aspects have been thoroughly analyzed before taking these decisions. And definitely all parameters are above the set target to conceive any project. That much confidence I can give you.

D Satpathy : Sabri to add to that, right now, though all the numbers are there, but right now there are certain sensitivities. That's why we are not able to give the numbers. As and when the time comes, we will share with you the relevant numbers as will be relevant during those times.

Mr. Sabri Hazarika: Right, sir. And you just gave that 19% will be the project IRR, is that right?

Mr. A. K. Singh, MD & CEO: I think we have not. But if you have come across from somewhere.

Mr. Sabri Hazarika: I thought in the media report, I think it came. But yeah, but officially it's not there, right? Officially you are not disclosing any numbers, right?

Mr. A. K. Singh, MD & CEO : I can say it is above the hurdle rate, but what percentage of the hurdle rate that we are not informing you. Our requirement is that equity IRR should be more than 16%. It is above that. This is the benchmark figure for a company conceiving any project.

Mr. Sabri Hazarika: Okay, the equity IRR of 16% could be like project IRR of 12%, so that is the right number.

Mr. A. K. Singh, MD & CEO: No, no, no, I am not telling that. 12 or 19, I am not telling what is the IRR of this project. I am telling that our company benchmark for conceiving any project is that equity IRR should be above 16%. And this project qualifies for that. How much above, I will not be able to, but it is definitely above that.

Mr. Sabri Hazarika: Okay, and sir, ethane and propane handling will be additional revenue streams, is that right? That will be like a tolling thing which will be on top of that, if you are not using this capacity.

Mr. A. K. Singh, MD & CEO: Definitely, definitely, definitely. That is a different model of handling propane and ethane.

Mr. Sabri Hazarika: Ethane will be on top of this actually because propane can be used directly also in the plant, but ethane will be an additional...

Mr. A. K. Singh, MD & CEO: Apart from using in the plant, some propane will also be

used on the tolling model.

Mr. Sabri Hazarika: Okay, got it. And sir, last question, your life of the asset should be how much...

Yeah, just last question. Life of the asset could be like 25, 30 years or more than that?

Mr. A. K. Singh, MD & CEO: I think we have conceived this project on 25 years. Definitely, that this project can run for 50 years, 100 years also. Like the refinery, Barauni refinery was built up in the 60s and is still running.

Mr. Sabri Hazarika: Okay, Sir, thank you.

Mr. A. K. Singh, MD & CEO: With certain modification and augmentation of the assets, you can definitely enhance the life to 50 years, 75 years.

Mr. Sabri Hazarika: Thank you, sir.

Moderator : Thank you so much for your question, Sir. Now we proceed to Mr. K irtan Mehta ji's question. Sir, kindly unmute your mic and proceed with your question.

Mr. K irtan Mehta: Thank you, sir, for holding this call and thanks for the opportunity for the question. The first question was about the technology that we have selected for this plant. Would you be able to highlight the technology that we have selected for this plant?

Mr. A. K. Singh, MD & CEO: If you ask me, I can go on hours together to explain the technology, but I can tell you what is the process of selection of technology, that you go for the global tenderings, ask for the details, and you work out the financials, and whichever technology, which is a proven one technology, it must be operating somewhere, that technology, it must be proven one, and the technology which gives the highest NPV of the project, you select it. So, the same process has been followed here to select the technology. And once you select the technology, then considering that technology, you do the detailed costing of the projects, operating cost, capital cost, everything is worked out, and then the financial sensitivity is done. So, that everything has been done before the approval of the project.

Moderator : I request Mr Amit Rastogi to kindly unmute his mic and proceed with the question.

Mr. K irtan Mehta: I have, sorry, a couple of more questions. Can I complete it?

Moderator : Sir, if we can, humbly request you to ask the question later on, because we are bound by time right now, sir.

Mr. K irtan Mehta: Just one more question. In terms of the ethane and propane handling, we are envisaging as a utility system, so would we be entering into long-term contract with the off-takers, with a take-or-pay arrangement, and what would be sort of the charges that we are envisaging in relation to, if it will be compared with the Dahej utilization, re-gasification charges, would it be sort of a proportion of that, in terms of the magnitude?

Mr. A. K. Singh, MD & CEO: Again, these commercial things, sorry, I will not be, but definitely it is a profitable business, I can tell you. It is not that when we are building up the infrastructures, it is going to give a good return, and so far as the long-term versus the spot, a ll type of arrangement will be there, but majority will be on long-term basis, because the requirement, when you source the ethane, right, it is a long-term. Nobody is sourcing ethane from US, that today we will bring one ship, and then after six months we will stop. In general, ethane is on long-term basis, but propane, as you know that, propane is just like LPG, 50-50% propane and butane. So, propane is being sourced on spot basis also, or some short-term basis also, and we can look for long-term basis also. That is also possible. So, now, once the project has been approved, we will be moving forward for all these tying-up operations.

Mr. Ketan Mehta: Thank you, Sir.

Moderator : Thank you, Sir. A humble request to kindly limit yourself to one question per turn. I request Amit Rastogi Sir to kindly unmute your mic and proceed with the question. Amit, Sir.

Mr. Amit Rastogi: Thanks. Yeah, thank you. Sir, thanks for hosting

this call, and I can understand from

your confidence that we are quite confident about the profitability of this project and execution of this project. However, sir, there has been consistent feedback from the investors' community that if we are confident about the profitability, we have a good amount of cash in hand, then what was the need to reduce dividend last year? So basically, while we may be saying in all the words that the profitability of this project will remain robust and all, but our actions are actually indicating that we are moving into a conservative zone despite generating significant amount of cash flows. So, could you assure the investors that the dividend from the company will not come down, and in fact, it should keep on going up as our earnings move up from here?

Mr. A. K. Singh, MD & CEO: See, as far as the dividend is concerned, I think you are mentioning some 15% reduction. It was 115, and then we reduced it to 100%, right?

Mr. Amit Rastogi: Yeah.

Mr. A. K. Singh, MD & CEO: See, last 17 years, consistently, the company is giving the dividend. Earlier, we used to give 25%, 30%, 40%. Gradually, we increased it to 100% in that range. So, it is hovering between 100% to 125% in the last three years if I am right on this. But nevertheless, the dividend decision is taken by some competent authority. I can't commit on part of that. You know that very well. But as a management, we wish to continue the dividend payment because this dividend 15% less was not intended just for keeping the money project. See, as of today, it is in public domain. We have 7,800 crores cash. Now, even this project, this 20,000 crore project, we are confident that the equity infusion will not be the challenge. We are every year generating the cash that we are sharing every year. Our existing business is being expanded. Like, the Dahej Terminal is operating almost at 100% capacity as of today. I am sharing with you, this month, last month, October, we are operating at 100% capacity. We are expanding to 22.5. Our Kochi Terminal, which is not being used at the full capacity, hardly it is being used at 20% capacity. The major constraint is the connectivity to the Bangalore. And we are expecting within a year time, the connectivity to Bangalore will be completed where our Kochi Terminal will be integrated with the national gas grid. That Kochi gas can go to Guwahati and go to Nangar. That is the potential of selling the gas anywhere in the country once you get connected with the national gas grid. So, we are expecting a substantial jump in the utilization of Kochi Terminal down the one-year line when the pipeline connectivity to Bangalore is happening. Similar way, when we are executing East Coast Terminal, Gopalpur, once it is completed in three-year time, it will also start generating a lot of cash. There is a demand. There is a requirement. So, our existing business itself will help to conceive more projects. It is not that only the petrochemical is the end of the things. We are looking for a number of projects which will give much more return to the shareholder stakeholders than what they are getting today. Cash, what is giving the return? Hardly 6%, 7% of the interest. If it gives 20%, 25% return, that is good for the stakeholders. So, definitely deploying your generation of revenue in a good project which can give you better return in the interest of all the stakeholders. That I want to share with you.

Mr. Amit Rastogi: Sir, that's what we are also saying that when our earnings and potential of earnings is improving, then reducing the dividend is actually giving a negative signal to the investors and to the markets because when you earn more, you will definitely want to spend more. That is the philosophy every Indian looks at. In this case, we are saying that our terminal is operating at 17.5 million tons, 100% utilization, Kochi will go to 100% utilization. But we

are actually cutting back on the dividend

from 115% to 100%. That day also you would have seen the reaction of the shareholders and investors that the stock has been giving a negative return for the last 4-5 years. Now, just imagine the situation that if your earnings are increasing, why not to share more with the investors so that at least if the stock returns are negative, they can earn in the form of dividends.

Mr. A. K. Singh, MD & CEO: Dil Maange More... There is no limit, definitely. But well taken, your sentiment is well taken and we will definitely keep in mind this feedback.

Mr. Amit Rastogi: Thank you, sir. Wish you all the best.

Mr. A. K. Singh, MD & CEO: Thank you.

Moderator : We proceed with the next question from Vikas Kumar Jain, Sir. Sir, kindly unmute your mic and proceed with your question.

Mr. Vikas Kumar Jain (01:00:55): Hi, Sir. Thanks for taking my question. First, of course, the call does a good job in kind of raising the confidence. However, most of the details that you have said, Mishra Sir had already kind of told during the analyst meet. So, in terms of details, there is very limited incremental details which have been coming out. Anyways, historically, Petronet has done a good job in selecting projects and capital allocation. So, the confidence was always, there is a positive perception around that. And with whatever you have laid out, confidence generally rises. However, we as analysts always would like to understand details. That's where we can analyze things. It's always very difficult to quantify confidence. So, from that perspective, there were certain terms which were mentioned

during the quarterly call. And I just want to understand what are the incremental things that you can share with us. Firstly, I think Mr. Mishra, during his initial remarks during the quarterly call, he mentioned that there is going to be something like a tolling kind of a model. Plus, he mentioned that they are looking at a possible equity IRR in some scenarios of about 30% also. So, if you could give us some sense of what is the kind of spreads with which you are working with, which can give you such an unbelievable equity IRR, which is very difficult to find. I'm sure because you've been working on this project and looking at this project for so many years. So, I'm sure you would have done more work than most of the others in the industry. But we're very keen to understand how it would be like a tolling model, some broad arrangement on how you are de-risking the project and reducing cyclicalities. Why I'm saying all of this is, all the investors who invested in Petronet till you announced this project were in their mind investing in a utility company. Now that utility company is becoming a commodity company. For whatever you might say, this project is making you increasing the commodity stream of that company. So, What comfort can we give that the risks will not be that commodity? So, three questions put together. How are we de-risking and making it less commoditized in terms of the earning streams that will come in? What is the kind of assumptions that you talked about which makes you believe that we could go to in some scenarios up till 30% equity IRR? And what is it that you meant when you said that there is an element of tolling kind of a model? I mean, those are the three specific questions that maybe would allow us to get a better sense on all of this.

Mr. A. K. Singh, MD & CEO: I replied to your concern about its high level of return. That is a concern.

Mr. Vikas Kumar Jain: It is not a concern. I want to understand it, Sir.

Mr. A. K. Singh, MD & CEO: You are not able to conceive, this sort of return could come from the project. Now I would not go into the specific number of return, but some inherent strength of this project you can make out from that. Any commodity project which is being conceived and being implemented in India

, you will find that the product off-take guarantee is not there. You are assuming based upon the market development and the growth. Here, at least you will find one third of its product is assured off-take guaranteed. That is the first part. That out of 750, 250 is already guaranteed off-take.

Mr. Vikas Kumar Jain: That is volume assurance, right?

Mr. A. K. Singh, MD & CEO : Volume out of 750 KTA , 250 KTA

Mr. Vikas Kumar Jain: There is no pricing or margin kind of assurance, right?

Mr. A. K. Singh, MD & CEO: Yes. Yes. We will not share on that one, but that is guaranteed on the proper return mechanism.

Mr. Vikas Kumar Jain: Sorry, guaranteed on proper return mechanism?

Mr. A. K. Singh, MD & CEO: Right.

Mr. Vikas Kumar Jain: That means there is a guarantee beyond the volume as well. Some kind of a return is also guaranteed with that, is it?

Mr. A. K. Singh, MD & CEO: See, whatever way you interpret, but what we say is that one third of the product is naturally hedged, you can use it like that. That De-risking.

Mr. Vikas Kumar Jain: I am not being specific, but basically you are saying the contract that you have signed has a guarantee beyond just the volume off-take. There is something more which allows you to de-risk returns as well, right?

Mr. A. K. Singh, MD & CEO: Now coming to the handling and tolling model. See, today also in the country, LNG is being handled and regasified and being sold. Now what we are working, this ethane and propane, this has two major components. One is a handling; other part is storage. Now a storage has a cost. Storage doesn't come free of cost. So, this aspect, when you understand that what is the cost of a storage, if you want to bring some commodity and keep it for one month, for 15 days, you will have to pay cost for that. So, it is an inbuilt model of storage and handling of a particular product. It is not simply that LNG tolling. It is different. Now coming back to that project. PDH/PP generates hydrogen as a by-product. Hydrogen is a very, very valuable and premium commodity. It is an altogether different ball game. It is not so simple. So, you have to understand the weightage of that hydrogen which is being generated, which doesn't happen in any normal process of petrochemical plant. This has a major bearing on the overall economics of the project. Unless and until you understand the technological part and the value it is generating, you will not be able to appreciate the financial of that. So, what I mean to say that I request to all that believe that this project is a very good project. It has been in-depth analyzed for each and every aspect of risk.

Mr. Vikas Kumar Jain: Sir, that part I think you have reiterated very well and has been understood by all of us. But I wanted to just since you mentioned the technological part and I think could we understand like you said that if you start with 100 of propane, you get to 85 of propylene and then what is the proportion that you get to hydrogen and once you have that 85 of propylene 25% of that you are selling at propylene, the remaining, sorry....one-third you are selling as propylene, the remaining two-third you are further producing into polypropylene. So, could you just give a broad sense on the slate and the yields that we are talking about if we start with 100 propane? Very broad numbers I know.

Mr. A. K. Singh, MD & CEO: I have already given enough indication that 100 you are getting 85 as a propylene, 15 I am not going to break down. I can give you.... all the technical details are there.

Mr. Vikas Kumar Jain: But how much hydrogen, sir?

Mr. A. K. Singh, MD & CEO: Hydrogen is within that 15. See it is a very simple. If some chemical engineer or some chemistry student is there you can very well understand that if you break the chain of propane it breaks into propylene and hydrogen. Simple. It is a very simple chain. B

ut you don't get

total. There is some off-gases also generated. What is that off-gases? Where from it is coming? It is a part of the detailed technology. But all these products are valuable products. It is not something like a refinery you create some bottom product of the tar or bitumen which has a very low value. The top product you get LPG, naphtha, aviation fuel then you get diesel, petrol all those things. When you are breaking the crude, you get some valuable products you get some low value products. But when you do the analysis of a project all products are taken into consideration that which is giving what value and then you analyse the project. So, only I wanted to convey that this PDH technology is new in the country definitely but if you go in China, you will find many PDH plants operating. Maybe 20, 30, 40 plants you will find. And it is a proven technology working across the world. Thank you.

Moderator : Thank you so much Sir. We now proceed with the next question from Sagar Sanghvi ji, kindly unmute your mic and proceed with your question.

Mr. Sagar Sanghvi: Thank you for the opportunity. Actually, my question I have two questions and they aren't very different from Vikas. I understand you cannot talk on financials so let me try and ask it some other way. When I look at say some Middle Eastern petrochemical company like Advanced Petrochemical, they make only polypropylene. They have feedstock advantage in Middle East 25% discount to the market. That plant has 125% run throughout. But through the cycle they still make about 20 -22% ROE, through the cycle. In China if I look at most PDHPP plants they are 11 -13% ROE. How are we going to be directionally better than Middle East or China? That's the first question. And the other question also iteration of other people who asked before is as a business why are we okay to take volatility in earnings now through this project? So those two questions.

Mr. A. K. Singh, MD & CEO: While conceiving this project we have already looked into international players where what is happening and all these factors have been analysed. It is not that we are not aware about what is happening in China, what is happening in Middle East. Everything is taken into consideration. And we know that.

Mr. Sagar Sanghvi: Sure sir, but can you specify how are we different because you all have done the study how are we different from China or how will we be different from Middle East who have feedstock advantages. If you can throw more light on that, that will be really beneficial for us. I am not asking numbers right now.

Mr. A. K. Singh, MD & CEO : See, I can share with you China doesn't have a feedstock advantage. They also import the propane. We will also be importing the propane. They are not producing the propane.

Mr. Sagar Sanghvi: Yes, Sir. But then they end up making 13% ROE, 12%.

Mr. A. K. Singh, MD & CEO: I am not again going on the number. I am aware about the number. I don't intend to discuss on the number of China. Because I personally have visited many plants of China. I know the economics of China, how they operate. It is not that we are not aware about China. But saying that China is not getting better return and how we will get return it is not proper here. China's way of working is different than India. Everybody knows. We should not benchmark China for our country projects. We should benchmark our country requirements, our country projects and how it is becoming viable. And definitely we have taken into consideration all the factors and then analyzed the projects and it was concluded that this is one of the best projects we can do. Now coming to volatility, of course I agree that commodity has a volatility. But if you are in this business and it comes to positive, you will be minting the money. Sometimes you may be under distress conditions. It cannot be always guaranteed return. But even one year of return

stifies three years of loss in such type of business. It

happens. And it happens in LNG also. You can't say that LNG is always going to be the secured business.

There are challenges also there. There is competition also there. And we have to be competitive in the market and by optimizing your efficiency operation only you can earn good profits and give better return to your stakeholders. I very clearly share that this is not only a PP project. This is an integrated project with a lot of off-sites which is taken into consideration. Then this is a very good techno-commercial project.

Mr. Sagar Sanghvi: Sure, Sir. Sir, because you are saying it's not just a PP project, can you at least share once the plant stabilizes, how much of the EBITDA from the project are you expecting to come from PP, from hydrogen, from ethane? Can you share that breakdown at least once the plant stabilizes?

Mr. A. K. Singh, MD & CEO: Again, you are coming on number. I am not inclined on the number. I know the number, but see again, I will share with you. When we conceived this project, it is an integrated project. The utility design is common for ethane handling, propane handling, PP, PDH. It is not a separate, separate. When you have to analyze, you have to take some assumptions that what percentage of utility I should allocate to this plant. We have a common manpower. How do you allocate manpower in each plant? There is nothing like separate, separate unit. It is an integrated one and we have worked out the financial integrated one. We get very good return and that is the reason the board has approved this project.

Moderator : Thank you so much, Sir. We proceed to the next question. I would request Nitin Tiwari sir to kindly unmute your mic and proceed with the question. Amit Sir will quickly come back to you in a while. Nitin Sir, kindly unmute your mic and proceed with your question.

Mr. Nitin Tiwari: Hi sir. Good evening. Am I audible? I hope I am audible.

Moderator : Yes sir, you are.

Mr. Nitin Tiwari: Thank you for the opportunity, Sir. Please pardon me if you find my question a little naive because I am just trying to clarify my doubt. Your confidence is really heartening and it has given us a lot of confidence on the viability of this project, but I just wanted to understand a couple of things. So, I just wanted to understand what is the motivation behind going for this project other than diversification? You mentioned that cold energy usage looks hardly a reason for me to put up an entire 21,000 crore plant for utilising a little bit of cold energy advantage which could be there, which was I think indicated at about 100 odd crores by Mishra sir when we were at the call. And at the same time, we are going for a project which is a one product project. I mean, it's just polypropylene and propylene. Whereas typically petrochemicals work as a basket. I mean, a lot of integrated players that we have in the market, some of them are pretty experienced ones. They have a bouquet of products when it comes to that. Secondly, Vikas and other participants and Prabal in the beginning has also highlighted about the project economics with respect to the crack spreads. That is something which I feel is still unanswered because the current crack spreads are not very strong and the scenario globally is also not looking very strong at the moment. Secondly, sir, I would also want to highlight I mean, please indulge me a little bit more that in my opinion, the project extends just beyond conceiving and putting it on the ground because there is a whole array of basically activities which are associated with it even after the project is put and then we have to move into the business aspect of it. So, what gives us the confidence that we can basically handle a business that we have historically not handled? We can handle a product which we have not historically handled because this is a completely different

business

in itself. It's not LNG tolling. It's not like regasification and selling LNG in back-to-back contracts. For this, you need to have distribution lines. You need to have several other aspects which are associated with a business like this. They are typically very experienced, separate set of people who handle such businesses. So, while things might be looking very, very viable on Excel sheets right now and believe me, sir, a lot of things could look on Excel sheet because when I say that I am saying with some experience because we have made a career out of it. But the reality sometimes throws a curveball out there and it becomes difficult for us to handle those curveballs. So, I just wanted to understand that have we considered all those aspects? And before I leave and finish my question, I would just want to pose one more question. GAIL, our promoter, is also moving ahead with such a project which is a PDHPP project. They also have some experience in the domain of putting up petrochemical plants and running them. Sometimes they also suffer on the profitability bit as well. So, why have we not gone ahead and been a part of that project invested if we had excess cash? Why didn't we invest in their project? Probably like, their capacity would have been a bigger one and would have been like, more profitable from the scale aspect as well. So, these are a couple of thoughts which I wanted to share with you, sir.

Mr. A. K. Singh, MD & CEO: Okay. Okay. Thank you. Thank you. A lot of thought process has gone in framing all your questions. But you are basically looking at what is the motivating factor for Petronet to go for this project. And in last more than one-hour discussions, I have been emphasizing that what is the major driving force for this project. And initial remark I told you that the third jetty which is being constructed at Dahej, our feed stock handling is in our control. When you mention the GAIL, I will not go into the detail of the GAIL, but you know that where the feedstock is coming, how it is reaching to the plant. So, everything has a cost. Nothing is free of cost. And the comfort of handling the feedstock under your control versus third party takes a lot of discomfort also, come whatever may be. But that is a very, very positive thing for Petronet that we have our own feedstock handling facilities. Cold energy integrations, we have already mentioned. But I am not able to give the detail about what are the advantages we are getting from our existing LNG terminal off-site utility facilities. If you go and set up a plant in desert, then you will face the music that two to three years you will be struggling even to get the water and power. Forget about making the construction for the workers. Some said to start the work. People struggle for that. People struggle to get the land for a couple of years. We have a developed land, adjoining land. That is a positive part of that. We have done a lot of, we have invested a lot of energy to bring to this stage. We are declaring that this project is approved and we want to go ahead. The requirement of water, it is a major challenge for any petrochemical plant. It is not so easily available. People lay a 50 km 30 km line to bring the water. They have to lay a huge length of electricity towers to get the power. The positive things of Dahej is that it is so eco-friendly. The ecosystem is so conducive to execute the projects. If you go to other parts of the country, you will realize how the project is executed. All these factors. The main market, where is the market? Whatever you produce, the major market is nearby. The western and northern part is going to have a major consumption center for this PP. This will get an added advantage of locating the plant nearer to the demand center. That has an inherent advantage. Coming to your, see, whatever you talk about the cracks, what is the likely returns, see, you

have to analyze a project on a certain parameter, assumptions. We have done all the sensitivity analysis. If something goes wrong, something goes adverse, where we stand. When we get through in that adverse condition, only then we take the projects. This project has been approved, taking into account all the risk factors. Every company has a risk management committee. You identify the risk. Every couple of months, quarterly, you sit together and look for mitigation measures. I don't see any project in the world that doesn't have any risk. Any project will have a risk, but the best part of the approach of any management should be to identify the risk, have a documented mitigation plan, and take corrective actions on time. When we analyze, even by the third party, there is hardly any risk which is high in nature. All are low, or maybe some incoming in the medium category. So, those can be easily addressed and mitigated. That gives us the confidence that risk mitigation measures, which will be placed, will take care of any hiccups during the course of execution coming in this project. We are quite confident that this project can be completed on time without any cost overrun.

Mr. Nitin Tiwari: Thank you for that, Sir. Regarding my second question, why not probably an investment in GAIL's project or other related projects which are there? Globally, there are also LNG expansions going on in several plants. That was a related business for us. Why not any investment over there?

Mr. A. K. Singh, MD & CEO: I told you. I gave you the hint, why not with GAIL? But I will not elaborate that. See, every company has to conceive a project seeing its own strength and its own ambition. So, if the Petronet has to grow, they have to diversify. They can't sit in one business and then it can't grow. It will remain as a 2 LNG terminal company. We are taking a lot of projects after doing risk analysis, due diligence, and then we are taking decisions. We don't see any major risk in this project. There is a lot of positive things which will ultimately give a major boost in the top line and bottom lines of the organization once this is completed. That much I can say.

Mr. Nitin Tiwari: Fair enough, Sir. Thank you so much for the answers.

Moderator (01:28:20): Dear analysts and investors, we are extremely bound by time and we shall now proceed to conclude this meet. We are truly honored to have had the opportunity to host such an esteemed gathering. We extend our sincere thanks to the investors, analysts, and our honorable MD and CEO sir, DF sir, and the key members of the management present here. Apologies that in the beginning we missed out to introduce you to another more key members present here, Shri Gyanendra Sharma ji, who is Group General Manager and President Marketing, and our Company Secretary, Shri Rajan Kapoor sir. Thank you once again. We now conclude the event. Thank you.

Call: Nov 2023

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CS/PLL/LISTING/ Reg-30/2023 Date : 6th November 2023

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post-results Conference Call held on 30.10.2023

Dear Sirs/Madam,

This is with reference to our intimation dated 23rd October 2023 and 30th October 2023 intimating holding Conference Call of the Company scheduled on Monday, 30th October 2023 at 5:30 PM (IST) for unaudited Financial Results of the Company for the quarter and half-year ended 30th September 2023 and uploading audio recording post Conference Call respectively.

In terms of provisions of Regulations 30 of SEB I (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

This is for your kind information and record please.

Yours faithfully,

(Rajan Kapur)

Company Secretary

Encl: as above

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"Petronet LNG Limited Q2 FY24 Earnings Conference Call"

October 30, 2023

MANAGEMENT : MR. VINOD KUMAR MISHRA – DIRECTOR (FINANCE)

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER

AND PRESIDENT (FINANCE AND ACCOUNTS)

MR. GYANENDRA KUMAR SHARMA – GROUP

GENERAL MANAGER & PRESIDENT (MARKETING)

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER &

VICE PRESIDENT (MARKETING)

MR. DEBABRATA SATPATHY – GENERAL MANAGER

(FINANCE AND ACCOUNTS).

MODERATOR : MR. S. RAMESH – NIRMAL BANG EQUITIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Petronet LNG Limited Q2 FY 24 Earnings Call hosted by Nirmal Bang Equities Private Limited .

As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I will now hand the conference over to Mr. S. Ramesh from Nirmal Bang Equities . Thank you and over to you sir.

S. Ramesh : Good evening and welcome to all of you. On behalf of Nirmal Bang Institutional Equities it gives me pleasure to invite you to the 2Q FY24 Earnings Call hosted by the Management of Petronet LNG Limited .

Representing the Company we have Mr. Vinod Kumar Mishra – Director (Finance), Mr. Rakesh Chawla – Group General Manager and President (Finance and Accounts) , Mr. Gyanendra Kumar Sharma – Group General Manager and President (Marketing), Mr. Vivek Mittal – Chief General Manager and Vice President (Marketing) , Mr. Debabrata Satpathy – General Manager (Finance and Accounts).

Without much ado, let me invite the management to give their opening remarks . Over to you sir.

Vinod Kumar Mishra : Good evening to all of you. The result has been good. (Inaudible) Throughput in Dahej, it has been 210 TB TU as against 217 TBT U in the previous quarter and 182 TB TU in the corresponding quarter. Total throughput of Dahej and Kochi has been to the extent of 223 TBT U in the current quarter as compared to 230 TBT U in the previous quarter and 192 TB TU in the corresponding quarter . So, throughput has been good, not too good, but revenues are fine and we have done good job this time also and if you see the throughput in first half of this year as compared to first half of the last year , Dahej has performed 427 TBTU as against the 378 TBTU in the previous year H1. So, there has been a growth of around 13% and if you see the quarterly results , there is 16% growth in throughput of this quarter as compared to corresponding quarter. And the total throughput has reached 453 TBT U in H1 FY23 as compared to 400 TBTU in the corresponding H1 of the previous year and the profitability if you see this has been around Rs. 1,102 crores in this quarter as compared to Rs. 1,062 crores in the previous quarter and Rs. 994 crores in the corresponding quarter and PAT has been Rs. 818 crores in this quarter as compared to Rs. 790 crores in the previous quarter and Rs. 744 crores in the corresponding quarter and if you see the half yearly result , the H1 PBT has been Rs. 2,164 crores as compared to Rs. 1,931 crores in the first half of last year and the PAT has been Rs. 1,608 crores in this first half as compared to first half of last year of Rs. 1,445 crores. So, this has been the result and if you see Petronet LNG Limited
October 30, 2023

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the growth, this is the highest ever PBT in H1 of any year so far in the history of Petronet LNG and the growth of PBT and PAT in the current half has been 12 %, 11% as compared to the corresponding half of the previous year and similarly the PBT and PAT has grown by 11 %, 10% as compared to corresponding quarter of the previous year and PBT and PAT has grown by 4% in this quarter as compared to previous quarter. So, these are the results.

Further, the Board of Directors has approved an interim dividend of Rs. 7 per share and as you know that consistently the Company has been paying dividends of this 70% on the paid-up capital for many years. So, I think the result is good and apart from that, if you see one more development has been there in this board meeting , before that I would just like to tell you that our utilization has been

93% of Dahej Terminal as compared to 96% in the previous quarter and it was only 80% in the corresponding quarter of the last year.

There is good news and perhaps this has been possible due to better utilization of our Dahej Terminal and also the efficiency in operations , all because of that we have been able to perform better in this quarter .

One more development, which I just want to convey, is that our board has approved a Petrochemical PDH/PP project of Rs. 20,685 crores and this will be built in Dahej Terminal and if you see the profitability from this project, the IRR has been very nice and if you see around 20% is your project IRR and around 30% is equity IRR. So, overall project is good and Company is going to grow in a big way and this is a diversification which has been done and most important thing is that we will continue to pay dividend of 100% even for this period of project because our generation will continue to be of that range and projects will be in debt equity financing mode of 70: 30. So, that will continue and major highlight has been that we have PDH/PP plant of 750 KTA out of this 250 KTA has already been tied up with the customer near Dahej for a period of 15 years, extendable to another 5 years, so 250 KTA of propylene

will be sold to a customer, designated customers and balance 500 KTA propylene will be converted to PP. Apart of that we have also tied up with the customers for sale of 11 KT A of hydrogen at a very lucrative price and perhaps this will ring-fenced our risk and perhaps this will mitigate the risk, which we can see, we have, and if you see the another icing on the cake has been the Ethane handling system which we are going to develop along with this PDH/PP plant whereby we have our customers and two of the customers are almost on the verge of tying up with us for 1200 KT A of ethane handling, but this would be purely tolling model which will be good for Company and there will not be any other risk in this kind of business.

So, these two businesses, if you see, will mitigate the risk to a great extent and otherwise also the crack between propane and propylene and propane and polypropylene is very nice and perhaps this will take Company to a different level in the future. Thank you very much and now floor is open for the question.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Puneet Gulati from HSBC. Please go ahead, sir.

Puneet Gulati: My first question is on the PDH/PP plant, can you please run down your assumptions on what kind of margins, operating cost are you assuming when you indicate the 20% project IRR and 30% equity IRR?

Vinod Kumar Mishra: Do you want me to run the margins which has been there, see what has happened actually, we have taken an average of last 7 years propane and propylene prices which are basically if you see the pricing is done in India based on Southeast Asia price of this propylene and we are taking those prices so 7-year period what we have calculated, we have removed the unusual year 2021 and otherwise this is all fine and this has in fact given us the more robust number because prices have eliminated any kind of deficiency which may have. So, what we have done, we have taken the average of last 7 years and if you want to know exact number, although it is appropriate or not, but I need to see whether we can give that, but I would like to mention that it has been done by external agency and this exercise is carried out by SBICAPS and they have taken that number based on the average price of propylene, propane and polypropylene. So, if you exactly want to know the numbers, I will have to sit with you, but I can tell you that these numbers are available in the public domain and almost there

is a crack of almost, I can tell you \$400 if you see 7-year average for the propane versus the propylene and around \$600 for polypropylene if you compare propane versus polypropylene. So, this is how I can explain to you that this is there and the IRR is calculated by SBICAPS after taking into account the current scenario in the market.

Puneet Gulati: And more importantly, the OPEX, would there be any OPEX advantages that you envisage versus the normalized numbers, if you can give some comments there?

Debabrata Satpathy: This is Debabrata. Actually today when the board has approved this project and this is message to all the analysts and investors that we will very shortly do another call with few more details what you are asking about, the CAPEX, OPEX and the returns etc., we would like to touch upon this project information today on a high-level basis and go into deeper with Q2 Results, but then we will come up with another call very shortly with all the details of the project.

Vinod Kumar Mishra: In the meantime, high level positions which we can just with some higher level assumption which you can just say which are available with us, these are that they will be common jetty for this project. We are going to build another jetty which is in any way was approved by Board, so this is not something which is coming in the project. Secondly, many facilities like utilities we have common and one important thing have been in terms of cold energy which we are going to utilize in the plant. So, this is saving almost Rs. 120 crores -Rs. 130 crores in terms of power cost because otherwise we need some cold energy to cool down that particular box where we are storing these material propylene. So, that way we are saving in terms of energy cost in a big way but details we will work it out and big manner and then we will come back to you, but I can say

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because of synergy with regasification terminal, major OPEX has been very less as compared to any Greenfield project where we have very high OPEX as compared to our project.

Puneet Gulati: We look forward to the detailed call, but just for the sake of it, initially the plan was Rs. 14,000 crores why has the cost gone up to Rs. 20,000 crores?

Vinod Kumar Mishra: Actually, I would just like to mention that it was initially Rs. 14,000 crores, but later on we also developed one ethane handling facility which was in fact was not envisaged earlier. So, around Rs. 2,500 crores is that ethane handling system whereby we will be building one ethane tank and propane tank is already coming along with the PDH plant. So, because of that, and moreover, if you see other costs, there is a soft cost also if you would like to see total hard cost is Rs. 16,069

crores only, but there is a provision for inflation, rupee depreciation of Rs. 1,900 crores . Some contingencies have been provided by Rs. 41 crores and this IDC is Rs. 1,600 crores , margin money is Rs. 400 crores, so Rs. 4,600 crores is the soft cost over and above the hard cost of the plant. So, that has also been built in this project cost and that is why it has come to Rs. 20,625 crores.

Puneet Gulati : And lastly, any update from the customers on payment of user pay for the previous year?

Vinod K umar Mishra : We are still in talks with customers and shortly we will be coming back with the solution and payment is still awaited, no doubt, but since we are already talking to them and we are hoping that solution will come out . Maybe in the next quarter , you will find that we are able to work it out.

Moderator : Thank you very much. The next question is from Amit Rustagi from UBS . Go ahead.

Amit Rustagi : Sir, just wanted to understand that you will be doing another call to explain us, but I wanted to understand that what is the OPEX , what is the EBITDA , post

commission of the project and if

you can give it separately like what maybe the EBITDA on ethane facility, on propane to propylene and PDH/P P and finally if you are doing something on the propane handling as well , so what are the different numbers on that , so that we know that how much EBITDA is subject to the commodity, volatility and how much is the EBITDA which can remain consistent?

Vinod K umar Mishra : I will just mention you are asking , so I will give you the number slightly, but detail you are asking breakup of propane handling and the ethane handling , as such these have not been bid in the DFR , but we will work out , you can say that calculated number , but we will tell you later because that breakup is not readily available, but one thing I can say you that profitability you are asking EBITDA and profit, so we have estimated that from the year it will start operating at 100% capacity , the generation of profit will be to the range of Rs. 2,000 crores. So, it is likely that this will grow, and it will go up to the project level Rs. 7,000 of PAT at the end of this year .

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So, initially we can say that Rs. 2,000 crores to start with when it is operating at 100% capacity and EBITDA you are asking is around Rs. 4,000 crores and what else you were asking?

Amit Rustagi : Sir, just the timeline s like when you will start commissioning this project, when will be the zero date and what will be the commissioning timelines?

Management : Commissioning will be all those you can say 4 years from now , you can say, 2027 and maybe beginning of 28th .

Amit Rustagi : And sir, in the same breadth, do you have an update on Gopalpur project and the other projects which we are doing now? When are we going to see the 5 -million -ton capacity expansion at Dahej and when are you going to make a decision on Gopalpur as well ?

Vinod K umar Mishra : Yes, Gopalpur, actually, we have already finalized the documents and the transaction documents are to be approved by board now again and after that we will start on the project because before finalizing the document and signing the lease agreement with the Gopalpur Ports Limited, we cannot go ahead. So, these documents have been now finalized by our committee. It will go to the board for approval and thereafter we shall start awarding the jobs for construction of various jetty and other facilities of the project and further what we are envisaging is that FSRU which we require for this project because we have envisaged them FSRU LNG Terminals for there we are going for consultant short listing , so that we can work out whether there is suitable FSRU available or not, and at the right price or not. That exercise is now being undertaken and soon we will come to know if there is any FSRU available or not at a reasonable price, if it is not, then perhaps we will go for land-based terminal in later period of the project. Otherwise also , we thought will go for land-based terminal after 4 -5 years, 6 years , but in case the availability is poor because of deployment of so many FSRUs in European region because of import by Europe of LNG. So, I think that has to be undertaken and we will come back to you with the information.

Amit Rustagi : Sir, just one observation, from the stock price reaction today, so you have seen that investors and markets are not liking this idea of increasing CAPEX to around Rs. 21,000 crores , but broadly you can give them more confidence by maybe slightly increasing the dividend rather than just saying at the similar level of dividend because like you mentioned, you are reporting highest ever profit in the first half of this year and we hope that in the second half of the year performance remains strong and with already Rs. 7,000 crores of cash in hands , debtor's issue getting resolved, I think there should be more

reward for the shareholders over next 4 years , I

think that only can give them confidence that you are confident about the project , if we start to reduce the dividend, keep it to maybe Rs. 10 a share that will not give way right signal to the shareholders ?

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Vinod K umar Mishra : Right now, dividend, we have maintained, and this is an interim dividend Rs. 7 per share, but of course your suggestion is well taken and we will take care, we will convey this to our management that you have to maintain the sentiment of the shareholders and keep the dividend high, but at least I can say that whatever we are paying, we will continue to pay, but we will try for the higher dividend and perhaps let us hope that we will pay. One thing I can say is that even after this project, the cash flow is such robust that it will not impact the dividend payment to the shareholders. So, this will continue even this period of construction. As you know, we are going to raise the debt from the financial institutions or banks, so equity will not be to that extent, only 30% equity will deploy, and it is not an expenditure which would be done in a single financial year. It will be over a period of almost 4 years. So, in a phased manner, this will be done and accordingly the loan will be raised, and I think there should not be an issue as far as the dividend is concerned in future and we will try to further increase it as far as possible.

Moderator : Thank you very much. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Just on the take or pay arrangement, could you help understand like, is it on a cost-plus basis or how is the arrangement?

Vinod K umar Mishra : Regarding ?

Amit Murarka : The arrangement with Deepak Phenolics for the 15-year arrangement, is it on cost plus basis, take or pay basis what all are the tie-ups over there?

Vinod K umar Mishra : Yes, I will tell you. Because this is not the cost-plus basis, basically on IPP price plus handling charges plus whatever insurance and GST and other cost, so it will import parity price which we are going to ask from them, so import parity price of propylene will be charged from them. Apart from that, we are also charging \$41 or maybe whatever number I will let you know later, but handling charges are there, so not only IPP price, but handling charges plus GST and insurance costs, all will be charged. So, if you see the crack between propane and propylene, this is handsome as of now almost \$400 per ton. So, it will fetch a good price. It will not be a loss, I think.

Amit Murarka : Is there any advance to fund the CAPEX that we are paying to them given that they are kind of off takers of the CAPEX ?

Vinod K umar Mishra : Advance as such is not there. It is only take-or-pay basis contract is there with them. If they are not able to take at least 90% of the quantity, then take or pay charges will be levied on them. So, it is a kind of like LNG contract per se.

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Amit Murarka : But even for the take or pay arrangement, there is no advance that you will take from them because you feel like take or pay arrangements getting dragged on and?

Vinod K umar Mishra : We are taking this LC will be there and that will cover take or pay also, 45 days LC will be there almost, it is 45 days LC will be there. That will cover take or pay also.

Amit Murarka : And any specific reason to take a 7-year average because like we have seen like off late, generally the crack spreads on Petchem have been quite weak and most of the players are struggling to make any decent IRRs on their investment?

Vinod Kumar Mishra : It is just a cyclical industry and if you see the other industry normally average is taken because it eliminates all un-

certainties of any period. So, that is why we have taken 7-year period. If you take only this year price maybe this may be low, but this will not reflect that true picture over a period of time, so 7-year period in fact eliminates any kind of abnormality which may have occurred in this period. So, that is why we are taking care of any kind of uncertainties in any period or some cyclic movements, so all those things are eliminated when you take an average of 7 years or 6 years.

Moderator : Thank you very much. The next question is from Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari : I have two questions from my side. First on the project itself, on petrochemical, have you kind of done something around the experience of the PDHs in China and where does Petronet actually kind of stack up better or any competitive advantage that you have, anything that we have done in terms of study relative to China?

Vinod Kumar Mishra : We have not done any comparison with China right now, but in fact, we understand what is been happening in China and in fact they are running their plants very well and I don't think we have done any comparison with the plant in China, but in India we have done all kind of studies in this petchem with PDH/PP and Indian demand supply scenario is fine. We have got study conducted and there is huge demand in future and in case, we are not going to manufacturing, it will be imported into India from somewhere, so what we thought that it is the right time that we

should enter the business and the demand in India is going to increase in future and further we have already done some kind of assured contracts with the D PL and they also showed some hydrogen, so what we are doing in fact to great extent we have mitigated our project. So, almost you can say 50% of profitability is assured business in our total project, but I have told you, almost 50% of that will be through assured business with D PL, ethane handling facilities and propane handling facilities. That is assuring us and balance is there, but that will not be a risk to us, it is still. We will be sharing also that at least we are assured that 50% of the profit will be coming from assured contracts.

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Mayank Maheshwari : And sir, the second question on more related to like the competitiveness of your project versus let us say, BP CL is starting up around a similar time and some of the others are actually starting up in around 1 or 2 years here and there, so what is the competitiveness of this project that you could kind of highlight to us versus all the others that are coming up in the country?

Vinod Kumar Mishra: We have competitive advantage in terms of two things. One is very obvious that we have our jetty, which is located nearby and in other cases it is not the case. They will have to lay pipeline to bring propane from jetty like in case of GAIL which has for its Usar plant, they have to bring propane from JNPT, which is almost 50 kilometers away. So, that is an advantage. Secondly, this is located at a place which is adjacent to our LNG regasification plant, so we can save in terms of power cost, which is around Rs. 120-Rs. 130 crores because cold energy which is being wasted so far because there is no usage in LNG plant, we can utilize it for cooling purposes in PDH plant. So, that is saving power cost to a great extent almost more than Rs. 120 crores. The second reason is this one. Thirdly, that many utilities are there, which are common. So, common utilities mean there is no additional cost incurred for this PDH/PP plant. So, all this has in fact contributed to giving us competitive edge over others and moreover, as I said that we have attained tie-up with customers which otherwise is not there with other producers. So, that is an advantage, so 3-4 advantages I have told you.

Moderator : Thank you very much. The next question is from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel : Sir, anything related to this Qatar contract extension, RasGas, I think earlier you mentioned that at the end of this calendar year, there will be an update on the same?

Vinod Kumar Mishra: Yes, we are still going ahead, and target is that only December 2023. So, we hope that this will be concluded before that and the discussions will go on continuously.

Maulik Patel : Just to get an idea, will it be on the same volume or the higher volume or will it be more attractive than the current price what we are paying to the Qatar?

Vinod Kumar Mishra: We are going for renewal of the contract. Renewal means it is of same quantity, of same thing, Price part we may negotiate, but otherwise the quantity will remain the same.

Maulik Patel : And will it be more attractive than what it is currently, what the Qatar is charging us?

D Satpathy : Maulik, attractiveness is a very relative word.

Maulik Patel : Cheaper than what we are paying today?

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D Satpathy : That is what I am telling, although we cannot disclose that part, whether it will be cheaper or the dearer, but whatever we have seen in the past, the havoc of the spot prices, I think it is also a right time to reward the long-term contracts as well. So, probably that will do a lot of good to the industry in the future, but at the same time the negotiation is going on to get the best deal for the country.

Moderator : Thank you very much. The next question is from the line of Kirtan Mehta from Bob Capital Markets. Please go ahead.

Kirtan Mehta : One more question on the PDH/PP project, would you be able to share the sensitivity of the IRR to the margin assumption, if the margin assumptions are say, 20% lower than your base case assumption of \$200 to propane versus propylene \$600 on PP versus propane, how would the IRR change?

Vinod Kumar Mishra: Sensitivity, actually, if you want, we will have to present it to you, I think functionally, we will have to arrange separately because these things cannot be explained in such a manner and perhaps you are asking for sensitivity, so we will show it separately, how we have done it. We have done it on all fronts. What kind of risk should be there? All those have been envisaged and as I have said you clearly that S BICAPS has prepared our report, financial analysis report and they have considered almost sensitivity analysis of 11 scenarios which include increasing product cost by 10% and 5% decrease in product price, all those kind of things have been done and definitely project will vary in each case. It has to be, so we have done all kinds of this. There

is an increase in CAPEX, in project cost that has been analyzed, there is any decrease in capacity utilization that has been analyzed, increase in OPEX by 10%, all those things have been analyzed, but these things cannot be explained over the phone like this. So, we will have to make a visual presentation on that. If you want, we will display all those things to you, but right now I can tell you that those things have been taken care and SBICAPS have done all the sensitivity analysis and after that only we have taken a conscious call.

D Satpathy : Yes, to add to that, let us also plan for another call or something. We have to plan which mode, whether like a telecall or a kind of .

Vinod Kumar Mishra: The Microsoft team's can also be like that; we will make a presentation also if you need .

Vinod Kumar Mishra: But it will be always specific PDH/PP only. The rest of the things will be covered here so that it will be the sole question which will remain to be further explained to the market.

Kirtan Mehta : Just one more question on the Dahej expansion, which is underway, could you tell us about the

project progress across different modules and the current expectation of the target date?

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Vinod Kumar Mishra: This expansion of Dahej terminal is in fact going on and our target is almost March 2025. It should be ready, expansion, so April -May 2025, it should be operational. So, this is how we are going ahead, and the total CAPEX is very low, it is only Rs. 570 crores total from 17.5 to 22.5 MMTA . So, this is on time and as I said that both the phases from 17.5, this is in two phases from 17.5 to 20 MMTA and 20 to 22.5, so both will be completed by March 25. So, after that it will be ready for operation .

Moderator : Thank you very much. The next question is from the line of Sanat Kumar from Value Research. Please go ahead, sir.

Sanat Kumar : I have only two questions, one is, what has been the regasification tariff in last years? And the second question is the LNG price, have you seen any hardening of the spot in short-term LNG between the 2 quarters this year ?

Vinod Kumar Mishra: As such, there is no hardening of the prices as you are telling. Regasification charges, I should tell you Dahej Terminal, we are charging 59.91 per MMBTU and for Kochi we are charging almost 85.09 per MMBTU . So, this is the tariff for Dahej and Kochi and as far as the hardening of the LNG price is concerned, the spot market is little bit volatile now, but it is around \$15 almost, but otherwise long-term prices which we are buying from Qatar is around \$ 12. So, this is how prices are there and they are likely to remain so in the next, maximum winter season, it will go up to \$ 17 or \$18, not more than that. This is our anticipation, and this is also anticipation of the market. They are also not anticipating too much volatility in LNG prices in winter season, because Europe has already accumulated more than 98% of the inventory, so there will not be any panic buying by European countries in this winter season. So, keeping that in view, we hope that prices will remain like this from \$ 15 to \$17, \$18 maximum up to winter season.

Sanat Kumar : And the last question is basically related to the fact that the demand for polypropylene and all those things that we are coming up with, do you see a very healthy uptake in demand in say next 7 years or is it going to be on an average which we have been seeing in India for last 5 years?

Vinod Kumar Mishra: It is going to be updated because we have analyzed everything that how many plants are going to come up in the next 5-year, 10-year period and what is the demand it is going to be. Entire analysis has been conducted by the consultant and he has shown in the consent, we will cover this in the presentation later wherever we are putting all these details, but there is a shortfall still as compared to the demand in terms of supply. So, keeping that in view, we have taken this conscious call because these are the questions normally raised by members in the board also and we have explained it very well that the study has been conducted and in India there is an uptake in the demand and there is time to come and compared to the demand, the supply part is lacking. So, even if you bring this plan, still there is a shortfall in terms of meeting the demand. So, this

is how we have, but we will cover this in presentation, we will make a special presentation for

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PDH/PP plant, later sometime after informing all of you and this will be shown to you there and what is the demand perspective in the next 5 to 10 years of PDH, it is PP mainly.

Moderator : Thank you very much. The next question is from the line of Niharika from Aequitas Investment. Please go ahead.

Niharika : What has been the regas revenue for the quarter?

D Satpathy : The regas revenue has been Rs. 598 crores.

Nihari

ka : And update the storage tanks for Dahej as well as Kochi.

D Satpathy : Kochi, there is no storage tank construction right now, but at Dahej it is in full swing and on target .

Niharika : So, we are planning to finish it by September 24, right , is that time?

Vinod Kumar Mishra: Before that it will be completed . Before that, by June, I think it should be completed , next year.

Niharika : And so, I just read an article that Dhamra Terminal started now and the tariff is lower than Petronet by some 1% or 2% , so do we feel that we will be losing some?

Vinod Kumar Mishra: No, this is absolutely absurd news. As far as I know, Dhamra's tariff is higher than Dahej Terminal's tariff. I can tell you tariff is around Rs. 59 of Dahej and that is approximately 60 in Dhamra. It is on the higher side, so you don't get confused, it is not correct.

Niharika : And on the PDH /PP, so with the Deepak Phenolics which we have tied up with, so are we planning to tie up the whole 100% , say 50% already you have tied up 250 and are we planning to tie up the whole facility, so what is the plan for this thing for that?

Vinod Kumar Mishra: I will tell you again, let me clarify again . Total capacity of PDH is 750 KTA. Out of 750 KTA, 250 KTA will be tied up with one party, which I just told you Deepak Phenolics and 500 KTA of propylene will be converted to polypropylene that should be sold in the market. So, it is like that, but that part has not been tied up because that is market driven and if you look the crack the margins, the spread, which is very high because if you see the propane price it is around 600 - 700 per metric ton and if you see the prices of PP , polypropylene it is around 1200-1300, so the gap is big. That is why we have decided to come in this business because the margin is very high. Maybe sometimes it is not that high , but that cannot be a reflection for entire period of the project life. It is cyclic in nature, so you cannot say that this will remain only on the lower side. So, what we have done, we have taken the average, while doing the sensitivity we have taken the average of 7-year price, the 7 -year price is good to reflect the right price because it eliminates

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all kind of uncertainties or whatever fluctuation it might have taken over a period of time. So, we feel that even though margins may be somewhere less, if we take the average of 5 -6 years, 7 years , it will bring the true picture and that that margin is good as per our analysis.

Niharika : And sir, we were also planning a third jetty at Dahej , which was also supposed to handle propane and ethane , so is this the ethane handling which we are talking about, which is a part of Rs.

21,000 crores or this jetty Rs. 1,700 odds crores for this jetty is altogether different?

Vinod Kumar Mishra: Jetty part we have already got approved because we handle all three products , LNG, ethane and propane, so it is not part of project, it is already under taken because in any case we have to build the jetty , so we have already done that and CAPEX is around Rs. 1,645 crores Rs. 1,656 crores like that , but this is not part of project.

Niharika: You mentioned some Rs. 2,500 crores of ethane handling that is separate and which is the

Vinod Kumar Mishra: That is the inside battery limit of plant. The jetty part is different because if you see Dahej jetty, it is 2.5 km away from the plant. So, there has to be a pipeline laid to bring the product to bring this propane , LNG and ethane to our plant . From that point , I am talking of jetty and if you see Rs. 2,500 crores , it is inside the battery limit, we have to create tank for ethane and other facility for operating that tank. So, that costs around Rs. 2,500, which is part of this Rs. 2,0685 crores .

Moderator : Thank you very much. The last question is from the

line of Gauri Anand from Old Bridge Capital . Please go ahead.

Gauri Anand : My question was on the future LNG supply, how should we think about it now that we know that Qatar is adding a lot of capacity, we know there is some capacity which is idling in Russia , we know all this large LNG exporting countries are moving to alternate fuels , you are a very formidable player , you are expanding your capacity and our consumption is very small in the global scheme of things, so how should we really think about future availability in light of the supplies coming out of all these exporting nations?

Vinod Kumar Mishra: See, if you look at the supply side of LNG , it is going to increase in future to a great extent because many of the facilities are coming up in the next 3 -4 years, maybe by 2027, so almost 150 MMTA capacities will be more there and even more than that, so what I am envisaging that the availability will be huge and there will not be dearth of LNG in the market and as it looks now that the LNG is in high demand and there is a scarcity of supply, it looks like, but it is after 3 -4 years , it will not be so. Qatar is already extending its target from 77 million tons to 126 million tons, so definitely there will be sufficient energy in the market . In India, the consumption is going to increase for LNG because if you look at the kind of thrust which is there at the Government of India to increase the consumption of gas and make India gas-based economy and simultaneously, they also want to increase the share of natural gas from 6% to

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15%. So, I think alternative to this natural gas or other fossil fuel is not ready as of now. Maybe

after 30 -40 years , maybe there and it is still if at all something is to be eliminated , all those like oil, petrol, diesel, coal , they have to be eliminated. Gas will continue for next; I think more than 100 years because it is still a very pollution free and clean fossil fuel and it can complement with renewables , it can complement with other sources of renewable like hydrogen and others. It is a basket of energy. You cannot say any development of energy source at the cost of replacement of others. It is still so many years have gone and coal could not be replaced. See, the first priority of the government is to replace those highly polluting fuels like coal and if at all to some extent, oil, crude oil, all those things. So, these are to be done first. Natural gas has to be promoted and the government will continue to promote it. So, in my view, the consumption of natural gas is going to increase in future. It will not come down and other alternatives will come. They will also be driven because the demand is going in a big way .

Gauri Anand : I just wanted to know on, how should we think about supply security, especially the long-term supply security and if you can specifically offer comment on Russia , sir as much as we could strike a deal and lap up all the crude from Russia, lot of the thing was actually piped into Europe and it is all idling now, is there an evacuation challenge or if you can comment on Russia specifically, that would be helpful ?

Vinod Kumar Mishra: Supply side, first I will comment that how much contract we have, India has around 20 million of contracts for energy taking all this together because Petronet has 7.5 million tons Qatar Gas, 1.42 million tons with Exxon Mobil , around 9 million tons and another 1 million , so around 10 million tons you can say we have and apart from the others, GAIL and IOCL and GSPC they also have contracts , so total 20 -million -ton contracts are there. Now , if you see the supply side, how we will ensure more contracts are being entered in time to come and you will see that there will be enough long -term contracts. So, the people have realized that there should be long-te

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contracts only because of the spot prices we have seen in the last 2 years, how volatile they have been in the past 1 or 2 years. So, it is not a supply source which is dependable , so long-term contract is solution and in fact whatever contract we have more contracts will be entered and many buyers in India are going for that kind of contracts throughout the world. The second question is regarding Russian supply. Russia used to supply to a great extent to European countries through pipe line, but as far as the facilities are concerned , there is no LNG facilities kind of things readily available.

V Mittal : They have two projects, one is Yamal and another one is Sakhalin -2, but both of them have long term contracts tied up on the long-term off-takers like Japan and China continue to offtake volumes from these projects. Another project which is Vysotsk LNG project because of the sanctions, that project is now in limbo because they are not able to get technology support. So, there is no new project which is coming up in the near future, except some small projects of 1 million ton or so . There is no surplus LNG supply.

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Vinod Kumar Mishra: Question is that how there is supply constrained? Yes, there is supply constrained. Whatever gas is available in terms of energy, it has already been tied up and for balance, there is no liquefaction in supplying the LNG . So, you can say that European gas, which has been curtailed there is no immediate plan of Russia to sell that through LNG route, so this is not for sale as of now . So, I think China is drawing maximum gas through pipeline because China has got a pipeline from Russia. So, they are coming to the Russian rescue . There is no LNG supply as sanctions are there on Russia so it is not feasible as of now .

Moderator : Thank you very much. We take this as the last question. I would like to hand the conference over to Mr. S Ramesh for the closing comments. Please go ahead, sir.

S. Ramesh : Thank you. Before I let you go, sir, I would like to ask a couple of questions. One is in Kochi , we still see the capacity utilization is subdued , so given that the LNG prices have declined substantially, do we see improvement in the utilization of Kochi in the second- half or sometime in FY25? How do you see that situation?

G K Sharma : Basically , it is all about the cost of alternate fuel versus LNG. So, yes, we do see opportunity of few customers which went in the year 2021 on oil products after running on gas for a few months and hopefully because oil has gone up and where the European storage almost at 98% -99% and winter prices are subdued as compared to the last year. So, we do expect LNG would be competitive to alternate fuel and capacity utilization could increase, but it is all about like geopolitical crisis now going on between Israel and Hamas, so keeping fingers crossed , it is unpredictable.

S. Ramesh : Then a housekeeping question, can you share the details regarding inventory gain or trading gain and the IndAS impact ?

D Satpathy : Yes, trading gain has been Rs. 19 crores and the inventory gain has been Rs. 124 crores.

S. Ramesh : And what about the IndAS impact with the currency impact ?

D Satpathy : The IndAS impact is Rs. 161 crores positive at gross margin level , Rs. 37 crores Forex loss and

Rs. 8 crores of positive at the other expenses level , then depreciation Rs. 84 crores and interest finance cost Rs. 72 crores.

S. Ramesh : Thank you very much. With that, we drop curtains on this call. Let me thank the management of Petronet LNG for taking time out for this earning call on behalf of Nirmal Bang E quities. I also thank all the investors for participating in this call. Thank you very much and have a good day and wish everybody a happy Diwali and Season Greetings .

Vinod Kumar Mishra: Thank you. Happy Diwali

to all of you. Thank you.

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Moderator : Thank you very much. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Petronet LNG Limited

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Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252 Kochi LNG Terminal:

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P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2024 Date : 5th February 2024

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subje

ct: Transcript of post -results Conference Call held on 30.01.2024

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ar Sirs/Madam,

Thi

s is with reference to our intimation dated 24th January 2024 and 30th January 2024 intimating holding Conference Call of the Company scheduled on Tuesday, 30th January 2024 at 11:15 A.M. (IST) for unaudited Financial Results of the Company for the quarter and nine-months ended 31st December 2023 and uploading audio recording post Conference Call respectively.

In t

erms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference c all as Annex-1.

Thi

s is for your kind information and record please.

Y

ours faithfully,

(R

ajan Kapur)

Company Secretary

Encl: as above

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Q3 FY24 Earnings Conference Call"

January 30, 202 3

MANAGEMENT : M R. VINOD MISHRA – DIRECTOR , FINANCE –
PETRONET LNG LIMITED

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER
AND PRESIDENT , FINANCE – PETRONET LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – GROUP
GENERAL MANAGER AND PRESIDENT , MARKETING –
PETRONET LNG LIMITED

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER AND
VICE PRESIDENT , MARKETING – PETRONET LNG
LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,
FINANCE – PETRONET LNG LIMITED

MR. VIKASH MAHESWARI -- DEPUTY GENERAL
MANAGER , FINANCE -- PETRONET LNG LIMITED

MODERATOR : M R. NITIN TIWARI -- PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Annexure-1

Petronet LNG Limited

January 30, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Petronet LNG Limited, hosted by PhillipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Nitin Tiwari: Thanks, Michelle. Good morning, ladies and gentlemen. On behalf of PhillipCapital (India) Ltd., I welcome everyone to Petronet LNG's Third Quarter FY '24 Earnings Call. We have the pleasure of having with us today Mr. Vinod Kumar Mishra, Director Finance; Mr. Rakesh Chawla, GGM and President Finance; Mr. Gyanendra Kumar Sharma, GGM and President Marketing; Mr. Vivek Mittal, CGM and VP Marketing; Mr. Debabrata, General Manager, Finance; Mr. Vikash Maheswari, Deputy General Manager Finance.

I will now hand over the floor to management for their opening remarks, which will be followed by a Q&A session. Over to you, sir.

Vinod Mishra: Thank you very much, very good morning to all of you. First of all, I'll start this conference with the very good news that, we have registered highest ever PBT and PAT in this quarter of INR1,

597 crores of PBT and INR1,191 crores of PAT and also 9-month period also has registered a highest ever PBT of INR3,761 crores. So this is just highlight. Now I'll go to the main concept.

So Dahej has been utilized to the extent of 96% this time and total throughput has been 218 TBTU as against 210 TBTU in the previous quarter and 154 TBTU in the corresponding quarter.

If you look at Dahej and Kochi Terminal together, we have registered 232 TBTU of throughput in this quarter as against 223 TBTU in the last quarter and 167 TBTU in the corresponding quarter.

And the quarterly performance, if you look at the PBT has been INR 1,597 crores -- PBT has been INR1,597 crores as against PBT of INR 1,586 crores in the corresponding quarter and INR1,102 crores in the previous quarter. And PAT has been at this time, INR 1,191 crores as against INR 1,180 crores in the corresponding quarter and INR 818 crores in the previous quarter.

So if you look at the growth, there has been 46% growth in PAT as compared to previous quarter and almost 1% growth over the corresponding quarter. So this is the quarterly result.

If you look at the 9-month period, the throughput has been at Dahej 646 TBTU as against 532 TBTU in the previous year's corresponding period and total throughput this time has been 685 TBTU as against 567 TBTU in the corresponding period of the previous year. So there is a growth of almost 21% in volume as compared to the last year 9-month period as compared to current year 9-month period. So this is the growth.

And if you look at the profitability for the 9-month period, the total PBT has been INR 3,761 crores as against INR 3,517 crores in the 9-month period of previous year. And if you look at the Petronet LNG Limited
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PAT, it has been INR 2,799 crores this 9 months period of this year as compared to the same period of previous year of around INR 2,626 crores. So there is a growth of almost 7% over that PAT also as compared to previous year's 9-month period.

So this has been possible because of the efficiency in operation and higher utilization of Dahej terminal. So these are the highlights I have just told you, and now floor is open for the questions.

Moderator: We'll take the first question from the line of Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman: Thank you for taking my questions, I have two. So the Red Sea disruptions that are happening, is that having any impact on the spot LNG trade? Because I'm sure that there are several cargoes that are coming from markets other than Qatar especially the U.S. ones. That's question one.

The second one, could you give us an update on the collection of the receivables there were around INR1,300 crores of past receivables, INR 1,280 crores to be exact, and another INR 600 crores that have gotten added. Could you give us an update on that? Thank you.

Vinod Mishra: Thank You. So, the first question is regarding Red Sea impact on the cargoes coming to our terminal. So I must first clarify that we have long-term contract with RasGas or now QatarEnergy, Qatargas. So those cargoes coming from Qatar, there is no threat to -- like there is one in Red Sea and they are coming smoothly. There is no issue, long-term contract.

As far as other contracts, you are saying any volume coming from because if any volume is coming from U.S., from that side, then only this Red Sea threat is there because anything which passes through Suez Canal and then comes to Red Sea, it is subject to some threat of this -- these attacks by Houthis. But we don't foresee in our port that there is any threat because if at all, there

is any threat, it could be to the cargoes, which are coming from the U.S.
So maybe I'm not sure, but may be it may be for the cargoes, which GAIL is bringing from U.S., if at all they are bringing. Although they have also swapped the

volume. So they're very less likely. I have not seen any threat so far to LNG cargoes coming to our terminal. So this is the answer to question number one.

Second question, you are saying that -- what has been your second question?

Vivekanand Subbaraman: Update on the receivables? And when do you think you're likely to collect that?

Vinod Mishra: I tell you. What has happened that there was a receivable of use or pay charges to the extent of INR415 crore for the calendar year 2021. And there is a use or pay charges of INR 848 crore for calendar year 2022. So total INR1,263 crore was outstanding. This year, we have reached the settlement with our off takers regarding use or pay charges. And in fact, we have given them 3 - year period, to bring more volume in this period till then, they have been asked to provide us bank guarantee to the extent of INR415 crores for '21 and INR 848 crores for the year '22.

So this is a use or pay charges, which is secured by bank guarantees. And if in 3 years means for '21, they have to bring the shortfall volumes by December 2024. If they bring entire volume of

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this shortfall, which is there to the extent of INR 415 crores, whatever it is, then we will, in that year may waive that use or pay charges. If they don't bring any volume over and above the committed volume under ADP. If they don't bring any volume over and above the commitment in that year through 2024, say, this year. Then their bank guarantee will be encashed against use or pay charges. So this is the mechanism we have worked out, and this is more or less agreed by all the off takers, including GSPC, BP CL, IOCL and Torrent. They have all agreed it. And so accordingly, we are going ahead. And for 2022 calendar year, use or pay charges of INR 848 crore, if there is excess volume being brought by them by December 2025, then we may waive this use or pay charges of INR 848 crore, if they bring cargoes equivalent to volume of INR 848 crore.

Vivekanand Subbaraman: Thank you for the update, just to understand the revenue that has been recognized. What will happen if the volumes that the off takers consume, what if they consume the -- I mean, the past shortfall during the 3-year period. Does this mean that you will have to then write back this revenue?

Vinod Mishra: No, no. What I'm saying is that there is no revenue loss. If we -- if they bring more cargoes than whatever commitment they have for that particular calendar year 2024, if they bring more cargoes than their commitment and to that extent use or pay charges will be waived off. It's not an adjustment. It will be waived off. And if it is waived off to that extent, maybe that they may not bring the entire volume in the current year for -- which is a shortfall for 2021 calendar year. Then to that extent, the bank guarantee is there, we will encash it. Or they will pay it, we will return the bank guarantee, so that could be done. So what I'm saying that my use or pay charges are now secured to that extent that either they will have some extra volume, in that form, it will be there or if they don't bring any volume, it will be encashed and this use or pay charges will be recovered.

Vivekanand Subbaraman: Right. I'm just trying to understand, if they bring the extra volumes, then the use or pay charges that you have recognized till now, what will happen to them?

Vinod Mishra: I'm telling you, if they bring extra volume, it will be booked as income of that year when they bring it, over and above the ADP commitment, okay? So that will be recognized as that year income. It means if they bring at the end of '24, this would be recognized as normal income at normal regasification charges, it will be recognized.

But in lieu of that because they have made an effort to bring extra volume than they have committed, so as a dispensation, as a consideration, we will

waive use or pay charges to that extent to that quantity, which they have brought more over and above ADP volume. If they say they don't bring any volume by end of 2024 for the shortfall, which has been there in 2021, then entire use or pay charges will be recovered from them against the bank guarantee. If they pay it, okay, if they don't pay, we will encash the bank guarantee. So what I'm saying that company is secured from loss of revenue in any case, and there is no hit in the revenue. This is what I'm saying.

Vivekanand Subbaraman: Understood sir. Thank you for the detailed explanation.

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Vinod Mishra: Thank you.

Moderator: The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah Valliyappan: Thanks for the opportunity, so first question in terms of the use or pay charges that we have booked for the last calendar...

Moderator: Sir, your voice is muffled, it's not that clear, sir. May we request you to use your handset, please?

As the current participant has left the queue. We will move on to the next question, which is from the line of Sabri Hazarika, from Emkay Global. Please go ahead.

Sabri Hazarika: Yes. Good morning sir. So I have 2 questions. First one is relating to this OpEx. So can you give us the reason why it has gone up, the other expenditure has gone up? And what should be the normalized recurring rate going ahead?

Debabrata Satpathy : Yes. Certainly, there is a provision of INR 228 crores in the opex. If that is taken out, that is a prudent accounting system. We have created a provision of INR 228 crores against the use or pay receivables of CY '21 and CY '22. That is a time-based provision only. And if you take that out, INR228 crores from the other expenses, then you will see that the other expenses are in line.

Sabri Hazarika: Okay. Okay.

Debabrata Satpathy : So as explained in this scheme of recovery of use or pay, once they bring the volumes, then the revenues will be recorded and also these provisions will be also reversed in due course of time.

It has only been created to -- as a prudent accounting policy.

Sabri Hazarika: So this is like from the first question itself. So basically, the accounting treatment will not be revenue recognition because that you have already done in CY '21?

Debabrata Satpathy : We recognize the revenue. And whenever this revenue comes, there are 2 things. One is, suppose the revenue comes -- some extra volume comes in 2024, then first of all, the 2024 regas rate will be applicable, not the 2021 or '22 because that is one plus the re. And second, once that revenue is booked, the already booked revenue of use or pay will be reversed as it has been explained.

Sabri Hazarika: So this is now currently housed as receivable. So it will be a cash -- I mean, INR 415 crores, if it is like fully met up, then it will be adjusted in the receivables and it will be a cash gain rather than P&L gain and whatever upside is there, that will be booked accordingly. And this provision also reversed. Is that the right way?

Vinod Mishra: No, no, it's like that, that whatever provision we have made in that year, we will book in revenue as it is. It is as good as coming in the same year and current year income. But as a consideration, we will think that if they have brought some volume over and above the committed volume for that particular calendar year 2024, then that will be considered for a waiver of use or pay charges.

So that will be adjusted.

Sabri Hazarika: Right, sir. Got it.

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Vinod Mishra: And it will not impact revenue, we can say.

Sabri Hazarika: I think it will basically lead to cash income, I guess. Anyways, secondly, the usual bookkeeping question. So what was the service revenue and Ind AS impact and Gorgon volumes in Dahej?

Debabrata S

atpathy : Yes. At gross margin level, impact is INR 136 crores.

Sabri Hazarika: INR136 crores?

Debabrata Satpathy : Yes, INR136 crores. There is a forex loss of INR 1 crores and a reversal of rent expenses of INR 8 crores. And depreciation and finance cost are INR 84 crores and INR 69 crores respectively.

Sabri Hazarika: Okay. And service income?

Vinod Mishra: Regas service are -- Q3 regas service charges, INR623 crores, I think. And INR 623 crores, this is for the service cargoes.

Sabri Hazarika: Okay. And Gorgon volumes in Dahej?

Vinod Mishra: Gorgon volume in Dahej is --

Debabrata Satpathy : Gorgon volumes in Dahej year -to-date, I can tell you, you can take the adjustment. Year -to-date Gorgon volumes is 14 TBTUs, 14.4 TBTUs.

Sabri Hazarika: Okay. And trading gains and inventory gains?

Vinod Mishra: Trading gain is there to the extent of INR 40 crores in this quarter. INR 40 crores as compared to INR19 crores in Q2 and INR 24 crores in the corresponding quarter.

Sabri Hazarika: Right. And any inventory gains?

Debabrata Satpathy : Inventory gains INR 147 crores.

Moderator: The next question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. Just wanted to get a sense of some of the capex update, both on the capacity expansions that are going on. And any update you can give us on the petrochemical project, that would be helpful. Thank you.

Vinod Mishra: Expansion project, as you must be knowing, we have been updating you time and again that our

expansion of Dahej terminal from 17.5 MMTPA to 22.5 MMTPA will be completed by March 2025. So after that, it will be available for use. Okay.

And as regards this petrochemical you have just raised the question. We have clarified last time also, there is not much update on that, but that has been approved by the Board. And the investment we have already declared INR 20,685 crores, but this is including the soft cost. So all those things are going on. And I think now we are in the process of finalizing all the licensor selection and all those things are going on. So maybe that we have already ordered for licensor selection, I think. So that part is going on. So it is in the process, not much update on that.

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Probal Sen: Okay. One small question, if I may. Any update, and forgive me if you've already answered this on the second level Kochi connectivity, sir? Pipeline over the small stretch that was pending completion...

Vinod Mishra: Yes, yes, yes. Update is that so far, this section of Coimbatore to Krishnagiri is pending 250 kilometers. And as GAIL has committed, this will be completed by this year-end, it is already under review by PRAGATI or the PMO office review. So we are hopeful that by this year end, this will be connected to Bangalore. And after that, it will be connected to the national gas grid.

Probal Sen: So for FY '25 ideally, at least we should see some additional volumes coming through, that would be the expectation, sir from Kochi, right?

Vinod Mishra: We can hope it because I'm also optimistic about the completion of this pipeline because once this is completed, then it will be open for utilization because there can be more volume be consumed through this pipeline for the Southern India because it's better to use from the nearby terminal than bringing from Dabhol or from Dahej, because the unified tariff will be there. And if it is nearer to the source of gas, unified tariff will be INR 40, INR39 something or if it is away more than 1,200 kilometers than it maybe in the range of INR 100. So I think that concept will help us in utilization -- more utilization of Kochi terminal, after connectivity with national gas grid.

Moderator: The next question is from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: Hi Sir, thanks you for

taking my question. A bit of an understanding, so 2021, you had accounted for INR333 crores of use or pay receivables, right? And of that, you have now created a provision of INR228 crores. Firstly is, I mean, any reason where the remaining -- INR105 crores of remaining provision, you have not yet created or any particular reason why only INR 228 crores, if I could understand.

Vinod Mishra: No, it's not like that. But INR 330 crores, I don't know where from you are taking. But total, I'm telling you, it was including GST INR 448 crores. This was the total use or pay charges, which was pending. And we have...

Vikash Jain: It was in 2021, you said.

Vinod Mishra: 2021. We had made a provision of around 20% last year of that. That means around INR 90 crores, you can say. And we have made a provision of INR 220 crores -- INR228 crores this year.

And the provision is also based against INR 848 crores, which is for the calendar year 2022. It's INR848 crores into 20% for the year. And for 3 quarters, we have made 15% because for every financial year, after 1 year, we are making provision of 20%. So just 3 quarters have already passed. So we are -- now we have decided to make a provision on a quarterly basis. So accordingly, we have made a provision of 15% of INR 848 crores.

So this is coming to INR 127 crores. And if you look at the last year provision of INR 448 crores, 30% of that we have made. So around INR 130 crores and divided by -- it's a 9-month period, if we take it, it will become around INR 100 crores almost. So total comes INR 228 crores. INR 128

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crores, you can say for the current year 20% for this INR 848 crores, and INR 100 crores for the previous year, INR 448 crores into 30% and into 9 divided by 12. So it comes to INR 100 crores around. So total INR228 crores provision we have made this time.

Vikash Jain: So just to kind of make it simple of, I think, INR 894 crores of total use or pay, right? '21 and '22 put together. INR848 crores and -- sorry, not...

Vinod Mishra: INR400 crores. INR 1,200 crores, INR1,300 crores.

Vikash Jain: Sorry, INR1,200 crores, INR 1,300 crores of use or pay. How much provision have you made so far?

Vinod Mishra: INR228 crores plus INR 89 crores. So it is around INR 317 crores we have made.

Vikash Jain: So of INR1,300 crores, say INR 317 crores, you have made, there is still INR 1,000 crores of

revenue, which is booked. Now, essentially, how do we expect this to be -- I mean, will you continue making provision every quarter? Or how would this work out? And why I say that is if we do not make full provision then when these volumes actually come in, in -- hopefully, in 2024, the net effectively you would have -- if provisions were not made, then that sale has already been booked in advance, right?

So the volume would have been taken, but the adjustment will happen from the balance sheet receivables. So for you to recognize the revenue in this particular year, you'll have to make the provision to offset that. So otherwise, it will be adjusted with the balance sheet receivable, right? So...

Vinod Mishra: I'm telling you what will happen. This is -- if you look at 1 year only 2021, it will be -- they have to bring additional volume by December '24. So this will be settled only the next year either way. Either they don't bring, then it means we will encash the bank guarantee or they will pay it, and we will return the bank guarantee. Both options are there. It will be recovered. Matter is over.

Question arises only when they bring additional volumes over and above the commitment of the current year -- current calendar year '24. That we will consider and accordingly, whatever volume they have brought in, additional volumes they have brought in this year, it will be adjusted against the shortfall of '21. And to that extent, how -- whatever use or pay charges are

there, that will be written off. This is what we are going to do.

Vikash Jain: Right. So basically, what I'm trying to....

Moderator: I'm sorry to interrupt, Mr. Jain. I would request...

Vikash Jain: This is the same question. It is getting clarified. So please allow me to complete it. So what I'm asking you, sir, is there is a part of revenue, which you have booked in advance when they bring in the cargoes unless you have made provisions for that. This will actually not be kind of leading to a recognition of income in that particular quarter or year, right?

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Because you've already -- it will be adjusted with the balance sheet. There's a cash impact, which you've said either they bring in and pay you the money or they -- you encash the bank guarantee that I understand.

But from an income statement perspective, unless you have cancelled out the advanced booking of revenue with the provision, this will not lead to fresh income recognition in that particular quarter, right?

Debabrata Satpathy : You see..Vikash ji.. the revenue that has been already booked by use of pay charges is a penal charge coming out of the contract, okay? So this penal -- from the penal provision, this revenue has been booked. And whatever provision we are booking, that is as per the prudent accounting practice, that is a time-based provision that we are booking. Up to this point, we are clear. And then whatever volume -- suppose some extra volume they bring in 2024, that extra volume will be treated as the revenue of 2024 only. And it will be a precondition for waiving of the penal charge whatever has been booked in the past, if they bring some extra volume. So if they bring some extra volume, this penal charge will be waived off to that extent. And if they do not bring, then the -- through the bank guarantee mechanism, the recovery will be done against the penal charge only. So this is how the accounting treatment has been done.

Moderator: Mr. Jain, may we request you to kindly rejoin the queue for follow-up questions as there are several participants waiting for their turn.

The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Thanks you for the opportunity , just following up. So -- just to clarify, bank guarantee has been taken for the entire amount of the takeout pay or only a partial amount?

Vinod Mishra: Bank guarantee will be for an entire amount of INR 15 crores for '21 and INR 848 crores for 2022.

Amit Murarka: And when will the bank guarantee be received?

Vinod Mishra: It is under settlement. It has been principally agreed with the off takers . And so we are in the process. Some of them has given also but others are in the process of giving it. And also settlement agreement will also be formally signed.

Amit Murarka: And the offset is on value -- and the offset is on value or volume because I guess the value obviously will be higher on the same volume now with the higher regas charges.

Vinod Mishra: Volume will be compared. See, because the use or pay charges in '21 will be at a lower regas charges. But in '24, the volume, the additional volume they bring in, it will be charged at higher regas charges. So we'll compare how much additional volume they have brought in. And to that extent, how much would have been the use or pay charges multiplied by this regas charges of 2021. That will be waived. And revenue will be booked as if current year income, whatever additional volume will come.

Amit Murarka: And there is no interest included in this 3 year of interest loss that has happened, that's not in the equation?

Vinod Mishra: These kind of things are not considered. When the settlement is done, these things are not thought of because we are doing something at least we are able to recover it

somehow. Otherwise, there is a lot of issues, and it's not -- it's a big deal also if we are settling something very old. Interest part is not there, of course.

Amit Murarka: And also if you could share...

Vinod Mishra: These are regasification charges of 5% hike, we are getting 2 years. '21 was at least -- if you look at 5 years each year, if we bring in '24, almost 15% of the regas charges has already increased for the additional volume. If you compare with that, then you have to see the interest and you will find that it is still beneficial.

Amit Murarka: Got it. And could you share some update on the regas contract, the long-term contract?

Vinod Mishra: Regas contract is already there up to 2036 with the off takers to the extent of 8.25 MMTA.

Amit Murarka: Sorry, I meant of the contract with Qatar?

Vinod Mishra: That is in process. As and when there is any declaration, we will inform you. And we are under discussion, so we cannot disclose those important issues. We will declare it definitely, it will be known to you, as and when we sign it.

Moderator: The next question is from the line of Chinmay Gandre from Canara HSBC Life Insurance. Please go ahead.

Chinmay Gandre: Just a follow-up sir, regarding this settlement so when was this reached. And you mentioned that some of the players have given bank guarantees. So what quantum of bank guarantees we would have received?

Vinod Mishra: No. Just repeat, again, your voice is not so clear. Come closer to the mic.

Moderator: Sir, it's muffled little actually.

Chinmay Gandre: Yes. So my question is, sir, when was this settlement reached with respect to the off-takers and also like how much percentage of bank guarantees have you received of the total outstanding?

Vinod Mishra: This is in process, you will find next quarter, we'll update you, but we are in process. We cannot do something in a hurry that they should submit immediately. It takes time, but somehow, they have reached the agreement, and we have -- we are going in that direction. And maybe next -- by the end of next quarter, it should come. We will inform you, updated. But bank guarantee is yet to be received. Some of them have given, some of them have not given. We are in the process of getting those bank guarantees also and settlement agreement signed.

Chinmay Gandre: Ok. Thank you.

Moderator: The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: My first question is whether all the increase in regas tariffs have been honoured for the current year so far?

Vinod Mishra: Yes, yes, it is being honoured. It is as per the contract. There is no issue. 5% hike is there. And for the RasGas contract, it is on 1st of Jan, 2024 it has been done. It is 62.90 -- 62.90 it is being collected also. There's no issue.

Puneet Gulati: Okay. Great. And so for the Kochi as well, right?

Vinod Mishra: Yes, Kochi as well.

Puneet Gulati: And the Kochi, the increase should happen from March, right?

Vinod Mishra: 1st of April.

Puneet Gulati: 1st of April. Understood. Secondly, if you can also talk a bit about the CapEx on your Gangavaram plant and the Dahej jetty, what is the time line for completion of those?

Vinod Mishra: The Gangavaram, we are not pursuing. We are going to Gopalpur as we have declared. Earlier, we were doing that. We were thinking of going to Gangavaram, but now Gangavaram is no longer there. And it is Gopalpur, we are putting up a terminal. And it is in the process. And as you know that we have already signed with the Gopalpur Port Limited all the sub lease agreement and other all other land -- lease agreement. All agreements have been signed. And we are now in process of undertaking that project, and it will take around 3 years. Initially, we are thinking of some FSRU based terminal. But it feels that FSRUs availability i

s also very

poor. And if we don't get it, we will go straight away to land-based terminals. For that, we'll need some additional land for that we are pursuing with them. And as and when we get it, maybe

instead of going for FSRU in future we may go for land-based terminal. But as of now, approval is for FSRU based terminal only.

Puneet Gulati: Right. And while you are negotiating with Qatar, are you negotiating for higher volume for this terminal as well? Or is it just renewal of existing volume?

Vinod Mishra: It is just renewal of the contract.

Puneet Gulati: Okay. So volume for this will be fresh contracts with some other off taker, other party?

Vinod Mishra: No. It's a renewal means everything renewal means whatever volume will be coming, it will be coming on behalf of the existing off takers only.

Puneet Gulati: Right. But not the additional volume?

Vinod Mishra: Not additional volumes. Additional volumes we are not taking.

Puneet Gulati: Okay. And update on the jetty?

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Vinod Mishra: Jetty, we are in the process of finalizing the details and award the contract, and it will be having a cost of around INR 1,700 crores. And we hope that after it is awarded, it would take another 36-month period to complete that jetty. And that jetty will be diversified in fact from the point of view that it can import propane, ethane as well as LNG.

So it is thought that once this is commissioned, then we will have more flexibility in operation.

And perhaps for the upcoming petrochemical project also, it can bring propane from outside.

And if we also -- maybe for ethane also, we can import.

So this is the detail of this jetty. And another -- tanks are also coming up. So tanks will be commissioned by June 2024. INR 1,246 crores around is the CapEx. Expansion will be completed by March 2025 of 5 MMTPA at Dahej. So this is the details of other projects.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Manikantha Garre from Franklin Templeton India. Please go ahead.

Manikantha Garre: Hope I am audible.. Thanks for the opportunity. Sir, I have just one question with respect to this agreement which you have made with off takers on the use or pay charges. So you said any additional volumes that off takers bring on top of the committed volumes will be offset against this CY '21, '22 charges.

Just a clarification here, if not for the situation wherein use or pay charges would have -- if they were paid in, say, by '21 and '22 itself, you would have gotten additional revenues from the additional volumes which they will be bringing in '24, '25. So effectively, you are foregoing that additional revenues just to resolve this use or pay charges. Is that the right understanding?

Vinod Mishra: No, this is not correct because what I'm telling you because now LNG prices have softened, and they are now thinking to bring more volume because they want to settle this issue. It's not that had we -- had they paid it, then they would not -- they would have brought the additional volume. They may not have made even the effort for bringing additional volume.

Now they are making effort how to set it off. So this is a difference. Actually, if you don't intend to bring it, then you will not bring it, but now they have intention to bring it. So they are somehow managing to bring the volume, more volume so that this use or pay can be adjusted. So this is --

- not adjusted, this can be waived off.

And in fact, additional volume will give them solace that they have brought in and so now their use or pay charges will no longer be applicable after waiving off. So this is not correct that they would have brought it additionally. This is not correct. They are now making effort to bring more volume. Just to make up for the short fall ...

Manikantha Garre: Sir, how should we think about sa

y by '26 onwards then? So they will not be making any additional efforts to bring additional volumes then is it?

Vinod Mishra: They may bring or they may not bring. But now they will additionally make an effort to bring it. So this is a difference. At our terminal only. Otherwise, they can take it to any other terminal.

So, yes, they are free to take it anywhere.

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Manikantha Garre: Ok sir...Thank you.

Moderator: As that was the last question for today, I would now like to hand the conference over to the management for their closing comments. Over to you, sir.

Vinod Mishra: Thank you very much. Thanks to all of you for joining this conference, and -- just I want to reassure you that as I have already said that we'll continue to make effort to increase the profitability of the company, to do some extra things so that we have some extra bottom line additions to Petronet.

So this effort will continue. And -- only thing you have to report confidence in Petronet LNG.

And we assure you that we are making all efforts to make company a bigger company and to increase the wealth of the shareholder whatever efforts we can do, we al ways will continue to make all efforts. Thank you very much.

Moderator: Thank you, members of the management. On behalf of PhillipCapital (India) P rivate Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Petronet LNG Limited

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Dahej LNG Terminal:

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Tel.: 02641 -257249 Fax: 02641 -257252 Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2024 Date : 30.05.2024

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 23rd May 2024

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ear Sirs/Madam,

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his is with reference to our intimation dated 20th May 2024 and 23rd May 2024 intimating holding Conference Call of the Company scheduled on Thursday, 23rd May 2024 at 12:00 Hrs (IST) for Audited Financial Results of the Company for the quarter and year ended 31st March 2024 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference c all as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

Company Secretary

Encl: as above

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etronet LNG Limited Q4 FY-24 Earnings Conference
Call"

May 23, 2024

MANAGEMENT : M R. VINOD KUMAR MISHRA – DIRECTOR (FINANCE)

PETRONET LNG LIMITED .

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER
AND PRESIDENT (F&A) PETRONET LNG LIMITED .

MR. GYANENDRA KUMAR SHARMA – GROUP
GENERAL MANAGER & PRESIDENT (MARKETING)
PETRONET LNG LIMITED .

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER &
VICE PRESIDENT (MARKETING), PETRONET LNG
LIMITED .

MR. DEBABRATA SATPATHY – GENERAL MANAGER
(F&A), PETRONET LNG LIMITED .

MR. VIKASH MAHESWARI -- DEPUTY GENERAL
MANAGER (F&A), PETRONET LNG LIMITED .

MODERATOR : M R. NITIN TIWARI - PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED .

Annex-1

Petronet LNG Limited

May 23, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Petronet LNG Limited Q4 FY24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Nitin Tiwari: Thank you Steve. Good day ladies and gentlemen. On behalf of PhillipCapital, I welcome everyone to Petronet LNG's Fourth Quarter FY 24 Earnings Call.

From Petronet LNG we have the pleasure of having with us today Shri. Vinod Kumar Mishra – Director (Finance); Shri. Rakesh Chawla – GGM & President (F&A); Shri. Gyanendra Kumar Sharma – GGM & President (Marketing); Shri. Vivek Mittal – CGM & VP (Marketing); Shri. Debabrata Satpathy – General Manager (F&A); Shri. Vikash Maheswari – Deputy General Manager (F&A).

I will now hand over the floor to PLNG's management for their opening remarks, which shall be followed by a Q&A session. Over to you, sir.

Vinod Kumar Mishra: Thank you, Nitin. And a very good morning to all of you. So, first of all, I will start with the performance of the Dahej. And if you look at

the physical

performance at Dahej, this time in this Q 4 we have processed 219 TBTU as against 172 TBTU in the corresponding quarter and 218 TBTU in the previous quarter. And if you look at the overall throughput of Dahej and Kochi taken together then it's 234 TBTU and it was basically 185 TBTU in the corresponding quarter and 232 TBTU in the previous quarter. So, there has been the highest ever throughput in this Q4, if we compare all Q4 till now. So, this is very good that physically we have been able to perform better in Dahej this time. And the overall throughput has been at Dahej for the entire year 865 TBTU as against 704 TBTU in the corresponding previous year. And it has also improved drastically, and it has gone up almost 23% higher.

So, I think, So, physically we have performed well this quarter and if you look at the quarterly results, it has been Rs. 996 crores of PBT in this Q 4 2024 as against Rs.818 crore in the corresponding quarter and Rs.1,597 crore in the previous quarter. And if you look at the PAT it has been Rs. 738 crore in this Q 4 as against Rs. 614 crore in the corresponding quarter and Rs.1,191 crore in the previous quarter, but if you look at the previous quarters, there were use or

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pay charges of entire year of Rs. 610 crore. So, it looks, but if you remove that, then it will be around that only which is the performance right now.

And overall profitability for the year PBT has been Rs. 4,757 crores as against Rs. 4,335 crore in the previous year. And similarly, if you look at PAT, it has been Rs. 3,536 crores as against Rs.3,240 crore in the previous financial year. So, it has been the highest ever, highlight is that the highest ever PBT and PAT in the financial year 2023-24, which is Rs. 4,757 crore and Rs.3,536 crore respectively.

And another good thing is that there has been growth in volume of 22% and if you look at the throughput in Q 4, it has been highest ever in Q 4, 234 TBTU and growth in volume and throughput in Q4 over corresponding quarter is 26% and highest ever PBT of Q4 achieved in Q4 of Rs. 996 crore. And growth in PBT and PAT in the current quarter has been to the extent of 22% and 20% respectively as compared to the corresponding quarter.

And this has been possible because of the lower LNG prices and efficiency and optimization in our operation. And Board of Directors has declared a final dividend of Rs.3 per share in the Board meeting held yesterday. That's all from my side and house is now open for the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity. I have a couple of questions. Firstly, in terms of the capacity expansion that is ongoing at Dahej and then the new terminal that we are looking at Gopalpur, can we get a sense of what will be the effective available capacity over the FY25 and FY 26 if you can give us a sense at Dahej in particular?

Vinod Kumar Mishra: Yes, in fact, we are already going for the expansion in Dahej and the work is under progress.

And by March 2025 we should be able to complete the 5 MMTPA additional capacity at Dahej. So, our existing capacity of 17.5 MMTPA will increase to 22.5 MMTPA by March '25. So, you can say literally it will be '25-26 it should be available for usage and the next year you can say effectively it will be used. So, this is about Dahej and as far as the other terminal you are talking about Gopalpur that terminal will take around three years because right now, it's in the initial stage and we have in fact doing all those due diligence and other things we have signed the

agreement with Gopalpur Port Limited, but only thing, there will be construction of jetty and other infrastructure over there. So,

initially it is planned to have FSRU terminal, but it may be because FSRU availability is an issue in the international market. So, it may be possible that we may go for land based terminal in Gopalpur also. The existing capacity of Gopalpur was capped at 4 MMTPA in case it is FSRU terminal, but if we go for this land-based terminal then it should be around 5 MMTPA capacity, but it will take around three years' time. So, it will not be
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available in the year 2025-26 that's very obvious. And of course after three years, we can say that it should be available.

Probal Sen: Right. And sir just to follow up a little bit, in terms of the 22.5 million tonnes, so basically today we are effectively at 17.5 million tonnes, have we signed all the off take arrangements given how near now, the completion is of this additional capacity. Are all the off take arrangements in place or are we looking to still probably leverage the stock market for this additional volume, at least in the initial few years?

Vinod Kumar Mishra: We are trying to make effort that we should have some capacity booked out of 5 MMTPA and if entire capacity is booked that's good. We are following up with the customers and if it will be possible we will let you know. But right now, nothing can be disclosed, because nothing has been materialized. But in future it is possible that some capacity may be booked. But if you see the market, it's very optimistic and we hope that this capacity can be utilized in the market, seeing the growth of volume in gas usage after this price is coming down. And now, if you look at the data PPAC in the last year, there has been a total consumption of around 188 MMSCMD. And almost 48% of that was basically LNG. So, this share will further increase in future because right now if you look at the price of LNG, it is almost equivalent to the HPS T gas available in the market or maybe some \$1 or \$2 maybe higher so it's not very, not much difference is there in spot LNG price and domestic gas market price. So, there is ample scope for usage of terminal in future because the growth of gas consumption will drive the further usage of our Dahej terminal and if capacity is good, then we will let you know.

Probal Sen: Got it. Sir lastly, just a couple of housekeeping questions. Can we get the number as we do every quarter of the Regas service revenue, and the IndAS impact on the numbers on depreciation, interest and other income. Thank you.

Debabrata Satpathy: Regas - revenue was Rs. 674 crores. And what was your next question?

Probal Sen: Sir the IndAS impact that you typically give?

Debabrata Satpathy: The IndAS impact is on the positive side Rs. 160 crores, gross margin positive Rs. 160 crores, gross margin level and FOREX lost Rs. 3 crores, and other expenses level positive is Rs. 8 crores and depreciation Rs. 82 crores and finance charges Rs. 68 crores.

Probal Sen: 58 or 68 sir?

Debabrata Satpathy: 68.

Probal Sen: Thank you

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Moderator: The next question is from the line of Vikas Jain from CLSA. Please go ahead.

Vikas Jain: This is mainly linked to this provisioning that we are doing and for the benefit of all of us, if we can clarify how this is currently working. Firstly, if you can correct my numbers if I am wrong, there's about Rs. 379 crores of use or pay that you have booked in CY '21 about Rs. 844 crores in CY'22 and about Rs. 610 crores in CY '23. Now, how exactly on a quarter-by-quarter basis would provisioning really work for this in terms of the provision that you are making?

Vinod Kumar Mishra: Yes, so if you look at this number is correct. First of all, I will confirm Vikas. And next question is that provisioning you are asking. So, we have made provision of almost 20% after end of one year in case of use or pay charges

. So, for CY '21 whatever was due provision Vinod was made to the extent of 20% last year, this was to the extent of Rs.90 crores almost because at that time, it was higher figure. So, we have made provision of 20% around is Rs. 90 crore it has been made. This year, we are making Rs.264 crore of provision. So, total provision will work out to Rs.354 crore till date. So, basically CY' 22 also is there, Rs.844 crores, so 20% of that also has been provided. So, Rs. 100 crore provision of last year, CY'21 use or pay charge, and Rs. 169 crore of CY 2022 use or pay charge this becomes almost Rs. 269 and there is some reversal of - Rs. 5 crores, and it comes to Rs. 264 crore and last year provisioning was Rs. 90 crore. So, total becomes Rs. 354 crore.

Vikas Jain: Okay. And sir going ahead Mr. Mishraji if we look at it. So, first year is from my understanding first year is 20% , second year is 30% and last year is 50%. So, in that case for 2022 e very quarter, we will be making now a provision of 12 .5%..sorry.. , 2021 12 .5% and 7.5% for 2022. For the next three quarters and in the fourth quarter there will be the 20% provision for 2023. Is that roughly how it will work?

Vinod Kumar Mishra: Yes, you are correct because what we have done now this year, that for the current year for nine months period, we had made provision in December quarter of Rs. 227 crore and balance Rs. 37 crore provision we have made in this last quarter Q 4. So, you are correct what you are saying that this is how it is been done worked out that this is the year where we have to provide 30% so, 7.5% per quarter is fine , number is fine and for the current year, which we have made out of this current year 2022 it has been almost 5% So, you can say that for the Calendar Year '22 per quarter i ts 5% and for CY '21 it is 7.5%.

Vikas Jain: Okay. So, far '22 Calendar Year now from -Q1 '25 we will be making 7.5% but for '21 , 12.5% will be made every quarter because this is the last year so all 50% .

Vinod Kumar Mishra: Right, a bsolutely correct .

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Vikas Jain: So, if I look at that, roughly what I get on to is about Rs. 111 crore kind of a provision every quarter from here from 1 Q, 2Q, 3Q and in 4Q because you get an extra 20% of the 2023 provision that's another Rs. 122 crores So, 4Q will be about Rs.230 crore. So, all in all, about Rs. 560 crores of provision will be made, divided like that over the year roughly, is that roughly in the ballpark?

Vinod Kumar Mishra : No, I am just correcting you right now, first of all 2021 provision which we have made this 24 December is the last year , up to December if customers are not able to bring the cargoes additional to the extent they have defaulted in 2021 then we will either get the payment from there or we will en -cash the bank guarantee which we have already taken , to the extent of Rs.3 79 crore we have bank guarantee with us and they are supposed to bring additional cargo otherwise we shall en -cash it , first thing is clear.

Vikas Jain: One thing over here, of this Rs. 379 crore, 50% of provisioning is pending. So, that will be done over the next three months ?

Vinod Kumar Mishra : It will be done but last quarter will be there when settlement has to happen

Vikas Jain: When settlement happens , where it can happen through balance sheet or through income statement?

Vinod Kumar Mishra : You can say two quarter we have to make a provision-. So, it will be, third quarter will be the settlement quarter , two quarter of course we may have to make provision . In third quarter there is no need to make a provision if we, can en -cash the bank guarantee because by 31st December it will be known whether they are bringing or not .

Vikas Jain: If they bring the cargo then it will be normal correct , if they bring all of the cargo then it will be normal provisioning.

Vinod Kumar Mish

ra : Yes. And provision as you know, that whatever provision we have made, it will be reversed because then we will have the revenue i n fact .

Vikas Jain: Yes, you will have matching revenue , a little bit higher revenue .

Vinod Kumar Mishra : Higher because of escalation of 5% .

Vikas Jain: Correct. And since we are on it , the corresponding numbers for this provision work out to be almost like for example 69 TBTU is what is the possible shortfall for 2021. So, may I ask how much of this has already been used from this for adjustment in this quarter and the last quarter ?

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Vinod Kumar Mishra : We cannot discuss all these issues , but at the end of this year, this particular calendar year we will definitely inform you what is the final result. It is too early to say anything on this issue and nor its appropriate.

Vikas Jain: Okay. Overall three years there is about 6.6 million tonnes of cargoes which has to be adjusted for the three years , is that number roughly alright broadly?

Vinod Kumar Mishra : We have not worked out , but I will definitely work out . Just a minute, I am just giving you the answer because we have worked out in terms of value . 3.5 million ton almost.

Vinod Kumar Mishra : And that too we have not included '23 calendar.

Vinod Kumar Mishra : We have not made any scheme or we have not made any arrangement , so it will be less because Rs.610 crore for the current last year '23. There is no scheme for bringing the cargoes for Rs.610 crores. It means that, that has to recovered without any extension of the period for bringing cargo so. So, it 's only for ' 21 and '22 calendar year that we have made a scheme and arrived an arrangement, it 's a one -time arrangement we have made.

Vikas Jain: Okay, so for ' 23 they have not been given an extra two years or anything?

Vinod Kumar Mishra : No.

Vikas Jain: You got bank guarantees for '23?

Vinod Kumar Mishra : No bank guarantee , we are asking them to make the payment itself.

Vikas Jain: Okay, understood. So, right now, that is not something which is under discussion, but understood. And the CAPEX for a land base terminal has that gone up. Last one, just this one, just a number , has the CAPEX for the land base terminal gone up?

Vinod Kumar Mishra: We have not estimated the number but normally a Greenfield LNG terminal of 5 MMTPA cost around Rs.5,500 crore. So, we have not seen that number because that decision is yet to be taken.

So, we will work it out, then we will let you know , but normally in case of Greenfield LNG terminal 5 MMTPA capacity is Rs. 5,500 crore around .

Moderator: Thank you. The next question is from the line of Varatharajan from Antique Stock Broking Limited . Please go ahead.

Varatharajan: I have two question. O n the Petrochem side, have you placed any orders for long lead items and if you can update us on?

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Vinod Kumar Mishra : Long lead items right now, we are not aware, because the consultant is there EIL so they are making all the arrangements , but it is in the process, I cannot say that it has been ordered .

Varatharajan: So, no financial commitment as yet from our side on the project ?

Vinod Kumar Mishra : No, there is a financial commitment because we have already appointed licensor and he is working on it because he has to give the packages and EPCM and EPC packages he is giving because there after we will work on this, but we have appointed licensor for both the Propylene and PP (PDH and PP) . So, they are on the job , so we have to finalize it and then go ahead with the project .

Varatharajan: Sure. On the off -take arrangement what is the timeframe for us to find the off -take arrangement for the renewed cash it is suppose d to be in the next one year or we can still wait till 20 26 to be back?

Vinod Kumar Mishra : Which we are tal

king about off -take arrangement for?

Varatharajan: Off-take arrangement for the existing volumes because they are expiring again along with the Qatar contract . So, off-take again this take -or-pay commitments you will be entering into an arrangement with all of off take customers.

Vinod Kumar Mishra : Yes, it will be there for the contract s we have entered with Qatar E nergy after 2028.

Varatharajan: So, this arrangement with the off -takers again you have to re -negotiate the terms or it is an automatic renewal ?

Vinod Kumar Mishra : It will be there, we are working out but we cannot discuss all those issues, when it will be done we will let you know because this is being discussed in detail and it 's in the process. And very soon we shall be entering into G SPA gas sales purchase agreement with the off- takers . It is a back -to-back arrangement , they have committed it.

Varatharajan: Any kind of a timeframe for this ?

Vinod Kumar Mishra : Timeframe, I cannot tell you but I have told you this will be done as early as possible.

Moderator: Thank you. The next question is from the line of Sabri Hazarika from Emkay G lobal. Please go ahead.

Sabri Hazarika: So, I have two questions. Firstly, with respect to the current utilization of Dahej terminal and Kochi terminal , and what is the volume expectation for FY '25 in particular . And the fact that , in

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yesterday in one media report, the M D has stated that this year, the LNG demand could be like close to 27 million tonnes so versus say 22 million tonne last year. So, any comment on that?

Vinod Kumar Mishra : Yes, the utilization level, I just again tell you that it is 97% t his quarter Q 4.

Sabri Hazarika: Currently what would be the utilization?

Vinod Kumar Mishra : Currently it is around this figure only. So, even it may be more than , it is more than that, but we cannot discuss that number but it is there not less than this, this much I can say and Kochi it has been very 22%, it is also almost in the same range as of now, but exact number we need to know .

Sabri Hazarika: But FY '25 any guidance you would want to give ?

Vinod Kumar Mishra : Guidance, what our MD sir has already declared that it will be, there is a likely import of 27 million tonne in next year 24- 25. So, it is likely because now prices have come down and as you know that Indian market is basically price sensitive market. So, as and when the prices are lower, people tend to consume more energy and moreover, this season is also very hot. And now the power demand has substantially increased and even the circular has come of MOPNG and power ministry that more and more, power has t o be produce d from gas. So, now it is running high and much more gas is being used than otherwise that is used in India. So, these are the factors which

are driving growth of LNG volumes in the current year.

Sabri Hazarika: You expect a 20% sort of like LNG demand growth in FY 25 Y-o-Y?

Vinod Kumar Mishra : Yes, we expected because if you look at last month's number which has not been published by PPAC, it has been almost 200 MMSCMD total. And out of that more than 50% is LNG.

Sabri Hazarika: Okay, April you are talking about right?

Vinod Kumar Mishra : Yes, April I am talking.

Sabri Hazarika: Thank you so much. And just one second question on relating to your balance sheet. So, this other financial assets in the long -term that seems to have gone up significantly so, is there any adjustment with respect to like short term investments or something of that sort because it used to be like 270?

Vinod Kumar Mishra : What is the number here, just the other financial?

Sabri Hazarika: Sir Rs.95 crore it went to like almost like Rs. 1700 crore kind of run rate.

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Vinod Kumar Mishra : 78, this is nothing , it's all FD s actually . As we go

for mutual fund, FD whatever is our investment

policy is decided and accordingly we are making investments, so whichever is giving the higher return its FD which is basically more than 12 months .

Sabri Hazarika: Okay . So, that's why it 's classified as long -term assets , but it's basically cash only.

Vinod Kumar Mishra : Yes, because it is or more than 12 months , we are getting a higher rate of interest. We do it for 12 months.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka: Just on CAPEX, could you just spell out the plan spend for the FY '25 and FY '26?

Vinod Kumar Mishra : Yes, I can just tell you that, assuming that we have a aggressive CAPEX plan in 24 -25. And although we have done less CAPEX last time, but this time we expect that more CAPEX will be there, but some of the CAPEX item I can tell you that may happen in this year. One of them is , as you know the tank is almost complete, it will be commissioned, maybe in next month, the two tanks which we have constructed at a CAPEX of almost Rs. 1246 Crore would have been commissioned. So, will not be much CAPEX this year, because it has been commissioned and the other items which are going on are the Dahej expansion of Rs. 570 crore of 5 MMTPA . So, that is going on , next year by March it will be complete. So, some CAPEX may be there from that also and other CAPEX item are there, we have very aggressive plan. But only thing is detailing. So, we have aggressive CAPEX plan, but let us see how much we are able to do, if we can, but we have jetty of Rs. 1,700 crores planned but it will not be entirely spend in one year it may take three years so you can divide it by three and another project Gopalpur which is coming up at Rs.2,300 crore, but as you know that it will also take two, three years so we can break it into three so. And Petchem project is there which may have higher CAPEX this year. So, we plan to have aggressive CAPEX , but right now, I cannot tell you exactly how much it will happen, but we have planned heavy CAPEX.

Amit Murarka: Okay. When will the outlay on Petchem actually start , will it start in this quarter again or maybe the second half of the year ?

Vinod Kumar Mishra : Pardon me, can you repeat it?

Amit Murarka: Actual spends on the Petchem project, when will it start, when will you start spending money on that project ?

Vinod Kumar Mishra : It may start this year, current year but it may not be too high, but it will start because we have already appointed licensor so some payment may have to be released to licensor also. And other

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items may come up when they are awarded. But otherwise, unless and until jobs are awarded or the material has been ordered, there will not be CAPEX because right now, it is still we are in the stage when we are making all EPC packages and EPCM packages, so for the execution of the project. So, all these things are to be seen, but as of now, what will be the total expenditure this is very difficult to tell, but maybe after two , three quarters, we will be able to tell you second quarter after that what is the way forward for the CAPEX.

Amit Murarka: Sure. And who is the licensor , who has been selected for the project ?

Vinod Kumar Mishra : This is all not something it's a international licensor, very few licensors are there. One of them has been selected, but the two licensors have been selected. So, these are all US based or UK based , Europe based licensors, but name I can tell you two , three are there, one is the UOP is there. One of them is Lumm us, so these are the licensors , so out of two, three technologies only are available for PP-and PDH. So, these are the licensors who are available across the globe. So, out of these we have appointed and they are working on it.

Amit Murarka: Got it. Also, I just

wanted to confirm that the 5% annual escalation on Kochi has it been taken from 1st April ?

Vinod Kumar Mishra : Yes, it has been taken.

Amit Murarka: Okay. And I remember in the last couple of concall you had mentioned that the lease accounting impact will start reversing from FY '25?

Debabrata Satpathy : It has already started , we have already told the lease accounting impact of the quarter , once it adds up you will see that this time around it is a nil impact even after a small FOREX loss.

Amit Murarka: Okay. Got it.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital . Please go ahead.

Yogesh Patil: Sir my question is related to competition from new LNG terminals like Chhara and Dabhol breakwater completion. So, in recent HPCL concall, the management has indicated that the Chhara terminal will be operational in the second half FY '25. And they will also have the same Regas tariff largely in line with the Dahej . So, do we expect any kind of competition from these new terminals?

Vinod Kumar Mishra : No, I don't expect any competition because we cannot match the geographies of these two terminals, it is not possible for any customer to ship their us age base- from Dahej to Chhara or anywhere else. So, there are a lot of issues in gas supply, because connectivity is one of the

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major issue which has to be addressed and our Dahej terminal is very well connected , almost five pipelines are there, which are connected to Dahej terminal . So, evacuation capacity is so high that nobody can match it. And moreover, nowadays a different concept has arrived that unified tariff has been notified by PNG RB. So, if any demand center is close to the source of the gas, then it will be charged very less tariffs and if it is within 300 kilometers, it's only up to Rs.40 per MMBTU, 300 to 1200 kilometers is Rs. 79 and more than 1200 kilometers it is almost Rs.114. So, looking at that thing also, whichever terminal is located near the demand center that will be, used for this purpose , for supply of gas and moreover there is no competition. We are a leader in this market and we will remain because nobody can match our capabilities in evacuation of the gas because of the connectivity of the five pipelines. And though we are not saying they will not be used, they will also be used, they will use their terminal , but they cannot match it and it 's not like that there is some volume which is coming to Dahej will go Chhara now, there 's nothing like that , some additional volume may come up for them, which will go there, but our capacities are booked, our customers are there. So, if you look at our consumption level, it has been 97% Dahej usage is there last year. So, it is continuing. So, there is no challenge from them , but addition because consumption is increasing day- by-day as we have said that overall kitty is increasing. So, they will also have some shares in the additional kitty which will be added to the LNG import. So, that is only thing otherwise we have our capacities booked and we have higher utilization levels that will remain and Dabhol as you have said, they have not constructed this breakwater, but they will be nearing the completion. So, right now, because of monsoon, I think, it has already been closed. So, maybe after October it will be started and as you are saying break water , breakwater is not enough, because even if they construct break water they cannot utilize the Dabhol terminal fully . They will need some air heaters and other changes in the plant , then only they can use it to the highest capacity.

Yogesh Patil: Okay. And second question during the quarter Q4, you booked the inventory losses of close to Rs. 107 crore so can you throw some light on these, how much was the volume on which you have booked the losses , some details about that?

Vinod Kumar Mishra : Normally this kind of thing we don't tell , we have told you that there is a loss this should be good enough you shall be satisfied with the number because detailing is again we have to we, cannot discuss all those things in the market, how much is inventory and how much loss is booked but, total this is the loss which we have booked.

Yogesh Patil: Okay. And was it on spot LNG volume ?

Vinod Kumar Mishra : It is the inventory, non-committed inventory is there so, that is there.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets . Please go ahead.

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Kirtan Mehta: We have discussed about sort of 5 MMTPA demand increase during FY '25, but with our Dahej terminal already operating at 97% utilization and little demand in the South which is already

again sort of reach 22% level, how much of this we can practically capture during FY '25?

Vinod Kumar Mishra : As I said expansion will be coming up only in the March '25. So, maybe it will be available for next year 25-26.

Vivek Mittal : only thing is as you know historically we have been able to operate our plant at more than 100% capacity. So, we do expect that the majority of this incremental volume will land at Dahej as inherently if you take 110% we have another 2 million ton of capacity available. And last year also there was some spare capacity available. So, in total majority of increase is 4, 5 million ton incremental could land at Dahej.

Vinod Kumar Mishra : So, it will be increasing only, volume will increase substantially, what capacity is available but as I told you 24-25 financial year, it will not be available too much it will come only in month of March. So, practically it will not be available for financial year 24-25, but we have capacity of 17.5 million tonnes this can be utilized to the extent of 10% of the capacity. So, we can still utilize our 17.5 to almost 19.5 million ton even more than that.

Kirtan Mehta: Understood. And in terms of usually we used to see the shift of some of the volumes when Dabhol goes down during the monsoon months. So, is that also possibility exists?

Vinod Kumar Mishra : Yes, that exists now and right now power demand has substantially gone up. So, now more cargoes whatever it is coming. Mostly it will come to Dahej because as you know that Dabhol will not be able to take the additional cargoes now. So, that is true and volume certainly will be higher in this April to June quarter and July to September quarter.

Kirtan Mehta: But again, limitation is basically the capacity 1 to 2 million capacity.

Vinod Kumar Mishra : You have rightly questioned now, it will be difficult to how we will accommodate the cargoes. That's why this 5 MMTPA expansion is very much required. Because this is a game of opportunity, when there is an opportunity, we should utilize the entire capacity. But right now, we don't have, had we had that 5 million ton now, we would have been ready for additional volume to any extent. But right now, whatever is available within the framework of 17.5 MMTPA so +10% can be added, that much volume we can process still.

Kirtan Mehta: Sure. And you were also referring to the unified tariffs our advantage. Just a follow up question on the Dahej basically. So, we were referring to the basically the unified tariff and advantage for the customers within zone one where transportation tariff would be low, would you be able to indicate how much percentage of the existing volume lines to the consumers within zone one?

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Vinod Kumar Mishra : I am just telling you that this is the philosophy going on, that whatever terminal, whichever terminal is near to the demand center, that will be utilized because there will be lower tariff. So, what I am saying, that if any te

rminal is located at Dhamra, nobody from North India will take gas from Dhamra because then tariff will be of zone three, I am saying whichever terminal is the nearest one it will be utilized so, this was just as a principle I was telling that this is the normally practice which will be followed because of the unified tariff.

Kirtan Mehta: But is it possible to break down our volumes into zone one, zone two, zone three just to get some sense?

Vinod Kumar Mishra : Actually we are not transporting gas, it is GAIL, better you ask this question from GAIL how much volume is being given in zone one, how much in zone two and zone three. So, we cannot exactly tell these numbers because we are selling gas ex-terminal to these customers, GAIL, IOCL, BPCL. So, they will be able to tell you better than us.

Moderator: Thank you. The next question is from the line of Somaya V from A vendus Spark. Please go ahead.

Somaya V: So, first question is this 5 MMTPA capacity that's coming in March '25, what would be the ramp up time that we expect or in short time in FY '26 how much of this is something that we can utilize that's one. Second Kochi Bangalore pipeline what is the timeline, at this point we are looking at until then where do we see utilization levels for Kochi?

Vinod Kumar Mishra : Yes, so first question is this capacity availability in March 25, how it will be utilized, how much, ramp up will be there of course, two, three months establishing time is always there. But after that we can utilize this capacity. But again this all will depend upon the capacity booking if at all that is done, - till that time and also the more volume which is coming because we have hope that more volume will come as we have already mentioned that almost 27 million tonnes will be coming next year this year. So, I think, the kitty will be to our terminal also, if that volume continues and with a growth of 10%, 15% that certainly our 5 MMTPA will be utilized to a great extent. And moreover, I just tell you that utilization of the terminal, other terminal is very miniscule, some terminals are operating at 25%, 20%, 30%. So, ours is a terminal which is utilized maximum. So, whatever be the capacity utilization level of our terminal will be higher. And once the capacities are also booked then this will further add to our volume consistently over a period of time. But right now, it is very difficult to just give forecast that how much - will be the volume process during that, but it will be available then only it should be processed

because unless and until infrastructure is laid, you cannot expect to utilize it. We have to keep it ready and then we have to see that volumes are coming there or not and also simultaneously if possible book the capacity to whatever extent possible .

Somaya V: The other question was on Kochi Bangalore ?

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Vinod Kumar Mishra : For Kochi Bangalore pipeline is of course, as you know that this Kochi Bangalore pipeline only 250 kilometer stretch was remaining and it is from Coimbatore to Krishna giri of 250 kilometers. So, that part is also under construction and as it is understood that this has to be completed by this year end and it has also come under this Pragati of PMO. So, it is being monitored at PMO also that how is the progress of this pipeline. So, we hope that it should be completed by this year end and if not possible, then maybe next year by March 20 25 it should come , so this is the expectation but work is going on and let us see what happens at that point of time . And utilization of course, if that is connected it will be very high because as you know that then Kochi will be connected to the national gas grid, once the terminal is connected to national gas grid, then we can swap the gas and use it anywhere. So, in a gas case we can use this say some city gas distribution companies are coming

in that area and domestic gas availability in Southern India

and near Kochi is very poor or negligible. So, naturally through swapping arrangement, gas can be supplied to those CGD customers there and once it is connected to natural gas grid, and that will ramp up the utilization of level of our Kochi terminal. And moreover, there is a good news

that more and more gas is being used through tankers. And this is something which is really encouraging because, if you look at the loading of the customers through tanker to terminal of Kochi, last year we have loaded around 2,230 tankers and one tanker have around 17 MT of gas.

So, there is a scope for usage of gas through tankers also because pipeline is not everywhere.

So, in Southern India, we are having a possibility that many of the cases gas will be supplied through tankers. So, the last year it was only 1500 tankers were loaded, this year it is 2,200. So, almost 50% hike is there in the loading of LNG tankers in that area. So, this is one mode of enhancing the consumption and we hope that after city gas distribution companies will lay the network there, they will utilize it because it can be swapped with domestic gas also and the swapping arrangement can be made and then it can be supplied to these CGD entities.

Somaya V: Very helpful sir. One question on the cash balance. So, this continues to build so, including the investments that we are referring to see we are almost close to Rs. 9,000 crores. So, we think this kind of, also we will be adding good amount of free cash flow. So, do you think we need this kind of cash position to fund the CAPEX program or are we thinking about a higher payout ?

Vinod Kumar Mishra : So, we are actually expecting that there will be CAPEX and that 's why we have been keeping it when , whatever the cash balance you are seeing Rs. 9,000 crore is on the higher side, because it is on last date of the quarter , 31st March but in fact, there has been a liability also of Rs. 2,600 crore. So, we have to pay that so, around average cash is around Rs. 7,000 Crore and it's not Rs.9,000 crore average, because that is the amount we have to pay to the suppliers. So, that 's why it is only on that day it is shown that is higher but normally average cash is Rs.7,000 crore but as far as the budget is concerned, we have a petrochemical project for which we have to fund in 70 :30 ratio of equity 30% so almost Rs. 6,000 crore maybe that we may have to spend through cash and balance we will be getting it from the debt from the lenders . Perhaps so that is the ratio we have to maintain and we are keeping the cash with us for the CAPEX plan only.

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Moderator: Thank you. The next question is from the line of R Ramesh from Nirmal Bang Equities . Please go ahead.

R Ramesh: So, just a clarification on the use or pay, receivables and the provision you are making. So, whatever you meant so far, you adjusted for the Rs. 610 Crores out of the receivables. It 's about 25%, on the Rs. 1200 crores of receivable. So, on the balance which you have not provided for, can we assume that you have high confidence of either adjusting it through the bank guarantee or is it made up by the customer s if you have additional volumes in future, is that a fair understanding?

Vinod Kumar Mishra : Yes, fair. But the only thing , you complete your question, then I will tell you.

R Ramesh: Yes, so that 's on the UOP provision. The second thing is, if you are looking at the question on competition, you are planning this Gopal pur Terminal and Dhamra Ter minal is already up and running, and there has been some capacity booking, so in terms of your own assessment once Dhamra is fully booked. How do you see the time to ramp up your Gopalpur Terminal whether it's FSRU or the land base , what is your sense in terms of the future demand outlook, and what 's the kind of confide

nce you have in terms of going ahead with that even that Dhamra is fairly close?

Vinod Kumar Mishra : No, it 's alright, but only thing first question is regarding use or pay charges you are asking. So, I will tell you that total use or pay c harges we have booked for the Calendar Year 2 021 was Rs.379 crore and for the Calendar Year 2 022 it was a Rs.844 crore and these two year together make it to Rs. 1,222 crore, out of which we have already made provision of Rs.354 crore . So, this is the total provision till date we have made out of it and the Rs. 610 crore which have been in fact booked as use or pay charges in current financial year 2023 -24, there is no as such arrangement for that, that we have to book some 20% , 50% of provision, but after one year, if they don't pay then we will have to make the provision but we are not making any arrangement right now. We are expecting that this particular amount shall be paid by the customers and possibly the re will not be requirement of any extension of the time period for the utilization for bringing more cargoes like we have done for 21-22. Because that was a standalone arrangement for these two years only and that too due to this COVID period it has been '21 and '22 has been the Russia Ukraine war which has impacted the incoming cargo es being the prices were abnormally high. So, that was a reason we have considered those things but 23 we have not done anything so far so we expect that Rs.610 crores will be recovered. So this is regarding....

R Ramesh: I understand the numbers , so you have made some provision on the Rs. 1,200 crores . So, the balance is still open ed as receivable. So , I am just trying to understand so what is the kind of confidence you have in terms of recovering that balance for around, which is not provided for , for Rs. 900 crores.

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Vinod Kumar Mishra : No, it will be recovered because we have received the bank guarantee for this Rs. 379 crore and Rs.844 crores and they have been given time till December '24t o bring additional cargoes equivalent to the volume, they have defaulted in 2021 calendar year. If they don't bring , by December '24 for the volume defaulted in 2021 calendar year, then we either they will make the payment for that use or pay c harges of Rs. 379 crores or we should en-cash the bank guarantee. So, the first thing is clear. Second is 20 22 calendar year of use or pay charges of Rs. 844 crore . For that also we have received the bank guarantee. If they bring volume s till December 2025 i t's fine, if they don 't bring they will have to make the payment and otherwise we shall en -cash the bank guarantee. So, our use or pay charges for Calendar Year '2 1 and '22 or Rs.1,222 crore is secured against the bank guarantee. There is a surety of the payment being received . Okay. And for this year which has been booked in 2023 Calendar Year Rs.610 crore there is no arrangement, we still are pursuing the customer that they should make the payment. So, entire Rs. 1,222 crore is secured, this is what I want to convey to you all of you that there is no risk as such that we will have to make a provision and then it will not be paid, because we have bank guarantee, still we are making provision , as a accounting prudence.

R Ramesh: Sir the question on the

Gopalpur Terminal , competition from Dhamra ..

Vinod Kumar Mishra : Yes, second question is regarding Gopalpur Terminal . So, this is I would like to tell you that this consumption of gas is increasing in the country and if this E astern part of India was not having any pipeline connectivity, but now after this pipeline Jagdishpur -Haldia -Bokaro-Dhamra pipeline coming up our terminal Gopalpur Terminal is located hardly 40 kilometers away from this pipeline. So, there is a possibility that we will be able to utilize and we will try to get the capacities booked in Gopalpur Terminal

as we have done in Dahej for that also we are making effort with the customers . And as you are saying that what is a prospect , so once we lay the infrastructure, we see, make a due diligence what are the industry and mining industry is there , a lot of dumper, tippers and cranes are used in such mines. So, there is a possibility of LNG being used as transport fuel in that particular region and also other industries are there which is coming up. So, it will be utilized and one more thing is there that if you look at say the customer is located in Dhamra region or Gopalpur region, then it will not be prudent to take gas from Dahej or from Dabhol to that particular area of Gopalpur because then the tariff charge will be of zone three of Rs. 114. So, even for the other supplier of gas like GAIL, IOCL, who so ever is there, it will be prudent to use gas from Gopalpur Terminal because that will fall in z one one and tariff will be hardly Rs. 40 per MMBTU . So, through swapping arrangement, that terminal can be used , so whatever gas they are having suppose GAIL has some gas in Dahej terminal, they can take it from Gopalpur and give that gas back to us. And that gas will be supplied from Gopalpur to customer of GAIL or any IOCL or BPCL. So, that swapping arrangement will also help us in further utilization of Gopalpur Terminal . So, that's what I am saying is not only as that who has to gas or book the capacity, capacity of course will be booked to the extent possible, but then they will have to comfort , customers , consumers will have the comfort that at least they

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will be charged zone one tariff if it is supplied from Gopalpur . So, what I am saying that I am not commenting on Dhamra capacity, of course they have booked capacity , but we have ample chance there because a lot of CGD entities are coming up in that area. And of course in three, to four years they should be ready so I think that one area will also have some, it will also drive us for more consumption of gas in that region . And moreover LNG as I said that LNG can be used as transport fuel in that region , even for the mining equipment and the machinery and the transport vehicles. So, that is the thing we are keeping in mind. And it's always, so when something new is done, it is always apprehended, that how it will run, when Dahej terminal was first time in fact, established in 2004. Then also a lot of apprehension was there, how terminal will run but everything runs because now the government of India policy is very clear , they have to increase the share of natural gas from 6% to 15% and 6% to 15% means that fourfold increase has to be done from the current level of consumption of gas. And that is possible only if we increase the volume of imported gas because, domestic gas availability is not available to that extent. So, all these things run on these things that we have anticipation, and more and more customers will be coming in that region . It's not that Dhamra will not run, Dhamra will also run and we will also run. So , I don't see any apprehension in proper utilization of Gopalpur Terminal it will be utilized but we are making effort with our customer for booking the capacity also in Gopalpur Terminal .

R Ramesh: Understood sir. Just one last bookkeeping question , can you repeat the inventory loss and any trading gain or loss ?

Vinod Kumar Mishra : We have told you that this quarter we have incurred an inventory loss of Rs. 107 crores and trading gain in this quarter was Rs. 14 crore .

Moderator: Thank you. Ladies and gentleman due to time constraint, that was the last question for today 's conference call, I would like to hand the conference over to the management for closing comments.

Vinod Kumar Mishra : Thank you very much. And in fact, I really appreciate all of you that you have all raised very relevant questions. And of course

se, whatever things have been pointed out or whatever has been suggested, we always keep in mind that what is the impression of the investors and analysts and of course, we do the best possible thing . As you know that our constant effort is there that we increase the volume throughput, and which is increasing also. And only thing you have to have trust on us because what we are doing , best possible thing we are doing and which is evident from the market cap also which has increased substantially. And just we want that you have to repose trust in us and we will continue to perform better in future also and as far as the competition is concerned, I again say that there is no competition, our terminal will continue to run even better than what it is being done now. And perhaps it will further improve in future because overall consumption of gas is going to increase in future. So, keeping all this in mind, Petronet LNG Limited
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our future is bright, and we hope to maintain our growth trajectory in the future also. And this is my perception that will perform better in future than what we have done this time now. Thank you very much.

Moderator: On behalf of Phillip Capital (India) Private Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines . Thank you .

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PAN: AAACP8148D GST: 07AAACP8148D1ZI

Dahej LNG Terminal:

GIDC Industrial Estate, Plot No. 7/A, Dahej

Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252 Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

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CS/PLL/LISTING/ Reg-30/2024 Date : 31.07.2024

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 24th July 2024

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ear Sirs/Madam,

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his is with reference to our intimation dated 18th July 2024 and 24th July 2024 intimating holding Conference Call of the Company scheduled on Wednesday, 24th July 2024 at 5:30 P.M. (IST) for unaudited Financial Results of the Company for the quarter ended 30th June 2024 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference c all as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

Company Secretary

Encl: as above

P age 1 of 18 "Petronet LNG Limited Q1 FY '25 Earnings Conference Call"

July 24, 2024

M

anagement: Mr. Vinod Kumar Mishra – Director (Finance)

Mr. Rakesh Chawla – Group General Manager &

President (Finance & Accounts)

Mr. Gyanendra Kumar Sharma – Group General

Manager & President (Marketing)

Mr. Vivek Mittal – Chief General Manager & Vice

President (Marketing)

Mr. Debabrata Satpathy – General Manager (Finance

& Accounts)

Mr. Vikash Maheswari – Deputy General Manager

(Finance & Accounts)

MODERATOR : M R. S. RAMESH – NIRMAL BANG EQUITIES PRIVATE

LIMITED

Annex-1

Petronet LNG Limited

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Earnings Conference Call of Petronet LNG Limited Hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. Ramesh from Nirmal Bang Equities Private Limited.

Thank you and over to you, sir.

S. Ramesh : Good evening, everyone. On behalf of Nirmal Bang Institutional Equities, I have a great pleasure of inviting you all to this Earnings Conference Call with the top Management of Petronet LNG.

Let me first congratulate the management on the results and we have with us the Director (Finance) – Mr. Vinod Kumar Mishra , Mr. Rakesh Chawla – Group General Manager & President (Finance & Accounts), Mr. Gyanendra Kumar Sharma – Group General Manager & President (Marketing) , Mr. Vivek Mittal – Chief General Manager & Vice President (Marketing) , Mr. Debabrata Satpathy – General Manager (Finance & Accounts) and Mr. Vikash Maheswari – Deputy General Manager (Finance & Accounts).

So, over to you, Mr. Mishraji for your opening remarks and then we will have Q&A. Over to you, sir.

Vinod Kumar Mishra: Thank you very much. I will start my brief on this result, Q1 Result of 2024- 25. During the quarter ended 30th June 2024, Dahej has performed exceptionally well.

And the

throughput has been 248 TBTU as against 219 TBT U in the previous quarter and 217 TBT U in the corresponding quarter. So, if you look at the growth, it has witnessed the growth of almost 13% from the previous quarter and 14% from the corresponding quarter. And if you look at the Dahej performance overall , it has been 109%, which is significant because we have rarely seen in the past, almost 1 and 2 years, this much of utilization. So, we are happy to inform you that we have operated at 109% this time in Dahej as compared to 97% in the previous quarter and 96% in the corresponding quarter. And if you look at the overall throughput of the port terminals, then you will find that it is 262 TBTU as against 234 TBT U in the previous quarter and 230 TBT U in the corresponding quarter. There is a growth of 12% from the previous quarter and 14% from the corresponding quarter.

And if you look at the Financial Results , the PBT this time has been Rs. 1,520 crores, which is ever highest in the first quarter in the history of PL L and as compared to Rs. 996 crore in the previous quarter and Rs. 1,062 crore in the corresponding quarter. So, there is a growth of almost

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53% from the previous quarter and 43% from the corresponding quarter of the previous year.

And if you look at the PAT , it has been Rs. 1,142 crores in the current quarter as against Rs. 738 crore in the previous quarter and Rs. 790 crore in the corresponding quarter of the previous year and the growth has been 55% from the previous quarter and 45% from the corresponding quarter. So, this is the result which is substantially good because we have performed very well as compared to previous quarter and corresponding quarter and this has been possible because of higher throughput and robust financial and owing to the stable LNG prices and better utilization of the terminal and efficiency in the operation, so this is all from my side .

Now house is open for the questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Probal Sen from ICICI Securities . Please go ahead.

Probal Sen: First of all, congratulations for a strong set of numbers. I had a couple of questions. Firstly, with respect to the UOP, the Rs. 63 crore of provision that has been reversed. Just wanted to understand is that the incremental revenue booked because of higher volumes taken to settle the UOP obligation?

Vinod Kumar Mishra: Rs. 63 crores has been reversed because we have got the equivalent volume from the concerned customer, and we have earned more than that. You can say because the tariff in this year has been higher than the tariff for with the UO P was booked in 2021 and 2022, so we have received higher revenues because they have brought the volume . And accordingly as per our settlement mechanism, we had to reverse the use or pay charges of that year. To the extent they have brought the volume in current year. Because for 2021 U OP charges , December 2024 is the last month in which it can be completed up to which it can be done . And for 2022, it is December 2025, but any customer can bring in the volume even earlier than that. So, that is the ceiling limit. So, accordingly one of the customers has brought in the volumes and accordingly that amount of UOP has been reversed , but more than that, it has been booked as revenue in the current year.

Probal Sen: So, sir, if I may ask a follow up in terms of the third -party Regas ification volume which has gone up to 144 T BTU . Of that, how much would be this incremental volume brought in as a part of this settlement? Is it possible to segregate that?

Vinod Kumar Mishra: Yes. I can give you, but you are right that there has been almost 144 TB TU of this Regas out of this 262 and around 11 point some TBT U (around 11 TBTUs approx.) is there whi

ch has been

brought in by one of the customers.

Probal Sen : So, even excluding that, the normal run rate is still much higher than the previous quarters because of the moderate LNG prices and the higher demand. That's a fair way to look at it?

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Vinod Kumar Mishra: Yes, true, very true.

Probal Sen: Sir, secondly, with respect to, I will just have one more question with regards to CAPEX plans, if you can kindly refresh us in terms of both the progress on the petrochemical project and the capacity expansion projects that are going on with the timelines and the investment plans for the next couple of years. Thank you.

Vinod Kumar Mishra: So, first you are asking for petrochemical project so that we are progressing very well and certain contracts have already been awarded like we have awarded the contract for licensors and for both the plants, PDH and PP, both. And apart from that, we have also awarded the contract for PMC, M/s EIL has been awarded the job for carrying out this project and these are the two major contracts which have been awarded and apart from that, other clearances have already been received like environmental clearance and CRZ clearance. All are there in place. So, there is no issue as such for starting the project. And CAPEX plan as you are asking, normally it is difficult to give beforehand something like that. But still we can assume like 20% we can do in first year and like that 30%-40% second year, third year maybe little bit higher. So, we will tell you exactly at that point of time, but as of now the work has started and the licensor has already started working on these packages. Our consultant, EIL, has already started working on the packages, so work is going on and we will slowly give you the details. And apart from that, as I have earlier also said that there has been debt equity ratio of around 70 to 30. So, we are also lining up the lenders for giving the debt as and when required. So, we are processing that maybe within 2 to 3 months, 3 months maximum it should be in place. So, as of now we can say that there is good progress in the project and apart from that, you have asked another question regarding expansion plan of Dahej terminal. So, that is going on very well and by March 25, we expect that expansion to be completed. That means that the total CAPEX by that time will be around Rs. 570 crores. So, this is the CAPEX. It's a low hanging fruit. If you go for a Greenfield LNG terminal like this, it will be having a CAPEX of around Rs. 5,000 crores. So, it's only 10% of the cost and we hope that this will be completed by March 2025. This is our deadline for that. And we will update you if there is any change, but we have this date as a completion date.

Probal Sen: So, just to be clear, sir, by March 2025, then we will have the full 22-million-ton capacity available.

Vinod Kumar Mishra: Yes, 22.5 million tons.

Moderator: Thank you, sir. We have our next question from the line of Himang Khanna from Nomura. Please go ahead.

Himang Khanna : So, my first question is regarding the current utilization levels of the Dahej terminal. Could you please help me with that number? And secondly, what is the overall inventory gain and trading gain in this quarter?

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Vinod Kumar Mishra: So, you have asked the overall percentage. I have told you 109%. The inventory gain is Rs. 261 crore this quarter. And the trading margin which we have got is Rs. 58 crore.

Himang Khanna : And sir, utilization levels in this month would be what after the quarter has concluded?

Vinod Kumar Mishra: Utilization, I don't exactly have, but this is not required, but still we are doing good. And perhaps we should do well also in the second quarter. But exactly, if you ask day-to-day it changes, but you can say around 100% is there.

Moderator: Thank you. We have our next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Basically, in terms of the visibility, are there more buyers coming back for this makeup cargo and do we have a plan communicated from the customers about their pick up in Q2 or Q3.

Vinod Kumar Mishra: I could not get the question... Can you repeat it?

Kirtan Mehta: One of the customers, the way you said it, has picked up the makeup cargoes during the Q1. Similarly, are there any more customers who have communicated to us plan about makeup for their Q2 or Q3?

Vinod Kumar Mishra: What's happening, actually, there is some annual delivery plan. There's already ADP for this particular contract. So, most of the off-takers are still completing their annual delivery plan. So, what's happening that they have still not fulfilled that plan which they have already communicated to us. So, most of the customers like GAIL, IOCL, BPCL, GSPC, Torrent they are still fulfilling their annual commitment. So, unless and until they complete that, there cannot

be additional volume being brought by them. But slowly, we hope that maybe after September, they should bring some additional cargoes. But I think by September, they should be able to complete annual delivery commitment. Hopefully, we should get in the third quarter, I think, for those customers. But one of the customers who has brought basically, so I think one of the customer, he didn't have any annual commitment. So, that's why he brought whatever volume they have brought in, it has been adjusted against their use or pay charges.

Kirtan Mehta: Understood. Just follow up on the same. So, what I understand is roughly he had around 4.3 million tons under this use or pay commitment where customer could approximately bring that amount. On this 4.3 MMTPA, if customers choose to bring that amount, effectively will be charging only the differential Regas tariff and that would accrue to the margin, not the full tariff so is that a right way to think about this volume?

Vinod Kumar Mishra: Yes, you can say because what's happening we have booked use or pay charges at the tariff which was prevailing at the time in year 2021 and 2022 but when they bring volume in 2024, Petronet LNG Limited
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naturally there is a hike of 5% every year so according that differential will be there that will be charging and the balance we are writing off that amount. So, you can say literally that whatever we are booking is the differential of the tariff over 2021 and 2022 in the current year.

Kirtan Mehta: Just one more question on the volume side. With sort of Dahej terminal not working through monsoon, some of the cargoes will get redirected to us. So, how much additional cargo that we will expect during Q2?

Vinod Kumar Mishra: This data we cannot tell you right now but of course in the results for the second quarter we will come back to you on this issue, but I can only say ...

Kirtan Mehta: Somewhere in the range of around 10 odd cargoes, 10 to 12 cargoes that we normally receive is that a sort of a fair way to understand this?

Vinod Kumar Mishra: No I cannot say anything like this. Unless I have got some commitment from somebody, I cannot give you because spot cargoes never come like this. Any day a phone will come and then we have to give a slot and they come. So, it's not easy to say, predict anything that whosoever is coming.

Kirtan Mehta: One more question on the sort of the demand outlook. Recently Reliance on their call mentioned that they have tried minimizing their LNG usage to zero after sort of the pickup in the LNG prices to about \$12. Similarly, I think the power demand was very strong in May, but corresponding peak power demand has sort of gone down. So, are volumes in Q2 will be sort of at a modest level compared to Q1?

Vinod Kumar M

ishra: No, I don't think so. This is a hypothetical question, but I can only say one thing that in this second quarter also, Dabhol will not be running. So, only solace is that at least we will have sufficient cargoes because Dabhol will not be operating till almost September. So, it should be good quarter, second quarter. Other things you are saying is just hypothetical. I should not say anything on those things.

Kirtan Mehta: Right. Just follow up on the CAPEX part as well, which Probal earlier asked, would you be able to share with us your CAPEX target for FY 2025 specifically?

Vinod Kumar Mishra: CAPEX, I will let you know. I can just give you. This year, CAPEX target is around Rs. 3,500 crores.

Kirtan Mehta: An indicative breakup across different packages?

Vinod Kumar Mishra: I will give you, but I will have to get it. I have just told you what I just understood. But we can give you exact amount, how much in each project will have to be seen. So, we can discuss you

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later. We will update you. I told you the CAPEX, which could be there. I don't know how much will happen. It's not an easy target, but we have kept this.

Kirtan Mehta: Thank you for the clarification.

Moderator: Thank you. We have a next question from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Sir, two questions. So, first is the adjustments for this quarter would be what I mean other expenditure I think they went up significantly, so that could be something like Rs. 128 crore, is that right the change in provision between Q4 and Q1?

Debabrata Satpathy: Yes, Sabri Rs. 129 crores is the provision for use or pay charges that we create as accounting prudence. A part from that, this Rs. 63 crores that has already been discussed, the reversal.

Sabri Hazarika: Rs. 63 crore is part of revenue right now?

Vinod Kumar Mishra: No, since it is a reversal, it is part of the other expenses. Rs. 63 CR plus Rs. 129 crores of provision, it comes to about Rs. 192 crores. If Rs. 192 crores is taken out, then the quarter is in

line.

Sabri Hazarika: You are saying Rs. 63 crore also is part of other expenditure .

Vinod Kumar Mishra: Yes.

Sabri Hazarika: OK..got it. So, that is first. Then second is the usual. I think Regas service income is how much and what was the Q1 CAPEX?

Vinod Kumar Mishra: Q1 CAPEX is around Rs. 300 crores .

Sabri Hazarika: Rs. 300 crores of Q1 CAPEX and Regas service income?

Vinod Kumar Mishra: Regas service income is around Rs. 851 crores.

Moderator: Thank you. We have our next question from the line of Somaya from Avendus Spark, please go ahead.

Somaya: The first question is on this, Dahej expansion, any update in terms of back -to-back contracts that in case you have signed anything, what is the expectation there and also what is the kind of utilization that they're looking for next year once it is kind of complete?

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Vinod Kumar Mishra: We are still in talks with the offtakers, and we are expecting that some capacities will be booked by next year and because it will be in operation by March 2025, so literally it will be available for the next financial year. So, this financial year is ruled out but next financial year definitely it will be there and we are still in discussions with the offtakers. As soon as there is any update on that, we will tell you. But one thing I can say that in fact, at certain times we are feeling some constraint in giving the slots. But after this capacity expansion, we will have sufficient flexibility to allow the cargoes even have more short -term and spot cargoes from the next year. So, that will be a solace for us, and we will be having a good throughput after that. And but of course we would like to get the capacity booked before next year so that it is in place and maximum capacity is utilized.

capacity is utilized.

Somaya: Anything in terms of your expectations for utilization of this capacity next year or say one year later, to what extent, 60 %-70% utilization is something that we can expect on this additional capacity?

Vinod Kumar Mishra: It's like this that capacity 5 MMTPA is being expanded at a very low CAPEX. It's hardly Rs. 570 crores. Now, if you look at the payback period, it will not be more than two years, three years. So, it's a low hanging fruit. We have done the expansion. And as and when we get the capacity booking, definitely we will be letting you know, but only thing I can say that we are not worried about any underutilization because since the volume is increasing day by day and more imports are there and there is no likelihood that LNG prices will be too high in the near future because so many capacities are coming and apart from that , Europe is having sufficient inventory level of almost 81%. So, all those factors are there which are conducive to the price being moderate. So, that is going to be there. So, we are hopeful that capacity will increase. So, definitely Dahej will have the substantial share of that increase in the volume in country for consumption. So, we are quite optimistic about that. But you are right that as and when we get the capacity booking, we will let you know, but we are still in discussion, so we cannot give any premature comment on that.

Somaya: Understood. So, also you mentioned this year, CAPEX run rate would be around Rs. 3,500 crores. So, what would be the outcome for the next couple of years? Would it be a similar number, or would there be a step up because of Petchem at some point in time?

Vinod Kumar Mishra: Yes, Petchem will pick up next year definitely. This year it may not be too high, but next year and then again next to next year will be higher. But again, I have said that we should not be worried because we are having a debt equity ratio of 70: 30. So, we are tying up with the lenders for this project. And we may be tying up to the extent of almost Rs. 10,000, Rs. 11,000 crores, or maybe more than that Rs. 12,000 crores. So, as and when it will be required, we will utilize those limits with the banks and use it. And as far as cash is concerned, we shall be having only 30%. So, hardly it will be to the extent of Rs. 20,000 crore project is there , hard cost is only Rs. 12,000 crores.

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16,000 crores. So, I think hardly 4,000 to 5,000 will be used from the equity and balance maybe from the debt. So, I don't foresee any challenge as such and CAPEX may be higher in the next year, more than the current year because then Petchem will be having a project, higher project activities over there. So, I think this year it may not be too high but next year it will be definitely higher number.

Somaya: So, the current quarter provision of Rs. 130 crores, this is likely to be the run rate for the next 1 or 2 quarters based on your earlier provisioning formula policy ?

Vinod Kumar Mishra: Yes, it's based on the provisioning because Rs. 129 crore has been booked as provision for the

quarter. We are booking this credit loss for each quarter based on our formula . We have discussed earlier also. So, it is that part for Rs. 129 crore provisioning is done. Rs. 63 crore , as I just said, they say waive r of use o r pay charges for one of the customers. So, total Rs. 192 crore s we have taken the hit in the profit and loss account.

Moderator: Thank you. We have our next question from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Sir, if we calculate the amount of receivable that has reduced by Rs. 45.5 crore s sequentially , but at the same time the company has a waive-off of Rs. 63 crores. Sir, as per our understanding the amount of receivable reduced should be the same as the wai ve of f amount. Please correct me if I a m wrong.

Debabrat

a Satpathy : So, the receivables actually we are consistently creating provisions also against the receivables and this Rs. 63 crore s waive off that has been done that is done , actually you cannot directly correlate with the receivable how much is the receivable from quarter -to-quarter because at the end of any quarter there could be multiple reasons contributing to the receivables basically, t he billings and the open billings done. So, that cannot be correlated as such that it will go down only by Rs. 63 crores. B ut then if we track basically the entire use or pay spectrum, yes, the receivable has come down.

Yogesh Patil: Sir my second question considering the calendar year 2024, already the 7 months are over , can you give us idea about the volume taken by the offtakers , are as per the contracted quantity or lower than the contracted quantity for the 7 months period of calendar 2024 year ? Just an idea.

Vinod Kumar Mishra: I will just give it to my colleague, Mr. G. K. Sharma, he is the GGM Marketing .

Gyanendra K. Sharma: Good afternoon, I am Gyanendra Sharma. Volumes are going as per the ADP, and we don't see any issue in that.

Yogesh Patil: So, we don't see any shortfall at the end of our Calendar Year 2024 ?

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Vivek Mittal: That we will come to know only when the year comes to an end .

Vinod Kumar Mishra : But our expectation is like that.

Moderator: Thank you. We have our next question from the line of N itin Tiwari from Phi lliCapital. Please go ahead.

Nitin Tiwari: Sir, I had a basic gap in my understanding around use or pay, so please help me understand over there. So, first of all, the use or pay that we report that is in rupees crore terms. So, when the offtakers are setting off the use or pay, are they setting off in volume terms or are they setting off in revenue terms?

Vinod Kumar Mishra: It is in terms of volume.

Nitin Tiwari: But shouldn't it all be in terms of revenue, because you have lost revenue, right? No matter what volume is brought in, if your revenue is fulfilled that should be making it good, right?

Vinod Kumar Mishra : Right, because we are booking revenue as per the prevailing tariff, Regas tariff. So, that is higher than whatever use or pay charges was levied in 2021 or 2022.

Nitin Tiwari: No, what I was trying to understand is that the revenue that we have lost, if that is made good by bringing in of incremental volume that should suffice the condition for fulfilling of use or pay charges. So, why is that the off-takers are late to bring in incremental volumes at a higher tariff now and therefore there's a higher revenue recognition versus the original UOP charges being lower because it's revenue that you have lost in CY 2021 and 2022 and 2023. So, as long as that is made good, irrespective of what volume is brought in, that should be the sufficient condition, right?

Vinod Kumar Mishra : Yes, they are bringing in the default volume that should be sufficient condition and only thing is revenue is billed as a current applicable tariff, Regas tariff. So, it's the volume which is more important, and this is the condition as per the settlement agreement that they should bring in the defaulted volume over and above the annual delivery commitments which they have already made in the beginning of the year.

Nitin Tiwari: And secondly, on the same point, so in this quarter 's other expenses, so when we are making a provision, that is also part of other expenses, but when we are reversing a provision, that is also a part of other expenses. So, help you understand that accounting and how is that working?

Debabrata Satpathy : Nitin, this is a reversal of revenue, not provision. We have booked the revenue regarding use or pay charges and let us clarify that this was in the nature of liquid ated damages at that point in time. So, liquidated damages cannot

be set off by future obligations or anything. So, whatever

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they're bringing in the future, like somebody has brought in this current quarter, that revenue is booked separately, and we correspondingly ask for the settlement agreement we are giving a waive-off of that revenue booked at that point in time. So, this Rs. 63 crore is a waive-off of revenue, reversal of revenue, actually.

Nitin Tiwari: So, this is the revenue that we had booked in the past and because we have not received it, now we are putting that in the expenses, and we have already received the new basically revenue that has been brought in the incremental volume.

Vinod Kumar Mishra: Whatever additional volume has been brought; these are booked as current year revenue. There is no differentiation, but we are making a reconciliation that how much is the annual delivery commitment and how much they have additional brought in. Accordingly, we are making adjustment in the old use and pay charges. To that extent, we are writing it off in other expenses.

Nitin Tiwari: And the second question is actually a book keeping one, if you can give us the IndAS impact in this quarter for our revenue gross margin and depreciation interest etc.?

Vinod Kumar Mishra: IndAS impact is Rs. 22 crores as compared to Rs. 16 crores in the previous quarter and Q1 of the previous year.

Nitin Tiwari: So, this is at gross margin level you are mentioning?

Debabrata Satpathy: Gross margin level, Rs. 161 crores positive. Then at the other expenses level Rs. 10 crores positive and there has been a loss of Rs. 1 crore, FOREX loss. Then depreciation Rs. 83 crores and interest expense Rs. 64 crores. So, net impact is Rs. 22 crores positive at the PBT level.

Moderator: Thank you. We have our next question from the line of Raj Gandhi from SBI Mutual Funds.

Please go ahead.

Raj Gandhi: Just any clarity that you can give on the take or pay contract with the off takers which was to be signed along with the Qatar contract renewal? Thanks.

Vinod Kumar Mishra: We are still in discussion. But as and when there is final agreement with them, we will let you know. But these things are going on, but they have already committed to that because when we signed, they have assured us that they will take it. As some terms and conditions are there which are being finalized, after finalization of those terms the agreement will be signed. So, we will let you know that later on, but still, it is going on.

Raj Gandhi: And just one clarity, let us say, on whichever terms if let's say minority are not okay with the tariff or whatever and because this 7.5 million ton contract with off takers comes for voting, so Petronet LNG Limited

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let us say if for whatever reason if the minority is not okay and they vote against then the tariff will have to be reviewed again, that's it?

Vinod Kumar Mishra: No, it is not a question of voting. It will not happen, we don't expect such kind of thing and of course, the tariffs will not be so low that shareholders will not vote, the members will not vote. So, we will ensure that shareholders' interests are protected while determining the tariffs. So, it should not be like this, it's a one-sided contract. It cannot happen.

Raj Gandhi: But factually, majority of minority will be required to keep extending that 7.5-million-ton contract, annual approval from minority will be required?

Vinod Kumar Mishra: Every year we are seeking votes from the shareholders. So, they will be required to vote on that because it's one of the material related party transaction and it's a back-to-back contract, so there should not be any challenge for anybody. In fact, it's assured business for the next 20 years after 2028. So, I don't foresee any challenge for that. But as far as the tariff is concerned, we will ensure

that that is adequate. And certainly, we will protect the interests of the shareholders. It should not happen that it's one-sided and off-taker may do something else, no, it will not happen.

Moderator: Thank you. We have a follow up question from the line of Deepak Mandhana from Avighna Investments. Please go ahead.

Deepak Mandhana: I just wanted to ask, the trade receivables use or pay, which is subject to the settlement or disputed amount. If I look at the total dues were worth close to Rs. 1,800 crores, out of which you have already provided close to Rs. 500 crores. Now when I read your results, it says that the bank guarantees for the calendar year 2021 and 2022 has been received. One, what is the update on the bank guarantees for the calendar year 2023?

Vinod Kumar Mishra: First of all, I would like to clarify here that this settlement mechanism was approved by the board for calendar year 2021 and 2022 and we have received the bank guarantees to the extent of Rs. 378 crores for 2021 and Rs. 798 crores for the calendar year 2022. As far as the use or pay charges for 2023 is concerned, these are outstanding, and we are pursuing the off takers to pay it. We are not going for any settlement mechanism as of now as was done for 2021 and 2022 because in those years there was an issue of COVID and there was demand destruction in that period. And again, 2023 is the Ukraine-Russia war, which has caused kind of a price hike, price has gone abnormally high. So, because of that, we have taken that into consideration, and we have given this settlement mechanism. But 2023 is a normal year. So, we don't foresee any kind of relaxation in that. So, we are expecting that they should be paid by the off takers.

Deepak Mandhana : So, would the understanding be correct in the coming quarters , in the next two quarters, we don't accept any fresh provision to be made for this old dues ?

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Vinod Kumar Mishra : Provisions will be done, it's an accounting aspect. We will continue to make the provision because payment until it is realized provision will continue. As for the time -based provision we are making, so accordingly it will continue, but only thing is that at the same time, we continue to pursue our payments from the off-takers so that if we get it in the meantime, then perhaps it will not be required to have the provision for those things.

Deepak Mandhana : And just one more thing in terms of count of number of customers, what is the number of customers that the amount is distributed with?

Vinod Kumar Mishra : Five customers. These are all long -term capacity holders.

Deepak Mandhana : Just the last thing. And the Rs. 63 crores which you have waived off this year; does that tantamount to completion with that customer or is it still an open customer?

Vinod Kumar Mishra : Still some volume is remaining. So, he will bring some more volume.

Moderator: Thank you. We have our next question from the line of Hardik Solanki from ICICI Securities.

Please go ahead.

Hardik Solanki: So, as we receive a bank guarantee for CY 2021 and 2022, so we are expecting that even though they are unable to give the volume or come up with the additional volume, we can encash this bank guarantee, right?

Vinod Kumar Mishra : Right.

Hardik Solanki: So, that should be a reversal of provision whatever we have made for the year and if they don't pay, we can encash it, right?

Vinod Kumar Mishra: Absolutely correct.

Moderator: Thank you. We have a follow -up question from the line of Sabri Hazarika from Emkay Global.

Please go ahead.

Sabri Hazarika: Regarding the Petchem project, so this ethane propane handling part of this business , so this will be done through the third jetty only, right?

Vinod Kumar Mishra: This will be done through the third jetty because that jetty is having a facility for propane, LNG, as well

as ethane. So, it will be handling all three products, liquid products.

Sabri Hazarika: And it will be like a utility business where I think they will...

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Vinod Kumar Mishra: It will be like a utility business, tolling business like LNG Regasification.

Sabri Hazarika: Last question, Gorgon volumes in Dahej, that number?

Vinod Kumar Mishra : Gorgon volume in Dahej is to the extent of 5.22 TBTU.

Moderator: Thank you. We have our next question from the line of Vikas Jain from CLSA. Please go ahead.

Vikas Jain: About 11 TBTUs is what you said has been adjusted in this quarter. What was adjusted last quarter, if you could remind us a total of how many TBTUs have been adjusted?

Vinod Kumar Mishra: If you are asking that how much TBTU were default and how much has been brought in this quarter ?

Vikas Jain: Correct. You said something around 11.5 or something , 11.3 or something.

Vinod Kumar Mishra: It has been brought in till 30th of June. It has been brought in and we've adjusted .

Vikas Jain: That was in this quarter but there was more which was done last quarter as well, right? That is the March quarter?

Vinod Kumar Mishra: No, this quarter they have got it.

Vikas Jain: So, of the total remaining only about 11 TBTU has been adjusted till now, till 30th of June, right.

Vinod Kumar Mishra: Yes, 11 TBTU.

Vikas Jain: Just to understand this Rs. 127 crores or something, are we mentioning this? It will be easier for us if it is mentioned somewhere in the provisions or something. Am I missing it because the number that you carry, that is not exactly , 63 I understand you mentioned, but this provision number versus the number that you say in terms of accounting, there is some difference. So, this number for provision...

Vinod Kumar Mishra: 129 crore you are asking about

Vikas Jain: Yes...

Debabrata Satpathy : So, your number must be coming around Rs . 141 crores - Rs. 142 crores. Against this Rs. 63 crores , actually we had already created provision of Rs. 13 crores and that has been also reversed.

So, the net impact is Rs. 129 crores .

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Vikas Jain: Debabrata, if we could mention this separately in the notes, that is something which could ...

Debabrata Satpathy : This is not only a single reversal, basically there could be some tax reversal also. So, it will be very complicated for the general shareholders to understand if we make that in the note. But this is the right forum to explain all this.

Vikas Jain: So, basically that's what you were saying the Rs. 192 crore is what is bloating the other expenditure . As against that, so this Rs. 63 crore s would roughly more or less be linked to 2021 or is it linked to 2022?

Vinod Kumar Mishra: It's linked to 2021 and 2022.

Debabrata Satpathy : And some part of '22.

Vinod Kumar Mishra: Both .

Vikas Jain: Because you know the receivable number that you mentioned, as in the receivable under use or pay, that has come down about I think about Rs. 50 crores or so for '22 only. So, there is some change there also.

Debabrata Satpathy : There goes the adjustment actually, 63 minus 13 and that is the Rs. 49 crores around.

Vikas Jain: And 261 is what you mentioned as the inventory gain number, right?

Vinod Kumar Mishra : Yes.

Vikas Jain: So 261, that's roughly equal to almost about 17 %-18% of the PBTs. It's a pretty high inventory gain number, right?

Vinod Kumar Mishra: Yes, because LNG prices have gone higher as compared to the previous quarter. So, that has created the difference.

Vikas Jain: There was clearly a very big jump. So, that's, that's largely a one -off kind of a move that has happened, right?

Vinod Kumar Mishra: It was \$9.50 last time; it is around \$11.50 at this point of time. So, there is a difference, \$2 difference is there almost.

Moderator: Thank you. We have

a next question from the line of Chetan Phalke from Alpha Invesco . Please go ahead.

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Chetan Phalke: Sir, I just wanted to understand few things on the macro, the big picture outlook on the demand side, especially in the Gujarat region. What would be the demand and supply situation given the fact that even Swan is talking about operationalizing the Jafrabad facility and they are planning to double it from there on. So, how should we see this entire utilization and demand scenario on the West Coast and particularly in Gujarat as well?

Vinod Kumar Mishra: We are not concerned with anybody else. Let anybody start the terminal. It doesn't matter. We have our commitment on long -term basis. If you look at the long -term commitment at Dahej , it is almost 15.75 MMTPA . 7.5 is our own Rasgas volume and then balance 8.25 million tons is the capacity booking. So, that part is insured. And apart from that, whatever short -term cargoes , additional cargoes , spot cargoes are coming, so that is making our terminal utilized at 109% in the last quarter. So, this is what I am saying , I am not concerned about other terminals being utilized because there's another issue of connectivity. All terminals are not so well connected as the Dahej . If you look at the evacuation capacity here, we have almost five lines which are connected to the Dahej terminal. And the evacuation capacity is to the extent of 35 million tons, whereas we have a plant of only 17 .5 million tons as of now. So, because of that reason, every terminal has a different geography and connectivity issue. It is not easy to evacuate the volume because connectivity is a big issue. So, I am telling you, never compare. Let anybody come. You see the terminal which has come in the vicinity of our Dahej terminal. You see Mundra how much capacity is being used. You see Hazira, how much capacity, 20% -30%. So, what I am saying, it doesn't matter which terminal is coming up and which is going there. But what we have, we have long -term commitment. Over and above, we have bought a short -term commitment also. So, accordingly, we are utilizing. And the reason behind that is why our Dahej terminal is suffered is the connectivity, because it is very well connected with 5 pipelines. So, evacuation is much easier for any customer.

Chetan Phalke: But how about the overall demand scenario utilized on the Western coast? How do we see volume growth going forward?

Vinod Kumar Mishra: See, volume growth is already there. As I was looking at the data in the month of May, June, it is around 213 MMSCMD, which is much, much higher as compared to 188 MMSCMD of volume in the previous year. You see the growth is there. Absolutely no doubt, because prices of LNG play a big role in utilization of gas in the country. And prices are a little bit moderate, although it is around \$11.50, a little bit higher. But if prices remain in this range also, utilization level will be higher because people will use it. And if it goes down further, then perhaps demand will further enhance in the future. So, what I am saying that it's a good price still, and there is no

expectation in future that it will be going too high. So, we hope that utilization level will continue to soar, and this will be much, much higher in future.

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Chetan Phalke: So, sir our recent fluctuation in capacity utilization is it due to evacuation issue or is it due to the pricing issue ...where would you attribute?

Vinod Kumar Mishra: What you are saying ... recent...

Chetan Phalke: Recent fluctuation or recent downtrend in our utilization . Is it due to the demand supply shocks or is it due to...?

Vinod Kumar Mishra: You cannot call it down trend because I had said that utilization level was 109% in this last quarter. And if it is 100%, it cannot be always 109, but it is no

t so low that you can say that it has gone down substantially. It can pick up anytime in future. So, what I am saying that utilization level is optimum and maximum possible and perhaps it will not come down from that level. This is our hope and demand is continuing and commitment is being fulfilled by the customers in bringing the cargo.

Chetan Phalke: What I was trying to understand was this fluctuation is due to pricing or the demand shock and that's all I am trying to understand.

Vinod Kumar Mishra: Demand in power sector, I have just told you that power sector demand was there exceptionally high in May and June because there was circular also in that connection and because of that the demand for power was increased . That has come down because monsoon has started now, and it is now spread all over the country . So, power demand has come down. So, this is the major reason that little bit it is down .

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I would now like to hand the conference over to Mr. S. Ramesh. Over to you, sir.

S. Ramesh: Thank you. So, before we close the session, may I ask your thoughts on one, the progress you made on LNG as auto fuel for heavy vehicles and secondly, what is your current reading of the potential for increase in utilization of Kochi Terminal?

Vinod Kumar Mishra: So, small scale LNG, although we are doing a lot of effort for that, as you know that SS LNG is one of the projects which was initially conceived by Petronet LNG Limited. And we had been doing it a lot and perhaps and this time we have put up 4 LNG stations and all are on the verge of commissioning. And it is along with one of the off takers we have tied up and more LNG stations we are going to put up. But as you know that potential is very high in this sector. Once this sector is investigated perhaps this will have huge consumption because if somebody is having a fleet of 200 trucks and they convert it to LNG fuel trucks, perhaps it will be a huge benefit to the fleet owner as well as to the sector because LNG, in any case, will be around 15% to 20% lower in terms of prices and that is a big gain for the fleet owners and it will help in also just inciting this sector in future and we can further propagate in other areas of the country

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because it's only showcasing something before the customers, before the public that this is the benefit you are getting like it happened in case of CNG. So, we are making all efforts, but it has huge potential. And we are hopeful that it will come in the near future. But we have started it, and we are talking to various fleet owners also. And more and more OMCs have come in this field. They now also want to put up some LNG stations. So, we are also doing some stations. But most of the LNG stations will be put up by off-takers. And we will be happy in supplying LNG to these off-takers to their stations. So, this is our endeavor that more and more LNG usage should be done in future. So, that will happen whether we put up the LNG station or it is put up by OMCs. So, this is how we are going ahead. And second question you asked about regarding the Kochi terminal utilization. It is of course doing good, but the only thing is that , as I said in earlier conferences also , that connectivity with Bangalore will be there by next year , maybe March 2025. So, I hope that once it is connected to Bangalore then it will be connected to National Gas Grid and then utilization will be much higher. But as of now, it is 20% -25% I think, in between. So, hopefully it will increase once it is connected to the National Gas Grid because at that point of time it can be utilized by any off takers , even for the domestic supply of gas to the city gas distribution projects entities because the swapping of the gas is allowed. So, once this is connect

ed to national gas grid, anybody can sell domestic gas by taking gas from our terminal and through swapping arrangement it can be compensated to us. So, we are hopeful that City Gas Distribution entities will require more gas from our terminal because again, it is a case where if it is connected with the pipeline, it will be falling in the zone one tariff. And as you know that zone one tariff is the lowest of around Rs. 39.90, so anybody would like to be in that

range. So, it is not feasible even for any other supplier of gas like IOCL, Gasil to supply from Dabhol or Ennore. Once it is connected to a nearer source of gas like Kochi, it will be in fact cost efficient for the customers also. So, we are hopeful that because of that reason there is a unified tariff in place, and it will be connected to the natural gas grid. There is a likelihood that in the next after March 2025, the capacity utilization will definitely increase. But we are hopeful it may reach up to 50 %- 60% initially, and then it can enhance also.

S. Ramesh: Thank you very much, Mishraji. So, with that, we are closing the session. So, may I thank all the participants for making this a very interesting and participative session. And I thank the management for spending the valuable time and answering all the questions very patiently. Thank you very much, everyone. And have a good evening. Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Equities that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Petronet LNG Limited

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CS/PLL/LISTING/ Reg-30/2024 Date : 30th October 2024

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subject: Transcript of post -results Conference Call held on 24.10.2024

Dear Sirs/Madam,

This is with reference to our intimation dated 21st October 2024 and 24th October 2024 intimating holding Conference Call of the Company scheduled on Thursday, 24th October 2024 at 5:45 PM (IST) for unaudited Financial Results of the Company for the quarter and half -year ended 30th September 2024 and uploading audio recording post Conference Call respectively. In terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex- 1.

This is for your kind information and record please.

Yours faithfully,

(Rajan Kapur)

Company Secretary

Encl: as above

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etronet LNG Q2FY25 Earnings Conference Call "

October 24, 2024

MANAGEMENT : M R. VINOD MISHRA - DIRECTOR (FINANCE)

MR. RAKESH CHAWLA - GROUP GENERAL MANAGER

& PRESIDENT (FINANCE & ACCOUNTS)

MR. GYANENDRA SHARMA – GROUP GENERAL

MANAGER & PRESIDENT (MARKETING)

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER &

VICE PRESIDENT (MARKETING)

MR. DEBABRATA SATPATHY – GENERAL MANAGER

(FINANCE & ACCOUNT)

MR. VIKASH MAHESWARI – DEPUTY GENERAL

MANAGER (FINANCE & ACCOUNTS)

MODERATORS : M R. KISHAN GOPAL MUNDRA - DAM CAPITAL

ADVISORS LIMITED

Annex-1

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Moderator : Ladies and gentlemen, good day and welcome to the Petronet LNG Q2FY25 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participants' line will be in the listen-only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone.

Please note that this conference is being recorded.

Now I hand the conference over to Mr. Kishan Gopal Mundhra from DAM Capital Advisors Limited. Thank you and over to you, sir.

Kishan Gopal Mundhra: Thank you, Riddhi, and good evening to everyone. On behalf of DAM Capital, I welcome all of you to Petronet LNG's 2nd Quarter FY25 Earnings Call.

At the outset, I would first like to congratulate the management on the good set of results. And to discuss the same, we have with us the Director (Finance) - Mr. Vinod Mishra; Mr. Rakesh Chawla - Group General Manager & President (Finance & Accounts); Mr. Gyanendra Sharma - Group General Manager & President (Marketing); Mr. Vivek Mittal - Chief General Manager & Vice President (Marketing); Mr. Debabrata Satpathy - General Manager (Finance & Accounts); Mr. Vikash Maheswari - Deputy General Manager (Finance & Accounts).

With that, I would now like to hand over the call to the management for their opening remarks, and then we will follow it up with a question-and-answer. Over to you, sir.

Vinod Kumar Mishra: Thank you very much. Good evening to all of you. First of all, I

would like to find out that Dahej throughput has been 225 TBTU as against 210 TBTU in the corresponding quarter and 248 TBTU in the previous quarter. If you look at the performance of the company this time, it has been better in first half, also it is better than the corresponding quarter. And the overall throughput if you see, of Dahej and Kochi together, it's 239 TBTU as against 223 TBTU in the corresponding quarter and 262 TBTU in the previous quarter. And if you look at the half-yearly performance, it has been 473 TBTU as against 428 TBTU in the last half-year, H1 period. And overall throughput in six months has been 501 TBTU as against 453 TBTU in the first half of last year. So, this is the physical performance.

As far as the financial performance is concerned, this quarter the PBT has been Rs. 1,140 crores as against PBT of Rs. 1,102 crores in the corresponding quarter and PBT of Rs. 1,520 crores in the previous quarter. And the PAT has been Rs. 848 crores in the current quarter as compared to Rs. 818 crores in the corresponding quarter and Rs. 1,142 crores in the previous quarter. So, this is the quarterly result which has been there.

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And if you look at the half-yearly performance, it is Rs. 2,660 crores in this first half of the current year as compared to Rs. 2,164 crores in the H1 of last year. And PAT has been Rs. 1,989 crores in this current half year as compared to Rs. 1,608 crores in the corresponding half year of the previous year. So, this is the financial performance. The growth profit from H1 of this year as compared to previous year H1. It is 23% growth in PBT and 24% growth in PAT. And as far as the quarterly performance as compared to the corresponding quarter is concerned, PAT is higher by 4% and PBT is by 3%. So, this is all fiscal performance. And if you look at the utilization of the Dahej terminal, it is at the level of 98%. And Kochi terminal is at the rate of 22%. And 98% is of course less than last quarter, which is around 109%. And it is more than the corresponding quarter, which was around 92%. So, it is better this time, as compared to the corresponding quarter. So, this is how it is there.

If you look at the dividend payout, we have declared Rs. 7 per share as dividend, interim dividend to the shareholders and which is the same as it was in the last year. I think this is all from my side, and now, house is open for the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Sir, two questions from my side. One is, of course, the QoQ decline was perhaps to be expected given the reduction in power demand what we have seen in overall consumption. But just looking ahead for the second half, what sort of utilization should we be sort of factoring in and what sort of spot LNG pricing environment are we actually looking at this point of time.

Vinod Kumar Mishra: Of course, I am optimistic about it. And the second half, I expect it will be good also because demand is growing because prices are moderate at present. And it is likely to remain moderate, but I can't predict for the winter season. It may be slightly higher, but if winter is not that harsh, certainly the prices will also be lower. And if crude also remains at this level, which is now \$75, \$74, then long term prices will be even down. So, I think at present if you look at the spot LNG

prices, they are almost neck-to-neck with the long-term prices. There is not much difference in the prices of long term and spot LNG. So, we hope that prices will remain moderate in future, and we hope that it will be even lower than what is now. And hopefully, and I am sure that the consumption will not be reduced, it will remain at a higher level because you know that

Indian

market is price sensitive and if prices are moderate, then consumption doesn't come down. And we are hopeful that consumption will increase in the second half also. And accordingly, we are getting sentiments that it should be almost the same range. We are expecting that it should be in the range of 95% to 100% capacity utilization at Dahej. So, this should continue. We don't foresee any challenge.

Probal Sen: The other question was more about sort of capital deployment. If you can just give us a bit of an update on what is the effective capacity that we expect the Dahej to be at by the end of this Petronet LNG

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financial year? What is the update on the last mile connectivity of the Kochi-Bangalore, the second offtake pipeline? And thirdly, the status of the petrochemical project in terms of CAPEX and investment? If I can have some color on that.

Vinod Kumar Mishra: So, first is the CAPEX you are asking. And as I think we have already declared on the website and also on the stock exchanges, that we have commissioned two tanks in Dahej on 1st of October. So, that means that we are getting more flexibility to operate now. And we can now store more cargo es. That means it will definitely be adding to our bottom line. So, this is a great thing to happen because we are now able to have more cargo es, and this will give us flexibility to process more gas. So, this is one good news for the shareholders that we have capitalized these two tanks and started storing LNG in these two additional tanks. Now, total number of tanks has gone up to 8 (eight) from 6 (six). So, this is one CAPEX which has been there, which has been completed now. Another project which is going on in Dahej is our Regas ification project, this expansion of our capacity by 5 M MTPA and this is likely to be completed by March 2025 as per the scheduled completion time. So, if this happens, this will give us flexibility and also will enhance the revenue of the company. And accordingly, it will add to the bottom line, but it will be in the next financial year. T his because it's still going on, by March it will be complete. It is a low hanging fruit if you look at it, because it's the CAPEX of Rs. 570 crores which is only 10% of the greenfield terminal if at all it is envisaged today. So, even if we are putting up this CAPEX of Rs. 570 crores, maybe in a year or two we will recover it. The payback period is very short. So, it's a low -hanging fruit and the capacity will be 22.5 MMTPA . We are making all efforts to book the capacity . The off- takers and anyone else if the off -takers are not taking full capacity. So, that effort is going on. This is one of the agenda we have. And other CAPEX part if you look at, Kochi pipeline. Third jetty has been awarded, so it is going on. Now third jetty will take three years ' time to complete, T opside facilities and marine facilities, both the contracts have been awarded. So, now it's a period of three years by which it will be completed. And it will be able to handle both, all three kind of liquid hydrocarbons, propane, ethane and LNG. So, it's a unique jetty in the country, which nobody has . So, we are hopeful that this will be complete by 2027. This is one part at Dahej . And then you are talking about Kochi. Kochi , basically pipeline connectivity was an issue and as I have reiterated in our earlier conferences also that it is likely to be completed by March or maybe April next year as has been communicated by GAIL India Limited because that is the company which is laying the pipeline for that section. And as I said earlier also that Coimbatore to Krishna giri section is going on and half of that is around 250 kilometers, half of that has been already completed but I think 120, 125 kilometers are still remaining. So, hopefully that will be completed by year end. So, after that, it will be connected to the national

gas grid. That is a major thing which is going to happen, because after that, it can utilize the gas to any place, and gas can be fed for any other area. And if somebody wants gas at Punjab or Haryana, they can be supplied from Kochi, because physical movement of the gas is not required if pipeline connectivity is there and it is connected with a gas grid. So, this is how it happens. So, this will automatically increase the consumption level

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of Kochi and more and more city gas distribution projects are going to be completed in the next two, three years or four years maximum. So, there also the demand will be increasing because domestic gas is allocated to city gas distribution companies, and it can be fed with our LNG and it supplied from Kochi because again there is a benefit of unified tariff pipeline. So, zone 1 tariff is there, then certainly in southern Indian cities anybody would like to have gas from Kochi

terminal because that will be within the range of 300 kilometers. So, zone 1 tariff will be charged. So, swapping will happen once this Kochi terminal will be connected to the national gas grid. So, this we are expecting, and this will automatically raise the consumption or utilization level of Kochi terminal. So, this is your second question. The third question is regarding the petrochemical project and that I just want to update that we have already awarded a contract for PMC. And licensor contract have already been awarded. And now since the PMC contract has been awarded. So, PMC is under taking all the activities to make packages for different sections and packages will be then awarded in separate fee and perhaps it has already started in fact making the packages. And then, tendering will be started and the contract will be awarded to the vendors. I think this year it will be taking place. But CAPEX on this will not be too high this year, but maybe next year it will be high. This year only this processing will continue because awarding the contract also sometimes takes more time. So, that is there and progress I have told you. And as you know we are also lining up our lenders for this project. And we have already declared that the debt equity ratio will be 70- 30. And accordingly, they will be lining up with bankers and lenders. And we have started the process. And probably in the next 2 -3 months, it will be lined up. And thereafter, we will be ready for making the payments and utilizing the loans from the bankers and also putting to equity of around 30% from our side. So, this is how progress is there in the Petchem project.

Moderator: Thank you very much. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Two quick questions. Sir, recently GAIL is seeking a long-term imposed deal of closer to 5.5 MMTPA. And GAIL has also closed some LNG supply contracts of 1.5 MM TPA. So, in this case, can we connect the dots that our Dahej expansion would be ready by March 2025? And so, is there any chance that the GAIL will book some capacity or any talks going on this side? This is my first question.

Vinod Kumar Mishra: Agreed. And you know that capacity will be available by March 2025. And we are already in talks with our off takers. But if something concrete will be there, we will let you know. But at the same time, I can say that whatever new contracts are being signed by GAIL, IOCL, all have signed it. Definitely, much more and more volume will come to Dahej. This is quite sure because the Dahej connectivity with the demand center is so good that anybody who's ever is bringing volume to India cannot ignore Dahej because it has a capacity of around 35 million tons of evacuation and it is connected by five pipelines. So, no other terminal has got this kind of unique Petronet LNG

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 advantage. So, I am h

opeful whatever volumes are coming, maximum volume will come to the Dahej terminal also. And at the same time, we are also seeking our off takers to book capacity under this expansion. And hopefully, we'll succeed. And if that happens, then to some extent, it will be booked. Maybe 5 million tons may not be booked, but we want to keep some capacity with ourselves also. Because as you know, even 17.5 MMTPA is sometimes falling short. Last quarter we had to run almost 20 MMTPA of capacity. We have run to that extent. So, what I am saying that whatever capacity we create, it doesn't mean if entire capacity is not booked it will not be utilised. When we were only 17.5 million tons and at that point of time also the book is only 15.75 MMTPA, yet we still to utilize the entire 17.5 MMTPA. So, it's not that unless and until some long-term capacity is built, then only utilization will be assured. It's a spot and short-term gas is also there in the country coming. Because prices are moderate, so we will be able to utilize that 5 million tons. So, it is going to enhance our bottom line. So, let's be assured that we will try to book at least some capacity with off-takers or any other consumers or any other LNG trader or supplier. But at the same time, we have the capability to utilize this capacity with other volumes coming in, like short-term, spot. That is also there. So, hopefully, we will be utilizing next year this 5 MMTPA additional. So, this will automatically add to our bottom line, and profitability will increase next year.

Yogesh Patil: So, sir, second question is related to the Dahej Regas tariff. Every year we increase the tariff by 5%. And as per the agreement with the promoters, who are mostly the off takers at Dahej. How long we can continue to increase the Dahej tariff every year by 5%? That's one thing. Is there any clause which can pause or it can change the tariff increase in the long run? That's the second. And sir, we also wanted to understand the formula, if any, to calculate the Dahej terminal Regas tariff. Is it based on some percentage of return on equity or the return on capital of the Dahej assets?

Vinod Kumar Mishra: So, first question is that how long will continue to increase 5%? This is as per contract. See, it's not there that they have a choice because it has been agreed to and it's not in Dahej only. If you go any other terminal also, you go to Dhamra, you go other terminals, they are also charging 5% every year. So, it's not a question that how long they will afford. This is a contractual obligation, and contract is there for the capacity booking till 2036. So, till 2036 it will continue. So, it's not

a question of any clause which is there, which they can negotiate it, it's not there. As per contract, we are charging. This is the answer to the first question. On the second question also, that there is no clause as such. The only thing we can review every 3 years that how much inflation is there. So, it is only upward revision which is happening. It is never the downward revision which is going to happen. So, this is my understanding of the contract. And we are going ahead as per the contract. So, this is how it is there. And the third question is regarding ?

Yogesh Patil: So, the third question was regarding wanted to understand the formula if any to calculate the Dahej terminal Regas ...?

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Vinod Kumar Mishra: It cannot be discussed. This is something which we have to because these things are contractual and confidential things. We cannot give you the formula how we calculate it. But it is market driven and if you compare it with any other terminal, it is the lowest tariff which we are charging.

Yogesh Patil: Sir, as you just mentioned that every three years tariffs can be reviewed, if there is any adjustment regarding inflation. So, any shortfall to the inflation, supply

the inflation is not going at 5% every year

Vinod Kumar Mishra: It has not happened so far.

Yogesh Patil: Considering the last 10 months Regas volumes at Dahej terminal, do you expect any shortfalls from the off takers for the current calendar year?

Vinod Kumar Mishra: I don't think we don't expect these things to happen. These are contractual obligations. They will fulfill it. Prices are moderate. So, they will fulfill the obligations. We are quite hopeful.

Yogesh Patil: Lastly, what was the CAPEX during the first half of FY25 and the planned CAPEX numbers if you could share for the FY25 and FY26?

Vinod Kumar Mishra: CAPEX, I have told you that it's going on, details can be given, but I don't want to. So, I think we are going well on CAPEX side and projects will be coming up, but certainly we have handsome CAPEX which is going to happen in this year and we will let you know later how much is that. At the same time, I can give you the CAPEX on which item we are going to incur. Financial year wise if you say, then it has become fiscal, because it is still 6 months remaining for this financial year. Let it happen and we will tell you.

Moderator: Thank you very much. The next question is from the line of Hemang Khanna from Nomura. Please go ahead.

Hemang Nomura: I have a few of them. So, firstly, margins for this quarter were a tad weak. Could you help us with some details on what led to this and what was the hit if any on the inventory and trading side? ... (Interrupted)

Vinod Kumar Mishra: We have already declared that utilization is lower than the previous quarter because last quarter there has been power demand and that was very significant. Otherwise, it's a normal means of operation because we are operating. So, I don't see any volume wise it is lower and margin you know that tariff is already fixed so it is as per that coming. And as far as the trading is concerned, trading margin has (Inaudible) ... and there has been inventory gain of around Rs. 70 crores this quarter as against Rs. 261 crores in the previous quarter.

Hemang Nomura: So, inventory was Rs. 70 crores and what was it on the trading side?

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Vinod Kumar Mishra: Trading side I told you Rs. 39 crores this quarter.

Hemang Nomura: And secondly, if you could help us understand on the Dahej side, how are utilizations currently panning out for the month of October? Definitely you have indicated 95%-100% for the second half. But how is October currently trending?

Vinod Kumar Mishra: 98% is going on, so this should be done. So, it will be in this range only. But the exact data, October, we cannot give. I will send it separately. So, we cannot declare on this phone call. It is declared in the result. But we will make an effort. It will be continuing in the same fashion, which is happening in this quarter, 2nd Quarter, in the range of 98%.

Hemang Nomura: And lastly on the tariff negotiation side, can you just share with us when is the tariff negotiation expected to be concluded? A rough timeline on that. And what are the typical hindrances, if any on the new volumes that you signed?

Vinod Kumar Mishra: New volume is going on. It's already we are, these things cannot be disclosed because we are confident, this will happen. There is no challenge as such. We will be doing it and it will be in a manner that will be good for the shareholders and I don't foresee any kind of these lower tariff from their side. It will be a good tariff. And we will let you whenever we sign the contract. But already this all things are going on. It cannot be discussed on this call.

Moderator: Thank you very much. The next question is from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Just two questions. Can you just give some update on your Pet chem expansion? I mean, work

has started or the appointment of the cons

ultant , so any update on this will be really helpful .

Vinod Kumar Mishra: Just as I mentioned , Petchem we have awarded the work of PMC . The second contract, we have awarded the contract for licensors also. So, both PDH and PP contracts have been awarded. These are in place. And now P MC has been awarded. So, now P MC is now undertaking all the activities for tendering the various packages and then it will award the work to the contractors and then the work will start in Dahej . So, this is how it is going on. So, the major thing award of work to PMC contractor which has taken place and now everything will start. Slowly the packages will come and because this is a Petchem project, so multiple packages are there and the contract will be huge . So, it takes time to award jobs. It's not one contract. It's many, many contracts will be there for different, different work , utilities will be different and other units will be different. Likewise, it will be there, but it has started. So, we hope that this year many contracts will be awarded, but CAPEX may take some time because if work will start in the second half of the year, I think the payments will not be too high, but next year the CAPEX will be. And before that, we have been already engaging with our lenders. And so, probably in a Petronet LNG

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three, four month's period, we'll be able to line up the lenders for taking debt. As I said earlier, the debt equity ratio is 70 -30. So, accordingly, we are going ahead.

Maulik Patel: Just one more question. In an earlier question you spoke at length about the renegotiation of the Ras Gas volume and the contract which you want to with an off takers right? So, is it fair to assume that before 2027, what kind of timeline you're looking to complete the negotiation with off-takers for this new contract of Ras Gas, because you signed a contract with Qatar, but you had to do with off -takers . So, when is that likely to get complete?

Vinod Kumar Mishra: It will be completed very shortly, going on, anytime, it can be completed, but the only thing is, still there is 3 years, 4 years period left for implementation of this contract. So, don't worry about that. It will be done before that, but only one thing I can assure you that they have already undertaken to take the quantities in this contract. This guarantee they have taken. So, it is going to happen, but this period is long. So, we are taking time, but it will be happening shortly. Maybe in 6 months' time, it may happen like that. So, there is no issue as such because there is no urgency of that contract. So, it may be taking place, but since the time is still left, three and half year more than half year. So, I don't foresee any challenge. As I said, this volume is guaranteed by off takers, they will off take this volume. That means our revenues are guaranteed and it will be reasonable revenue. It will be good revenue and perhaps shareholders have always appreciated us in terms of this kind of contract and in future also it will be like that. So, I assure all the shareholders that this deal will be good and there is no reason to obtain anything that what is going on this because if the long time is left, so it is taking time.

Maulik Patel: I think that is what the investors worried about. And let me tell you, we all know that the off takers will agree with the volume. So, volume obviously and the price at which the volume is going to get come from the Qatar to you, it is also being in consideration within off takers, what worried could investors and others, is the Regas tariff and we are not concerned about revenues which you get it, so consider the gross profit?

Vinod Kumar Mishra: It will be a very handsome number this much I can assure you, but I cannot give you the number.

Maulik Patel: Will there be any decline in the Regas tariff which you are charging the customers? Let us say

this today?

Vinod Kumar Mishra: I cannot comment all these things because nothing has materialized, so I cannot give, but certainly when it is finalized, then we will come back to you and discuss this.

Maulik Patel: Sir, just one more question and related to this expansion of the Dahej , are you in a discussion or are you looking to find more volume to be placed on a long term Regas capacity which you have done in the past and currently you have around 8 million ton of Regas?

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Vinod Kumar Mishra: We are making all efforts to have the capacity book in our terminal because new volumes are coming up and if you look at the total long- term contract which India has today where from supplies are coming is 20.2 million tons, but by the time 2027, you will find that it is around 28 million tons. So, definitely, volume will be coming to Dahej , maximum volume. What I am saying is 1.2 million will be starting from around 2026- 27 from Exxon Mobil (Inaudible) 33.17. So, what I am saying is that the future is very optimistic because gas utilization is bound to increase. And as the government of India's focus is also to increase the share of natural gases by 10% to 15% that is why there is a huge potential for growth of LNG business. And, if you look

at different segments also, in transportation sector, it is also coming up in a big way, so this alone has the potential of consuming almost 10 to 12 million tons if it comes in the way the China has already implemented this ecosystem. So, I think in India there is huge potential for LNG consumption. And even existing sectors and more new sectors will come up, CGD entities will come up. So, I hope that our LNG consumption will further increase because domestic gas availability is a hindrance. It cannot be increased substantially. So, there is a limitation of domestic gas. And consumption is growing, so growth is only likely in the LNG sector. So, this is what is a good thing for the persons like us or companies like us because we have hope that in future because prices will not be high in future, reason being that more and more capacities are coming in 2026 onward. So, almost up to 150 to 200 million tons of liquefaction plants are coming up across the globe. So, the supplies are likely to be more than demand, but definitely, the prices will not be too high and if prices are not high then LNG consumption in India is bound to increase. So, this is an optimistic view which I have.

Maulik Patel: For the Regas revenue, which you charge to the regas volumes service contract, how much is it?

Vinod Kumar Mishra: This quarter?

Maulik Patel: Yes, this quarter?

Vinod Kumar Mishra: This quarter, Rs. 1,508 crores total trading and Regas volume.

Maulik Patel: No, I am talking about Regas service revenue?

Vinod Kumar Mishra: Service is Rs. 731 crores.

Moderator: Thank you very much. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: We have mentioned in the notes that we have reversed the Rs. 71 crores of the previously booked revenue, so what would be the quantum of the volume that customer has brought against this?

Would you be able to give us it in TBTU terms as well?

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Vinod Kumar Mishra: Quantum you can just imagine this will be around, we can give you the estimated amount, the exact amount you will work out, but estimated amount will be around 11- 12 TBTU will be the volume.

Kirtan Mehta: And in terms of the September quarter, December quarter is the last quarter when buyers can bring in their cargoes for the 2023 backlog, do we have any indication from any of the Customers?

?

Vinod Kumar Mishra: 2020- 2021 backlog.

Kirtan Mehta: 2021 backlog, yes, do we have indications from customers what volumes they are planning to bring during the next quarter or are there

customers who have completed their contracted quota and or have flexibility ?

Vinod Kumar Mishra: We cannot tell you right now. We will discuss it with you afterwards .

Kirtan Mehta: And in terms of the Kochi volume, are we seeing any uptake in the volume because of basically the start of consumption at the MRPL? Is that sustainable?

Vinod Kumar Mishra: See, I have told you that Kochi terminal utilization will enhance after this pipeline is connected to natural gas grid. But at present it is operating almost at the same level around 22% capacity.

Moderator: Thank you very much. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Sir, in terms of the balance sheet to look at the provisions and receivables and the net provisions as of September, you have made provisions worth Rs. 599 crores, right?

Vinod Kumar Mishra: Till date.

S. Ramesh: Yes, so what is the likelihood of this? How much of this would you think you will be able to write back and when would that happen? And secondly, when you look at the receivables, net of provisions, when do you think you will be able to make progress in receiving these

outstandings of Rs. 17 15 which is the net receivable on take or pay?

Vinod Kumar Mishra: Yes, I have told you that as also mentioned in our disclosures, that we have entered into an arrangement with the off takers thereby, who will have defaulted in 2021 and 2022. For those who have defaulted for the volume of 2021, they can bring volume till December 2024. And for those who have defaulted in 2022, they can bring their volume till December 2025. So, let this period happen, thereafter, we will work it out, but also one thing I could say is that we have

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taken the bank guarantees from these off takers. And it is ensured that the recovery is made either to make the payment or we should encash - the bank guarantee.

S. Ramesh: So, basically, this is just a bookkeeping entry. There is no need to worry about either the receivables not being actually received in cash or these provisions increasing further in terms of any write -off. So, is that

possibly something we can

Vinod Kumar Mishra: We made it just as a prudent accounting practice. It is not that it has any impact on the recovery part. It is such that there is no need to make a provision also because we have got the bank guarantee there is assurance that payment will come. This is how we perceive it, and perhaps from that point of view it doesn't look like it will not be recovered.

S. Ramesh: So, just the next couple of questions, one is, if you look at the recent statement made by the head of Total in the Singapore Conference, while he agrees that there is a lot of Liquefaction capacity, he was quoting that there could be some delays in some of the new LNG liquefaction projects expected in CY25. So, if you have any thoughts on that, do you think that is something which you are concerned about while the 26-27 numbers look very favorable for importers like India .

The next thought is on the recent government decision to allocate additional gas to ONGC petrol additions from the plan to increase production from the nomination block. So, to what extent would additional gas being supplied from the nomination block to OPaL will reduce the potential sale of ethane you are planning to do with OPaL, we can just address these two thoughts?

Vinod Kumar Mishra: So, I think Vivek is there, he will answer your question, but I would like to point it out that it is not related to our area of work. In fact, whatever decision has been taken by the government of domestic allocation to OPaL is a government decision and whether they will take ethane from us or not. This is again we have to discuss with them. We have a discussion with them, but it has nothing to do with ethane import which we are creating now. Those discussions

will continue,

but further my answer will be fortified by Mr. Vivek Mittal.

Vivek Mittal: I think two questions you had, one is the Total , your statement that some of the liquefaction project could get delayed. As you may be aware, there is 200 million of capacity which is being added across US, Mozambique and Qatar mainly , so slight delay of few projects will not make much of a difference as far as total availability is concerned. In fact, Petronet has signed volume from Qatar, so we are not expecting any delay in Qatar. US projects might get delayed, but Qatar is very clear, they are on track . Secondly, ethane tie-up so as you will be aware, firstly our contract with ONGC is only for supply till April 2028 when our existing Qatar deal ends. So, the government can allocate gas till 2028. . So, post 2028, there is no commitment from Petronet side and of course we are discussing for supply of Ethane from ONGC -, by importing directly at our Dahej terminal, those discussions are on this.

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S. Ramesh: No, the reason why research is since we were banking on ONGC Petro Addition as one of the customers in ethane retail tolling business, so wouldn't that to some extent reduce the potential need profile to buy ethane from you. That was a broad thought I had?

Vivek Mittal: No. They are extracting ethane from Rich LNG which we are getting from Qatar And in view of that government has given domestic gas towards of swap quantity. It is not everything supplied by ONGC. It is only the extraction which is taking place from Rich LNG supplied from the Dahej Terminals is being imported by Petronet (. So, once that contract ends in April 2028, there is no commitment from Petronet 's side to ONGC and accordingly they cannot expect the question of swap gas does not arrive post this... .

S. Ramesh: So, you are saying that even if there is additional gas on the nomination block, can you still expect to do some business with OPaL? Is that the way to understand that?

Vivek Mittal: Yes, of course, OPaL will need ethane, but there will be no commitment to get Rich LNG from 2028. So, we cannot guarantee supply of Rich LNG to ONGC. Consequently the only option left is to import ethane.

Moderator: Thank you very much. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Just a small question regarding this Gorgon volumes, the second phase, so that will be like 1.2 million, Kochi tariffs that will start coming from 2026 -27, right?

Vinod Kumar Mishra: Right.

Sabri Hazarika: And that will be, I think 0.6 will come in at FY26 and it will ramp up to 1.2 by FY27, is that right?

Vinod Kumar Mishra: Right, correct.

Sabri Hazarika: Then this has been, I think you had adjusted the Kochi tariff I think few years back. So, this was because of this adjustment only, right?

Vinod Kumar Mishra: This was done as a part of this settlement that they will bring the gas. We have renegotiated that Kochi tariff.

Sabri Hazarika: So, in case the demand is not there in Kochi, then it can be bought in this current arrangement in the Dahej itself and we charge Kochi tariff?

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Vinod Kumar Mishra: Demand will be there, I am telling you, it will be connected to gas grid, the demand will be there. We are always optimistic. We never talk pessimistic. So, it will still be there. I have told you swapping will be done; we will not do it. It will be done by IOCL, GAIL. Because even if they will have to supply the CGD entities, they can swap the gas from our terminal. So, either way this will be utilized, either we utilize or it is the other off take of utilization because it will be falling in zone one tariff for the Southern Indian city.

Sabri Hazarika: And there will be no further downward adjustment in Kochi tariff from these volumes, right,

t, or

could there be?

Vinod Kumar Mishra: Right now, it is not envisaged.

Sabri Hazarika: And just small question regarding your CAPEX, you didn't tell us the number, but your cash flow statement is showing around Rs. 660 crores for H1. So, that is the broader number, right?

Vinod Kumar Mishra: That is you can take it. That is okay.

Moderator: Thank you very much. The next question is from the line of Vishnu Kumar from Avendus Park.

Please go ahead.

Vishnu Kumar: Many questions you have answered, but wanted to understand, sir, next year, what is your internal estimate of volume that we can expect from the new terminal, new addition that Regas that we are adding?

Vinod Kumar Mishra: Next year estimate is 22.5 MMTPA from Dahej and 5 MMTPA from Kochi. We have the capacity, we can utilize it, but at least Dahej, we are hopeful that we will be able to utilize maximum capacity because it takes time to utilize, but hopefully we will be trying to utilize maximum possible of the expanded capacity. But it will be around 22.5, you can see more than 20 million tons.

Vishnu Kumar: So, even irrespective, however, we signed the contract spot, medium term whatever we bring in, you are still expecting that next year you can do 100% utilization there?

Vinod Kumar Mishra: Because reason why I told you that we have capacity of 17.5 million tons and we are operating at almost last quarter, we have operated around 20 million tons, although we have contracts for 15.75 million tons for Regas capacity and other trading volume. So, you can see that we are able to utilize more than what we have on a long-term basis, capacity booking. So, it is not a challenge because once the prices are moderate then more volumes are coming in terms of spot and short term LNG. So, there is no damage. We hope that we will be able to utilize the entire capacity which is being expanded.

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Vishnu Kumar: And sir, Kochi, let us say, the pipeline comes through and if we head closer to about 4.5-5-million-ton utilization at that time will our average tariff drop from where we are today?

Vinod Kumar Mishra: Average?

Vishnu Kumar: The realization that we are getting in Kochi if our utilizations in Kochi improves both the pipeline will our tariffs at Kochi further go down?

Vinod Kumar Mishra: This we cannot discuss. Right now, Kochi tariff is fix. There is no reason to revise it and we are not thinking about that. Whatever be the capacity utilization, it will continue like this only. This issue has not been considered so far, so I cannot future what will happen, nobody knows, but as of now there is no discussion on this issue.

Vishnu Kumar: Because a couple of years ago, I remember, sir, we were discussing that because utilization was slow we had?

Vinod Kumar Mishra: Yes, we had discussed. You are right and we had also revised this downward and thereafter it has gone up to level of 89.33 now also. So, it is there.

Vishnu Kumar: The next question is, sir, we have seen some new contracts by Shell getting signed even at 11% on oil and also we also understand, as you are also highlights, a lot of new liquefaction terminals are coming. So, we have signed at about 12% with Qatar, so do you see a scenario that a couple of years down the line where we might get further new contract getting signed at much lower than what we have signed with Qatar and how will that impact our current as you said our Qatar contract is getting, still in talks with our off takers to sign it. Here do you see a chance that this

is a possibility? And how do we mitigate in the contract itself that this kind of problem will not arise for us where we don't, we are not able to place the volume?

Vinod Kumar Mishra: Price part we cannot discuss because it is confidential matter -, but whosoever is signing the contract at whatever rate be, but we cannot discuss how much we have done and how

much

others are doing. And other things are that who has signed 11%, I don't know, but whatever we have signed is a good contract and it is back-to-back. And there is no reason for revision in that contract in future also. Because it is a fine price, it is good price. And what others are doing that is not going to impact us, but we can assure you that there is no challenge to PLL as such. It has been already tied up back-to-back, we won't don't foresee any reason to revision of prices in

future in LNG prices of Qatar.

Vishnu Kumar: And the receivable for short volumes for calendar year 20 21 fee understand was about Rs. 420 crores, just for bookkeeping, how much was provided out of this 420, sir?

Vinod Kumar Mishra: You are talking about use or pay charges?

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Vishnu Kumar: Yes, sir.

Vinod Kumar Mishra: It was around Rs. 420 crores, whatever it may be, but now it has come down slightly because some of the capacities have been brought. So, it has come down to almost Rs. 378 crores.

Vishnu Kumar: So, my question was whether we have already provided this in P&L fully or was there something that was pending? I mean in 4th Quarter trying to understand that whether we will have a positive or a negative impact on P&L?

Vinod Kumar Mishra: We are saying that whosoever will bring the volume in excess of the annual commitment, annual ADP, they will that to that extent, volume, the use or pay charges will be reversed because that part of volume has been booked as sales revenue. So, there is no challenge in that, but only thing we will be able to do this only after the 4th Quarter, which is after December, who was able to bring it and who was not able to bring it. Then we will see what action to be taken and as you know we have the bank guarantees of all our off takers, and this is the arrangement they have agreed. So, we hope that it will be recovered. For 2021, it should be recovered by December 2024.

Vishnu Kumar: Sir, my question actually was this Rs. 420 crores, which you just mentioned, it has already been provided fully in the P&L till date that was the only question I asked?

Vinod Kumar Mishra: No, it would have been provided by this year end, but there is no need because by that time almost settlement will happen. It is almost 75% we have provided, and balance is to be provided, but perhaps it will not be required because by that time settlement is to be done by December.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for the closing comments. Thank you and over to you.

Vinod Kumar Mishra: Thank you very much. I first of all wish all of you Happy Diwali. And as you know that we have been doing our best to perform in terms of physical performance of Dahej and Kochi and this endeavor will continue even in future. And as I told you, that company is doing very well and after new upcoming projects being in place, perhaps the bottom line will further increase and the level of Company will be very high. So, I thank all of you for imposing confidence and faith in our company and we want to assure all the investors that we will continue to endeavor to increase the bottom line of the company and any decision taken will be on a commercial basis. It will not be any outside pressure or any influence. So, this is how we are proceeding. Thank you very much.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Petronet LNG Limited

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CS/PLL/LISTING/ Reg-30/2025 Date : 4th February 2025

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 28.01.2025

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ear Sirs/Madam,

T

his is with reference to our intimation dated 17th January 2025 and 28th January 2025 intimating holding Conference Call of the Company scheduled on Tuesday, 28th January 2025 at 11:00 A.M. (IST) for unaudited Financial Results of the Company for the quarter and nine-months ended 31st December 2024 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

(Rajan Kapur)

Company Secretary

Encl: as above

Petronet LNG Q3FY25 Earnings Call Transcript

January 28, 2025

MANAGEMENT : Mr. Vinod Kumar Mishra – Director (Finance)

Mr. Rakesh Chawla – Group General Manager & President

(F&A)

Mr. Gyanendra Kumar Sharma – Group General Manager &

President (Marketing)

Mr. Vivek Mittal – Chief General Manager & Vice President

(Marketing)

Mr. Debabrata Satpathy – General Manager (F&A)

Moderator: Macquarie- Baiju Joshi

Operator : Good morning, everyone and welcome to Petronet LNG's Q3 FY '25 Earnings Conference Call hosted by Macquarie.

For the discussion today, we have with us the management team comprising Mr. Vinod Kumar Mishra, Director (Finance) ; Mr.

Rakesh Chawla, Group General Manager and President (Finance and Accounts); Mr. Gyanendra Sharma, Group General Manager and President (Marketing) ; Mr. Vivek Mittal, Chief General Manager and Vice President (Marketing) ; Mr. Debabrata

Satpathy , who is General Manager (Finance and Accounts); and Mr. Vikash Maheswari, who is Deputy General Manager (Finance and Accounts). So, with that, I would now hand over the call to the management for their opening remarks and then we'll follow it up with question- and-answer session. Over to you, sir.

Vinod Kumar Mishra: Thank you. Very good morning to all of you. And, as you know that we have been surprising you every time whenever we give the results. Although our throughput has not been that high as it should have been. And if you look at the

throughput in Dahej this time, it has been 213 TBTU as against 225 TBTU in the previous quarter and 218 TBTU in the

corresponding quarter of previous year . Overall , throughput has been 228 TBTU including Dahej & Kochi and this is against 239

TBTU in the previous quarter and 232 TBTU in the corresponding quarter of previous year. If you look at the nine- month result,

it has been highest ever and the total throughput in Dahej has been 686 TBTU as against 646 TBTU in the previous year's nine months . And overall throughput has been 729 TBTU as against 685 TBTU in the corresponding nine month of the previous year.

And if you look at the financial result s this time, it has been INR 1,169 crore as PBT this time as against INR 1,140 crore of PBT in this previous quarter and INR 1,191 crore,

sorry, and INR 1,597 crore in the corresponding quarter. PAT has been INR 867 crore in the current quarter as against INR 848 crore in the corresponding quarter and INR 1,191 crore in the previous quarter.

Sorry, it has been INR 867 crore in the current quarter as against previous quarter of INR 848 crore and INR 1,191 crore in the corresponding quarter .

And if you look at overall nine months result, the PBT has been INR 3,829 crore as against INR 3,761 crore in the previous year's

nine months and PAT has been this time INR 2,856 crore as against PAT of INR 2,799 crore in the previous year, nine months.

So, this is the financial result and as you know that has been less but we have been able to get higher profit than the previous quarter, although it is very marginal. Thank you very much and now house is open for the question.

Operator : Thank you very much, sir. We will now begin the question-and- answer session. We'll take the first question from Puneet Gulati, Puneet request you to please go ahead and ask your question. Puneet, you seem to be on mute. Can you unmute and ask your question, please?

Puneet Gulati: So, I think my first question is on the volume side. So, while your total volumes have still been decent, but what we are seeing is that the long- term volumes have been below 100 TBTU, it used to be higher than that in FY '23 -'24. So , what's

driving this bit of slowness on the long- term side for Dahej ? Any thoughts?

Annex-1

Vinod Kumar Mishra: Okay. So , if you look at the volume in Dahej , FY '23- '24, it has been lower as compared to, you're saying

that it's compared to corresponding quarter, it's lower ?

Puneet Gulati: Yes. I mean, just as a trend also, last three quarters have been 96 to 97 TBTUs, the previous year was, 100 TBTUs and even FY '23 was 100 plus.

Vinod Kumar Mishra: I think volume wise, if you look at long term, it's the scheduling , we are doing as per ADP we are getting,

because long term volume, likely it may be here and there, but normally it remains same because it's scheduled arrival of the cargoes. I don't foresee any fall in that, but of course, the spot and the other cargoes which are coming, service cargoes , they are affected by frequent prices, this price s being higher or lower, so that may be there, but otherwise, long- term cargoes may be

slightly lesser, but it doesn't matter because it's as per the annual delivery schedules. So, not much difference from the previous

quarter, but of course, from the corresponding quarter, it is less.

Puneet Gulati: Okay. Second question is on the, UOP dues, any progress there that we noticed that there is another one for CY

'24 as well, INR 117 odd crore. Any progress on what the off takers are now willing to pay? You had a bank guarantee. Can you

enforce that and any further thoughts there?

Vinod Kumar Mishra: Yes, that Bank guarantee is there and in fact, we have already informed all the off -takers and they will reply by 31st March, we will send the letters that we are going to invoke the bank guarantee. But at the same time, they have sought some time till 31st March because the bank guarantees are valid till 31st March. It is only a period of hardly two months

that we have to wait and thus, they will pay the use or pay charges for '21 at least.

Puneet Gulati: Understood. That is helpful. And lastly, if you can share the, the revenue for services part of the business.

Vinod Kumar Mishra: For services, I think INR 680 crore. This Regas revenue has been INR 840 crores , not INR 680 crore as

I mentioned earlier. So, just a small correction, we just made.

Operator: Thank you. We will take the next question from Amit Murarka. Amit, request you to unmute your line and please go ahead.

Amit Murarka: First question is on Dahej Terminal, you are just around the corner on the 5 -million -ton expansion and the current capacity kind of at least in Q3 h

as not achieved 100%. So, I was just thinking what is the plan on the ramp up of this 5 million ton and how much of this is under firm offtaker agreements, just could you provide some clarity on that?

Vinod Kumar Mishra: In fact, if you look at the capacity utilization, it has been 93% this time. We hope this will continue. But as

far as the expansion is concerned, we are looking forward to having capacity booking on that also. Certainly, this time because

you see in the first quarter, we were not able to have more cargoes because of the constraint in capacity. So, utilization will be there, just wait for some time because this capacity will be in place, maybe, by June, I think it should be in place. Before that we

should be able to do some booking for the capacity also. We are looking forward for that and we are talking to the off-takers to book more capacity in our terminal. But, it may not be 100% of 5 million tons, but it could be, maybe 40%-50% also that will be

good enough. But we will have more capacity to regas more spot volumes coming in the future because in future the growth is already there, more terminals are also coming, but at the same time more long-term contracts have been signed. So, I think there

is a chance that more cargoes will come to our Dahej terminal in future, and we are hoping for capacity booking also to the extent

of 40%-50%.

Amit Murarka: And would you be able to at least give ballpark guidance or how we can think of a ramp up on this 5 million tons,

like between let us say year 1, year 2, FY'26, FY'27?

Vinod Kumar Mishra: Cannot be told exactly how much the ramp up will be, we are ready from the day -1, that it will be possible.

Amit Murarka: Ballpark is also okay, like are you thinking about 30% -40% for FY'26 and maybe 60% -70% for FY'27?

Vinod Kumar Mishra: Like that it may happen.

Vivek Mittal: And it is also a subject of what the international spot prices are, as you know Indian market is very, very price sensitive. So, like last summer we saw the prices softening, there was a lot of utilisation, we were doing more than 109% -110%

of our capacity. If we achieve those kind of prices which is expected with the coming of new liquefaction plants specifically in the

later half of this year, so if prices soften then utilisation level will of course increase and because competitiveness of LNG increases vis-a-vis alternate fuels. So, let us hope that the prices soften which will help us in utilisation and increasing share of

gas in the India's energy basket also.

Amit Murarka: Got it, and on the petchem, again are you providing any Capex outlay now, I mean in terms of year wise, I mean

you were saying that even FY'25 Capex, you were saying that you will come back maybe closer to year end. So, what is the expectation on Capex now for FY'25 and FY'26?

Vinod Kumar Mishra: Right now, you see this year it has been almost INR 340 crores. We expect at least 10 %-15% of the Capex maybe to INR 3000 crores – INR 3500 crores. This is the expectation for the next year, actually at FY'25- '26.

Amit Murarka: Also, if I can just, if I can ask one last question, you've also announced some contracting on the polymer capacity

Dahej Terminal. Could you provide some more details on that? Like what kind of pricing is there? Is it like based on some last quarter average pricing? What are the pricing terms on that contract?

Vinod Kumar Mishra: If you are talking about Deepak Phenolics (propylene), I think we cannot disclose, because this is something which is between the two parties, but this is the price which will ensure us that we are always having some margin while selling it. There is no chance that we would be losing anything on this.

Vivek Mittal: And it is linked to international prices.

Vinod Kumar Mishra: We cannot give the formula exactly what is the formula for that, but of course, it will be at par with any

international price.

Amit Murarka: So, it is not a cost-plus contract, it is linked to international prices then?

Vinod Kumar Mishra: It is not exactly the same as you are saying, but as I said, this is dependent on Southeast Asia, that price.

So, it is more like that.

Operator: Thank you. We will take the next question from Maulik Patel. Maulik, please go ahead.

Maulik Patel: Yes, thanks for the opportunity. In the last two years, GAIL and IOC L and GSPC has signed a few of the long-term

contract, largely starting from 2026. I think one of the contract of GAIL has also started in this month also. Is any of this volume

is going to come to Dahej or Kochi. Has any of this discussion happened with this GAIL, IOC L or GSPC on that?

Vinod Kumar Mishra: Yes, of course, volume will come to us also, because it is not that whatever volume they have signed, it will be their other terminals. It is not possible to utilize entire volume over there. So, definitely our terminal will be utilized. As I earlier said that our capacity is going to expand by 5 million tons in next four -five months, then it will be utilized for that purpose.

Of course, as I said that more long-term contracts mean more volume to Dahej. So, see, it is not possible to utilize additional

volumes in other terminals looking at the kind of capacity or utilization level at other places, because consumptions are, consumption is not that high along that terminal. So, if you look at Dahej, there is huge potential for the consumption. So, whatever

volume is coming long- term after '26, definitely it will come, majority should come to us, at least 50% of that should come to us.

Maulik Patel : So, you mean that approximately there's a 4.5 million long- term volume has been signed by these three players.

You expect approximately 2 million ton to come to Dahej additional volume?

Vinod Kumar Mishra: Maybe, but I cannot give the figure exactly. We hope like that. I have said that we are trying to get the capacity booked with the off takers so that they can bring more volume here. So, maybe that 40% -50% of the volume which has

been posted will come to us.

Maulik Patel : They need to book the capacity to the Dahej, additional capacity, which they have not done. Are you in discussion

to book that additional capacity?

Vinod Kumar Mishra : We are in discussion always that whatever capacity is available, they should book it because it's in their interest. Otherwise, whenever they will have additional volumes, it will not be possible to get the slots they want. So, we are in discussion with them .

Maulik Patel : Yeah, and just one bookkeeping questions. What's the trading or inventory gain this quarter? Probably I missed if

you have mentioned it earlier.

Vinod Kumar Mishra : Trading gain is INR 26 crore, and inventory gain is INR 83 crore.

Maulik Patel: This inventory gain is related to that Dahej internal consumption, which is 0.7%, which allowed you to take for internal consumption, is this inventory gain related to that?

Debabrata Satpathy: There has been a movement in the prices as you know from the last quarter to this quarter, it is largely because of the movement in price.

Operator: We will take the next question from Shubham Shukla. Shubham, please go ahead. Shubham, request you to please

unmute your line and go ahead. We can't hear you, Shubham. We'll take the next question for now. We'll take the next question

from Shivam Sharma. Shivam , please go ahead with your question.

Shivam Sharma: Yeah, so I have two questions. Essentially, first question is understanding the tax structure which is valid for Petronet once it imports the LNG cargoes from countries like Qatar, basic custom duty and SWS , and do you also pay VAT? And

when you sell this gas to companies like companies like GAIL , what is the kind of VAT etc which you pay? Because the motive

for me to ask this question was to unders

tand the impact of GST for Petronet once the natural gas comes under GST . And the

other question stands at that we have seen about 25% growth YOY of LNG imports, yet it is not reflected in the kind of volumes

you are showing this quarter. So, what do you think has been the bottleneck in order to revamp the volumes according to the revamping of the LNG imports in India?

Vinod Kumar Mishra : First question, I will answer that what is the tax structure, as you know that natural gas is not under GST

as of now. We are, in fact , pursuing Ministry of Petroleum and Ministry of Finance that it should be included because this is rational and it will give a lot of comfort to the consumers. So, I think it is going on, discussion is going on and maybe government

is keen to include it. Ministry of Petroleum is continuously following with Ministry of Finance for bringing this under GST. As of now, GST is not there. So, in Gujarat , the rate of VAT is 15% which we are levying on the off- takers by selling RLNG or LNG and locally they are taking gas to other states also, these off-takers, there they are again charging VAT while selling it to their customers. So, this is how current tax structure is. And, as I said that VAT 15% is a big problem in Gujarat because it is in fact is

levied and again, the state tax , wherever gas is sold again by our off-takers , they are again paying VAT of that state. So, it is a

cascading effect of the VAT, which is there, and I think that has to, anomaly has to be removed, and this can be done only through

inclusion of natural gas under ambit of GST . So, this is how is the tax structure. And in case this natural gas comes under GST,

it will be huge benefit to the ultimate consumers because that cascading effect of tax will go and they will be able to get the input

tax again. And Kerala, where we have Kochi terminal, the rate of VAT is 5%. There it is not that high and most of the gas is consumed in Kerala or nearby towns or cities. So, I think Kerala is not an issue, but the gas coming from Gujarat has a VAT of 15% which is very high.

Shivam Sharma : But this is something which needs to be paid by the off-takers, right? The VAT does not, get levied when you

import the LNG from companies like Qatar Gas? When you sell it to GAIL, when you sell it to off takers, then only it is levied. And

do you get some kind of credit also, input credit or the off takers get some kind of credit also when they take the gas to some nearby states like Delhi or even if they take the gas to let's say somewhere some place in Gujarat itself, do they get the input? Vinod Kumar Mishra : In case of gas consumed in Gujarat, they may get some input tax credit but for the gas taken away from the Gujarat means which is not used in Gujarat, they don't get any input tax credit.

Shivam Sharma: Understood. And the second question was again the impact which you see, the 25% growth of LNG imports was there but yet we see a decline in the utilization for your terminal. So, why do you think the utilization has not ramped up according to the imports volume?

Vinod Kumar Mishra : Shivam , this is not correct because looking at quarter -on-quarter basis, it may be lower. But you look at

the 9 months period, we have 686 TBTU brought in Dahej as against 646 TBTU in the 9 months of the previous year. So, there

is a growth. So, saying that the volume has reduced in this quarter, do not compare only this quarter, you take the 9 months period from April to December, you will find that we have brought more than last year. This is the highest ever throughput of 729

including both the terminal s after taking the all the three quarters , April to December . So, do not compare quarter -on-quarter

basis because we give the flexibility also to the off -takers that they can bring within the calendar year till December. So, they bring as per their convenience, but you look at the 9 months

period, you will find that we have 686 TBTU brought in Dahej as

against 646 TBTU brought in last year 9 months. In Kochi also, it has been 43 TBTU in 9 months as against 39 TBTU in the last

year 9 months. This is the difference. So, we have a growth trajectory you see.

Vivek Mittal : Is it more or less in line with the growth of India' s LNG imports .

Vinod Kumar Mishra : So, I think there is no concern on that account. So, do not compare each quarter as a standalone. You look at the overall , last three quarters also.

Shivam Sharma : Understood Sir, Thank you.

Operator: We will take the next question from Pratyush Kamal. Pratyush, please go ahead.

Pratyush Kamal: Yes. So , my question is that I wanted to understand the gain which you get on the marketing the margins other

than the gasification charges which you put on the off takers . So, I just wanted to understand whether the margins are put on this

just on the spot cargos are also on the cargos which is a back -to-back length of 7.5 MMTA contract or the, 1.4 M MTPA contract

with Exxon Mobil. So how does it work? Other than the gasification charges, the service charges, how do you make the other margin, the trading margins?

Vinod Kumar Mishra: Long- term contracts as you know that these are back -to-back contracts and there is no marketing margin

charge on that. It's only the volume which we are selling, in fact, on the short -term basis, we are charging some margin. But otherwise, if you look, it's only the regasification charges which are there, which is charged. There is no other marketing margin

charge for the long- term contract including this 1.425 MMTP A of Gorgon long- term contract. It's only the spot we sell or the short -

term gas we sell that we charge marketing margin. But long- term contracts are back -to-back , there is no marketing margin on

that.

Pratyush Kamal: Understood. And what is the kind of provisioning reversal which we can see this quarter and a few quarters beyond this for FY '21 and '22? And what is the update on the FY '23 UOP charges?

Vinod Kumar Mishra: If you look at 2021 provisioning, we have made total provision till date of INR 315 crores out of the total INR 360 crores. So, 87.5% of the provisioning is already made and we expect this to be realized by 31st March 2025 when we

get this money and we will gain because we have made the provision to the extent of INR 315 crores. So, if we get the money against the UOP charges, this will be adding to our bottom -line. And you are saying about this, this year UOP charges?

Pratyush Kamal: Yes.

Vinod Kumar Mishra: That is INR 117 crores only and what is good part that the defaulters have considerably reduced this time.

Earlier year you must have seen four /five off-takers all had defaulted. But this time , only one customer has defaulted, that is BPCL for INR 117 crore. Otherwise, all have complied with the contractual obligation this time. There is no default in any other

accounts. So whatever concession we are making is just to discipline them so that in future there is no default. Maybe last two years, three years, we have given them time to bring the volume and get it waived. But at the same time, we have to see that this

contract is a long- term contract for regasification. And we have to, in fact, keep a kind of discipline in the contract. And if they fall

in line with our dues issue, then perhaps there is no reason why we should not give some kind of relaxation in the past period, which is evident from this time because they have utilized the entire contractual capacity. And they have complied with their obligations. As for the contracts, only one customer has defaulted. So hopefully, next year, that will also be not there.

Pratyush Kamal: But FY'21, '22, you do have the bank guarantee. But what about the FY'23- '24 defaults If any? FY'23, we know

there was a default. So , what about those defaults? How d

o you plan to recover the amount which has been defaulted since you don't have any bank guarantee?

Management: Yes, for CY 2023 also, we have got the approval of the board yesterday and we are going to give the same kind

of mechanism to bring the volume in the next three years, maybe by December '26 for CY 23 also. So, this kind of dispensation,

we have agreed and perhaps they will provide us bank guarantee and indemnity bond. And thereafter, this particular mechanism

will be available to them. Like CY '21, CY '22, CY '23 will also be there. So, this is the mechanism for recovering INR 610 crores.

As I s aid, this year, it is a marginal INR117 crores. Hopefully, next year, there will not be any default.

Pratyush Kamal: Understood, sir. And how does this provisioning work in the accounts? You make the provisions for the amount

which has been defaulted. And whenever you get the money, you reverse that provision. So how it works, or is it different?

Management: Yeah, so we are waiving off whatever UoP charges are there when t hey bring additional volumes , over and above

the annual contractual commitment which they have made. They bring the default quantity over and above this annual commitment. Then, we adjust to that extent the Use or Pay charges for that year, maybe CY '21 or CY '22. So , it is like this. Operator: Thank you. We'll take the next question from Sabri Hazarika. Sabri, request you to please go ahead with your question.

Sabri Hazarika: So, few questions, firstly, I mean you, regarding your Capex , you said you will be doing INR 1,500 crore this year, and next year it will be INR 3,500 crore, was that right?

Vinod Kumar Mishra: This year may be around INR 1,500 crore because we have already spent INR 976 crores in nine months .

Maybe you can take INR 300-400 crore more, so, INR1,400 crore to INR 1,500 crore.

Sabri Hazarika: And how much would be on petrochemicals out of this INR 976 crore?

Vinod Kumar Mishra: INR 340 crore in petrochemicals . It may further go, maybe up to INR 500 crore, it may happen till March.

Sabri Hazarika: Secondly, you gave this number INR 840 crore of Regas service income, so this includes the take-or-pay also,

that INR 117 crore is also included here, is that right?

Vinod Kumar Mishra: Yes.

Sabri Hazarika: Okay. So, pure service income will be basically INR 840 crore minus INR 117 crore, if we are to compare it with the volumes.

Vinod Kumar Mishra: Yes.

Sabri Hazarika: Okay. And thirdly, this once, I mean, you have mentioned that INR 315 crore of provisions you have made, so as soon as the bank guarantee gets encashed, in the books of accounts also, we will see INR 315 crore basically as a provision

reversal in other expenditure for that particular part. So, that is how the earnings will show, right?

Vinod Kumar Mishra: Yes.

Sabri Hazarika: Lastly, bookkeeping questions, I think Gorgon volumes in Dahej and IND AS numbers actually.

Debabrata Satpathy: Gorgon v olume YTD is 13 TBTU, you can derive the quarter ly number . IND AS INR 160 crores positive at

gross margin level and INR 53 Crore of forex loss, INR 7 crores positive at the other expenses level, then depreciation INR 82 crores and finance cost INR 64 crores.

Sabri Hazarika: Okay. So, got it, so INR 32 crores and this other expense, does it have anything further other than forex loss?

Debabrata Satpathy: No, some small leases are also there, which are affected and the impact of that is taken in the other expenses. And the lease for the charters, time charters, which bring the LNG, that is coming under gross margin level.

Operator: We will take the next question from Mayank Maheshwari. Mayank, please go ahead.

Mayank Maheshwari: Thank you for the call, sir. Sir, my first question was on petro chemicals. In terms of the progress, can you

just talk to us about where we are on the progress, what has been done, what's going throu

gh in fiscal '26 for you? And the

second question was related to the Dahej. You talked about 40%, 50% utilization rate. So , in your time frame over the next three

to four years, how do you see the capacity mix between spot versus contracted for Dahej eventually panning out?

Vinod Kumar Mishra: Your question is regarding petrochemicals , so, as you know that we are already going on and most of

the things have been finalized in terms of long lead items. We are in the process of placing orders for petrochemicals, maybe large extending items will be ordered right now, but it takes time to get those items because it takes some time. But we shall be ordering this. We have already finalized and given it to our PMC, Engineers India limited. We are now doing the tendering for placing of the orders. So as far as the Capex is concerned, as I said, we expect INR 3,000 crore to INR 3,500 crore of Capex next year for petrochemical complex. As you know that we are also tying up with the vendors and we are in the process already, we have invited a consultant who is doing this job. We shall be doing the financial closure for financing of this project. As we have already told you earlier that it will be 70-30 debt mix. So, probably this will be finalized within the next three- four months. And thereafter, we shall be ready for any kind of Capex. But initially as you know that Capex will be hardly 15% to 20% the first year, FY 25-26. And then it may ramp up to 30%. And again, next year to 35%. Like that, it will be there. So, we expect that next year, there should be Capex of around INR 3,000 crore to INR 3,500 crore for this Petchem project. We shall be going in a big way very shortly because we have already made the preparations, and as soon as the orders are placed, then we shall be going to get the agreements. And thereafter, we shall be applying the contractors to start this work.

Mayank Maheshwari: Sir, Is there an answer on the imports, especially on ethane and propane? Is there any more progress that you have been able to make in terms of long- term contractual terms there? Has any progress been made for that?

Vinod Kumar Mishra: We are in the process and very shortly you will come to know what we are doing. We are vigorously following up with the buyers for contracting. Only issue is that for ethane we have to get some kind of tie- up because right now there is no written agreement with the off-takers. So, unless there is a tie- up we cannot do long- term agreement for ethane because there is another model which has been discussed. Maybe that off takers may bring their own ethane volume. We shall be doing only handling of this ethane. So, this may happen like LNG. So, this may so happen but otherwise we are also ready for sourcing of ethane and then supplying it to the off-takers. As you know, that one of the customers, OPAL is there for ethane and right now because we have a contract with Ras Gas where we are getting rich gas and extracting C2- C3 and giving it to ONGC and ONGC is supplying to OPAL. But going forward after 2028, Qatar has not committed any rich gas. So, there is a difficulty for OPAL because we will not get the rich gas, we cannot extract C2- C3. So, that is why we are pursuing ONGC that they should tie- up with us after 2028. We can import the ethane also and supply to them because it is in proximity to our Dahej plant. It is possible to supply from our Dahej plant and it is easier to get it because we have our own jetty, third jetty is being constructed, work has already started for third jetty which can import the liquid hydrocarbons, ethane, propane as well as LNG. So, I think as soon as the agreement is signed between off-takers and PLL, we shall source ethane. But as far as propane is concerned, we are looking forward to tie- up for sourcing of the propane either on short -term or mid -term or maybe long-term

basis. This we have to see which is more beneficial.

Mayank Maheshwari: Got it, sir. Sir, I think on the ethane front, I think there has been quite a few petrochemical companies in the region who have been telling us ethane carriers has been a bit of a bottleneck. Do you see that as an issue when you are kind of trying to kind of contract whether you are for your own purpose or for third- party as a logistical challenge?

Vinod Kumar Mishra: Well, ethane carrier is of course a challenge because there is no ethane carrier available readily in the market. So, we will have to order that ethane carrier. But only thing is that if some off-taker is bringing its own ethane, then we need not order for that ethane carrier also. But in case they agree to sign an agreement with us to supply ethane as well as handling of the ethane. Then certainly we will also order the ethane carrier and that will be possible only after there is a tie up with the customer, otherwise we will not do that because there is no need if we are not importing ethane.

Operator: We will take the next question from Ambar Taneja. Ambar, please go ahead.

Ambar Taneja: Sir, please talk a little bit about two things. One is, what kind of pricing environment do you see for short term cargoes, let's say in the next 6 months, 12 months, 18 months, whatever you think is worth sharing with investors. Number two,

can you talk a little bit about FX impact? Because we've seen some other companies that are into imported products, some of them have been able to pass on, some of them have not been able to pass on 3% -4% depreciation and I think widely expected that 4% -5% next year as well. So, anything in your contracts to protect, so appreciate if you can talk about these two things.

Spot prices, any term prices and FX?

Vinod Kumar Mishra: As far as the spot price is concerned, it is likely to remain in the range of \$12- \$14 in the next 6 months. This is our anticipation. But as I said that future going forward, if you look at the capacities which will be available to the

international market after 2026, we are hoping that these prices should be in the range of \$7- \$8. Because the capacities which is coming more than 200 million tons of capacities are coming after '26- '27, I hope that there will be glut of LNG in the market and when there will be glut, certainly its benefit will be to the consumers and the countries who are consuming the LNG .
Ambar Taneja: Sir, when there was a previous glut, when gas went to \$3 before COVID, then why did we not either buy some stakes in upstream or sign some new term contracts? I mean, that time went without us taking advantage, right? So, I mean, is there a real benefit to having a glut without us taking action - ?

Vinod Kumar Mishra : Not like that. That glut was there because of COVID and t hat time, at \$3, LNG liquefaction plants are not sustainable. If had there been a pricing of \$3, many plants would have shut down. It's not that it's a very viable price for LNG terminal also. But \$6- \$7, \$8 is still a viable price for the LNG liquefaction. Don't compare that situation, which is very abnormal.

Going forward, lot of FIDs have been made, so I think these plant s should be coming up in next four -five years. You will see the

glut in the sense that compared to the demand, I am not saying this glut will always remain glut, because first there is availability

of more gas in the market, certainly more consumers will be there and as the energy growth is already there, consumption will already be there. So going up, energy consumption will be going up, so it will als o match with the supply, but only thing pricing

will be moderate. I am worried about pricing only, Indian market is price sensitive and whenever the prices are lower, consumption

suddenly rises, we have seen in our case also, our terminal utilizes maximum capacity when the prices are moderate, had it been around

\$10, \$9, our terminal would have been utilized more than 100%. Pricing impact, which is there on our utilization, it is true for the Indian consumers that they tend to utilize alternate fuels if the price of LNG is high. As I said, \$12 to \$14 is still sustainable

price, but it should be in the range of \$7- \$8, then certainly the consumption of LNG will be much- much more in India, LNG consumers will be higher in India. So, looking at the kind of capacities which are coming in future, I hope that it should be in the

range of \$7- \$8 in future and right now , it is likely the next one- two years you see, it may range from \$10 to \$14.

Ambar Taneja: Okay, and anything about FX?

Vinod Kumar Mishra: Fx, as you know that our long- term contract, whatever foreign exchange exposure is there, we are passing

it to the off takers , so there is no foreign exchange risk for us. So , I don't foresee any F x impact on us, but for India's purpose, we

normally assess this impact, for that certainly we are doing, because IND AS 116 is there, where we are doing the lease accounting. So , for that purpose we are accounting this foreign exchange impact. But not in case of LNG, where we are passing

on the foreign exchange variation to the off takers .

Operator: Thank you, we will take the next question from Rishabh Singh, Rishabh, please go ahead. Rishabh, request you to please go ahead with your question. Since we c an't hear you, Rishabh, we will take the next question from Somaiya V .

Somaiya,

please go ahead with your question.

Somaiya V : Thanks for the opportunity, sir. So, first question, the annual price hike that we take in Dahej for this year, have we

taken it? What are the current tariffs in both Dahej and Kochi? And if you could share any timeline that we are looking for this 2028 long- term contract tariffs?

Vinod Kumar Mishra: Hike is there in Dahej and we have taken it from 1st of January 2025, we have hiked our price of regasification by 5%.

Somaiya V : What are the current tariffs both in Dahej and Kochi?

Vinod Kumar Mishra: Tariffs, n ormally, we are not disclosing but only question which has been answered that there is a hike of

5% from this year.

Somaiya V : So, also on this 2028 long- term 7.5 million contract .

Vinod Kumar Mishra: Long- term contract, we are in fact in discussion and shortly after, maybe sometime, maybe, may take 6 months or maybe 1 year time for finalizing. But still, there is enough time left for finalizing the contract. But they have committed

that they will take entire volume on back -to-back basis as has been done in the existing contract, when we first signed.

Similar

off-take arrangement will be there. Only thing we have to finalize certain terms of the contract , which will be very shortly, m aybe

6 months to 1 year, it will be finalized and then we shall sign the contract.

Somaiya V : Got it, sir. So, second question is on Kochi terminal. So, how do we see utilization? I mean, the Kochi -Bangalore pipeline progress and how do we see it for next couple of years? So, from 20% -25% do we see it going to 40% -45% in the next couple of years?

Vinod Kumar Mishra: Yes, yes. As far as the Kochi terminal is concerned, as earlier conferences also, I have told that this Kochi - Bangalore section is yet to be connected. And as of now, the connectivity from Kochi to Coimbatore is there, but from Coimbatore

to Bangalore connectivity is still pending, maybe by June '25, it should be ready. Once it is connected to Bangalore section, there

is a likelihood that utilization level will further increase because then it will be connected to national gas grid. And as you know that once it is connected to national gas grid, we can swap the volumes and can sell our Kochi gas anywhere in India or any other

customer also can take our Kochi gas and supply to the nearby customers. So, that benefit could be there because as you know

that there is a unified

tariff already there. So, in Zone 1 the tariff is around INR 40. So, if any customer like GAIL, has any customer in Kochi region or near Kerala or near Karnataka, they will prefer to take volume from us by swapping this gas and then supply

to the customer because then customer will be benefited as they will be charged the Zone 1 tariff of INR 40. Because if they bring

it from Dabhol and supply to a customer in Karnataka or in Kerala and the Zone 3 tariff will be there which is around INR 140. So, it will be in the interest of the consumer that they should get the gas from the nearest source available. So, it is not only me

that I will supply the gas. It is also possible that any other off-takers whether it be IOCL or GAIL or BPCL, they can take their volumes to be supplied in this region Karnataka and Kerala from Kochi instead of bringing it from Dahej or Dabhol so that they can give the competitive price of the gas. So, then it will be utilized I think 40% to 50% if it is connected to national gas grid.

Somaiya V : Got Sir, one clarification on the Petchem. You mentioned INR 3,500 crores of Capex per annum. So, what would be

the non- Petchem spend in FY'25- '26 that is one. And I mean the timelines for the Petchem startup if you can just confirm on that.

Thank you.

Vinod Kumar Mishra : Petchem as you know that this time '24- '25 we are likely to spend INR 400 Crs. We have already spent around INR 340 crores. Next year we are planning to spend around INR 3,000 crore to INR 3,500 crores of Capex for petrochemical complex . And as you said when it is likely to come up our schedule date is November 2027. So, that is the time

when it should be commissioned and maybe by '28 it should be ready . I think this is the timelines for completion of Petchem project. Non-Petchem Capex is around till 9- month Rs 626 crore. For FY 25-26, other than petchem, it should be around 1,000

crore maximum. The major project which is going on is third jetty, all these contracts have been awarded and total contract value

is around INR 1,904 crores, that is the major Capex item going on, part of that CapEx is only petchem. Gopalpur will start as and

when the approvals are there, so I think this is the major, I think INR 1,000 crore more, may be INR 4,000 crore total Capex may

be there. INR 4,000 crores to INR 4,500 crores, including petchem.

Operator: Thank you, we will take the next question from Nirmal Gore, Nirmal please go ahead with your question.

Nirmal Gore : Hello, thank you for the opportunity, my question is a follow -up to the global LNG gas capacity that you brought up

on the topic, my question is just a clarification, when do you see this gas glut happening due to increased global LNG capacity

, is it second half of 2026 or 2027 first half ?

Vinod Kumar Mishra: It should be '27 onward I think, because most of the plants are under construction and next two to three years, they should be ready for production, so you take it '27 onward, because even Ras Gas, this Qatar Energy projects are also

likely to be by '27. So, after that only this, and ramp up also takes some time. So maybe '27, '28 may be the year, then there will

be likely glut, but real glut will be 2035, 2030 it will be there, 150 million tons to 200 million tons of capacity will be there by 2030,

so that means that 150 million tons to 200 million tons capacity is in addition to whatever is there right now. So, I think that is what I was talking about, as the most of the projects are under construction and after assuming the office by President Donald Trump It is likely that drill kind of concept as a question of gas and oil in US that will further be promoting the production of gas international market.

Nirmal Gore : So, this \$7 to \$8 price that you were mentioning about that should -- we should see that in 2030.

Vinod Kumar Mishra: We are expecting only, I am not saying it will be \$7 to \$8

in 2- 3 years, but maybe after '27- '28 it should be there. Because this Qatar Energy capacity itself will be ramping up to almost 143 MMTPA from 77 MMTPA, they are doubling their capacity almost. That means that there will be enough gas available in the market. So, I am talking about this thing only . US Capacities are coming up in a big way. That is why I am saying 150 MMTPA to 200 MMTPA will be there.
Operator : Thank you. In the interest of time, we will take the last question from Nitin Tiwari. Nitin, please go ahead with your question.

Nitin Tiwari : So, in terms of use or pay, given the provisioning we have made and the kinds of use or pay charges that stand as

of today. So, now we are clear that no more cargoes can be brought in to make up for those charges. I mean, the timeline for that was December last year. That understanding is correct ?

Vinod Kumar Mishra: Yes, yes. It is correct for '21 calendar year, this is over now. Whatever cargoes they have brought, there is no time left now.

Nitin Tiwari : Right. So, whatever the charges are there for '22 and '23, they are still open for cargoes to be brought in against them. That is the right understanding.

Vinod Kumar Mishra: They have time till December' 25.

Nitin Tiwari: So, sir, if you can just summarize for us in terms of what are the current use or pay charges that are outstanding? What is the provision that we have made against them, which are now non- recoverable provision that we have done? And what

is the recovery that we have done against the use or pay charges by the cargoes which are brought in? I suppose there is a figure which is given in the result release as well of INR 184 crores roughly. So, is that?

Vinod Kumar Mishra: That is the kind of waiver we have done, INR 184 crores this -Nine month . This quarter we have done 49 crore.

Nitin Tiwari : Correct, sir. So, just like for keeping all of us on the same page, what are the current use or pay charges which are

outstanding and what is the provisioning that we have made and against what are we expecting like now the cargoes? like, now

the cargos can be brought in for recovery. What amounts?

Vinod Kumar Mishra: So, if you look at the total use of pay charges as of now are INR 1,666 crores and we have made a provision of INR 702 crores. So, around INR 963 crores -INR 964 crores is the use of pay charges other than provision, net of provision. So, if you look at this '21 calendar year, I have told you clearly that there is no time left. So, whatever charges are there, INR 360 crores, they are due for payment. There cannot be any waiver of the charges now and as far as calendar year 2022 is concerned, INR 695 crore is there, out of which provisioning is already made to the extent of INR 295 crore. So, this is

the position of '22. But there is still time left for utilization of this capacity. We can still get this benefit in more cargos this year in

December '25. And as far as calendar year 2023 is concerned, total use of the charges are INR 610 crores, out of which we have

extended similar scheme that has been done for '21- '22. They will give the bank guarantee and indemnity bond, and they can bring this volume till December 2026.

Nitin Tiwari : Understood. So, the INR 184 crores that has been recovered, it has been recovered against the INR360 crore use of pay charges of 2021. Right?

Vinod Kumar Mishra: Not exactly, maybe '22 also. This is combined impact because we are giving impact for both the years. Some of the companies have defaulted in '22 only. So, they have brought the cargo, so '22 charges have been reversed. So, it

is a combined '21 and '22, INR 184 crores.

Nitin Tiwari : Understood. So, basically the net INR 963 crores which are now outstanding, cargos can be brought in against this

amount only. Because INR 700 crores is already provisioned for.

Vinod Kumar Mishra: Yes, yes. INR 700 crores ha

s already been provided.

Nitin Tiwari : Right. And sir, I missed out on the inventory gain number that you mentioned for the quarter.

Vinod Kumar Mishra : As I said INR 83 crores is the inventory gain, INR 26 crores is trading gain, total INR 109 crores for the quarter .

Nitin Tiwari: And lastly sir, if everything remains the same as far as pricing environment is concerned for LNG . So, what is the kind of utilization we are looking at in FY '26, I mean in terms of throughput, what are we looking at ?

Vinod Kumar Mishra: Initial level, as you know, that this quarter it has been 93%, but we expect this to remain in the range of 95-100%.

Nitin Tiwari: On the expanded capacity, that's what we're talking about? So, I'm looking for some guidance for the throughput, right?

Vinod Kumar Mishra: Throughput is already highest ever in nine months, so I think, this will continue, we are always optimistic about our throughput.

Nitin Tiwari: No Specific guidance that you can provide in terms of say TBTU or million ton.

Vinod Kumar Mishra : It's not my guidance. It's the market which has to decide it, but we can only expect it, that it should be in this range. Accordingly, if you look at nine months, it has been wonderful, as I said, highest ever volume throughput. So, there

should not be any challenge as such, as far as the throughput is concerned. And I said that 95% to 100% is already to be utilized.

Operator: Thank you, everyone. And that was the last question. And before we end, on behalf of Macquarie, I would like to thank

the management for the opportunity to host this earnings call. Over to the management team for any closing remarks.

Vinod Kumar Mishra: Thank you very much to all of you and as I said that we have been able to give a better performance this

time as compared to previous quarter, this corresponding quarter. But still a lot we expected could not be, but hopefully in future

we will try to bring in more volume, utilize the terminals more and more to the extent of at least 100%. And our effort is whatever

is the expansion going to take place in next year, it should also be utilized to great extent. So now your capacity utilization next

year will be in terms of the expanded capacity. So, we have to look at that, how much we can utilize in future. As I said that we

are committed to do, to give the best performance and thank you very much to all of you.

Call: May 2025

Petronet LNG Limited

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Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Fax: 02641 -257252 Kochi LNG Terminal:

Survey No. 347, Puthuvypu

P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2025 Date : 27.05.2025

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 20th May 2025

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ear Sirs/Madam,

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his is with reference to our intimation dated 9th May 2025 and 20th May 2025 intimating holding Conference Call of the Company scheduled on Tuesday, 20th May 2025 at 11:00 Hrs (IST) for Audited Financial Results of the Company for the quarter and year ended 31st March 2025 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

Company Secretary

Encl: as above

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Q4 FY25 Earnings Conference Call"

May 20, 2025

MANAGEMENT : M R. SAURAV MITRA – DIRECTOR (FINANCE) & CHIEF

FINANCIAL OFFICER – PETRONET LNG LIMITED

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER

AND PRESIDENT , FINANCE & ACCOUNTS – PETRONET

LNG LIMITED

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER AND

VICE PRESIDENT , MARKETING – PETRONET LNG

LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,

FINANCE & ACCOUNTS – PETRONET LNG LIMITED

MR. VIKASH MAHESWARI -- DEPUTY GENERAL

MANAGER , FINANCE & ACCOUNTS -- PETRONET LNG

LIMITED

MODERATOR : M R. S. RAMESH – NIRMAL BANG EQUITIES PRIVATE

LIMITED

Annex-1

Petronet LNG Limited

May 20, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Petronet LNG Limited Q4 FY '25 Earnings

Conference Call, hosted by Nirmal Bang Equities Pvt Ltd. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to S. Ramesh from Nirmal Bang Equities Pvt Ltd. Thank you, and over to you, sir.

S. Ramesh: Good morning, ladies and gentlemen. On behalf of Nirmal Bang Institutional Equities, I've pleasure inviting you all for this fourth quarter FY '25 earnings conference call with the management of Petronet LNG Limited.

The management is represented by Mr. Saurav Mitra, Director Finance and CFO; Mr. Rakesh Chawla, Group General Manager and President, Finance and Accounts; Mr. Vivek Mittal, Chief General Manager and Vice President, Marketing; Mr. Debabrata Satpathy, General Manager, Finance and Accounts; Mr. Vikash Maheswari, Deputy General Manager Finance and Accounts. Let me also welcome Mr. Saurav Mitra for his first earnings call after taking over as Director Finance. Over to you, Mr. Mitra, for your opening remarks, and then we can throw the floor open for Q&A.

Saurav Mitra: Yes. Good morning to you all, and thank you for the warm welcome. Well, financial year 2024-'25 has been an excellent year for us, both in terms of operational and financial performance.

Delving on the highlights, PLL achieved the highest ever overall volume throughput of 934 TBTU. And for the first time ever, the profit before tax crossed INR5,000 crore s. The company recorded highest ever profit before tax and profit after tax of INR 5,275 crore s and INR3,926 crore s, respectively, registering a growth of 11% over the previous financial year.

Let me now turn to the fourth quarter of FY 2024-'25. We posted our highest ever Q4 profits. PBT stood at INR 1,446 crores compared to INR 996 crores in Q4 of the previous financial year and INR1,169 crores in the previous quarter of the current financial year. Profit after tax stood at INR1,070 crores compared to INR738 crore s in Q4 of the previous financial year and INR 867 crores in the previous quarter of the current financial year.

In terms of LNG volumes, Dahej Terminal processed 189 TBTU compared to 219 TBTU in quarter 4 of the previous financial year and 213 TBTU in the previous quarter of the current financial year. Overall, Q4 volume processed was 205 TBTU compared to 234 TBTU i n Q4 of the previous financial year and 228 TBTU in the previous quarter of the current financial year.

On a full year basis, Dahej processed 876 TBTU, up from 865 TBTU during previous financial year. Total LNG process ed by the company reached record heights of 934 TBTU, up from 919

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TBTU during the previous financial year. We have received INR 360.94 crores of Use or P ay dues pertaining to Calendar Year 2021, thanks to the Board approved mechanism in place. The strong financial performance are a result of operational efficiency, cost discipline and higher capacity utilization. Further, the Board of Directors has recommended a final dividend of INR 3 per share. To sum up, this year was about delivering consistent growth, staying financially prudent and raising the bar on performance. We are confident about continuing this momentum in the coming year also. Thank you.

So now we can have the Q&As.

Moderator: Thank you very much. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Sir, a couple of questions. First is, with respect to the capacity expansions that we have already completed, plus whatever is in prospect, any color you can throw on the status of additional contracts in terms of offtake contracts that we have signed or i n the process of signing to secure these long-term supplies being placed in the market? That was my first question.

Saurav Mitra: Okay. So Mr. Vivek Mittal will answer this.

Vivek Mittal: So Dahej, as you know, we are expanding from 17.5 to 22.5 million tons and hopefully, within next 3- 4 months, we expect this to be ready for commissioning. And we are in discussion with various parties. And in addition to this, some of our existing capacity holders also bring in additional volumes under the long-term contracts they have.

So utilization and further, as all of us are aware that almost 200 million tons of new liquefaction capacity is getting added in the next 3, 4 years' time frame, so LNG availability will also increase.

So India is well positioned to take advantage of that. So with that, we don't see any issue with utilization of the terminal capacity , specifically the Dahej Terminal, which is very well connected with the national gas grid.

Probal Sen: Just a follow-up on that, sir, with respect to the renewal of the existing long-term contracts with Qatar, where are we with that exactly? And forgive me if you've already updated on this earlier. But where exactly are we in terms of these things?

Vivek Mittal: On 6th of February 2024, we signed a contract with Qatar, wherein the 7.5 million ton has now been renewed for another 20 years from 2028 to 2048. And we have an assurance that the entire volume will be taken by GAIL, Indian Oil and BPCL, and we expect shortly to

sign downstream agreements related to this volume.

Probal Sen: Right. Second question, sir, with respect to the petrochemical project. Any update you can share in terms of the investment done and where are we with respect to the time lines as of now with the petrochemical project?

Saurav Mitra: Yes. The time line remains the same, which has been announced earlier. We'll be completing during the end of last quarter of 2027-'28, and we'll be ready with the production in the first

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quarter of -- last quarter of '27-'28. So -- and we have already given the -- started giving the LLIs, long-lead items orders. Work is in progress in full steam. And we have scheduled capex program of around INR 5,000 crores -- INR 4,500 crores to INR 5,000 crores in the current financial year, wherein the Dahej petrochemical -- for Dahej petrochemical project, we have targeted around INR 2,500 crores of capex.

Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: Sir, considering the PNGRB regulations for the registration of LNG terminal, so sir, Petronet LNG will set up the 2 LNG tanks at Dahej. This might need a separate registration permissions from the side of PNGRB Board. And one more related, these regulations also suggest that avoiding of infructuous investments, this might suggest the capping of the new LNG terminal in addition. So we are also planning to set up the Gopalpur LNG terminal. So do we expect any kind of delay on that side because of this registration regulation?

Saurav Mitra: Okay. So far as this regulation, this notification, which has come up on 8th of May this year, we don't foresee on the first reading any major challenge. And however, our team is looking into the matter in detail, and we'll be able to come up with further detailed analysis only once the notification is reviewed in greater details. So as of now, I can only say that we don't -- on the first reading, we don't foresee any major challenge.

Yogesh Patil: Yes. Sir, second question, India's LNG import has increased 8% on a Y-o-Y basis while the Dahej Terminal volume has declined 14% compared to the last year. Sir, this indicates that we are losing a market share despite the cheapest regas tariffs. Sir, any particular reason why we are losing a market share? And what kind of a strategy you have to arrest it?

Vivek Mittal: So basically, firstly, if you look at the annualized numbers, so Dahej terminal utilization on annualized basis has increased. So it is not that it has declined because I think it was increased by.....1%

Yogesh Patil: So sir, I'm talking about the Q4 FY '25 numbers only.

Vivek Mittal: And Q4, if you talk, the spot prices were definitely on the higher side. And if you see that there was a decline in crude oil prices, which means the liquid fuel prices were on the cheaper side.

So that's the reason there was some -- and secondly, there was some fertilizer plant major shutdown during February and March of the last quarter. So these 2 factors attribute why the utilization of Dahej has slightly gone down in the Q4.

Yogesh Patil: And last question, sir, Dabhol breakwater facility is completed and terminal is expected to be all-weather terminal now. Considering that average monthly regas volumes, which were shifted historically in the monsoon period to the Dahej. And Dahej is expected to be impacted because of some quantity during the monsoon months. So how you will cover this shortfall in volume FY '26? And any strategy on that side?

Vivek Mittal: Indian gas demand is expected to grow at 6% to 7% annually. So I don't think -- I think there is space for everyone to survive in this market. And Dahej, as you know, is very well connected with the multiple pipeline networks of GAIL, GSPL, some private network. So we don't see on

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a long

run any issue with, we don't foresee. And in fact, with the more availability of LNG, as I mentioned previously also, we do expect the utilization level to go up and in fact, Dahej is further expanding keeping in view the expected demand, which is going to come after the implementation of CGD down.

Moderator: The next question is from the line of Varatharajan Sivasankaran from Antique Limited.

Varatharajan S.: Sir, as far as this bank guarantees are concerned and what we have encashed, so far for calendar '21 and '22, what has been the amount we have encashed and what has been the compensatory

volume, which has come through? So is it largely bank guarantee encashment? Or like we have had volumes also come through?

As far as calendar '23 and '24 is concerned, Are bank guarantees in place or the process is just about initiated, what is that...

Saurav Mitra: Okay. So we are happy to announce that none of the bank guarantees have been encashed. All the money that have come in, it has been paid by the offtakers. This is number one. And so far as bank guarantees for the subsequent years are concerned, we are in the process of getting the bank guarantees for calendar year 2023.

Varatharajan S.: And on the second question about what you had assured about the 7.5 million tons offtake being, once again, that we initiated with current offtakers, you said like it's about to be signed. Any more incremental details you can share with us? Would they also be committing to additional volumes? Or is it as of now, restricted to the 7.5 million.

Vivek Mittal: See, we are talking of 7.5 million ton SPA, which was signed with Qatar on 6th of February 2024. So there is an offtake commitment, which has been guaranteed by all the 3 existing operators: GAIL, Indian Oil and Bharat Petroleum. So we are talking about that. And we are in discussions with them to finalize the downstream agreements, basically the definitive agreements like gas sale purchase agreement for these volumes.

Varatharajan S.: So there is no discussion currently on for the expanded capacity as well?

Vivek Mittal: See, expanded capacity, we are in discussion, wherein they bring in their own volumes. In fact, if you're tracking the market, all the players, GAIL, Indian Oil, Bharat Petroleum, all of them have signed long-term SPAs directly, so these volumes are bound to come to some terminals. So we expect substantial volumes to land at Dahej Terminal. Already, they have existing regas capacity. If required, they may augment that capacity commitment.

Moderator: The next question is from the line of Pratyush Kamal from InCred Capital.

Pratyush Kamal: Am I audible?

Saurav Mitra: Yes.

Pratyush Kamal: Yes. So my question is regarding the use or pay charges, which are levied and how and when it gets reversed. So I just wanted to explain in the way that suppose I'm a customer who have taken x million ton of gas in CY '21, FY '22. And when your regas charges was Y. For example, it was Petronet LNG Limited
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55. And not at that time you booked it as receivable amounting to, say, INR 100 crores, but later put a provision of about INR100 crores against that due amount. Now when the customers are taking those volumes back, when your regas charges has increased, suppose it has become 65 or 60 or something like that, it will lead to about INR 150 crores of revenue generation. So will that UOP provisioning of about INR 100 crores gets reversed first, and then the additional provisioning of INR 50 crores gets added in the revenue? Or like how does it work usually? So this is the first part of the question, sir.

Saurav Mitra: Okay. Mr. Chawla will reply to your query.

Rakesh Chawla: See, what is being done is that whenever any customer is not able to fulfill its commitment for lifting of the quantity, as per contract he has to pay use or pay. And accordingly, as LD, we record that as

revenue for that particular year. And per the scheme approved, what we are doing is, we are taking provision for that amount every year based on the time-bound provisions. Now if somebody is able to bring some material out of it in next financial year, now higher tariff is charged as applicable for that particular year, and that is recorded as my normal revenue. Whereas whatever leftover amount after making provision, that is reversed as waiver because that waiver is with reference to LD charges.

It is not with reference to the revenue. Revenue is recognized in the respective year at the current tariff for the volume, which is brought out of that. So revenue will be at higher rate, whereas provision will be reversed as per the book debt. That is the normal process.

Pratyush Kamal: Understood, sir. And the other question was regarding the other terminals opening, particularly, if I talk about Chhara, where HPCL is thinking of to catering the captive refinery demand from there. So what's your outlook on the volume growth with respect to that?

Also, HPCL as other players intimated Petronet on their disinterest in taking the volumes. So as they have intimated Petronet in terms of their disinterest in taking the volumes. Also, are there any sort of volume compulsions with formal agreement as far as HPCL is concerned, for taking the volumes from the Petronet, particularly from Dahej or the Kochi terminal?

Vivek Mittal: See, as Petronet, we do not have any agreement with HPCL. We have agreements with GAIL, Indian Oil, Bharat Petroleum, GSPC, Torrent on a long-term basis for capacity utilization. So those agreements are intact. We don't foresee any issue with that.

And as far as HPCL is concerned, so they have their own refinery. One is in Bombay and another is in Vizag, which is still not connected to national grid. So I cannot comment on how much

quantum they will consume in those refineries. But other than that, we do not have any contract with HPCL. So there is no impact of HPCL volumes as far as Petronet is concerned.

Moderator: The next question is from the line of Jaleshwar Rai, an individual investor.

Jaleshwar Rai: Yes. I just wanted to understand the provisioning of reversal how did you arrive to the figures of minus INR 233 crores for Q4 and about INR 294 crores for FY '25?

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Saurav Mitra : So your -- can you please repeat the question? It was not audible probably.

Jaleshwar Rai: Yes, I just wanted to ask that, again, my question is regarding the UOP provisioning and the reversal of it. So can you just explain the provisioning reversal which led to about the figures of minus INR 233 crores for Q4 and about INR 294 crores for FY '25...

Rakesh Chawla: See, as already explained by Director Finance that during the quarter -- can you hear?

Jaleshwar Rai: Yes, sir.

Rakesh Chawla: As already explained by Director Finance that during the quarter, offtakers have paid INR 360 crores, which is pertaining to the Calendar Year 2021. Since most of the provision was already done against this 2021, so there was a reversal of provision during this quarter. So accordingly, after reversing this provision of around INR 315 crores, there is -- net-net, there is a positive impact in this current quarter due to use or pay provisions.

Jaleshwar Rai: Understood. But not all the provisioning have been done in that INR 360 crores, which got reversed?

Rakesh Chawla: See, all cannot be reversed. It's only with reference to calendar year 2021, which was recognized in financial year '21-'22, that payment was received in March '25. So provision pertaining to that amount has been reversed during the quarter.

Jaleshwar Rai: And sir, what is this INR 183 crores of UOP charges which has waived off? So what does it mean? And when are these charges actually put on the customers?

Rakesh Chawla: See, as we have explained th

at the customer, whoever is able to bring material in the next 3 years, next 3 calendar years, for that waiver scheme is applicable, with a reference to that only quantity and value, which was recognized in that particular year.

So some of the customers who were levied LD in calendar year 2021 and calendar year 2022, they have been able to bring material to that extent and accordingly, waiver of INR 151 crores pertaining to calendar year 2022 and around balance amount for 2021 has been given in this financial year or say calendar year till March -- December 2024. So that amount pertained to the waiver amount.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: For the expansion from 17.5 million to 22.5 million, you mentioned that there are several SPAs signed by the industry players which have not yet booked the regas capacity. Could you highlight the quantum of sort of such outstanding SPAs where we have a possibility of sort to get the volume share, particularly for FY '26 and FY '27?

Vivek Mittal: So of course, if you look at in last 2 financial years, I think India has signed deals close to almost 20 million tons -- at least 15 million to 20 million tons I will put it. So 7.5 million, of course, is

the Petronet's Qatari volume. But in addition to this, the entire 8 million, 9 million tons, which GAIL, Indian oil, Bharat Petroleum and GSPC has signed, some of them might bring it under

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the existing capacity agreements, which Petronet has like with GAIL 2.5 million ton, Indian oil 1.5 million ton, GSPC 2.25 million ton, Torrent 1 million ton.

So some of that volume might come under there. And some of them, if GAIL is looking to tie up additional volumes, they might bring in at Dahej Terminal, so we are already in discussions, but I cannot disclose for how much quantum at this point of time.

Kirtan Mehta: Sure, sir. This is helpful. And would you be able to share your volume guidance for FY '26?

Vivek Mittal: See, as we mentioned earlier also that demand is expected to grow in India with the implementation of CGD down, so a normal 5% to 6% incremental is expected every year. So we expect our momentum to continue in that fashion.

Kirtan Mehta: Right, sir. And the last question was about, again, going back to the use or pay charges. You mentioned that INR 151 crores and INR 31 crores pertaining to CY '22 and CY '21 were given as a waiver. Would you also be able to highlight the number of cargoes that users have brought against this?

Rakesh Chawla: See, this waiver is with reference to the volume for which LD was charged. So waiver is particularly for that amount, which pertains to that volume. Now number of cargoes, around 33 TBTU volume pertaining to

these 2 calendar years, which -- for which was eligible for waiver because there could be additional volume, so this is approximately around 33 TBTU.

Kirtan Mehta: And where this volume drop in Q4 itself?

Rakesh Chawla: No, no. See, we have already explained this contract was for calendar year basis. So additional volume will be working -- working is done only in the calendar year. That means in September quarter of last 2024 or December quarter.

Kirtan Mehta: Just to sort of reconfirm my understanding, what you are saying is that this 33 TBTU of the additional cargoes were brought by the customers during the September quarter and the December quarter. Is that right to understand?

Rakesh Chawla: See, simple, you take understanding, it is based on the calendar year working because we have to cover -- first, the committed volume has to be brought. And thereafter, this additional volume has to be brought. So working is based on a calendar year. So nothing is booked in March. Because of that, first, they have to bring their committed volume for this calendar year, which is calendar year 2

025.

Moderator: The next question is from the line of Hardik from ICICI Securities.

Hardik: Hope I am audible. So if you look at the other expenditure, that has dropped to INR 158 crores around. So just want to understand what would be our run rate going forward. And secondly, as you mentioned that as there was an INR 187 crores reversal or waiver, so that would be over and above INR233 crores, right? Or how is it? How should one look at it? That's number one.

Saurav Mitra: Debabrata, please reply.

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Debabrata Satpathy: See, the other expenditure of INR 150 crores -- almost approximately INR 150 crores, that has come to the normal levels now because we have carved out the provisioning. You can see that there is a INR 233 crores negative line item we have given separately. So the provisioning was actually included previously in the other expenditure.

That's why it was fluctuating quarter-on-quarter. So now it is at the normal level of INR 150 crores. And going ahead, this kind of normal level should be expected. The only thing that could be expected to be included in the forex loss again that we will give the guidance. And your next question was regarding the provisioning.

Hardik: INR187 crores provision, so that was included in INR233 crores...

Debabrata Satpathy: That was previously included. But with the new guidelines, we have to carve off now. Now accordingly, we have restated it also in the previous quarter and the year.

Hardik: Okay. Got it. And my second question is regarding what was the regasification revenue for the quarter? And if you can just break down the trading gain and inventory gain? And also you gave a number for the Ind AS impact.

Debabrata Satpathy: Yes, the regasification revenue is INR 589 crores in the quarter. And the trading gain and inventory gain for the quarter are INR55 crores -- sorry, inventory gain INR 55 crores and trading gain INR52 crores. And as far as the Ind AS numbers, there is a INR 165 crores positive at the gross margin level, INR 1 crores forex gain, INR7 crores positive at the other expenses level, the depreciation of INR 80 crores and finance charges of INR 58 crores. The net impact is INR 36 crores in the quarter.

Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital.

Nitin Tiwari: So the numbers that you gave for the quarter, can you also help us for the same numbers for the financial year as well, the entire financial year? And secondly, how should we look at these numbers as far as Ind AS impact is concerned going ahead? Because if I remember right, I think there was a reversal expected post -FY '25 in terms of treatment of these figures. So if you can throw just some light on that? That would be my first question.

Saurav Mitra : So can you please repeat the question? There was some background noise actually while you are putting the question.

Nitin Tiwari: Sure, sir. Sorry, sir. I was saying that the Ind AS impact...

Rakesh Chawla : Nitin, some echo is there in your...

Nitin Tiwari: Yes. So let me give it a try again. So I was -- is it better, sir?

Saurav Mitra : Yes.

Nitin Tiwari: Yes. So I was saying that the Ind AS numbers that you gave for fourth quarter, can you also give the same for the entire financial year? That is one. And secondly, if I remember right, there was some reversal expected after FY '25 in terms of treatment of Ind AS basically impact. So I mean,

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how should we look at these numbers going ahead after FY '25 as -- during FY '26 and '27. That

was the first question.

Debabrata Satpathy: Nitin, as we had explained before that the Ind AS impact will actually reverse from FY '25 that we had mentioned. And it has now reversed. You can see that FY '24, the net impact was zero.

The overall net impact was zero. And FY '25, the over

all net impact is INR13 crores positive.

The breakups are INR 619 crores at the gross margin level positive. There is a forex loss of INR62 crores and INR 32 crores positive at other expenses level. INR 328 crores of depreciation and INR248 crores of finance charges. So overall impact is INR 13 crores positive.

The thing to be noted is that INR 62 crores of forex loss was also there. Still it is INR 13 crores positive. So going forward, you can expect positive Ind AS impact barring the forex loss.

Nitin Tiwari: So the quantum would be in the similar range, you have INR 13 crores number that you had in FY '25.

Debabrata Satpathy: See, those numbers cannot be said because few leases sir also restated according to lease conditions, et c. But you can say that the positive number can go up.

Nitin Tiwari: Understood, sir. And sir, my second question was actually related to volume. So you mentioned that about 33 TBTU was pertaining towards the UOP charges. So I mean if my understanding is right, the FY '24 doesn't -- didn't have any UOP -related volumes, right? FY '25, you had. So if we adjust for the 33 TBTU, then is it right to understand that on a like -to-like basis, we actually had a volume decline in FY '25?

Rakesh Chawla : See, this volume is, in any case, additional volume, which was processed during the year. This is mainly, you can say LD waiver is an accounting entry, which was pertaining to that. So it is the actual volume for this year only, which is processed in current year. By accounting method, we gave a benefit to the persons who have been imposed LD. And as a business -- long-term business association, management took a view that, that was a COVID year or market was not conducive, so we will -- this has to be a win-win situation. So we will give waiver for that volume. So practically, this is the volume for the current year only.

Saurav Mitra: Okay. So I'll ask Vivek to supplement on your question regarding volume decline.

Vivek Mittal: So volume, see, if we look at Dahej Terminal, it has processed -- as Petronet, we have processed 934 TBTU, the split between 876 TBTUs at Dahej and 58 TBTUs at Kochi so totaling to INR 934 TBTU. And we expect at this moment, there has been a growth of around 2% at Dahej and similarly 2% at Kochi. So we expect this momentum to continue in times to come also. And with new long-term contracts getting signed into India, this gives an assurance that these volumes will come into our terminal.

Nitin Tiwari: No, sir, that's fair. What I was trying to get at is that given that our offtakers are asked to get an incremental volumes to set off against the outstanding use or pay, right? So if 33 TBTUs of incremental volume was brought in to set off against the outstanding UOP, so if you adjust for that 33 TBTU in this year, which is our total volume was 934.

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So then, I mean, the net number that we are looking at is about 901 TBTU, which is on a like -to-like basis, like in FY '24, we had 919. So I mean, if this incremental volume was not brought in, then did we like face a decline in volume is what I was asking? Secondly, like what was the Gorgon volume brought in at Dahej in this quarter, if you can help me with that number as well.

Debabrata Satpathy : Gorgon volume bought in at Dahej YTD is 16.9 TBTU.

Nitin Tiwari: 15.9, sir?

Debabrata Satpathy : 16.9.

Vivek Mittal: For the entire financial year.

Debabrata Satpathy : For the finance year. You can carve out the last 3 quarters. 3.9 in this current quarter.

Moderator: The next question is from the line of Akash Mehta from Canara Bank, HSBC Life.

Akash Mehta: Yes. So two questions. So first is on Dahej utilization. So in terms of incremental the new capacity addition that has kind of come through, what kind of utilization are we kind of expecting in fiscal '26 and fiscal '27?

Saurav Mitra: Okay

. So I'll just repeat what Mr. Vivek Mittal has already told. So we are expecting a year -on-year growth of around 6% -- 5% to 6% of LNG consumption. So considering that and also considering the fact that Dahej strategic location, we are pretty confident of a good percentage utilization of the increased capacity.

Akash Mehta: Okay. And second is on tariffs hike. I mean this on Dahej as well as Kochi, you don't see there is any risk in terms of the 5% hike that you are kind of taking, so that should kind of continue going ahead as well, right?

Saurav Mitra: Yes.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V.: So first question, given that spot LNG has marginally come off between March to say, April, a \$2 kind of a decline, are we seeing change in customer sentiments? I mean utilization rates improving for us. If you could give some color on that.

Saurav Mitra: Yes.

Vivek Mittal : At least we are seeing some refiners, which had switched back to naphtha. They are again coming back to natural gas. So in refinery and petchem sector, we are definitely seeing that momentum.

Fertilizer, of course, continues to use natural gas. And CGD customers also, we believe that some of them are coming back. Morbi region, of course, is still not competitive vis - vis propane prices, but if further declined, then propane can also be replaced in Morbi region.

Somaiah V.: Got it, sir. Sir, in terms of Kochi, the pipeline connectivity to the Bangalore pipeline, so what is the status there? And what is the outlook for us in terms of utilization in Kochi for this year?

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Saurav Mitra: So Kochi utilization will definitely get positively impacted once this pipeline comes through.

And we have been -- we are pretty much confident that this pipeline will be completed by the end of this calendar year. And it is -- this project is also being monitored at the PRAGATI at PM office, which monitors the critical projects.

Somaiah V.: Got it, sir. Sir, also on this capex breakup, so you did mention INR 2,500 crores for petchem. So of the FY '26 plans, the remaining, which are the projects that we have been taking up? And also, is this the run rate that we should expect for the next couple of years in terms of capex ?

Saurav Mitra: Okay. So Dahej third jetty, that is another major project, which is currently going on. Then petchem, I have already told. Then Kochi terminal routine capex , we are expecting another

INR80 crores to INR100 crores , and we are also in the process of putting up additional truck-loading facilities in Dahej as well as in Kochi, another INR 75 crores to INR 80 crores.

And we have corporate offices building in Dwarka, which we are putting up. So we have plans to spend around INR 70 crores to INR80 crores on that, and we'll be very soon shifting to a new corporate office building in Nauroji Nagar, the new WTC, which has come up in Delhi. So the plan is to have a capex of around INR90 crores to INR 100 crores on that.

Then we are also mandated by the government under the SATAT program for CBG plants. So we plan to spend around INR 100 crores on that. Then Gopalpur LNG terminal also, we have a plan of around INR300 crores. So these are the broad expenditure heads, which we can share at this moment.

Somaiah V.: Sure. Sir, just a couple of follow -ups. So one, this INR 300 crores that you mentioned for Gopalpur is part of FY '26 plan. And if you just give a bit more color on what are the total costs expected for Gopalpur and what are the time lines that we are looking at, that would be helpful.

Saurav Mitra: So Gopalpur, we had already got the Board approval way back in 2022. And based on that, we have already started the land acquisition process. It is at an advanced stage. So going forward, we -- any terminal takes about 3 to 4 years to build and come u

p. The Board approved number for estimated capex is around INR 2,300 crores .

Somaiah V.: Helpful, sir. Sir, I remember earlier, in terms of finalizing projects, so we had some kind of a back -to-back contract for going ahead with the project. So if you could just help us with that thoughts there?

Saurav Mitra: Okay. Mr. Mittal will throw some light on that.

Vivek Mittal: So you're referring to Gopalpur terminal or otherwise?

Somaiah V.: Yes, sir, Gopalpur.

Vivek Mittal: So we are already in discussion with our promoter offtakers for capacity booking or sale of volume. So those discussions are ongoing. But having said that, we are also open that even if there is no long-term commitment, we may look at setting up a terminal because we definitely

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believe with the growth of natural gas market, specifically in the eastern region of the country, we can ensure good utilization of that terminal.

Somaiah V.: Got it, sir. Sir, in terms of any pipeline connectivity that we require there? Or more or less, it is there, it's just on the last mile...

Vivek Mittal: There are already multiple pipelines, which are criss -crossing this region. One is the JHBDPL, second is Srikakulam -Angul pipeline, and third is Mumbai -Nagpur -Jharsuguda pipeline. So we'll be connected to all those 3 networks through SAPL, Srikakulam -Angul pipeline.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities Private Limited.

S. Ramesh: So if you're looking at the petrochemical project modules, what is the progress you're expecting

on import of ethane and propane before you start the petrochemical production? And if you can shed some light in terms of whether you see some revenue from propane trading in FY '27? Or will it dovetail into the start-up of the petrochemical project?

Vivek Mittal: See, the feedstock for petrochemical plant is propane, not ethane. Ethane handling facilities we are setting up. So again, we are in discussion with a couple of players, either they bring in their own ethane and we provide tolling services for that or we import ethane and supply ethane to them. So both the models are open, and we are in advance discussion with some players over there. As far as propane is concerned, so propane trading is not -- we are envisaging in FY '27 for sure, it would be towards FY '28.

S. Ramesh: Okay. On the Gopalpur project earlier, it was an FSRU. So is there any finalization of the plan to make it a land-based terminal? Or are you still proceeding with the FSRU model?

Saurav Mitra: No, no, we have tied up an MOU with the Odisha government also for the land. And now we are in advanced stage of the land procurement, and we are going to set up a land-based terminal.

S. Ramesh: Okay. So that will mean that project costs will go up to about INR 5,000 crores, right?

Saurav Mitra: Yes exactly.

S. Ramesh: Okay. So with that, we bring the conference call to a close, let me thank all the investors and analysts who joined the call. We also thank the management and once again, congratulate Mr. Mitra for taking over as Director of Finance, and I'll hand over the call to the management for their closing remarks. Thank you very much, sir.

Saurav Mitra: So thank you. Thank you, till we meet again.

Moderator: Thank you. On behalf of Nirmal Bang Equities Pvt Ltd, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Petronet LNG Limited

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CS/PLL/LISTING/ Reg-30/2025 Date : 4th August 2025

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 28th July 2025

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ear Sirs/Madam,

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his is with reference to our intimation dated 18th July 2025 and 28th July 2025 intimating holding Conference Call of the Company scheduled on Monday, 28th July 2025 1100 Hrs (IST) for unaudited financial results of the Company for the quarter ended 30th June 2025 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference c all as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

GGM & President - Company Secretary

Encl: as above

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Q1 FY '26 Earnings Conference Call"

July 28, 2025

MANAGEMENT : M R. SAURAV MITRA – DIRECTOR , FINANCE &
CHIEF FINANCIAL OFFICER – PETRONET LNG LIMITED

MR. RAKESH CHAWLA – GROUP GENERAL MANAGER
AND PRESIDENT , FINANCE AND ACCOUNTS – PETRONET
LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – GROUP GENERAL
MANAGER AND PRESIDENT , MARKETING – PETRONET
LNG LIMITED

MR. VIVEK MITTAL – CHIEF GENERAL MANAGER AND
VICE PRESIDENT , MARKETING – PETRONET LNG
LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,
FINANCE AND ACCOUNTS – PETRONET LNG LIMITED

MR. VIKASH MAHESWARI – DEPUTY GENERAL
MANAGER , FINANCE AND ACCOUNTS – PETRONET LNG
LIMITED

MODERATOR : M R. PROBAL SEN – ICICI SECURITIES

Annex-1

Petronet LNG Limited

July 28, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Petronet LNG Q1 FY '26 Earnings Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Probal Sen. Thank you, and over to you, sir.

Probal Sen : Thank you very much, Bhavya. This is Probal from ICICI Securities. We welcome you all to the post Q1 FY '26 call of Petronet LNG Limited. We have with us senior members from Petronet LNG's management, including Mr. Saurav Mitra, the Director (Finance) and CFO; Mr. Rakesh Chawla, GGM and President, F&A; Mr. Gyanendra Kumar Sharma, GGM and President, Marketing; Mr. Vivek Mittal, CGM and VP Marketing; Mr. Debabrata Satpathy, General Manager, F&A; and Mr. Vikash Maheshwari, Deputy General Manager, F &A.

We would initially start with opening remarks by the management, then on to the Q&A. So without further ado, I would hand it over to the management. Over to you, sir.

Saurav Mitra : Yes. Good morning, and thank you, Mr. Probal. Good morning to you all. As compared to the previous quarter, Q1 FY '25 -'26 has been a good quarter for us in terms of operational performance.

Delving on the financial highlights, I would say that profit before tax stood at INR 1,136 crores compared to INR 1,446 crores in the previous quarter and INR 1,520 crore

s in quarter 1 of the

previous financial year. PAT stood at INR 851 crores compared to INR 1,070 crores in the previous quarter and INR1,142 crores in quarter 1 of the previous financial year. A major highlight is that net worth crossed INR 20,000 crores, reaching to INR20,233 crores as of 30th June, up from INR19,382 crores as on 31st March 2025.

In terms of LNG volumes, Dahej terminal, our flagship terminal, processed 207 TBTU, registering a growth of 10% compared to 189 TBTU in the previous quarter. The volume processed in Q1 of the previous financial year was 248 TBTU. Overall volume processed during the quarter was 220 TBTU, registering a growth of 7% compared to 205 TBTU in the previous quarter. The volume processed in Q1 of the previous financial year was 262 TBTU.

The throughput improved compared to previous quarter due to stable LNG prices, efficient operations and higher capacity utilization. The sequential growth demonstrates resilience in a volatile energy market.

We are pleased to announce that the Board of Directors has, in principle, approved an enhanced investment of INR 6,355 crores for setting up a 5 MMTPA land-based LNG terminal at Gopalpur Port, Odisha, marking our first greenfield LNG project on India's East Coast, transitioning from the earlier 4 MMTPA FSRU-based plan with financing through debt and equity and a targeted completion time line of approximately 3 years.

PLL had also issued a request for proposal for financing rupee term loan of INR 12,000 crores for financing the capex program. We remain committed to strategic capacity expansion, rigorous cost optimization and market-aligned growth. By harnessing our operational excellence and

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advancing key projects, we are well positioned to sustain and strengthen our leadership in India's LNG sector, delivering long-term value to all our stakeholders. Thank you.

So I would now request the Q&A to start.

Moderator: Thank you. The first question is from the line of Param Vora from Trinetra Asset Managers. Please go ahead.

Param Vora: Thank you taking my question. So what I wanted to ask was that how is the company managing global LNG price volatility and geopolitical risk, especially in terms of long-term supply contracts?

Saurav Mitra: So I would request Mr. Vivek Mittal to briefly answer to this query.

Vivek Mittal: Thank you, sir. So of course, our contracts are linked to oil prices. So oil prices have not been very volatile. In fact, they have been subdued. So they are holding in the range of \$65 to \$70.

So we don't see any risk or any challenge from the geopolitical side. Of course, the spot prices have been slightly volatile, but it's still range bound.

Gyanendra Sharma: I think if you see spot prices though, as compared to the alternate fuel, might be on upper side.

But still, we would say they are not hovering somewhere which we witnessed 2 years back. So the LNG market is quite stable now.

Vivek Mittal: There are no challenges we are seeing from that side.

Param Vora: Okay. And as sales growth has been soft over the past 5 years, what are the new strategies being implemented to reignite the top line growth?

Vivek Mittal: The demand is a function of various sectors. So this quarter, if you look at, there was low demand from power sector and fertilizer sector compared to the Q1 of FY '25. So that's the reason we see a decline in demand in this quarter. But otherwise, if you look at our previous quarters, the demand has been pretty stable and robust. Overall, we processed 251 TBTU -- sorry, 220 TBTU

this quarter compared to 205 TBTU in the previous quarter.

Param Vora: Okay, thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Thanks for the opportunity. A couple of questions. One on the recent agreement

you signed with

Deepak Fertilisers for about 26 TBTU or approximately 1.1 million tons. Can you just tell the start date? And you mentioned that also 20% additional revenue option is there. So please, I mean, just detail that. And within that, is the pricing or the regas tariff is similar to what currently the customers are paying?

Vivek Mittal: So the pricing is absolutely the same, what we charge under our other long-term agreement. And the volume is minimum 0.5 million tons, starting somewhere between May to -- I think the press release was very clear, so between May to July 2026. And there is a potential for another 20%,
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which means depending on how much volume they get from supplier, it can go up to 0.65 million tons, roughly.

Maulik Patel: Got it. Got it. And we understand that GAIL has been working their Dabhol unit in this monsoon.

Historically, you've been getting around 1 million ton kind of additional volume during the monsoon months when Dabhol doesn't work. Do you think that can continue? Or it was just only in June they got some volume, and July they are back to Dahej? Any clarity and thoughts on that side?

Gyanendra Sharma : See, this may be a cyclical or maybe temporary phenomenon. Otherwise, Indian market, the way gas market is growing, there is enough -- ample opportunity for every one of us. And that's the reason we are expanding our terminal. And you would have seen the recent contract which we have done with DFPCL Group Company. So Dahej is a preferred terminal considering multiple factors. It has the connectivity, the storage capability and all.

Maulik Patel: No, no sir, my question is that will this 1 million ton this year, it will not be there? Or do you think it will be some 0.6 million ton, 0.5 million ton, 0.4 million ton will come this year?

Vivek Mittal: See, market demand is growing. India's demand is bound to grow and it is growing also. So we don't see a new terminal coming up for expansion or running of Dabhol around the year makes any significant difference to operations of Dahej terminal.

Maulik Patel: Okay. And sir, the last question. Any update on the Qatar extension? Have you signed anything within the offtakers? And what is the progress and update on that side?

Vivek Mittal: See, as we mentioned last time also, the deal we have signed with Qatar is based on the assurance that the volume will be offtaken by GAIL, IOC L, BPCL in a predetermined ratio. So that commitment still holds. The downstream agreements are being worked upon. We are trying to find what is the best and optimal solution to sell these volumes. So those discussions are ongoing.

Maulik Patel: Any time line to that?

Vivek Mittal: Not at this point of time. We cannot give...

Maulik Patel: Thank you and wish you all the good luck.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Yes. So the first thought is on the slowdown we saw in the first quarter. So how is the demand from the fertilizer and power sector for this quarter? And how do you see the trending demand for FY '26, given that there seems to be a slowdown in the overall gas demand, particularly because of the competition from alternative fuels?

Saurav Mitra: So Debabrata Satpathy would answer this question.

Debabrata Satpathy: Yes. Mr. Ramesh, so your question was on the competitive fuels, basically how the demand scenario would be?

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S. Ramesh: Yes. That and how do you see the demand for this quarter? Because last quarter was down compared to the year ago quarter. How do you see the consumption growth in this quarter compared to the year -ago quarter?

Debabrata Satpathy: Yes. So basically, the demand from the last quarter, as you see, it has started recovering. The overall throughput from our Dahej t

erminal has been 10% higher than the last quarter. And at an overall level, the company has done 7% higher. The thing is that although the long-term prices as it has been told already, the long-term prices that are crude-linked, that are remaining at a very, very affordable level for the Indian market. That long-term throughput has also gone up.

And there is still a difference between the long term and the spot prices. Actually, that is dragging the overall demand as per the market scenario right now.

So what we foresee is that in the current year, probably that kind of difference could linger on for some time. But from the next year onwards, from CY '26 onwards, with the availability of ample of gas in the -- LNG in the global market, basically, that issue will also be sorted out. That is what we are looking at.

S. Ramesh : Okay. So the next thought is, can you give us the details of the inventory and trading impact, if any, and the regas tariff?

Debabrata Satpathy : The inventory gain was INR42 crores in this quarter. And trading gain because of the current market pricing scenario, the trading gain was not there.

S. Ramesh : And what about the regasification contribution?

Debabrata Satpathy : It is INR643 crores.

S. Ramesh : INR645 crores (slightly muted) . Thank you very much and I will join the queue .

Moderator: Thank you. The next question is from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead.

Varatharajan S: Yes. So the Kochi terminal utilization seems to have come down a little bit. Any specific reason for that?

Saurav Mitra : No, it's a common phenomenon for the last quite a few quarters, as you have seen. And what we have been telling all this while is that Kochi, we are expecting the utilization to go up once the pipeline connectivity is set up. And we expect that by the end of this calendar year or maybe at the most by the end of this financial year, the pipeline is going to come up, which is being laid by GAIL. And once this connectivity is set up, the utilization is going to go up.

Varatharajan S: And currently, like would you be in a position to give us who's taking what from Kochi terminal?

Saurav Mitra : Sorry?

Varatharajan S: Currently, like can we have a share of who's taking what from Kochi terminal, MRPL, or like, BPCL? What kind of volumes they are taking?

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Saurav Mitra : Okay. So I would say, major offtaker is obviously BPCL from Kochi. And to supplement my answer, I would request Mr. Gyanendra Sharma to carry on with this conversation.

Gyanendra Sharma : At Kochi, as DF sir informed, major is BPCL, it consumes in its refinery , as well as it has its customers. And others, GAIL and IOCL are also providing gas supply to fertilizer and refinery.

Varatharajan S: Any volume details you are in a position to share?

Gyanendra Sharma : Customer because they are not our direct customers, it won't be appropriate for us to speak on behalf of our offtakers.

Varatharajan S: Fair. Thank you.

Vivek Mittal: The only thing we can add is that this quarter, FACT took a shutdown for almost 1.5 months. So that's the reason you see some decline in the volumes. They consume around 1 MMSCMD. So there was a small decline on account of that. But that was the same case in the last year's first quarter also. So compared to last year first quarter, the volumes are quite similar.

Varatharajan S: Thanks. I'll get back in queue.

Moderator: Thank you. The next question is from the line of Sabri Hazarika from Emkay Global. Sabri Hazarika from Emkay Global.

Sabri Hazarika : Yes. So two questions. Firstly, on this Gopalpur terminal, is there a minimum offtake kind of an assumption also before going ahead with it? Or even if it doesn't happen, you'll start construction. Because you've given a 3 years' time line, so would you start work right away or probably get

some offtake first?

Saurav Mitra : So definitely, discussions are on with the probable offtakers. And they are -- the major offtakers will be our promoters only. But we will not wait for finalization of the offtake agreements because that will delay our project. So simultaneously, we will start construction of the terminal and at the same time have, parallel discussions with our offtakers.

Sabri Hazarika : Okay. Fair enough. And second question is on this Gorgon Phase 2 volume. So when is it starting? And how much would be the volumes?

Gyanendra Sharma : This is likely to start towards end of this financial year. And 1.2 MMTA is the contract and initially it will be 0.5 MMTA.

Sabri Hazarika : That will be for how long?

Gyanendra Sharma : 15 years.

Sabri Hazarika : No, 0.5 will be for how long?

Gyanendra Sharma : For 2 years.

Sabri Hazarika : Then it will ramp up to 1.2 ?

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Vivek Mittal: That's right.

Moderator: The next question is from the line of Tanay Kotecha from Nuvama.

Tanay Kotecha : Hey. Hi, sir. I just wanted to get a refresher regarding your accounting policy for the provisioning part on the UOP dues.

Saurav Mitra : So Chawla ji, if you can please...

Rakesh Chawla : See, as you know, this use or pay dues that are part of the contractual obligation by the offtakers. So, this is being recognized. However, as a prudent accounting practice, provisioning is being done. So, what we are doing is first year of -- when the amount is not paid, we are making 20% provision and next year 30%, making it cumulatively 50%. And then the third year, where this flexibility period is over, we are making the balance provision of 50%.

So, making it cumulatively 100% in 3 years. This is as per the practice -- prudent accounting practice we are following. And as you know, calendar year '21 use or pay amount was received by us in last year. So ultimately, this provision is only accounting practice. Company is already confident that this is contractual dues and we are likely to get full money, or during this flexibility period, if somebody wants to bring volume, they are.

Tanay Kotecha : All right. Thanks, sir.

Rakesh Chawla : For the CY'21, We have already received the full money or the volume whatever the offtakers like, because INR360 crores and odd was paid by the offtakers.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh : Yes, thank you for the follow -up. So, when you discussed this additional volume, discussed with Gorgon, the initial Phase 1 was about 2.5 MMTPA to 2.6 MMTPA, if I understand correctly, right? And that has to be taken in Kochi. So, if you take this 1.2 MMTPA Phase 2, overall, you've got an aggregate , gas supply arrangement with Gorgon about 3.5 MMTPA to 3.7 MMTPA. Is that understanding correct?

Saurav Mitra : No, no, no. I don't think your understanding is correct. It is very clear the contract is for 1.2 million metric ton per annum, and it's going to commence from 2026. It will go on till 2036.

Vivek Mittal: And the existing contract is for 1.42 million tons.

S. Ramesh : Yes, that's what I meant. So that means...

Vivek Mittal: It's around 2.6 MMTPA.

Saurav Mitra: Yes.

S. Ramesh : Yes, 2.6 MMTPA. So that means Kochi has the potential to process 2.6 MMTPA once the pipeline is connected, right?

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Saurav Mitra : The potential is much more. It's a 5 million metric ton per annum terminal.

S. Ramesh : I understand that. But in terms of the gas supply sourcing arrangement, you can go up to 2.6 MMTPA. And for the rest, you have to...

Saurav Mitra : Yes. So far as long -term contracts are concerned, you are correct, it's about 2.63 MMTPA.

S. Ramesh : Yes. Sir, on this accounting which you explained, so whatever provision you're making, right now it will

be actually treated as cash outflow, right, in terms of cash flow? And then when it is over, it will come back as cash inflow? Or it's just a noncash entry? How do we see the cash flow impact for these provisions?

Rakesh Chawla : See, the accounting provision is a noncash flow entry because already we have recognized the income in our books. So, this is a provision only. This is not a cash outflow type of thing.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta : Thank you, sir, for this opportunity. Could you update us on the status of expansion at Dahej from 17.5 MMTPA to 22.5 MMTPA. Also highlight the tank that have we have commissioned, how was it utilized during the quarter? And what was its contribution to the margin? And in terms of the Jetty, where are we at this point of time?

Saurav Mitra : Okay. So, I'll start in a reverse manner. The Jetty construction is going on as per the schedule.

And so far as the regas expansion capacity is concerned, there were some slippages because of the monsoon and as well as the war -like situation which had emerged. And because of that, there were enhanced security concerns from both the government side as well as from our side.

So, it has slightly impacted the construction work, but we don't see much of a delay. So, by end of this calendar year, we should be able to complete the construction and start the commissioning exercise. And by Q1 of next calendar year, we should have a stable enhanced capacity terminal working.

Kirtan Mehta : Right. What is the target timeline for Dahej Jetty at this point of time?

Vivek Mittal: Total construction? The third jetty you're talking about? 2027. And as you know, it will be capable of handling LNG, ethane and propane . So, 2027.

Kirtan Mehta : Right. And how was the completion of tank utilized during the quarter? What was its contribution to profitability? You were expecting some trading volume out of that.

Vivek Mittal: See, the tank is only a support system to the regasification facility. So once the regasification facility comes on stream, then only we can say that how much additionally we have been able to utilize. But tanks have overall added to the flexibility, which we provide to our capacity holders on the volumes we bring in.

Kirtan Mehta : Sure, sir. Could you also highlight the developments on the PDH -PP project implementation?
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Saurav Mitra : Yes. Again, I would like to state that the work is going on full steam and it is on track. So, we expect this plant to come up as per schedule.

Kirtan Mehta : Any more granularity in terms of would you be able to share in terms of the particular milestones that we have achieved during the quarter? And what are the target milestones for the Q2?

Saurav Mitra : Okay. So, we have actually placed almost -- out of the 11 LLIs and 13 packages, we have almost floated tenders of all the packages and LLIs except a few where we feel that time is not yet right enough. And we have also awarded a few critical long lead item orders. So that's where as of now we stand today.

Moderator: The next question is from the line of Somaiah from Avendus Spark.

Somaiah: Yes. I missed the initial part of the call. Sorry in case the question gets repeated. Sir, the capex outing for the next couple of years and how much...

Moderator: Sorry to interrupt, sir. Sir, your audio quality is not clear.

Somaiah: Sir, just wanted to understand -- yes, the capex outlook for the next couple of years and also what is the amount that we have spent on petchem so far and how we plan to phase the petchem spend over the next two years, three years? That's the first question.

Saurav Mitra: Okay. If you talk about this quarter, the petchem spent is around INR500 crores and -- up till date. And going forward, we have lined up a capex program of around

INR30,000 crores and

out of which the major share or the lion's share is allocated to the pet chem plant only. And that is what I think I can share as of now.

Somaiah: Sir, the plans for current year and next year, sir, in terms of what will be the capex?

Saurav Mitra: So, this year we have targeted a capex of around INR5,000 crores.

Somaiah: And this will be majorly for petchem, no?

Saurav Mitra: It will be for the third jetty, for petchem and also some of the other projects that we have taken up. Like, we have got the in- principle approval of Gopalpur terminal. So there we'll be spending around -- we plan to spend around INR300 crores on that. And then we have a corporate office building in Nauroji Nagar coming up. So we plan to spend about INR100 crores there.

Then CBG plants, we have been mandated by the Ministry to put up around 25 CBG plants. So we have plans to spend around INR100- odd crores there. And there are other small items like small -scale LNG and LNG bunkering facility at Kochi. So these are the major items which I can spell out right now.

Somaiah: Understood, sir. So we should expect a similar run rate next year also in FY '27 also, INR5,000 crores?

Saurav Mitra: It's going to be even higher. It's going to be even higher. And that's precisely the reason we have floated this RFP for rupee term loan of INR12,000 crores.

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Somaiah: Understood, sir. You mentioned this quarter, we have spent INR500 crores on petchem. So cumulatively, so far, what would be the spend on petchem till date?

Saurav Mitra: So that's what I'm telling. Till the end of this quarter, the cumulative spend is around INR500 crores.

Somaiah: Got it, sir. So second question on the Gopalpur terminal, that is earlier thought of an FSRU now to a land -based and also 4 MMT to 5 MMT. If you could just help us in the broad thought process, what led to a change here? That is one. And second, also if you could help us understand the pipeline connectivity in and around the plant facility. So do we have already pipelines in place for offtake or we are waiting for some more connectivity there?

Saurav Mitra: Okay. So, Gopalpur, first, I would like to say that, Gopalpur is away from a major trunk pipeline by about 35- odd kilometers. And once we put up this pipeline and connect it to the trunk pipeline, our offtake will not be an issue. And secondly, the shifting of plan from FSRU to land- based terminal makes sense because we have observed that the cost of a floating vessel -based terminal has gone up by a huge amount. And the savings in opex that we will make if we go for a land- based terminal, it makes sense definitely for us to take a decision in favour of shifting from an

FSRU to a land-based terminal.

Somaiah: Got it, sir. Sir, you mentioned 35 kilometers we can get connected to that main trunk pipeline.

So that trunk pipeline, which are the areas that it is getting connected to. I just want to understand which will be the potential set of customers, larger customers like refineries or steel plants or...

Saurav Mitra: Okay. Once we -- actually, see, GAIL has already one pipeline from Srikakulam to...

Gyanendra Sharma: Angul-Srikakulam.

Saurav Mitra: Angul-Srikakulam, yes, pipeline is already there. So from Gopalpur, if we set up this pipeline

and connect it to this main trunk pipeline of GAIL, we will have access to North, whereby we'll

be connected to the National Gas Grid, and we can reach up to the Northeast in Bihar, West

Bengal, Jharkhand, entire area will come under our hinterland.

And down South also, the pipeline can cater to -- if it is further extended up to Vizag, it will

cater to the refinery and then some of the big steel plants and aluminium plants of Hindalco that's already there. So they are -- they could be the major consumption centres for this -- for our terminal.

Somaiah: Got it, sir. And wh

at would be the breakeven utilization for this 5 MT facility?

Saurav Mitra: Okay. So it's going to be -- if you see in -- except Dahej, none of our terminals in India are operating at more than 50% right now. But yes, going forward, we foresee a growth of around 6% to 7% in the gas consumption. So maybe once this comes up after three years, three and half

years, because we have projected this three years' timeline from the date of getting our EC, and

we are expecting this EC in a couple of months' time. So once this comes up, maybe from 20 --

CY '28, '29, we'll start with a capacity of 20% utilization and then slowly we'll ramp it up to

around 80% to 90%.

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Somaiah: Okay. Sir, one last question. The trading gains and inventory impact in the current quarter?

Debabrata Satpathy: Inventory gain was INR42 crores and there was no trading gain.

Somaiah: Got it, sir. Helpful. Thank you.

Probal Sen: Yes, while the queue assembles, this is Probal here, sir, if I can disturb for a couple of questions.

One was on the broader LNG market that we see at this point of time. We've been hearing about

the kind of capacities that are coming up globally in terms of liquefaction and, obviously, Indian

players have also tied up a lot of capacities for offtake. So how do we see the market evolving

for Indian customers? What kind of mix do you see between long term and short term and what

kind of pricing scenario do you see?

Gyanendra Sharma: Thank you. I think you have asked a very valid question. If you see in the next 3 to 4 years,

around 180 MMTA capacity is going to be online and LNG supply side. And the major markets

targeted, India will be one of them because we know Europe and Japan are quite saturated. India,

China are going to take this major capacities.

Considering that lot of supply is coming in, the prices are expected to be more comfortable or more affordable, meaning by the demands, we'll catch up. So India's the projection, max by 2028

to '30, the LNG consumption is expected to be more than double and that to crux, India needs to

keep up pace with the infrastructure.

It should not so happen that prices are affordable and India is lacking the import infrastructure.

And that's the reason one of the key PLL is coming up with Gopalpur. And at the right time,

around '28, the terminal will be available online. And as you know, multiple pipelines are coming; Nagpur to Jharsuguda;

Angul-Srikakulam, JHBDPL is already there; Northeast grid is

getting completed.

So the major demand center, the maximum growth center, I would say, will be that part of Eastern Coast of India. And PLL will be ready to take care of that supply.

Probal Sen: Right, sir. Moderator, can we take one last question?

Moderator: All right. Thank you. The next question is from the line of Mayank from Morgan Stanley. Please go ahead.

Mayank: I didn't join the entire call. I think there were some logistical issues. I just had a question around the terminal that you were just talking about. If you think about it from a perspective of single

nation, single grid that PNGRB has been talking about, how do you see this terminal kind of

playing out for you? Could it be the next Dahej for you or could it be even bigger? How should

we think about that?

Gyanendra Sharma: You have rightly answered, it will be next Dahej. As I told just a couple of minutes back, the

kind of pipeline network coming up there, it will be just parallel to what Dahej has presently 5 pipeline we have here and

similar kind of connectivity Gopalpur is expected to have. And the

kind of demand, if we see, till now the Western part of country was like growing gas

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consumption. And as we know, Gujarat more than the global average, 24%, 25%, it is now time for Eastern part of the country, number one.

Number two, if you see th

e demand to be catered from Central part of India to the Eastern part of India, need to have a proper distribution of regas terminal, so that the pipeline hydraulics is maintained. Also for the energy security point of view of the country, it is very important to have diversified portfolio of terminals. So I hope this is likely to be next Dahej.

Mayank: Sir, just a follow -up on that, if I may. Because Dahej has a very big advantage of being the first mover and lower capex per unit. Do you see that advantage still remaining with Gopalpur? Or do you think -- because there are certain terminals which are already on the Eastern Coast, do you think that will be something there will be a bit of a competition that you have to worry about?

Saurav Mitra : We are not bothered about competition. See, had it been so, then we would not have taken this call on Gopalpur. And PLL has some inherent advantages in terms of our experience of handling regas terminals for so many years, number one. And number two, we can also offer swapping of cargoes then to our off-takers from West Coast to East Coast.

And then another point which Mr. Sharma has spoken about is very important. It's that pipeline hydraulics. So, so far as pipeline network hydraulics is concerned, it will give us an advantage to have Gopalpur terminal in place, because there's a lot of industries coming up as well as operating nearby, which is definitely going to help this terminal to fare better in the coming years despite having some other terminals nearby.

Moderator: Thank you. Ladies and gentlemen, this was the last question. I now hand the conference over to Mr. Probal Sen for the closing comments. Thank you, and over to you, sir.

Probal Sen : Thank you, Bhavya. Thanks so much for everyone taking the time to attend the call. I would invite the management if they have any closing comments.

Saurav Mitra : Thank you, and we hope to meet again soon with some more encouraging results. Thank you.

Probal Sen : Thank you very much, sir. Thank you, everyone. We can now log off from the call. Thank you.

Moderator: Thank you. On behalf of Petronet LNG Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Petronet LNG Limited

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CS/PLL/LISTING/ Reg-30/2025 Date : 14th November 2025

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 10th November 2025

D

ear Sirs/Madam,

T

his is with reference to our intimation dated 5th November 2025 and 10th November 2025 intimating holding Conference Call of the Company scheduled on Monday, 10th November 2025 at 1100 Hrs (IST) for unaudited financial results of the Company for the quarter and half -year ended 30th September 2025 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

GGM & President - Company Secretary

Encl: as above

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Q2 FY '26 Earnings Conference Call "

November 10 , 202 5

MANAGEMENT : M R. SAURAV MITRA – DIRECTOR FINANCE AND CHIEF

FINANCIAL OFFICER – PETRONET LNG LIMITED

MR. RAKESH CHAWLA – EXECUTIVE DIRECTOR ,

FINANCE AND ACCOUNTS – PETRONET LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – GROUP

GENERAL MANAGER AND PRESIDENT , MARKETING –

PETRONET LNG LIMITED

MR. VIVEK MITTAL – GROUP GENERAL MANAGER

AND PRESIDENT , MARKETING – PETRONET LNG

LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,

FINANCE AND ACCOUNTS – PETRONET LNG LIMITED

MR. VIKASH MAHESWARI – DEPUTY GENERAL

MANAGER , FINANCE AND ACCOUNTS – PETRONET

LNG LIMITED

MODERATOR : M R. BALAJI SUBRAMANIAN – IIFL CAPITAL SERVICES

LIMITED

Annex-1

Petronet LNG Limited

November 10 , 202 5

Moderator: Ladies and gentlemen, good day, and welcome to Petronet LNG Q2 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Balaji Subramanian from IIFL Capital Services Limited. Thank you, and over to you, sir.

Balaji Subramanian: Ladies and gentlemen, good morning, and thank you for joining us on the post 2Q and 1H FY '26 Results Conference Call for Petronet LNG Limited. It's my pleasure to introduce the senior management team of Petronet LNG, who are here with us today to discuss the results.

We have Mr. Saurav Mitra, Director Finance and CFO; Mr. Rakesh Chawla, Executive Director, F&A; Mr. Gyanendra Kumar Sharma, GGM and President, Marketing; Mr. Vivek Mittal, GGM and President, Marketing; Mr. Debabrata Satpathy, General Manager, F&A; and Mr. Vikash Maheswari, Deputy General Manager, F&A.

We will begin the call with opening remarks by the management team, and thereafter, we'll open the call for a Q&A session.

I would like to now hand over the call to the management to take the proceedings forward. Thank you, and over to you.

Saurav Mitra: Good morning, everyone, and thank

you for joining us for Petronet LNG's Q2 FY '26 Conference

Call. I am Saurav Mitra, Director Finance and CFO, and I'll be walking you through our financial performance and key highlights for the quarter.

So net profit stands at INR 805.75 crores, down 5% year-on-year due to lower LNG volumes.

Revenue from operations stood at INR 11,009 crores, down 15% year-on-year and EBITDA is INR 1,117 (EBITDA from operations excluding other Income) crores with a margin of around 10%. We have also declared Rs. 7 per share interim dividend, reflecting our commitment to shareholder returns.

So far as capacity utilization is concerned, we have witnessed the highest ever capacity utilization of Kochi terminal in the current quarter, which stands at -- stood at 27%, and Dahej terminal processed 211 TBTU. The expansion activities which are going on of the Dahej terminal is, we'll be adding 5 MMTPA capacity by March 2026.

So, with these points, I would now like to invite the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities.

Probal Sen: Thank you for the opportunity. Just a couple of questions. Firstly, you mentioned Kochi's utilization actually going up in this quarter. Can you first give us some reason

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Saurav Mitra: You're not audible.

Moderator: Probal, sorry to interrupt you. Actually, your voice is not audible. It's coming very low.

Probal Sen: Is this better?

Moderator: Yes, it is better now. Please go ahead.

Probal Sen: My apologies for that. Sir, I was asking that you mentioned about Kochi's utilization actually improving quite sharply in this quarter. Can you just expand on the reasons for that? That was my first question?

Saurav Mitra: Okay. So I would ask Vivek to please clarify this question

Vivek Mittal: Primarily Kochi refinery, which is the BPCL refinery, they have started now bringing in cargoes also over there. So they have got cargo -- actually, the cargoes came at end of June, and it was taken in this quarter. So primarily, that is the reason. In fact, we are expecting similar trend to continue at Kochi, that BPCL will bring its own cargo under regasification at Kochi.

Probal Sen: And just as a follow-up to that, the final leg of the remaining pipeline for Kochi-Bangalore leg, any sense we can get on where that is? And what are the timelines for commissioning of that?

Vivek Mittal: So, we are hoping that within this financial year that the pipeline should get connected to the natural gas grid.

Probal Sen: So, for FY '27, sir, sustainably speaking, what kind of utilization should we be building in for Kochi? Even a range that you're looking at?

Vivek Mittal: At this point of time, giving a number would be difficult, but we definitely expect improved utilization once the pipeline gets connected. And gradually, once the LNG price has softened, we expect utilization of Kochi terminal in the vicinity -- in fact, in the existing connectivity region also to increase further.

Probal Sen: Right. Second question was with respect to Dahej. What we've seen really is in this quarter, the term contracts seem to have reduced, while third-party regas cargoes have actually gone up. Is

this purely a function of the way that the prices have been behaving versus term and maybe short term?

And secondly, where are we in terms of contract visibility for the expanded capacity since we are now less than 4 months away from the official commissioning of the additional 5 million ton capacity? Those are the 2 parts that I have

Saurav Mitra: Okay. So, you already have the answer to your first part of the question that pricing trends of long term vis-à-vis the spot is basically the guiding factor. And secondly, coming to your second part of the question, yes, we are closely

working with many companies for booking our commitments in the expanded infrastructure.

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Probal Sen: Got it. Sir, one last question, if I may. Any update you want to share on the petrochemical expansion project?

Saurav Mitra: Yes. Work is going on in full steam. And as notified earlier, we have also awarded all the major long lead item packages. Work, civil job has also started on field. That's the major development which I can share with you right now. The work is going on in full steam.

Probal Sen: All right sir, that's all from my side

Moderator: Thank you, the next question is from the line of Puneet from HSBC.

Puneet: Thank you very much, my first question is with respect to the Gopalpur terminal. If you can also talk about what is the progress there in terms of environmental approvals and any start, etc.?

Saurav Mitra: Okay. So, we have already acquired the land. But as you are all aware of the fact that initially, it was an FSRU, now we have converted into a land-based terminal. So, due to this change, the EC has to be resubmitted. And we have resubmitted the EC -- all the details for EC and expecting the clearance soon.

Puneet: Any timeline?

Saurav Mitra: So we have actually given whatever additional information was sought from us. And now it is under process with the concerned authority. It can be as soon as tomorrow or maybe whatever time the authority takes.

Puneet: Understood. That's helpful. And secondly, if you can also comment on what you're seeing in terms of the new LNG deals, what kind of pricing, some color there given the upcoming supply glut globally?

Saurav Mitra: Okay. Again, Vivek can clarify

Vivek Mittal: You would have also noticed that many Indian companies have gone out in the market and tied up volumes on long-term basis. Most of them have capacity at Dahej terminal, including Torrent, IOC, GAIL, BPCL, GSPC, which in a way is good for Petronet, because then it gives sustainability to our existing business because, of course, based on spot prices, there has been volatility. Some of these capacity holders have not been able to bring the cargoes which they are supposed to. That's point number one.

Secondly, going forward, as you rightly mentioned, there is going to be -- I would not say glut, but there is going to be a decent supply of LNG in times to come, specifically end of '27, early 2028, which means that the spot prices could reduce and they should become more affordable to Indian consumers, which in a way helps us in utilization of our terminals.

And we always say that we are future ready, in the sense we have capacity available. And once the volumes are available internationally at sustainable prices and affordable prices for Indian market, the utilization of our terminal will see a substantial increase.

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Puneet: And are you also trying to tie up the long-term volumes on your own balance sheet? Or that's not the attempt at this point of time?

Vivek Mittal: That's not right now on the agenda.

Puneet: Thank you very much and all the best

Moderator: Thank you, our next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Good morning, now that petchem capex is moving full steam as you mentioned, like could you provide the guidance on capex for FY '26 and FY '27?

Saurav Mitra: Okay. So FY '26, I think we have already announced in our earlier conference calls that the total capex will be around INR 5,000 crores. And obviously, petchem consists of the major share of that INR 5,000 crores capex. And going forward, once the project picks up its momentum, definitely, FY '27 will be witnessing the major chunk of the capex towards petchem. Right now,

I don't think it will be correct on my side to come out with the numbers of FY '27. But surely, I think we'll be a

ble to share more details in the upcoming conference calls.

Amit Murarka: Sure, sure. Understood. Also on Kochi, you mentioned that 27% was the highest ever utilization. Once the Bangalore -Kochi pipeline is in place and the connectivity is there, how fast can the volume scale up happen? Like is it only -- the bottleneck is only the pipeline or even the contracts with the customers could take a bit long to come through?

Saurav Mitra: No, I think this has already been clarified by Mr. Vivek Mittal . So we are eagerly waiting for the pipeline to get commissioned. The moment it gets commissioned, there will be an uptick in the capacity utilization.

Amit Murarka: So, contracts, you mean to say, are already in place? Or how is it?

Saurav Mitra: Major contracts are already in place. We also have our contract with ExxonMobil, which we are going to start implementing from next financial year.

Amit Murarka: Okay. Sure. And could you provide the breakup between inventory gain loss, trading gain loss and service cargo for the quarter?

Saurav Mitra: Okay. So, Debabrata, if you can, please.

Debabrata Satpathy: There was no trading gain like last quarter. Inventory gain was INR 41 crores.

Amit Murarka: Thank you.

Moderator: Thank you, The next question is from the line of Maulik Patel from Equirus.

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Maulik Patel Just one question on Dahej. You mentioned that the pricing difference led to this kind of lower term volume and higher regas services. But pricing is pretty much stable, right? I think term volume prices is still much cheaper than the spot prices. Or is th at something related to scheduling of the cargoes you obviously discussed at the beginning of the year, which led to these lower volumes

Saurav Mitra: Got your point. Vivek, if you can please

Vivek Mittal: So, you are right that it was primarily because of scheduling. And sometimes what happens that offtakers take higher volume in the previous quarter, which needs to be adjusted in the subsequent quarters. So it is more to do with more of scheduling rather than to do with pricing, I would agree.

Maulik Patel : Got it. And you mentioned, Vivek, that there is some incremental volume being tied by the IOC, GAIL, GSPC and others, and mentioned that approximately 8 -million -ton volume will come largely from the next year. Have the customers mentioned anything that they want to bring that additional -- this amount of volume to Dahej? Or they will use the existing capacity that they have booked with you as a part of that?

Vivek Mittal: As our DF sir mentioned that we are already in discussion with some of the existing capacity holders as well as new capacity holders, so that we ensure that these volumes come at our terminal. So, we are already in advanced discussions.

Maulik Patel: Got it, Thank you

Moderator: Thank you, the next question is from the line of Sabri Hazarika from Emkay Global Financial Services.

Sabri Hazarika: Good morning, So I have a few questions. Firstly, this Regas service volumes, so I think 8.25 million tons is what has been booked. Can you give us a rough indication as to how much of that would be like spot and how much of that would be term with respect to the offtakers? I know it's not your prerogative, but just to get some color on that to unde rstand the sensitivity.

Vivek Mittal: Each offtaker is a different peculiar situation. It's very difficult to give how much is on term basis. But as we mentioned that many of these offtakers have tied up volumes on long- term basis starting from '26 onwards. So we expect it to be more ratable and sustainable rather than on an intermittent basis. That's all I can say.

Sabri Hazarika: But this quarter also, the difference was there between spot and term, but still we were able to do 116 TBTU. So that is in line with that 8 million tonnes, 8.5 million tonnes. So despi

te the

odds, we have been able to like to maintain that run rate. Is that right, for this quarter?

Vivek Mittal: Yes, you're right.

Sabri Hazarika: Okay. Secondly, this term LNG, when you report for Dahej, so that includes the ExxonMobil part also which comes to Dahej, right, instead of Kochi?

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Saurav Mitra: Yes, yes.

Sabri Hazarika: Okay. And this is all like priced in at Kochi tariff only, around INR 95?

Vivek Mittal: Yes, you are right.

Sabri Hazarika: And once we have this Kochi terminal coming at full capacity, I mean, if the pipeline is ready, then entire Gorgon volumes will go to Kochi, or the same arrangement is likely to continue?

Vivek Mittal: That will depend on offtakers, how they want us to schedule it.

Sabri Hazarika: Right. Secondly, this Gorgon second part, so that is exactly on the same terms as the first part, right? 14% slope and it's a DES contract, right?

Saurav Mitra: We cannot divulge the commercials.

Sabri Hazarika: Right. But it is like this 1.42 only, right? It's not -- I mean, it will be similar to that only, right?

Because it was supposed to be an expansion.

Saurav Mitra: We will not we will refrain from commenting on this.

Sabri Hazarika: Okay. Fair enough. But yesterday, I think there was an article where your MD mentioned that from next year, March, April onwards, it will start with a 0.5 million ton per annum run rate and scale up to 1.2 million ton. So, we can build that, right?

Saurav Mitra: Yes, yes.

Vivek Mittal: We already have.

Saurav Mitra: Exactly.

Sabri Hazarika: Okay, sir. And last question. Once this Kochi utilization goes up, so there will be again a tariff reset, right, to maintain the return profile?

Saurav Mitra: Again, it's a commercial call. We won't be able to share it in this forum.

Vivek Mittal: If tariff resetting happens, then we will let you know. But at this point of time, we cannot comment on it .

Saurav Mitra : It's too premature actually.

Sabri Hazarika: Right sir, Thank you very much and all the best

Moderator: Thank you, the next question is from the line of Adarsh Hinduja as an Individual Investor .

Adarsh Hinduja: Can you hear me?

Saurav Mitra: Yes

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Moderator: you are audible, please go ahead.

Adarsh Hinduja: Thanks, my question was pertaining to delay in the 5 MMTPA expansion. I'm looking at your past conference call transcripts and in October last year, you told it will be completed by March.

And in Feb, you said it will take another 4, 5 months. And now you're mentioning March 2026.

So if you could comment on this, what's going on, why the delay?

Saurav Mitra: Okay. Okay. I got your point. Yes, we do agree that the initial target was March and then it was shifted to October. But now we are telling end of March FY '26. When I'm talking about March FY '26, it's basically the commissioning of the expanded capacity. And earlier, while we had mentioned March as well as October, that was the mechanical completion.

Now yes, still, I would accept that, yes, there has been some delay in this project. There are definite reasons for this delay, and we have already discussed in our earlier conference calls on the reasons for delay. But maybe for the benefit of this gathering, I would like to repeat the reasons.

Reason number one, monsoon, and reason number two is Operation Sindoor. So both these factors have played a major role in shifting of the commissioning dates as well as the mechanical completion dates. So these are the 2 major factors. And we are trying to cope up with the setbacks with right earnest and should be able to commission this expanded capacity by March 2026.

Adarsh Hinduja: So, would I be correct in assuming that the mechanical aspect has been completed and we're just awaiting commissioning?

Saurav Mitra: Sorry, yo

u are not audible.

Adarsh Hinduja: Would I be right in assuming that the construction is completed and you're just awaiting the commissioning?

Saurav Mitra: No, again, you are not audible.

Moderator: Sorry to interrupt. Adarsh, your voice is coming muffled actually.

Adarsh Hinduja: One second. What about now? Is it fine?

Moderator: Yes, it is fine now. Please go ahead.

Adarsh Hinduja: So, I wanted to ask, would I be correct in assuming that mechanical construction is completed and we are just awaiting commissioning?

Saurav Mitra: No. We are still -- we have not yet completed that -- we have not arrived at that stage. But definitely, I can say, we are very close to completing the project mechanically.

Adarsh Hinduja: Okay. That's great. And what's the total expenditure that's been out there for this?

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Saurav Mitra: On?

Adarsh Hinduja: On the 5 MMTPA expansion, what's the total expenditure?

Saurav Mitra: Okay. Till date?

Adarsh Hinduja: Yes.

Saurav Mitra: So, till date, we have spent around INR 450 crores.

Adarsh Hinduja: Thank you very much for answering questions, Thank you.

Moderator: Thank you, the next question is from the line of Shubham Shukla from Voyager Capital.

Shubham Shukla: Good morning, I wanted to get some light on the possible PNGRB regasification tariff, which might -- like PNGRB is constantly pushing. Can you shed some light on it?

Saurav Mitra: Okay. Sharma ji, if you can clarify.

Gyanendra Sharma: Shubham , actually, these notifications, you may be aware of, are under challenge. And also, this is not questioning or any regasification tariff as you were asking about. This is all about the registration, okay? So, I don't think PLL is under any constraint or anything about the commercials.

Shubham Shukla: Okay, these are not on regasification, but if they're implemented in any way, do we have any quantum that like the amount which can impact on an annual basis to us?

Saurav Mitra: No, not at all. Not at all.

Shubham Shukla: Okay. My second question is like a very broad question. As a country, like the gas consumption growth we are seeing in last 2, 3 years makes me wonder how are we going to achieve the 15% target as the consumption share for the country in the next 4 years from 7 -odd percent now?

Vivek Mittal: Basically, 15% is, of course, government of India's ambition, and we are all striving to achieve that. But as we mentioned previously, next 2, 3 years, we are expecting a glut of LNG Supply or a decent amount of LNG supply to come on stream, which should definitely support

increasing share of natural gas in India's energy basket. So, if not 15%, we are very hopeful that it will increase from current 7% level to 10%, 11% level.

Shubham Shukla: Okay. And what kind of volume as a country we will be -- like if any numbers you can put, say, at 11% consumption share, what kind of volumes are -- we possibly might be consuming, say, 300 MMTPA or something?

Vivek Mittal: Not MMTPA, 300 MMSCMD, you mean.

Shubham Shukla: MMSCMD. Yes.

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Vivek Mittal: Yes, that's 300.

Shubham Shukla: That's all, thank you so much.

Moderator: Thank you, the next question is from the line of Hardik Solanki from ICICI Securities.

Hardik Solanki: Can you just share the regasification revenue...

Moderator: Sorry to interrupt, Hardik. Your voice is coming low. Could you please speak a little louder?

Hardik Solanki: Thank you for the opportunity , can you please share the regasification revenue for the quarter?

And also, can you just clarify what is the current Dahej and Kochi tariff rate?

Saurav Mitra: We could hear your second question correctly and clearly. So, the rates are again something which generally I would not like to discuss in this forum. And I would also request you to please

repe

at your first part of the question.

Hardik Solanki: Regasifi cation revenue for the quarter?

Saurav Mitra: Regas revenue. Okay. Okay. Debabrata, if you can, please.

Debabrata Satpathy: It's INR754 crores.

Hardik Solanki: Thank you, sir,

Moderator: Thank you, the next question is from the line of Nitin Tiwari from Phillip Capital India Limited.

Nitin Tiwari: Thanks for the opportunity , just a few bookkeeping questions from my end. What was the Gorgon's volume on Dahej terminal in this quarter?

Debabrata Satpathy: It's YTD 7 TBTU.

Nitin Tiwari: Okay. And sir, any Ind AS -related impact that you would want to disclose for the quarter?

Debabrata Satpathy: Yes. Ind AS, at the gross margin level, positive is INR 171 crores. And there is a notional forex

loss of INR 84 crores. And at operational expenses level, positive INR 8 crores. So the net impact of that is positive INR 95 crores. And depreciation, INR 82 crores, finance cost, INR 58 crores. So, the net negative at the PBT level is INR 45 crores.

Nitin Tiwari: Net PBT negative is INR 45 crores, you said?

Debabrata Satpathy : Yes.

Nitin Tiwari: Got it sir, That's all from my side.

Moderator: Thank you, your next question is from the line of Dhawal from HDFC Securities.

Dhawal Doshi My question has been answered. Thank you.

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Moderator: Sorry to interrupt. Dhawal, are you there?

Vivek Mittal: His question has been answered, that's what he mentioned.

Moderator: Yes. The next question is from the line of Indrakumar Gupta from PL Capital.

Indrakumar Gupta: Thank you for the opportunity, I just wanted to know what is the strategy or the road map is to get the use or pay dues recovered, because last quarter also we saw some impact on the P&L and this quarter as well. So, I just wanted to understand what is the road map going forward regarding that aspect?

Saurav Mitra: So, we already have a settlement agreement in place. And you must have witnessed that last year also, we could recover the amount on account of use or pay charges. And this year also going forward, we expect the same thing to happen.

Indrakumar Gupta: Any number in mind?

Saurav Mitra: Sorry?

Indrakumar Gupta: Any amount? I mean, any figure if you can possibly recover this year?

Saurav Mitra: Sorry, come again, please. I couldn't get your question.

Saurav Mitra: So, I don't think that number is important at this stage. See, this use or pay settlement agreement we have in place with our promoter companies mainly, and we have very good relations with them and most of our -- 98% of our business is with our promoter companies. So, we don't see any issues in getting the use or pay charges. So number, I don't think as on date is important for us. We are quite confident, we have the bank guarantees in place, and we don't see any scenario of going for encashment of the bank guarantees also. Our promoter companies will be paying us upfront whatever deficit will be there by the time it comes.

Debabrata Satpathy: And our accounts, the CY '22 outstanding is INR 694 crores, which will be up for collection this year.

Indrakumar Gupta: Okay. Okay. And one more question, if I may ask. So last quarter, there was some impact from the FACT where they had a shutdown. So just wanted to know the status, if that is back up, that will take some volumes off from Dahej or Kochi?

Vivek Mittal: They are up and running now. And of course, these shutdowns will keep on happening. So next quarter, we may have some other facility shutdown. This is part of regular maintenance program, which we have for various facilities. Kochi, we come to know because the utilization level is low. So that's the reason Kochi we have to tell. Otherwise, this is a regular activity for all fertilizer or other manufacturing units.

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Indrakumar Gupta: Okay, Thanks for the opportunity.

Moderator: Thank you, the next question is from the line of Sagar Sanghvi from JP Morgan.

Sagar Sanghvi: am I audible?

Moderator: Yes, you are audible, please go ahead.

Sagar Sanghvi : Okay. I just had one question. If you could throw some light on competition and competitive intensity in the regasification facilities in India. I was just noticing this quarter, Indian LNG import seems to have risen, but overall, at a company level, we've kind of fallen a bit. Is this some one -off, or is there some structural trend to this?

Saurav Mitra: See, in any business, if new infrastructure capacity is created or new terminals have come up by way of greenfield or brownfield expansion, there will be initial restructuring of the business. But going forward, as told earlier by Mr. Vivek Mittal, we are expecting the LNG volumes to go up in the near future from 7% to 10% to 11%. Keeping in mind, we have also gone ahead for our expansion.

And we are also coming up with a new terminal in the East Coast in Gopalpur. So in this business, infrastructure has to precede the demand. So there is an inherent demand available in

the market. Only thing is that the capacity to absorb that demand has to be created, and we are doing the same.

So if you have observed that there is a shift in the near term of the cargoes moving from one terminal to another, it's a short-term phenomenon. And we are quite confident that going forward, with our expanded capacities in Dahej as well as the new terminal coming up in Gopalpur, we'll be able to serve the country moving towards a gas-based economy going forward.

Sagar Sanghvi : Well, understood, sir. Just a follow-up then. The 7% to 11% growth that you mentioned, which sectors are you banking on in terms of leading this growth?

Saurav Mitra: So, there are quite a few sectors. Like, I would say, petchem, refining, power, fertilizer, mining equipment, then LNG as a transport fuel, CBG. So -- CGD, sorry. So, these are the major areas of growth that we going forward will witness.

Sagar Sanghvi : All right. Is it fair to assume CGD will lead the growth amongst the pack?

Saurav Mitra: Yes. Yes, definitely.

Sagar Sanghvi: Thank you so much for answering questions

Moderator: Thank you, the next question is from the line of Bineet Banka from Nomura Holdings.

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Bineet Banka: Thank you for the opportunity, sir, so following up on UOP. So, I think as of 2Q FY '26 end, cumulative provisions are around INR7.4 billion. And I understand that most of these provisions were created between third quarter FY '22 and fourth quarter FY '23. So how much of these provisions will be written back over the next 2 quarters? Because I believe you said INR 694 crores is something you're looking at. So, can you give a number?

Debabrata Satpathy: By the time we reach December, actually, about 87.5% of this INR 695 crores would have been provided for. So, this will be the reversal basically.

Bineet Banka: So, in the third quarter, we can expect around INR 650-odd crores reversal?

Debabrata Satpathy: See, third quarter of the financial year is the settlement quarter, that quarter end. But as you can see from the past trend that the BGs are actually live till the end of March. So, the exact settlement will happen in the fourth quarter only. And the reversal will also be taken in the fourth quarter once the payments are deposit.

Bineet Banka: Okay, sir. And my second question is on other expenses. So why it was -- I think it was up quite a bit if you look at the quarterly trend over the years?

Debabrata Satpathy: See, because we have mentioned that in the lease accounting, there is a forex loss of INR 84 crores, notional forex loss. So, if you take that out, then the other expenses will be in line.

Bineet Banka: And sir, what is this

pertaining to the forex loss? Is this on payables in U.S. dollar terms for Qatar Energy or something else?

Debabrata Satpathy : No, no. We have done the lease accounting majorly on the vessels that we have chartered for the Qatar Gas volumes. So, on those vessel charters, if you can see the balance sheet, there is a lease liability, which is in U.S. dollars, approximately around a little less than \$300 million right now.

So, there was an impact of about INR 3.25 per dollar in this quarter. And that amounts to about INR84 crores notional forex loss.

Bineet Banka: Sir, what do you think about trying to hedge this exposure? Because this is something which creates volatility on earnings every quarter. So why not just hedge this? And since you already have a lot of cash in rupee terms, so maybe you can also look at parking some of that money in U.S. dollars.

Debabrata Satpathy: See, these costs are actually passed through to the offtakers as per our contract. So, it is a natural hedge basically.

Bineet Banka: Okay sir, Thank you.

Moderator: Thank you, the next question is from the line of Somaiah from Avendus Spark.

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Somaiah: Thank you for the opportunity for few questions. So, first thing is on this Qatar contract where we got it extended. And also with respect to offtakers, we did mention, from a volume standpoint, we have back-to-back sign up. But on the pricing, still it was not finalized. Any

update there in terms of timeline or what to expect there?

Vivek Mittal: Firstly, pricing is also on a back-to-back basis. And the discussions for signing those agreements are already ongoing. So, we are hopeful in the next few months' time, we should be able to conclude these offtake agreements.

Somaiah: Sir, I was looking at more from the tariff standpoint. The existing tariffs, I mean, the continuation at similar levels and the continuation of the 5% loss.

Vivek Mittal: We can't divulge these details. Sorry.

Debabrata Satpathy: Actually, at this point in time, we cannot talk about that, but we have told the investing community that kindly wait for us till we talk about this once the conclusion of the contract is done contrary to whatever rumours are going on in the market.

Somaiah: Got it, sir. Any timelines around when we expect another 2, 3 months or for the discussions to kind of get over? Any timeline around this?

Saurav Mitra: We expect that we should be able to come up with some good news by March FY '26.

Somaiah: Got it, sir. Sir, second question is on the cash position. Quite a strong cash buildup. Yes, we are doing a couple of projects, but any thoughts on higher payouts or this will be completely utilized for the expansion projects, sir?

Saurav Mitra: Okay. No, we would like to keep the dividend payment at the same level as we have been doing it in the past.

Somaiah: Okay, sir. Sir, on Gopalpur and petchem, timeline and capex, if you could just highlight it again, if possible?

Saurav Mitra: So Gopalpur, I have already told that we are awaiting the EC clearance. There is a revised requirement of EC due to the technical difference between an FSRU and land-based terminals.

So, we have submitted whatever additional documents and information that were required by the authority.

So, we are awaiting the clearance from the authority side. The moment it comes, we'll be able to do it. And we expect that going forward from now onwards, it will take around 3 years, subject to obviously obtaining the EC clearance. And petchem, there is no shift in the timeline as of now.

Somaiah: Got it, sir. Any capex number for Gopalpur for now, sir?

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Saurav Mitra: As I told you earlier also, we have acquired the land, and that is a major capex that we have incurred till date.

Somaiah: Sure sir, Thanks

Moderator:

Thank you, the next question is from the line of Yogesh Patil from Dolat Capital.

Saurav Mitra: Sorry, Mr. Patil, you are from which company?

Yogesh Patil: Dolat Capital, sir.

Saurav Mitra: Okay.

Yogesh Patil: So, Yogesh Patil here from Dolat Capital. So, Thanks for taking my question, So the question is related to the capital expenditure. Sir, as per reported cash flow statement, we have spent INR 525 crore s amount in the first half FY '26, while we are guiding the capex of INR5,000 crores for full year FY '26. So, the capex jump from INR 500 crores to INR 5,000 crores in the next 6 months, if you could give some guidance on that side?

Saurav Mitra: Okay. So, the major capex basically will be incurred in 3 projects. Number one, obviously, petchem. Number two, we have kept a large chunk of capex for our Gopalpur terminal. But again, as I've told you, that all depends on the timely EC clearance. And the third one is the J etty. So both the work progress in J etty and petchem are going on sch edule.

And so far as the capex on petchem is concerned, I would say that you will see a major capex during the H2 of this financial year. Reason being because the major work packages have been already awarded and a few major ones are in the pipeline at advanced stages of award. So the moment these major packages which are in the pipeline will get awarded, you will see a cash flow on that account.

Yogesh Patil: So, a few capex are still waiting to be awarded. So, is there any chance that portion of capex will slip into FY '27, like June '26?

Saurav Mitra: As of now, we don't expect that. We don't expect that.

Yogesh Patil: Okay. So, you have found that in FY '26, the capex number would be around INR 5,000 crores?

Saurav Mitra: Yes. As of now, subject to condition that we get the EC clearance of Gopalpur on time.

Yogesh Patil: Okay. Second question related to our Regas contracts renewal with the offtakers. So, what exact month of the year these contracts are going to end? And it will again resume post renewal. So, is it December 2027 or March 2028?

Vivek Mittal: The existing contract is till April 2028. And immediately after that, the new contract kicks in.
Yogesh Patil: So, 2028 March
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Vivek Mittal: Sorry?
Yogesh Patil: Is it the month of March 2028 or some other month, sir?
Vivek Mittal: April 2028.
Yogesh Patil: Thanks a lot sir and all the best.
Moderator: Thank you, the next question is from the line of Aman Chowdhary from Jefferies Financial Group. Aman, are you there?
Aman Chowdhary: Am I audible?
Moderator: Actually, your sound is coming muffled. As this participant's line got disconnected, we'll move on to the next question. The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.
Sabri Hazarika: Thank you for the opportunity once again, So I just have a bookkeeping question. This provision that you've taken, I think, INR 740 crores. So, can you break it up between CY '22 and '23?
Debabrata Satpathy : Yes, Sabri. For CY '22, the provision till date is INR 520 crores. And CY '23 is INR 203 crores and CY '24, INR 12 crores.
Sabri Hazarika: Okay. Fair enough. And second is, any guidance you would like to give on FY '26 volumes? Are we at the same level right now? Any color on that?
Debabrata Satpathy: FY '26 overall year you are asking?
Sabri Hazarika: Yes, this year, this year.
Debabrata Satpathy: See this is difficult. Actually, we have to see -- you know that the winter -- there are 2 major points, the monsoon and the winter. So, the next milestone is approaching. We have to see how harsh or how soft the winter is globally. So, it will depend.
Sabri Hazarika: Right. And right now, are we at the same level of utilization, if you could state that?
Debabrata Satpathy: Yes, you can also take that from the PPAC guidelines
as well. So same level of kind of important utilization is going on.
Sabri Hazarika: Thank you so much.
Moderator: Thank you, the next question is from the line of Aman Chowdhary from Jefferies.
Aman Chowdhary: Sorry, I got cut off. Just wanted to ask how much capex have we done in FY '26 and till date in the petchem plant that we are building?
Saurav Mitra: Okay. So petchem plant, we have spent around INR 600-plus crores.
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Aman Chowdhary: This is till date, right?
Saurav Mitra: Yes. Till date.
Aman Chowdhary: And out of the INR 533 crores that we have done as a company in FY '26 first half, how much would that be for the petchem plant?
Saurav Mitra: Major portion will be on petchem only.
Aman Chowdhary: Okay sir, Thanks .
Moderator: Due to time constraint, that was the last question for today's conference. I now hand the conference over to the management. Thank you, and over to you, sir.
Saurav Mitra: Thank you. And I would like to end by stating that we remain committed to India's energy security and sustainable growth. Thank you for your support. Thank you once again.
Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Petronet LNG Limited

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Tel.: 02641 -257249 Kochi LNG Terminal:

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CS/PLL/LISTING/ Reg-30/2026 Date : 20th February 2026

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 13th February 2026

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ear Sirs/Madam,

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his is with reference to our intimation dated 10th February 2026 and 13th February 2026 intimating holding Conference Call of the Company scheduled on Friday, 13th February 2026 at 1100 Hrs (IST) for unaudited financial results of the Company for the quarter and nine -month ended 31st December 2025 and uploading audio recording post Conference Call respectively.

In

terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference c all as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

GGM & President - Company Secretary

Encl: as above

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Q3 FY '26 Earnings Conference Call"

February 13, 2026

MANAGEMENT : M R. SAURAV MITRA – DIRECTOR , FINANCE & CHIEF

FINANCIAL OFFICER – PETRONET LNG LIMITED

MR. RAKESH CHAWLA – EXECUTIVE DIRECTOR ,

FINANCE & ACCOUNTS – PETRONET LNG LIMITED

MR. VIVEK MITTAL – GROUP GENERAL MANAGER

AND PRESIDENT , MARKETING – PETRONET LNG

LIMITED

MR. GYANENDRA KUMAR SHARMA – GROUP

GENERAL MANAGER AND PRESIDENT , MARKETING –

PETRONET LNG LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER ,

FINANCE & ACCOUNTS – PETRONET LNG LIMITED

MR. VIKASH MAHESWARI -- DEPUTY GENERAL

MANAGER , FINANCE & ACCOUNTS -- PETRONET LNG

LIMITED

MODERATOR : M R. NITIN TIWARI – PHILLIP CAPITAL INDIA LIMITED

Annex-1

Petronet LNG Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Petronet LNG Limited Q3 FY '26 Earnings

Call. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari. Thank you, and over to you.

Nitin Tiwari: Thanks, Nina. Good day, ladies and gentlemen. On behalf of PhillipCapital India Limited, I welcome everyone to today's earnings call. From the management team of Petronet LNG, we have the pleasure of having with us today, Shri Saurav Mitra, Director of Finance and CFO; Shri Rakesh Chawla, Executive Director, Finance and Accounts; Shri Gyanendra Kumar Sharma, GGM and President, Marketing; Shri Vivek Mittal, GGM and President, Marketing; Shri Debabrata Satpathy, General Manager, F&A; Shri Vikash Maheshwari, Deputy General Manager, F&A.

I will now hand over the floor to the management for their opening remarks, which shall be followed by a question -and-answer session. Over to you, sir.

Saurav Mitra: Good morning. I am Saurav Mitra. Thank you for joining us for the earnings call for the quarter ended 31st December 2025. I'm pleased to share that the company has delivered a strong operational and financial performance during the current

quarter, supported by improved capacity utilization and operational efficiencies.

During the quarter, the overall LNG volume processed by the company stood at 233 TBTU, reflecting a growth of 2% over both the previous quarter and the corresponding quarter where volumes stood at 228 TBTU each. At the Dahej terminal, volume throughput during the current quarter was 214 TBTU compared to 211 TBTU in the previous quarter and 213 TBTU in the corresponding quarter. Capacity utilization at Dahej improved to 94%, up from 92% in the previous quarter and 93% in the corresponding quarter.

At Kochi Terminal, P L L achieved the highest ever capacity utilization of 29% during the current quarter.

On the financial front, the company reported PBT of INR 1,144 crores for the quarter, registering a 6% growth of PBT over the previous quarter, which stood at INR 1,083 crores. The PBT of the corresponding quarter stood at INR 1,169 crores. Profit after tax for the quarter stood at INR 848 crores, reflecting a 5% growth over PAT of INR 806 crores in the previous quarter. The PAT in the corresponding quarter was INR 867 crores.

For the 9 months ended 31st December 2025, Dahej processed 632 TBTU as compared to 686 TBTU during the corresponding 9 months. The overall LNG volume processed by the company during the current 9 months stood at 682 TBTU as against 729 TBTU in the corresponding period. During the current 9 months, the company reported a PBT of INR 3,363 crores compared to INR 3,829 crores in the corresponding 9 months. Profit after tax for the current 9 months stood at INR 2,505 crores as against INR 2,856 crores in the corresponding period.

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With this, we open the house for the Q&A session. Thank you.

Moderator: Thank you very much. The first question comes from the line of Puneet from HSBC. Please go ahead.

Puneet: My first question is if you can talk a bit about your contracts that you signed with ONGC for ethane, et cetera. What are the broad terms of those? It will be very helpful?

Saurav Mitra: Okay. So first of all, I won't be able to share the commercial terms because that is -- that those are sensitive information, which I cannot disclose in the public. And so far as the broad contours of the agreement, I would request Mr. Vivek Mittal, Group General Manager, to speak about it.

Vivek Mittal: So I presume you're referring to the regasification agreement, which we signed recently. So it's a master regas agreement, which is a framework agreement, wherein if ONGC brings cargo, then the terms and conditions, which includes the storage period, what would be the regas charges, what would be the penal provisions for the use of a provision. So all those contours are covered under that agreement.

It is a standard agreement like any other regas agreement, which we have signed with the long-term capacity holders. Aim is also that we convert this into a long-term capacity agreement with ONGC. So in that direction, we have signed this framework agreement.

Puneet: Second question is on the UOP charges. Is it fair -- am I understanding correct that another INR 48.9 crores were due -- still stand due end of CY '25?

Debabrata Satpathy : Yes. It is INR 49 crores as you said. That has arisen in CY '25.

Puneet: And what is the update on the liquidation of the balance dues? Any progress?

Debabrata Satpathy : See, as you know that the CY '21 has already been paid up. For the CY '22 dues, the due date was 31st December. However, the bank guarantees are valid till 31st of March. So yes, so the receipts can be done before 31st of March, endeavor is being done for that. And CY '23, it is --

the sunset has not arrived yet as per the settlement agreement.

Puneet: So there's no bank guarantee for '23, you said?

Debabrat

a Satpathy : '23 also, most of the customers, we have received the bank guarantees and the contract.

Puneet: So by March, the '22 liability should be settled, right?

Debabrata Satpathy : Yes.

Puneet: And lastly, just if you can give that number for service income and any capex project that you want to talk about?

Debabrata Satpathy : Service income has been INR 865 crores in the quarter.

Moderator: Next question comes from the line of Anchal Shah from AMBIT Capital.

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Anchal Shah: Sir, am I audible?

Moderator: Yes, sir, you are.

Anchal Shah: Sir, latest and long-term data shows that the rival terminals in the similar vicinity to Dahej are not able to ramp up volumes versus PLL Dahej. So sir, is it because of PLL Dahej having long-term contracts due to better network connectivity? Or is it the pricing power? So if you can give a sense of this dynamics and if any customer wants gas in that area, why the incremental volumes come to Dahej versus the rival terminals? This is question number one, sir.

Saurav Mitra: Okay. So shall we go question by question?

Achal Shah: Yes, sir.

Saurav Mitra: Okay. So you have already answered the question that you have raised. PLL Dahej terminal enjoys some critical advantages in terms of evacuation because any terminal, simply having the regas capacity doesn't -- cannot function to its fullest capacity and efficiency. So Dahej terminal, the present capacity is 17.5 MMTPA, and we are ramping it up to 22.5 MMTPA by the end of this financial year. But it already has evacuation capacity of 35 million metric tons. So this gives an added advantage to Dahej over other competitor terminals, number one.

Number two, as we have already said, the pricing, we are one of the lowest cost operator and our charges are also one of the lowest in the industry. So the third factor is the storage factor.

Dahej gives a unique facility to all its customers of not only regasification at a very low rate, but also provides them with huge storage capacity. So we have 8 tanks over there. And none of the terminals in India are having so much of storage capacity, which gives flexibility to the offtakers in its operations.

Achal Shah: Got it, sir. Sir, can you give a sense of how much time it would take for this incremental 5 MMT ramp-up utilization?

Saurav Mitra: I've already told we will be mechanically completing the construction by end of this financial year. So 31st March is our target to complete its -- mechanical completion.

Achal Shah: So sir, what I meant by that is like how much time it would take for that 5 MMT to get utilized like at, let's say, 80% or 90% or 100%?

Saurav Mitra: Okay. So see, LNG business, it's a mix of long-term agreement as well as spot agreements. And it is neither good for any consumer or a country to 100% depend on the long-term agreements or the spot contracts. So we have kept our facilities for both spot cargoes as well as long-term cargoes. So in this regard, we are already talking to many of the customers, and these are all at advanced stages.

And we have already experienced that in the last IEW, we have signed agreements with MGL for servicing their cargoes, and buying cargoes on their behalf. So slowly and slowly, we will try to match the ramp-up capacity with our customer -- lining up customers for better utilization of the terminal.

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Achal Shah: Sir, just one follow-up here. So is it safe to understand or assume that whatever this 5 MMT capacity utilization would come from incremental import in India versus taking market from rival terminals in the similar vicinity?

Saurav Mitra: You are correct. You're correct. There is an increasing gas demand, which is evident from the performance of our -- both the terminals at Dahej and Kochi. So with favorable gas prices, which

we are expecting in the coming years because of a lot of liquefaction facilities coming up in Middle East, U.S., Mozambique. So there will be affordable LNG in the market and it will definitely increase the gas consumption in the country. And we are actually sprucing up our facilities to cater to the demand of the -- cater to the incremental demand.

Achal Shah: Got it, sir. Sir, my second question is on the EBITDA or, let's say, the PBT contribution from these new investments in petchem, Gopalpur and the third jetty. So could you give a sense of what could be broad line numbers for these with respect to financials? Like we all know the investment and the time lines, but how much contribution at EBITDA level or at the gross margin level are we expecting from these new investments?

Debabrata Satpathy : Yes. See, we have maintained that for this petrochemical, we are yet to finalize the commercial contracts. You have seen in the past that we have done a 600 KTPA contract with ONGC. Now these contracts are being made. So these details are sensitive, and we are not sharing it in any of the forums. That is the reason why it is not being shared. But as and when all the commercial contracts will be done in due course of time, we will come out with the numbers.

Moderator: Mr. Shah, you may rejoin the queue for the follow-up question. The next question comes from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: Sir, a couple of questions. INR49 crores use or pay will become a part of receivable or it will be treated separately? Need small clarification on this, sir.

Debabrata Satpathy : As on 31st December, it is not part of receivable. It is -- as you know that the user pay charges are charged as a penalty or LD, and we recognize the revenue. So the revenue has been recognized right now, and it has been -- and the due date has not arrived yet because we have just issued the invoice, etcetera, communication, etcetera.

Yogesh Patil: Okay, sir. Fair enough. Second question on the capital expenditure. How much capex we have done in the 9 months? And what is the plan for FY '26, '27 and '28, if you could throw some light on the numbers?

Rakesh Chawla : See, we are expecting to have the approximate capex of till -- by March around INR 3,000 crores in this year. We have targeted slightly more than that, but due to petchem orders in process, we will be restricting our capex during the year around INR 3,000 crores. So next year, we are targeting to spend around INR 9,000 crores. Main outflow will be on account of petchem and then followed by jetty. So others are very small, small items. The total capex outflow will be around INR9,000 crores.

Yogesh Patil: In FY '28, it would be the same in the range of INR 9,000 crores?

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Rakesh Chawla : No. See, by FY '28, the additional item will be Gopalpur. So we are expecting by that time, Gopalpur construction will also start. And right now, it will be difficult to estimate the correct number because most of the capex will be -- cash outflow will be over in case of petchem and the addition will be Gopalpur. So as of today, I can tell you only about the next financial year, but overall capex should not be more than this in next year.

Yogesh Patil: Last one from my side. Any discussion or updates on the 7.5 MMTPA capacity for the regas type negotiations with the offtakers? And when can we expect the final conclusion on this matter? Any time line, if you could provide?

Vivek Mittal: We are working on various business models for it. So as of now, I cannot give you a firm time line, but we are hoping that next 6 to 8 months, we'll have a better clarity and probably -- hopefully, we could have done some agreements as part of the 7.5 million tons.

Yogesh Patil: But there are a number of offtakers. Any one of you have started negotiations and the things are...

Vivek Mittal: It is not separate individual negotiations. So we are already in discussions with all of them, and they're not multiple. They are only 3; GAIL, IOCL and BPCL, which is the existing agreement also. So in line with that, we are having some discussions. Certain commercial arrangements have already been frozen, certain agreements are yet to be executed.

Debabrata Satpathy : And on the -- just to add on the INR 49 crores user pay dues, that is -- the revenue has been recognized. The cash is yet to be received.

Moderator: The next question comes from the line of Pranitha Shetty from Morgan Stanley. .

Pranitha Shetty: I just wanted to understand, is there a bit of discussions when you're -- on the expanded capacity when you're having discussions with the potential clientele, is there discussions on -- they are looking for a longer-term contracts or are they looking for something more spot in the near term? Or is there any discussions on the regas charge what you put in? Like I wanted to understand the impact of competition there specifically? That's my first question.

Vivek Mittal: Dahej has always been offering competitive tariffs. So our aim and endeavor will always continue to be that. And in this regard, yes, we are having discussions both on spot, short-term, midterm and long-term basis with the existing capacity holders as well as new capacity holders. And in that direction only, we recently signed agreement with ONGC, which was currently for spot short term, but eventually, we aim to convert it into a long-term capacity agreement. And regas charges, we have standard regas charges, but there could be certain incentives if they do additional volumes. So we are still working on that agreement.

Pranitha Shetty: Right, sir. And I just wanted to understand any updates on the Gopalpur terminal, what you're setting up?

Any updated time lines on those? I'm sorry, I missed the earlier part of your call.

Saurav Mitra: It's okay. No problem. Gopalpur, we are actually in discussion with the Ministry of Environment for environment clearance, and we expect -- they have sought certain more clarifications, which we have already submitted, and we expect the results -- positive results to come out very soon.

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Pranitha Shetty: I just wanted an update on petrochemical capex as well. I know that you're doing a bulk of the capex next year. Is this time lines what we had discussed earlier still stand?

Saurav Mitra: Sorry. Can you please come up with a question once again.

Pranitha Shetty: One minute. Am I clearer right now?

Saurav Mitra: Yes.

Pranitha Shetty: So in regard to the petrochemical capex, the PDH PP plant, any update on the commissioning of those projects?

Saurav Mitra: Well, the plant construction is on track. And we expect bulk of the capex during the financial year 26-27.

Pranitha Shetty: And commissioning, sir, like what is the target right now?

Moderator: Ms. Pranitha Shetty, you may rejoin the queue for the follow-up question. The next question comes from the line of Somaiah from Avendus Spark.

Somaiah: Sir, first question on the annual escalation that we taken Dahej, so for this year, Jan, that's been taken, if you can confirm on that?

Debabrata Satpathy: Yes, it has been taken.

Somaiah: Got it, sir. Sir, also on the utilization front, Kochi, we have been seeing improvement. It has moved almost to 30% now. So if you could just help us with details in terms of increased -- reasons for the increased offtake and also the Kochi Bangalore pipeline, the status and what is your expectation for next year?

Vivek Mittal: Kochi terminal, you rightly mentioned that there has been increase in offtake, primarily as the prices softened. So there was incremental offtake from the existing customers, which primarily include MRPL, OMPL and Kochi refinery. So primarily on that account,

this incremental offtake

was there. And as far as pipeline connectivity is concerned, GAIL has been still maintaining March 2026, but we believe by June 2026, we should be connected to natural gas to Kochi,

Kuttanad, Bangalore, Mangalore pipeline.

Somaiah: Got it, sir. The last question is on this 5 MMT expanded capacity. Based on whatever contracts or discussions that we had so far, what is our expectation in FY '27 in terms of utilization of this capacity?

Vivek Mittal: We don't give that at this point of time. As and when the contract is firmed up, we'll, of course, declare -- send the notification to SEBI and the NSE and BSE. But at this point of time, we cannot.

Somaiah: Okay. So trading gain and inventory -- gain or loss in this quarter?

Debabrata Satpathy: There has been no trading gains and inventory gain is INR 27 crores.

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Moderator: The next question comes from the line of Mayur Patel from 360 ONE Asset.

Mayur Patel: Some of the questions got answered. Was -- Kochi, you said June is the pipeline connectivity expected. Thanks for that. Second thing is given the large capex plan for the next year also, is it fair to assume that we'll still be able to maintain around 40% dividend payout?

Saurav Mitra: Can you please repeat the question?

Mayur Patel: I think our dividend payout has been very healthy in the range of 40% to 50% of profits. So given that you said INR 9,000 crores capex in petchem would happen in FY '27. In FY '27 also, despite that, we'll be able to manage 40% payout on dividend?

Saurav Mitra: We have a healthy cash balance carrying in our books. So we expect to maintain the similar range of dividends.

Mayur Patel: Okay. And Gopalpur, is it fair to assume that when we'll start the construction, we'll have some visibility about the evacuation connectivity of pipeline and also the offtaker, at least in principal demand from the offtakers?

Vivek Mittal: That's what we are working on. In fact, the aim is to tie up at least some part of the capacity before we start construction. And as far as pipeline connectivity is concerned, so there is already Srikakulam -Angul pipeline, which is around 30 kilometers from the proposed location. So for that, the connectivity would be done by company, this 30 kilometres, but rest of it is already in place.

Moderator: The next question comes from the line of Hardik Solanki from ICICI Securities.

Hardik Solanki: I just want to check on what was the petchem capex till date? And you mentioned that the next

year petchem -

Saurav Mitra: Mr. Solanki, you're not audible.

Moderator: The line for Mr. Solanki has been disconnected. We will move forward with the next. The next question comes from the line of Adarsh Sunil, an individual investor.

Adarsh Sunil: Can you hear me okay?

Saurav Mitra: Yes, please go on.

Adarsh Sunil: Firstly, congratulations on the great performance. My questions are regarding the Economic Times article. First question was that with the U.S. trade deal, Petronet might buy LNG from U.S. So given that we already have long-term existing contracts, do we have bargaining power on the price? Or will we be buying this at a higher price? Second question, for the gas energy plants in India, at what price does it become feasible for them to use LNG as from the article, the usage is pretty low, less than 25%, if I'm not wrong?

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And third question is regarding the Dahej expansion. At India Energy Week, I was made aware that the 5 MMTPA additional storage is already in place, so we can expect it to finish by the end of this financial year?

Saurav Mitra: Okay. So first of all, thank you. Thank you for the compliment. And secondly, I will come to the point of buying LNG from U.S. Yesterday, during the press meet, our MD has already clarified that su

ch a deal is only possible if LNG is available at an affordable price. Number two.

The second -- what was the second question? Can you please repeat?

Adarsh Sunil: Regarding the gas -- domestic gas, they are not taking -- buying a lot of LNG because of the price. So at what price it becomes favorable?

Saurav Mitra: I cannot give an exact number over this call. But definitely, it has to be competitive with respect to the other alternative fuel options. Definitely, when I'm selling alternative energy options, I'm not comparing it with whole. But yes, maybe if we take the pricing available today of other alternate fuels, something around \$7 to \$8 per MMBtu would be, I think, affordable for the power industry to get up and running.

Adarsh Sunil: Got it. Sounds good. And then the Dahej terminal expansion, we are expecting it by the end of this year -- end of this financial year?

Saurav Mitra: Yes, I have already announced that we will be mechanically completing it by end of this financial year.

Moderator: The next question comes from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: Just one question from my side. Sir, third party regasification charges for Q3 FY '27, how much it was?

Vikash Maheswari : INR779 crores.

Nilesh Ghuge: Sorry, sir?

Vikash Maheswari : INR779 crores.

Moderator: The next follow-up question comes from the line of Hardik Solanki from ICICI.

Hardik Solanki: Sir, what is the capex for the petchem we have spent till date? And as you mentioned that INR9,000 crores will be spent in next year. So how the INR 21,000 crores will be spent in the next couple of years? Can you just give a time line on that?

Rakesh Chawla : Till March '26, which is current year ongoing, total petchem outflow will be approximate say, INR 2,300 crores. And next year -- budget year, which is March '26, till March '27, petchem we are expecting around INR 7,500 crores. So here, it becomes total around INR 10,000 crores. Total hard cash outflow may not be INR 20,000 crores because it includes soft cost, including interest during construction period, etcetera. And balance will be outflow in next 2 financial years because certain payment will continue even after commissioning because second part [slightly inaudible] is stopped.

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So till March '27, we are expecting around INR 10,000 crores total petchem capex. When I say INR9,000 crores total budget, it takes care of jetty and other miscellaneous capex as well. So INR7,500 crores around for petchem and balance for other activities.

Hardik Solanki: Okay. So even if we assume instead of INR 20,000 crores, if the capex is INR15,000 crores, so the next INR 5,000 crores would be in FY '28, right?

Rakesh Chawla : See, right now, exact breakup, I am not giving anything, but it is around, say, balance will not be even INR 10,000 crores. I told you it includes interest in construction also and other soft costs.

Hardik Solanki: Got it. Sir, in terms of the renewal of the contract, I just want to know whether the tariff escalation clause will be applicable?

Vivek Mittal: These are commercial sensitive information. We cannot disclose it over the call. It is -- it should be there. And -- but we cannot give you any further guidance on this at this point of time.

Moderator: The next follow-up question comes from the line of Achal Shah from AMBIT Capital. .

Achal Shah: Sir, can you give a broad sense of the 17 MMT at Dahej. So how much of this volumes would be price sensitive versus non-price sensitive? And also, do I understand that either they have use-or-pay or take-or-pay, but sometimes they don't take the volumes and move to alternative fuels. So can you give a broad sense of this dynamic?

Vivek Mittal: So we have already -- as you know, we already have 2 major agreements. One is for 7.5 million tons and another for 8.25 plus recently,

we signed 0.5 million tons. So 16.25 million tons is already committed on a long-term basis or midterm basis on firm use-or-pay or take-or-pay basis. So in addition to this, we do on spot short-term basis capacity booking, which is on top of the 16.25 out of the 17.5 existing capacity.

Achal Shah: Sir, these long-term contracts are, if I'm not wrong, till 2028, is it?

Vivek Mittal: So as you know, the Ras Gas SPA, which is with Qatar, is till 2028, which has now been renewed for another 20 years. So it runs to 2048. The capacity agreement, most of these capacity agreements are till 2036.

Moderator: The next follow-up question comes from the line of Somaiah from Avendus Spark. .

Somaiah: Just a clarification on the petchem capex that you have said. So just want to know the total project capex, if you could just repeat and also the INR 7,500 crores the breakup that you said, if you could just repeat?

Rakesh Chawla: See, total capex approved by the Board for the Petchem project is INR20,685 crores. Now this takes care of escalation, depreciation, rupee depreciation and interest during construction, etcetera. And what we are expecting, we have placed almost all the orders for all the long lead items. So we will be spending money wherever deliveries are being received or advance against capital orders in next 1 year, current say, starting from April. So why we are expecting that we will be making cash outflow of around INR7,500 crores in next financial year on account of petchem.

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Somaiah: Sir, by end of FY '27, we would have spent INR 10,000 crores out of -- approx. So the remaining has to be in FY 28-29. That's what you are referring?

Rakesh Chawla: See remaining will be FY 27-28 and FY 28-29 because after -- even after commissioning, certain payments remain pending, which are kept on hold for certain tests, et cetera. So, balance payment will spill over in next 2 financial years.

Somaiah: Got it, sir. Also on other projects, specifically Gopalpur, if you could just help us with the expected capex there and the cash outflow will begin from FY '28 onwards?

Rakesh Chawla: See, as already told by our Director Finance that Gopalpur construction will start immediately after certain clearances are pending. So the cash outflow will start immediately thereafter.

Somaiah: So within this INR 9,000 crores of capex for FY '27, INR 7,500 crores is for petchem, what is the expectation for Gopalpur in FY '27?

Rakesh Chawla: Balance is approximately INR 800 crores budget for jetty, third jetty which is under construction. This will also be completing during this year.

Somaiah: Understood. Understood. INR 800 crores for the balance portion of the jetty and then for Gopalpur in FY '27. So just looking at the total capex for Gopalpur and the majority of that will start in maybe FY '28. Is that the right understanding?

Rakesh Chawla: Major capex on Gopalpur will be in FY '28.

Somaiah: And the total project capex, if you could just?

Rakesh Chawla: Jetty, you can rectify it is around INR600 crores, not INR 800 crores, budgeted for '26-'27.

Somaiah: Gopalpur capex, the total capex for Gopalpur?

Rakesh Chawla: See, Gopalpur total capex scheme was around INR 6,000 crores.

Moderator: The next question comes from the line of Indrakumar Gupta from PL Capital.

Indrakumar Gupta: Just one clarification. I missed that part. So capex in FY '26 will be INR 3,000 crores?

Rakesh Chawla: Approx, yes.

Indrakumar Gupta: And my question -- can you please provide some guidance in terms of volumes in FY '27 and FY '28, if possible?

Vivek Mittal: And as of now, you know the firm contracts, which we have already given in the previous question. So as of now, our guidance is based on the capacity book. However, we are making endeavors to book additional capacity. And as prices soften, we are

very hopeful that, that volume should increase.

Moderator: The next follow-up question comes from the line of Achal Shah from Ambit Capital. .

Achal Shah: So sir, in case this pipeline at Kochi terminal, near Kochi terminal gets resolved and the connectivity opens up, where do you see the incremental demand coming from? Is it the CGDs in near Bangalore? Or is it the industrial sector near that area? So can you give a broad sense of how much offtake increasing at Kochi terminal because of this bottleneck getting resolved?

Saurav Mitra: Yes, Mr. G.K. Sharma, please reply.

G. Sharma : Thank you. Your question is quite valid, but let me give a perspective to it. Once it is connected with the national gas grid, number one, part of the question you yourself has answered. Once it is the CGD demand, as you know, it is going to be minimum, minimum four to fivefold in the next 4 to 5 years.

And apart from that, you may be aware of CGDs major flywheel of CNG and domestic PNG demand, irrespective of where they are, the Zone 1 tariff of INR 54 will be applicable. So it doesn't matter which CGD in which part of the country is, the demand needs to be met. And Kochi terminal once connected, so it will be catering to the demand of whole country, number one.

Number two, as you and all of us are aware of, it is expected, LNG prices are going to soften in the next 5 to 7 years, owing to the capacity buildup from supplier side. And as we know, other geographical regions across the world are either saturated or maybe not having that economic growth, which whole world is talking about around 6% to 8% growth -- consistent growth of India, leading to energy consumption, virtually more than 40% incremental energy consumption is expected to come from India.

Because of all these reasons, as we know, it is energy, whichever means is cost effective and ready to propel and fuel the growth, sustainable growth. And such kind of lethal combination perhaps India is at the cusp of the opportunity available in the world. Jaise bolte hai Qayamat jab aapka saath dene lagti hai, so it is like universe is favoring India at this opportune time. And gas demand is expected to more than double in the next 5 to 7 years.

So of course, CGD will be the major demand center, but given the softening of LNG prices, India itself is having ready-made demand of 25 million tons from power. Apart from multiple refineries and petrochemical plants are under expansion and India's capacity buildup of petrochemical itself is likely to double. And as you know, they have the dual facility of either burning their naphtha or gas.

Considering gas prices softening, we are expecting refineries, petrochemical, power, apart from CGD. Every sector will contribute hugely and India is coming big way, and its growth engine will be fed by gas LNG. And Petronet will be one of the beneficiary having the infrastructure already readily available and enhancing its infrastructure at Dahej as well as we are coming at Gopalpur.

I hope I could answer not only to the point question, the larger context. So India is a beneficiary where Petronet will be the major contributor.

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Achal Shah: Sir, just one follow-up here is that can you give some specific guidance with respect to, let's say, Kochi getting -- terminal getting connected with the grid? And then incrementally, how much will come from CGD, assuming it is in Zone 1 and versus, let's say, LNG where there is still that doubt that if spot LNG prices moderate, then utilizations improve. So if some specific guidance with respect to Kochi terminal utilization getting improved, that would be really helpful.

G. Sharma : Even the existing capacity of 5 million tons will fall short. As told I you, CGD demand is going to be multiple fold. So I particularly answered th

is question, fourfold CGD demand increasing.

It is the Kochi terminal, even I think I'm not allowed to say, given the opportunity, we should be in a position to even further expand this terminal. Of course, I'm not giving any speculation, but India's capacity is going to grow.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing remarks.

Saurav Mitra: Okay. Thank you. Thank you for your continued interest and engagement. We sincerely appreciate the trust and confidence reposed in the company by the shareholders, analysts and all other stakeholders. I would also like to say that we remain committed to operational efficiency, disciplined financial management and long-term value creation for the investing community. And thank you once again for joining us today. Look forward to connecting with you in the future.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for

joining us, and you may now disconnect your lines.

Call: May 2026

Petronet LNG Limited

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Taluka Vagra, Distt. Bharuch - 392130 (Gujarat)

Tel.: 02641 -257249 Kochi LNG Terminal:

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P.O. 682508, Kochi

Tel.: 0484 -2502268

CS/PLL/LISTING/ Reg-30/2026 Date: 11th May 2026

The Manager

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001 The Manager

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai – 400 051

Subj

ect: Transcript of post -results Conference Call held on 5th May 2026

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ear Sirs/Madam,

T

his is with reference to our intimation dated 27th April 2026 and 5th May 2026 intimating holding Conference Call of the Company scheduled on Tuesday, 5th May 2026 at 1130 Hrs (IST) for Audited Financial Results of the Company for the quarter and year ended 31st March 2026 and uploading audio recording post Conference Call respectively.

I

n terms of provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of above conference call as Annex-1.

T

his is for your kind information and record please.

Yours faithfully,

Rajan Kapur

GGM & President - Company Secretary

Encl: as above

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etronet LNG Limited's Q4 FY '26 Earnings

Conference Call "

May 05, 2026

MANAGEMENT : M R. SAURAV MITRA – DIRECTOR (FINANCE) & CHIEF

FINANCIAL OFFICER , PETRONET LNG LIMITED

MR. RAKESH CHAWLA – EXECUTIVE DIRECTOR

(F&A), PETRONET LNG LIMITED

MR. GYANENDRA KUMAR SHARMA – GROUP

GENERAL MANAGER &PRESIDENT (MARKETING),

PETRONET LNG LIMITED

MR. VIVEK MITTAL – GROUP GENERAL MANAGER

AND PRESIDENT (MARKETING),PETRONET LNG

LIMITED

MR. DEBABRATA SATPATHY – GENERAL MANAGER

(F&A) , PETRONET LNG LIMITED

MR. VIKASH MAHESWARI – DEPUTY GENERAL

MANAGER (F&A) , PETRONET LNG LIMITED

MODERATOR : M S. KRISHNA DOSHI - ASHIKA INSTITUTIONAL

EQUITIES

Annex-1

Petronet LNG Limited

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Operato r: Ladies and gentlemen, good day and welcome to Petronet LNG Limited's Q4 FY '26 Earnings

Conference Call hosted by Ashika Institutional Equity.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Krishna Doshi from Ashika Institutional Equities. Thank you and over to you, Ms. Doshi.

Krishna Doshi: Thank you, ma'am. Good morning and very warm welcome to everyone. On behalf of Ashika Institutional Equities, I welcome you all to Petronet LNG Limited Q4 FY '26 Earnings Conference Call.

Today, we have with us the management represented by Mr. Saurav Mitra – Director (Finance) and CFO; Mr. Rakesh Chawla – Executive Director (F&A), Mr. Gyanendra Kumar Sharma – GGM and President (Marketing), Mr. Vivek Mittal – GGM and President (Marketing), Mr. Debabrata Satpathy – General Manager (F&A), Mr. Vikas Maheshwari – Deputy General Manager (F&A).

We thank Petronet LNG Limited for giving us the opportunity to host the call and we would now like to hand over the floor to the management for their opening remarks, post which we will open the floor for Q&A.

Thanks and over to you, sir.

Saurav Mitra: Good morning, everybody. I am Saurav Mitra – Director (Finance) and CFO. Thank you all for joining us for the Earnings Call for the

Quarter and Financial Year ended 31st March 2026.

I am pleased to share that the company has delivered a strong financial and operational performance during the current quarter, despite the challenging external environment arising from the ongoing crisis in the Gulf region. The performance reflects the resilience of our operations, the commitment of our teams, and the continued trust of our customers and stakeholders.

Coming to the operational performance:

During the current quarter, the overall LNG volume processed by the company stood at 219 TBTU as against 233 TBTU in the previous quarter and 205 TBTU in the corresponding quarter.

At the Dahej terminal, LNG throughput during the quarter stood at 201 TBTU compared to 214 TBTU in the previous quarter and 189 TBTU in the corresponding quarter. With regard to the operational performance of the Dahej terminal, I must mention that despite the uncertainties in Petronet LNG Limited

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the region, the Dahej terminal continued to operate at strong utilization levels with capacity utilization at 90.1% during the current quarter as against 93.8% in the previous quarter and 85.2% in the corresponding quarter. I am also happy to share that the Kochi terminal achieved its highest ever annual volume throughput of 68 TBTU during FY '25-'26, which is an encouraging milestone for the company.

On the financial front:

The company reported the highest ever quarterly profit before tax and profit after tax in its history during the current quarter. PBT for the quarter stood at INR 1,795 crore as against INR 1,144 crore in the previous quarter and INR 1,446 crore in the corresponding quarter. PAT for the quarter stood at INR 1,338 crore compared to INR 848 crore in the previous quarter and INR 1,070 crore in the corresponding quarter.

For the financial year ended 31st March 2026, the company reported PBT of INR 5,158 crore and PAT of INR 3,843 crore as against PBT of INR 5,275 crore and PAT of INR 3,926 crore in the previous financial year. At the consolidated level, PAT for the current financial year stood at INR 3,913 crore compared to INR 3,973 crore in the previous financial year. During the current quarter, the customers also made payment of outstanding Use of Pay dues amounting to INR 630 crore pertaining to calendar year 2022.

Overall, the performance during the year was supported by operational efficiency, disciplined execution and the continued focus of the company on ensuring reliable as well as efficient

operations across both terminals. Considering the robust performance, the Board of Directors has recommended a final dividend of INR 3 per share for the financial year 2025-2026.

With this, we now open the floor for the Q&A session. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: I just wanted to ask, sir, with respect to firstly the quarter volumes, how has March actually looked in terms of volumes? You talked about utilization of 90%, of course, in the quarter. But if I can just understand in terms of what it was in Jan and Feb and what was the volume shortfall,

if any, in March?

Saurav Mitra: So, the Dahej capacity utilization during March was around 53 % and Kochi was slightly more than 20 %.

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Probal Sen: Okay. So, sir, just as a follow-up, how do we look at basically now FY '27? Of course, you will have the April data with you, but just in terms of this dispute, if it continues to persist, how much of our volumes can be potentially at risk at this point of time?

Vivek Mittal: So, Probal, while DF Sir just mentioned that March utilization was 53%, but things have been improving since early April or in March, and our utilization is

steadily going up. This is primarily

through third-party cargoes, which were in GAIL, IOCL, BPCL, GSPC, Torrent bring in additional volumes, and the prices are now at a reasonable level because immediately after the crisis, the prices spiked to \$25 also. Currently, they are moving to \$15 to \$17. So, with the lowering of prices, we are seeing an increased utilization vis-à-vis March. That's all I can say at this point of time. And yes, if the conflict continues, it's slightly challenging, but the Indian gas demand continues to grow, which is when power sector is again coming back. So, all this is supporting increased utilization of our terminal. As you know, we have expanded our capacity from 17.5 to 22.5. So, in a percentage term, it may look on a lower side, but absolute utilization vis-a-vis last year, it should be comparable.

Probal Sen: Right. So, sir, just additional supplies, are the additional supplies that have been spoken about quite a bit, particularly in the US, are they actually basically playing the balancing factor in the Asian market?

Vivek Mittal: Supply is not just US, US is one of them, of course. But then Oman, which is very close to India, those supplies continue to come in. Mozambique, there are new countries like Nigeria and Congo, we got a cargo from Congo, we got a cargo from Mauritania and Senegal. So, all these new supplies are adding up and this is supporting. And interestingly, you will be aware that a new contract with Exxon, which we signed in 2017, supplies under that contract also started. So, in April, we got the first cargo under that contract. So, in the first case, though, it's 0.5 million ton, but that will also support to displace some part of the volume, which has been lost due to this crisis.

Probal Sen: Got it. So, from a year-on-year perspective, therefore, I mean, we should look at March as just a low base. And from here, it could actually at least improve at the margin from the March lows.

That's how one should look at it, at least the next two quarters?

Vivek Mittal: That's what we believe, Probal.

Probal Sen: All right. So, the second question was with respect to the housekeeping on balance sheet, the big adjustments that have happened in the receivables and the payables, they are all the adjustments made due to the UOP dues and settlement, almost a 2000 crore reduction that we see in both numbers for FY '26 versus FY '25?

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Debabrata Satpathy: So the receivables and payables, actually, because you see March, our own volumes from Qatar Gas were not coming in March. That's why both sides, the receivable and payable are showing lower.

Probal Sen: Okay.

Debabrata Satpathy: Because majorly, that is the LNG payable and the receivable with respect to the RLNG, correspondingly.

Probal Sen: Got it, sir. Last question, if I may, any inventory gains that we have recorded this quarter and the third-party regas revenue for this quarter, if you can kindly let us know.

Debabrata Satpathy: So, the regas revenue is INR 879 crores for this quarter. And the inventory gain is INR 95 crores.

Probal Sen: 95 crores is the inventory gain. All right, sir. I'll come back in the queue. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank you so much and congrats on good performance in this tough quarter. My first question is, have you had any communication with Qatar so far as to what is the status of the trains from which you buy and when the war ends, how soon can they start supplying?

Saurav Mitra: Okay. So, we are in constant touch with Qatar Energy and we are hopeful that the moment this conflict comes to an end, within three to four weeks, supply should resume.

Puneet Gulati: Okay. So, no impact on your trains at all, right? That is very clear now.

Vivek Mittal: Yes, that is what we believe.

Puneet Gulati: Okay, And secondly, on your project on the petrochemical side, are you getting your supplies properly? Is that on track or is that slightly slower?

Saurav Mitra : So, far as the project activity for petrochemical plant is concerned, the project is absolutely on track because the capital equipment generally don't come from the Gulf region. So, whatever imports are there, they come from Japan, Korea, China and from Europe and US. So, that way, so far as supply of equipment, plant and machinery are concerned, there is no issue.

Puneet Gulati: Great. That is all from my side. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Prani tha from Morgan Stanley. Please go ahead.

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Pranitha: Good morning, sir. Thank you for the opportunity. I was just wondering with all the conflicts and the force majeure, I wanted to understand how are you thinking about gas sourcing in terms of diversification and the storage infrastructure for LNG on a medium-term perspective?

Vivek Mittal: So, I am not sure if you have had a look at the certain news clippings today morning or the yesterday press meet which we had. So, yes, diversification from an India perspective is definitely on anvil and we have been over last two or three years you would have seen India has

finally close to 10 million to 12 million tons of long-term deals from the right sources. So, that diversification has always been part of India's strategy. In fact, some of our capacity holders have been the major buyer of this LNG, which include GAIL, Indian Oil, BPCL, GSPC. So, all of them have gone out in the market in the last two years and sourced LNG from portfolio players, US-based companies, Australia-based companies. So, that diversification is already on the anvil and is taking place. As far as our capacity for storage is concerned, yes, on a strategic side, now we are definitely thinking India as a whole, as well as Petronet to develop more tanks so that in times of crisis, those volumes are available for the market so that immediately there is no impact. And on a longer-term basis, we will be working on it and definitely come back to it once we have investment approvals in place for it.

Pranitha: Right, sir. Thank you. And I just wanted a clarification on the earlier comment you made on the Exxon contract. This is the Gorgon contract which you are expecting in Kochi sometime this year, right? It's the same contract?

Vivek Mittal: It's the new contract with ExxonMobil Asia Pacific Private Ltd. It's not a Gorgon contract. It's a, Exxon has, a right to supply from their portfolio, where Gorgon is also one of the primary source. So, it's that contract which is started in April this year. This is in addition to the existing 1.42 million ton contract with Exxon, which is already in place.

Pranitha: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Nitin Tiwari from PhilipCapital. Please go ahead.

Nitin Tiwari: Hi, sir. Good morning. Thanks for the opportunity. So, my first question is actually a clarification on the UOP accounting treatment. So, we received about INR 630 crores, the reversal in P&L for the provision is about INR 495 crores. So, is it right to understand that the rest of about 130 is moved in revenue?

Debabrata Satpathy : See, the reversal actually for CY22, whatever provision we had done, that reversal we did and some provision was written in the current quarter itself for CY '23 and CY '24 as well. So, adjusting that, I mean the reversal adjusted by the current provision, this number has come to 495.

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Nitin Tiwari: If you can help me with that breakdown, sir, I mean, like how much was reversed and how much incremental provision is made in

this quarter, that would be very helpful. Secondly, on basically CAPEX projects, so if you can help us understand that what was our total capital expenditure in FY '26 and what is the plan for '27, how much and the capacity expansion that we have commissioned, have we capitalized that or we are going to capitalize that in the first quarter?

So, I mean, those things if you can give some color on that.

Saurav Mitra : Okay, so far as the capitalization is concerned, yes, we have commissioned the project apart from a particular facility. So, excluding that particular facility which will be commissioned in this current quarter, the entire expansion capacity has been commissioned and capitalized.

Nitin Tiwari: Any amount that you can help us understand which has been capitalized in this quarter?

Saurav Mitra : We have capitalized INR 390 crores and balance around INR 100 crores will be capitalized in the next quarter.

Nitin Tiwari: Yes, understood, sir.

Debabrata Satpathy : So, Nitin, coming to this provision question, the reversal is INR 550 crores for CY '22 and for CY '23, the provision is INR 35 crores and CY '24, the provision is about INR 6 crores.

Nitin Tiwari: How much was that, sir? For FY '24, you mentioned?

Debabrata Satpathy : About INR 6 crores, you can take.

Nitin Tiwari: Okay, sir.

Debabrata Satpathy : And there is also a waiver, because of the higher volume brought, waiver of about INR 13 crores in the current quarter. So, if you adjust these INR 35 crores, INR 6 crores and the INR 13 crores from the INR 550 crores, you will get the number of INR 496 crores.

Nitin Tiwari: Understood, sir. And lastly, if I may just ask a clarificatory question on the question asked earlier on utilization levels. So, you mentioned that the March utilization level was at 53% and some offset has been brought in from some other location. So, what is the ballpark utilization number that we should consider for the year ahead, I mean, for FY '27, if this problem continues, if suppose the volume from Qatar does not come back, I mean, for one quarter or two quarters, what is a broad ballpark number we can look at?

Saurav Mitra : So, we should not be unnecessarily be pessimistic about the entire year. We have the numbers of April as well as May. So, we would like to restrict ourselves in these two months only. And we hope that this, ongoing situation in the Gulf will end very soon. And as I have told you earlier, that the moment it stops, Qatar Energy would be able to start the operations in the 3 to 4 weeks ' time. And so, we are confident that maybe from the first week of June, the entire supply will

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come as per the annual delivery plan. And we are also talking to Qatar, so that whatever volumes we have lost, if they can make good during the current year itself, that will be great for the company as well as for the country also.

Nitin Tiwari: Got it, sir. That is very helpful. Thank you so much. I will get back in the queue.

Saurav Mitra : And I think you had also asked about the proposed CAPEX budget for the current financial year.

So, it is around INR 9,000 crores.

Moderator: Thank you, sir, for answering all those questions. We will take the next question from the line of Yogesh Patil from Dol at Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question, sir. Again, continuing with the same question on the CAPEX, if you could provide the breakup of INR 9,000 crore CAPEX for the FY '27, that would be helpful.

This is one. Second is related to the tariff hike at Kochi terminal from April. What was the tariff hike quantum on that side? Was it a 5% or lower?

Saurav Mitra : 5%. That is constant. And so far as the proposed CAPEX budget for the current financial year is concerned, the major amount will be spent on the Pet chem project only. So, that is about INR 7,500 crore plus minus, you can as

sume 10%. So, we are targeting to achieve around INR 7,500

crore. So, let us see that and we are more or less confident that we will be able to achieve that target. And the rest are all like the third jetty that we are constructing. So, around INR 600 odd crores on the third jetty. And Gopalpur terminal also, we are planning to start our activities, construction activities in this current year. So, there also we plan to spend around INR 300 crores to INR 400 odd crores. So, th is is a broad breakup. Rest are all small additional facilities, the routine CAPEX . We also have a plan to put up our fifth small scale LNG plant at Kochi, for which land has already been acquired. And we are planning to spend around INR 70 odd crores in that particular project . So, I think these are the broad numbers.

Yogesh Patil: Okay, sir . So, observation on the cash flow statement side. In earlier call Q3 FY '26, you had a guided that kind of a INR 3,000 crore kind of a CAPEX for FY '26. While if we look down into the cash flow statement, it is indicating INR 2,500 crore. Is there any delay in CAPEX for particular project? If it is, if you would clarify on that side, that's one thing. Secondly, just wanted to take a guidance on the FY '28 CAPEX. Can we assume on a tentative side, a INR 9,000 crore kind of a CAPEX for FY'28?

Debabrata Satpathy : See, what happens is the cash flow statement depicts the actual cash flow that is done. It doesn't take into account the provisioning. So, the provisioning are different and the cash what has been spent is INR 2,511 crore.

So, we can say that I mean the whatever has been projected, it is going

according to the plan. And for example, the same principle will also apply for FY '27 as well.

There would be out of this INR 9,000 crore, there would be at the end of the year, some would be done in cash and some would be in the provisioning level.

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Yogesh Patil: Okay, thanks a lot.

Moderator: Thank you. The next question is from the line of Bineet Banka from Nomura. Please go ahead.

Bineet Banka: Hi, sir. Thanks for the opportunity. In terms of potential offtaker for the spot LNG that we are bringing in, so who could be the potential offtaker at this price, \$15 to \$17 per mmbtu ?

Vivek Mittal: See, we are not, A t this rate , we are not bringing spot other than the customers like ONGC for

whom we are making endeavours to bring. It is being brought by our capacity holders for onward supply to various consuming sectors which include CGD , fertilizers, refinery, petrochemicals .

Bineet Banka: Okay. And sir, so Gujarat Gas has guided around 5 to 6 mmscmd additional gas demand from May onwards. So, assuming that all of this demand flows through Petronet LNG , so I think incremental volume could be around 1.5 million tons per annum which is close to 6 %-7% of your current volume. So, is it the right understanding?

Vivek Mittal: If that happens, you yourself also have calculated numbers and the numbers seem to be correct, but it all depends whether it is on a perpetual basis or a month-on-month basis. Primarily, I think they are targeting Morbi market which is incremental of 5 to 6 mmscmd , so which is what I think Gujarat Gas has mentioned.

Bineet Banka: Okay, sir. So, lastly, in terms of utilization, I think you said for the quarter it was around 90% and March it was 53%. So, I am not trying to get, what would be the utilization implied for Jan , it is over 100%, right?

Debabrata Satpathy : It was on an average of about 108%.

Bineet Banka: So, yes, 108% for Jan and Feb. Okay. That's all I have. Good luck. Thank you, sir.

Moderator: Thank you. The next question is from the line of Adarsh Hinduja, an Individual Investor. Please go ahead.

Adarsh Hinduja: Hi. I think my questions have been answered already, but I wanted to understand one thing from you. There is a lot of different natural

gas markets like the JKM, TTF, there is the US and we have natural gas. So, when you buy spot cargos, on what typically, what rates do you negotiate these contracts at?

Vivek Mittal: See, spot cargos in India typically are linked to JKM and or there is a specific index called as West -India Marker, which is also very closely related to JKM Marker , which is the price of the Asian market .

Adarsh Hinduja: And could you comment on what your, in the month of March, what your spot cargo prices were, the purchase prices?

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Vivek Mittal: The spot prices were around \$20 in the month of March.

Adarsh Hinduja: Okay. Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Hardik from ICICI Securities. Please go ahead.

Hardik: Thanks for the opportunity, sir. I just want to check on, there is a substantial increase in non-current assets and the other financial assets. So, can you just explain on that part?

Rakesh Chawla : See, other financial assets, when it is increased from INR 406 crore to INR 1,319 crores , that is mainly due to classification of fixed deposit, which is more than one year old, that has been classified into other financial assets, and which are less than 12 months that are coming under cash and cash equivalents . So, this is mainly a grouping issue.

Debabrata Satpathy : And as far as the non -current assets are concerned, these also include the capital advances of about INR 906 crores, which pertains to our ongoing CAPEX program.

Hardik: Okay. Can you share what was the CAPEX that was on the petchem project in FY '26?

Rakesh Chawla : It is around INR 1,650 crores, including advances and CWIP, total net impact is INR 1,650 crores.

Hardik: Okay. That is very helpful, sir. Thank you.

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes, sir. Just one question. So, you know, based on your assumption of post -May, we should be seeing largely normalization of cargo. So, sum total for the year, what kind of utilization do you see at the aggregate level for your assets? And considering that there is a Equinor cargo, which is additional starting May , so, sum total, what kind of a utilization one should assume for your assets?

Vivek Mittal: See, we firstly, we have never said that May onwards things will be back to normal, because it all depends on the conflict in the Middle East region, how it spans out and what happens and when Qatar resume supplies. So, it is very difficult to give a number at this point of time. But yes, you are right, the contract with Equinor will also start, where in Performance Chemiserve, which is a part of Deepak Fertilizers group, will start bringing their cargo and their first cargo is scheduled for arrival on 12

th of May.

Pritesh Chheda: Okay. So, we have two additional contracts, right, the Equinor and the Exxon?

Vivek Mittal: That is right.

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Pritesh Chheda: Yes. These two volumes, which are additional, is what number?

Vivek Mittal: Roughly 1 million tons in this year.

Pritesh Chheda: Sum total?

Vivek Mittal: Yes, sum total.

Pritesh Chheda: Okay. And so, just for theoretical purposes, considering what you would have some assessment of April and May and theoretically, if from June the Qatar cargoes normalize, then considering that assumption, what is the utilization one should consider for your assets, along with these two new contracts that you have?

Vivek Mittal: Very theoretical, you are right to mention.

Rakesh Chawla : See, as we have already spoken, we are optimistic about the future and from June , things may start looking normalized. But whatever numbers will happen, it is very difficult to put any number at this point of time. And what indications you can calculate, w

e have already informed

you what has been the March utilization level, what has been the January -February. So, let us see what happens with numbers, please, then you can calculate whatever the assumptions you already explained.

Saurav Mitra : So, I would request you to wait till the end of this quarter and see how things pass.

Pritesh Chheda: Is there substantial improvement in the April and May utilizations?

Saurav Mitra : No. It is, more or less at the same level.

Pritesh Chheda: As March ?

Saurav Mitra : As March .

Pritesh Chheda: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sarthak from DSP AMC. Please go ahead.

Sarthak: Hi. Good morning. Thank you so much for the opportunity. So, I just have one question regarding the storage facility that is available and how much CAPEX do we need to do? Because there was a highlight on the press release yesterday also that we need to be very vigilant as a nation that storage facilities are very lower. So, how as a company we are looking at our facilities and increasing storage facilities in the various assets that we have and how much extra CAPEX that we need to do? Just wanted some clarity on that.

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Saurav Mitra : Okay. So, for our Gopalpur project, we have already announced that we will be constructing two tanks and we are also planning to set up one more tank in Kochi. So, that 's, right now we can say our current plan is all about increasing the storage. However, as mentioned by our CEO yesterday in the press conference that some more tanks are also being planned at Dahej and we are looking for land because land is an issue, availability of land is an issue in Dahej , but we are actively scouting for some additional land parcel wherein we will be able to put up some 3 to 4 additional tanks. But regarding these additional storage tanks at Dahej , right now there is no immediate plans. It is definitely, we wish to put up additional storage facilities out there, but immediately we can say that, yes, Gopalpur, which is a board -approved project, there we will be putting up two tanks and one more tank we are actively considering for our Kochi terminal.

Sarthak: Great. Just one small follow -up. Any CAPEX number in your mind for the one additional tank in Kochi?

Saurav Mitra : So, it is about around INR 1200 crores.

Sarthak: Okay. Got it. Thank you so much. That is it from my side.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equinox. Please go ahead.

Maulik Patel: Hi. Just one question. Any update on that extension of contract from 2028? Have you entered into an agreement with the off-takers on that?

Vivek Mittal: I think I would only say that discussions are ongoing with the off-takers and once those contracts are done, we will definitely inform investors as well as stock exchanges.

Maulik Patel: Okay. And our contract with Qatar for the current existing contract of 8 million ton is the Train #3 of the South Field , right?

Debabrata Satpathy : Yes, Maulik , this information we are not sharing actually. We do not share.

Maulik Patel: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Vivekanand Subbaraman from Ambit Capital. Please go ahead.

Vivekanand Subbaraman: Just extending on Maulik 's question on the negotiations with the off-takers for the back-to -back contract. Now, I understand that it is from 2028, but you have signed a contract which is now DES, right? So, which was earlier FOB from Qatar. So, from a commercial standpoint, do you expect any meaningful changes in the nature of the contract based on the discussions that you've had so far? That's my first question. The second one is on the contracts that you had been signing for the expansion in Dahej , which is with the Deepak group and ONGC. Is there any further
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discussion that you have had with your customers that you can update us on in terms of new business models like ethane storage handling or say monetization of that CAPEX? Thank you.

Saurav Mitra : So, regarding the future business plans, as and when we sign definitive agreements with the customers, we'll definitely reach out to our different stakeholders, including the stock exchanges.

And so far as your first question is concerned, regarding the change in terms of cargo from FOB to DES, we don't see any need for renegotiating the incoterms.

Vivekanand Subbaraman: Okay. Fair enough. Thank you.

Moderator: Thank you. The next question is from the line of Nitin Tiwari from Phi IlipCapital. Please go ahead.

Nitin Tiwari: Hi, sir. Thanks for the opportunity again. Just a bookkeeping question. What is the IndAS impact for the 4th Quarter and also for FY '26 as a whole?

Debabrata Satpathy : Yes, the IndAS impact is for the 4th Quarter , 119 positive at gross margin level. Then there is a FOREX loss of INR 91 crores and positive 8 crores at OPEX level. And then depreciation INR 77 crores and interest expense on lease liability INR 59 crores. This is for the quarter. And for the year at gross margin level positive INR 629 crores. The FOREX loss is INR 199 crores. The OPEX level positive is INR 30 crores. Then depreciation INR 322 crores and finance cost was INR 228 crores.

Nitin Tiwari: Thank you, sir .

Moderator: Thank you. The next question is from the line of Var atharajan Sivasankaran from Anti que Limited. Please go ahead.

V. Sivasankaran: Thank you for the opportunity. Sir, on the trading gains part, do you have any numbers you can share?

Debabrata Satpathy : Yes, it's INR 118 crores.

V. Sivasankaran: Okay. Secondly, on this parcels which have been procured from other regions like Nigeria and so forth, what is the general spot availability what we see, which has potential to be diverted to India? In general, if you look at the volumes flowing currently, what proportion of it would be contract and what proportion would be spot?

Vivek Mittal: Very difficult to give an answer because as you know, capacity is booked by Gail , Indian Oil, BPCL So, it is their prerogative and they have capacity in other terminals in India also. It is their prerogative which cargo they want to bring to Dahej and which cargo they want to take to their other terminal. So, very difficult to give a number that what would be the proportion of spot cargo with the terminal.

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V. Sivasankaran: I am more concerned about like, globally and especially in the regions where you just referred to, are there more spot parcels available and has that spot parcel availability increased post -war?

Vivek Mittal: As and when, new facilities come up, those volumes are typically broadly on spot with portfolio players. So, recently, you would have heard that Golden Pass started the export of their cargo for the US. So, all those volumes will be becoming available to the market on spot basis.

V. Sivasankaran: Thanks a lot, sir.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V: Thanks for the opportunity, sir. My first question is on the time charter, which you have mentioned in the footnotes. So, we will be able to get back to normalcy if the Strait of Hormuz issue gets resolved and we will be getting the Middle East cargos. Is the right way to understand? So, we will be able to utilize those three time charters?

Saurav Mitra : Yes, those time charter vessels are specifically hired for carrying cargo from Qatar to our terminals. So, once the supply resumes, these time charter vessels will be again engaged as being done earlier.

Somaiah V: Got it. So, and what is the existing contract duration for these time charter vessels? Like si

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months, still how many, in terms of the existing contract, how many more months remain?

Vivek Mittal: So, it is aligned with the SPA term. So, as and when SPA terminates, comes to an end, the time charter will also terminate.

Somaiah V: Okay. I mean, because it's a force majeure kind of a situation, so that's why we believe the 90 crores kind of a demand that's been placed for March, and subsequent periods also is something that we are not liable to pay. So, that's the thought. Is that right understanding?

Saurav Mitra : Yes.

Somaiah V: So, what would be the run rate for FY '28 in terms of CAPEX? So, it will be similar to this INR 9,000 crores of ' 27?

Debabrata Satpathy : Yes. As has been discussed in the last call also, basically the FY '27 we are saying INR 9,000

crores and FY '28 also should be at the same level around 10% more or less.

Somaiah V: Okay. And sir, in terms of payouts, so the historical payouts is expected to continue despite the expansion because of the cash in the balance sheet?

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Saurav Mitra: Yes. Short answer is yes. See, I will not go by the payout percentage, but in absolute terms, the endeavour is to maintain the same level of dividend.

Somaiah V: Okay. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Gagan Dixit from E lara Securities. Please go ahead.

Gagan Dixit: Thanks for taking my question, sir. What is the status of this Kochi -Bangalore pipeline? What I know, I think that the GAIL has pushed the timeline to, I think, September 26th. So, is there any update for this?

Saurav Mitra : Whatever information you have, it's perfectly in order.

Gagan Dixit: Okay. It's the first half of FY '27.

Saurav Mitra : Yes.

Gagan Dixit: So, what is the Kochi utilization that you expect for, I mean, for FY '28 when the full volume will be available on the pipeline?

Saurav Mitra : So, definitely it's going to go up. There's no doubt about it because it will be opening up a different market and get connected to the national gas grid . So, definitely, the utilization will go up.

Gagan Dixit: Okay. And so my final question is about the swap volume. I think especially from the GAIL, there is many swap volume coming from the US to the Middle East route. So, I assume that some of that got stopped, actually. So, are you still getting the volume directly from the US or from those customers, or is this a shipping constraint that is hindering the full recovery?

Vivek Mittal: So, it is our capacity holders and offtakers who are bringing in these volumes.

Gagan Dixit: Okay. That is from my end. Thank you.

Moderator: Thank you. The next question is from the line of Falguni Dutta from Mansarovar Financial s. Please go ahead.

Falguni Dutta: Good morning, sir. I just had one clarification question. What was the capacity utilization for Dahej for March that you mentioned?

Saurav Mitra : Around 53 %.

Falguni Dutta: Okay. Thank you, sir. And sir, would it be possible to say that how much is it now as we speak?

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Saurav Mitra : I have already shared that it is hovering around the same level.

Falguni Dutta: Okay, sir. Thank you. That's all from me.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Saurav Mitra : So, thank you. Thank you for joining us. And we hope that the situation in the Gulf improves very soon, which is going to have a very positive impact in our operations and as well as on the financials. And we also expect to come out with a brighter picture of the financials of the company when we meet next. Thank you so much.

Moderator: Thank you, members of the Management . On behalf of Ashika Institutional Equities, t

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concludes this conference. We thank you for joining us and you may now disconnect your line s.

Thank you.